

Zee Entertainment Enterprises Ltd. (ZEEL)

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Call: Aug 2022

August 18, 2022
The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400001 Extraordinary Together
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
BSE Scrip Code Equity: 505537 Bandra (East), Mumbai -400051
NSE Symbol: ZEEL EQ

Dear Sirs,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Conference Call with Investors

This has reference to our intimation dated August 12, 2022, informing that the audio recording of the Conference Call with Investors, to discuss the Company 's performance for the Quarter ended June 30, 2022, is uploaded on the website of the Company.

Please find enclosed the transcript of the above conference call held on August 12, 2022.

The said transcript has also been uploaded on the Company's website www.zee.com.

The above is for your information and record.

Thanking you,

Encl: As above

Zee Entertainment Enterprises limited

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Zee Entertainment Enterprises Limited

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Q1FY23 Earnings Conference Call
August 12, 2022

Transcript

MANAGEMENT:

Mr. Punit Goenka – Managing Director and CEO

Mr. Rohit Gupta – Chief Financial Officer

Mr. Mahesh Pratap Singh – Head Investor Relations

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Q1 FY23 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh. Thank you and over to you, Sir!

Mahesh Pratap Singh: Thank you, Steven. Hello, everyone and Welcome to Zee Entertainment's Q1 FY23 Earnings discussion.

We have with us today our Managing Director and CEO Mr. Punit Goenka along with senior management team.

We will start with opening remarks from Mr. Goenka followed by commentary on operating and financial performance by Mr. Rohit Gupta, our Chief Financial Officer. We will subsequently open the floor for questions and answer session.

Before we get started, I would like to remind everyone that some of the statements made or discussed on today's conference call will be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly. With that I would hand the call over to Mr. Goenka.

Punit Goenka: Good evening, everyone!

I hope all of you are doing well. Thank you for joining us today to interact with me and my team members, on the Company's performance in the first quarter of the financial year 2023.

As you all must have observed, the media & entertainment sector is at the cusp of higher structural growth with numerous opportunities to capitalize. But on the other hand, the industry is also facing near-term challenges emerging from macro-economic factors, leading to high volatility in the overall advertising ecosystem. That said, these challenges are also an opportunity to build stronger and agile business models. Amidst this scenario, the tenacity displayed by the Company, has enabled us to continue making good progress on the strategic priorities set across the business

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We are witnessing significant investments being made across the industry, which is a firm testament that the sector will continue to be a hugely attractive proposition in India's growth journey.

This phase of evolution needs a different approach and a longer term investment focus to win over the empowered consumer, who has a multitude of consumption platforms at her disposal. We are well-poised to capitalize on this next wave of growth by taking several strategic steps, that will further strengthen our market position.

But before we delve into each of these segments and the Company's performance in detail, I would like to share a quick update on the overall merger process. As you all would have noted, we recently received the approvals from the Bombay Stock Exchange (BSE) and National Stock Exchange (NSE). We are pleased to move forward in this process, and the teams at both ends continue to work independently towards seeking the necessary legal and regulatory approvals, as per law. We remain committed to bringing this merger to fruition and unlocking the numerous value-accretive possibilities it has to offer.

Coming back to the Company's performance, I would like to share some key pointers

pertaining to the quarter gone by, while our CFO, Rohit Gupta will discuss the financial and operating metrics with you in detail.

Like I mentioned before, the start of this fiscal has been soft for the sector as anticipated, due to the macro-economic headwinds impacting overall growth. But I remain optimistic of high growth levels returning soon for the industry. We are currently going through a phase where we are focusing on building value in the long-term, and are persisting with our investment themes, given our strong positioning and an attractive market opportunity ahead.

We have always followed a prudent cost discipline, and we have reaped the benefits of this in the past, on the back of stronger revenue growth driving superior margins. But due to the overall macro-economic environment and inflationary pressures impacting the advertising revenues during the quarter, we saw revenue headwinds getting accentuated, flowing through the operating margins.

That said, the current market scenario is a temporary and transitional phase, and it does not structurally change the growth thesis and longer-term revenue potential. In terms of the advertising revenue outlook, TV continues to remain a powerful

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proposition for brands, providing massive reach at the most competitive price point. As you would have noted, large FMCG players drew a positive co-relation between advertising and promotional spends, and volume growth during the quarter. But presently, the FMCG segment is weathering inflationary headwinds with commodity prices rising to decadal highs, and suppressed consumption leading to minimal volume growth for the sector at large. As this segment is dynamic and has a significantly higher spending potential, there has been an impact on our advertising revenues as well. We do remain hopeful of a quick recovery and as the tide turns, we will reap the benefits of higher market-wide advertising and promotional spends. At the moment, we are focusing our energies towards further sharpening our content offerings and strengthening our viewership share to be well positioned to capitalize on this uptrend.

The impediment on subscription revenue growth due to the embargo on channel pricing continues to affect the sector. With the Telecom Regulatory Authority of India (TRAI) pushing the implementation deadline to 30th November 2022, we will have to wait and see how the implementation schedule and subsequent scenario plays out. I

firm

ly believe that there is enough headroom for the growth of pay TV in the country. India still has about 90 million households who are yet to own their first TV sets, which represents a long runway for TV subscription revenues, unlike other global markets where TV penetration has saturated.

On the digital side, it is gratifying to note the healthy growth of ZEE5 across all usage and engagement metrics. The platform consistently ranks amongst the top players in terms of recall value, content appeal, frequency of usage and time spent. Our efforts and investments towards offering a robust content slate and user experience reflect in the positive growth momentum displayed by the platform.

During the quarter, we also inaugurated our technology and innovation Centre in Bengaluru taking another firm step towards our digital transformation journey. The team's efforts are directed towards creating path-breaking and innovative solutions, that will enhance our technological capabilities and sharpen data interpretation and analytics. We are building a strong tech foundation for the company, and this tech centre will be instrumental in augmenting our offerings in the future.

We are certain that going forward, the targeted investments being made into the business will aid mid to long-term growth. As our overall revenue growth recovers, we remain confident that the margin recovery will be equally quicker.

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As we focus on building robust long-term value, we are also taking significant steps to balance our near-term profitability and growth levels. We have recalibrated our investments wherever possible and will continue to do so, while making room for longer-term growth aspirations. I remain optimistic about the choices we are making as we navigate this phase.

On that note, I would now request Rohit to deep dive into the finer details. I look forward to interacting with you during the Q&A session.

Thank you. Over to you Rohit.

Rohit Gupta: Thank you Punit.

Welcome everyone. I hope you had an opportunity to review our Q1 results which have been uploaded on ours as well as on the website of stock exchanges. I'll focus

my remarks on providing more context to our Q1 financial performance and share our outlook.

As discussed during our last earnings call in May, FY23 was commencing on a challenging note and particularly the first half of the year was anticipated to see immediate impact of withdrawal of Zee Anmol from DD FreeDish, coupled with a difficult macroeconomic backdrop of heightened inflation, weak volume growth for Brands and resultant pressure on Ad revenues. Given all that setup, Q1FY23 performance was soft along the expected lines, however, there are encouraging bright spots across all key segments as well, and these give us confidence in the gradual recovery as we progress through the year.

We continue to be India's strong #2 TV Entertainment network and our viewership share is showing early signs of stability and recovery. The viewership share for the quarter stood at 16.1% and while that's 100 bps lower QoQ, adjusted for Zee Anmol FTA withdrawal, we have gained viewership share in Q1FY23 compared to previous quarter. In our assessment, our QoQ FTA adjusted viewership gain is ahead of every other TV network, reflecting early results of our focused efforts to gain network share. During the quarter, we launched 26 new shows. We have further strengthened our leadership position in Kannada, Telugu, and Bangla markets. Our key markets of Hindi, Marathi & Tamil GEC have series of launches and interventions planned throughout FY23 in order to improve our network share and we feel enthused about our moves and strategy in those markets.

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On digital side, Zee5 is making steady progress in operating as well as financials metrics. Our Global MAUs and DAUs as on June 2022 stood at 103.3 mn and 11.3 mn respectively with average watch time of 196 minutes per viewer per month. All of these usage and engagement metrics are up YoY, strongly affirming our investments in content, technology and marketing. There is some moderation in MAUs on a QoQ basis and that's a result of us driving more focus on stickiness of the platform and optimising our overall performance marketing spend for better ROIs. Our Zee5 platform stickiness has further improved, as evident in higher DAUs QoQ. Our Q1 FY23 DAUs are highest ever. During the quarter, we released 38 shows and movies (including 8 originals) and are proud to be delivering real and relatable stories in line with our content strategy. A case in point, 'The Broken News' series, which premiered on June 10, marking ZEE5 and BBC India's first collaboration went on to become the most viewed original series of 2022 on ZEE5 and clocked 100Mn+ streaming minutes and 6Mn+ views in a week since its premiere. Several independent third-party datasets also continue to place Zee5 in top quartile of OTT apps in the country when it comes to installs, usage, stickiness etc. which is another testimony of our market leadership and strong momentum in Zee5. Zee5 has clocked a revenue growth of 43% YoY during Q1FY23, reflecting healthy traction and adoption. Zee5 QoQ revenue is flat as we have some B2B revenue trailing off, marginally impacting our Q1 revenues. As we scale Zee5, we are keeping a high bar on how best we monetize our content and what kind of subscribers are more value accretive in the long run for us. Zee5 offers a very compelling value proposition for subscribers and has also taken two price hikes – from 499 to 599 in mid March 2022, and a second hike from Rs 599 to 699 in mid – July, a total increase of 40%. We continue to evaluate B2B deals opportunistically and periodically when some of these deals conclude, it can cause QoQ variation on some of the Zee5 metrics. Our underlying Zee5 business momentum is very strong as captured in our YoY performance.

Now specifically coming to the financial performance, total revenue for Q1FY23 grew 4.0% YoY to Rs. 18,457 mn, from a low base of Covid impacted Q1FY22. Our revenues are lower by 20.5% compared to previous quarter, impacted by lower revenues across all key drivers of Ad revenues, Subscription revenues and Theatrical business. This is something we had alluded to in our previous earnings call and let me cover this in a bit more detail, so you have a better context.

Our Ad revenue for the quarter grew 5.4% YoY but were lower by 12.8% QoQ. QoQ drop was a function of two key items. First was the Zee Anmol FTA withdrawal from Q1FY23 Earnings Call Transcript August 12, 2022

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1st April 2022 where we lost complete Ad revenues from this channel and second was the weak macroeconomic environment impacting Ad spends by Brands in our key target customer sectors like FMCG where the sector is seeing minimal volume growth and still navigating relatively high commodity prices and elevated CPI inflation. While this is something we had called out in our previous earnings call, as the quarter

progressed, we have seen this trend intensify and Ad spend environment has turned out weaker than we had anticipated. Our Ad sales teams are focused on garnering higher shares from active spending categories, solution-led deals and other levers such as right client-mix to minimize the impact through this phase. We are hopeful for Ad spending to revive in the second half of the year as domestic demand picks pace post Monsoon and with onset of festive season. Subscription revenue for the Quarter was lower by 5.1% YoY and 9.7% QoQ. There are two key factors

here. As discussed in past, in the absence of a clear way ahead on NTO 2.0, near-term outlook for subscription growth remains subdued. Secondly, our Q1FY23 subscription revenue is also impacted by timing of some of our B2B deals and renewals across digital and other businesses and that's why Q4 vs Q1 delta is higher. B2B revenues by nature tends to be lumpy and we expect some of the accretive subscription deals to convert in the due course, which will help soften the pressure on subscription revenue trendline somewhat. On TV subscription revenue outlook, in June 2022, TRAI has proposed a new schedule of NTO 2.0 envisaging the implementation by Nov 2022. We will continue to monitor NTO 2.0 guidelines and will be prepared to implement the same for improved longer term revenue outcome. Zee Music Company saw 45% YoY growth in the video views to 21.3bn, highlighting strength of ZMC music catalogue and library. YouTube Subscriber's base of ZMC increased to 85.3mn from 75mn in last 12 months. ZMC continues to be the #2 music channel and has a very young & new age catalogue with very high consumption. Coming to the movie business, during the Quarter, Zee Studios released 6 movies (2 Hindi and 4 regional). Compared to Q4FY22 which had big box office hits like The Kashmir Files, Valimai, Bangar Raju etc., Q1 FY23 was a muted quarter for Theatrical business, driving much lower QoQ revenue for "Other Sales and Services". In the quarters to come, we have strong pipeline of movies under different stages of production.

Switching gears on costs and Profitability, as we navigate these revenue headwinds I spoke about, we are driving even sharper focus and prudence on optimising our Q1FY23 Earnings Call Transcript August 12, 2022

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overall costs and investments, while creating room for investment in content, technology and marketing for new launches and initiatives. During Q1FY23, our EBITDA margins came in at 12.8%, lower by 660 bps YoY and 820 bps QoQ. This is primarily a result of lower revenues flowing through, given nature of our cost structure and operating leverage we have in the business. Its primarily a revenue led softness and we are confident that as and when the macroeconomic environment and Ad spends improve, we will also benefit in equal measures. ZEE5 EBITDA losses for the Quarter stands at Rs. 2,352mn. Losses were high YoY and QoQ as we continue to invest in strengthening our Zee5 value proposition in-line with our investment strategy.

The exceptional expenses incurred during the quarter is towards DSRA liabilities wherein we have estimated and accounted additional liability to the tune of Rs. 150 mn in Q1. Also quickly touching upon the receivables from Dish and Siti. As you will recall we had agreed a payment plan with Dish and we've continued to collect as per that schedule, receiving current collection along with receiving the part of the old outstanding. This outstanding has substantially reduced from Rs. 5.8 billion as on March '20 to Rs. 1.9 billion in June'22. On Siti as we had mentioned earlier, we have been recognizing revenues to the extent of collection on a conservative basis. On account of a pending legal proceeding, amounts aggregating Rs 352mn (net) are yet to be collected and accounted for, of which Rs. 155 mn is deposited in court by Siti. PAT for the Quarter came in at Rs 1066 mn.

The cash & treasury investments of the company as of Jun'22 stood at Rs 11.3bn. The cash & treasury investments include bank balance of 4.5bn, fixed deposits of 6.5bn, and NCDs worth 324mn.

To sum up, while we had a challenging Q1 along expected lines, we expect our financial performance to gradually improve as we progress through the year. As revenues scale up in subsequent quarters, we will expect margins to start inching up. Growth revival is our key focus and while Q2 will see r

ecovery from Q1 levels, H2 is

where we expect pace of recovery to really gain momentum.

Back to you Mahesh.

Mahesh Pratap Singh: Thanks Rohit. Steven we can open the questions and answer. Would you just instruct participants for Q&A.

Moderator: Thank you very much, sir. We will now begin with the Question-and-Answer Session.

The first question is from the line of Abneesh Roy from Edelweiss. Please go ahead.

Abneesh Roy: My first question is on the FTA and market share. So because currently there is a rural slowdown, is there a rethink on FTA and are all the 4-5 large broadcasters also following this and are they also maintaining the discipline? Because in the past also we have seen that the discipline gets broken and if the macro would not have worsened when do you think the FTA Anmol removal would have been compensated by the subscription revenues? I understand the macro has changed but if you could answer all these questions.

Punit Goenka: Firstly, on the FTA side, we have taken a collective call as an industry. It's not about just one player or two players that we will support this in favor of the subscription revenue growth that we want to see. As the removal has been just about 4 months, still early to talk about the impact it would have had. In the normal circumstances we had anticipated that at the end of 1 year we could have recouped at least 40% odd from the subscription uplift that the DTH operators were estimating and the balance part of that would have to be recouped from the advertising piece.

Abneesh Roy: If I see Punit, the market share ex of the Anmol impact of 100 bps, the market share has been stable last three quarters at 17.1 to slightly down 17.5-17.8. My question is you have significantly invested in seeing this as a challenge but it has not fructified. So, what is the issue and you have in the past managed to address market share issue this time what is different?

Punit Goenka: I think it's just a matter of sheer implementation issues Abneesh. We've not had as successful run this time around and also there have been certain people issues that we have to face in the market. But rest assured we are addressing them and I'm pretty confident that this year is the year where you'll see the market share returning back.

Abneesh Roy: My second question is on the movie production business. We have seen your Kashmir Files did really well in Q4 but as an industry also we are seeing last 3 months almost every Hindi movie well below expectation, latest is of course Laal Singh Chaddha and whatever the reasons are, my question is you're saying you have a strong pipeline but because either ticket pricing at the multiplexes is too high or content in Hindi has become too niche, south Indian movies are doing well because they may have a more mass appeal. So, are you doing anything proactively so that this issue doesn't impact your strong pipeline either in terms of content, make it more mass or whatever it

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takes? So, your analysis why 3 months of complete nonperformance or Hindi movies across the board?

Punit Goenka: I think it's a function of multiple things as you rightly pointed out. One is ticket pricing, the second is the consumer also knows that rather than paying the heavy ticket price if the movie doesn't get really good word of mouth, you can just wait for 4 to 8 weeks and then consume it on OTT or wait for television. These are two reasons that I can talk about but third reason also is an oversupply of films. Today every weekend we are getting a plethora of new films being released and therefore the audiences are getting divided and the performance is showing that. I do not believe t

hat south

Indian films are doing anytime better than Hindi films. There are equal fair share of loss-making films in the south also. What we are doing from our strategy point of view, Abneesh, was from the day one we had taken a strategy that we will be a pan India film production company and therefore our portfolio or our portfolio of films spans across 5 to 6 languages. So Hindi, Punjabi, Marathi, Telugu, Tamil and even Malayalam now we are entering. We are trying to balance our portfolio out in a manner that we can be a pan Indian player just like we have been on television and our OTT business.

Abneesh Roy: My last question is on ZEE5. So, when I analyze a lot of data you're giving, one thing is coming out. Your DAU has seen a very consistent and good jump past few quarters from 9.6 million to 11.3, that's a good jump. Quarter-on-quarter also good jump. When I see MAU, it has remained stable in a very narrow band for the last three quarters, quarter-on-quarter some dip is that there. My question is why monthly average user there is a fatigue factor and why that is not reflected in DAU? You have explained that there is more stickiness but why that's not reflected in MAU? Is it because mobility has come back, so customer has less time at home, he's traveling etc. whatever the reason I want to understand that. Second is this B2B deals getting impacting your business, that is something which has happened earlier also. So, is there something proactive you can do there or it's a part of life, you can't do much

there?

Punit Goenka: First is MAU stabilizing is a strategically chosen thing that we have done. We are spending our marketing dollars purely on acquiring customers for the app and we do not spend money for the progressive web app that exists there. Our focus is to get maximum amount of consumption done on the app or the app downloads and that's where the stickiness also comes into play because the app has far more stickiness
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than the web. So that's the second part. Because we are a late entrant, the B2B deals are yet finding their own, what is the right value to do the B2B deals etc. for us. So, it's a two-way thing. We don't want to get into long term deals when we know that our platform is getting better day by day and therefore the B2B partners don't want to do short term deals. It's a kind of a negotiation that we are witnessing. Hopefully once we have established our credibility etc., we will find the right balance and the right price points in which we will be also happy and even the B2B partners will be happy.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Can you help us understand what was the ad revenue, underlying ad revenue if one were to adjust for the FTA which has hurt this quarter? So to understand what is the underlying growth and the related question to that is can you help us understand the sub industry—we understand that FMCG was going through trouble—but how has the other industry like auto, telecom, new commerce how have they performed? Is there any very different ad spending behavior within the subsegment? So that would be my first question.

Punit Goenka: I'll take the second question and the first one I'll give Rohit to answer for you. In terms of advertising sectors FMCG is the largest advertiser on television and more so for a network like ours which is a very female skewed network. As you know we don't have a sports bouquet in our portfolio and therefore our dependence on FMCG is far greater. All the other sectors like auto, consumer durables, telecom etc. constitute anywhere between 6% to 8% of the total ad spends in the market. They don't really skew the spending as much. They have been in the same ballpark maybe 100 bps plus minus. But it is the FMCG s

ector that is the main call and that's why it is hurting us even more. Rohit, you want to take the first one?

Rohit Gupta: Actually, quite frankly there is a seasonality factor in Quarter 1 as well and we have the macroeconomic headwinds also facing this quarter. So, there is no specific number but like I mentioned in my opening remark, had we not had the Zee Anmol withdrawal our network share would have actually gained. Really the overall impact is about 100 bps on market share and so you can calculate what that impacts on the revenue.

Sanjesh Jain: Second on the subscription side, on this particularly B2B first. It looks like what's the revenue recognition methodology, it's a one-time or we spread across the quarters
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of the contract and what is the general terms of the contract there? Is it 1 year contract or a 6-month contract? How does it really work?

Punit Goenka: We generally sign only 1-year contracts with any B2B partner. The revenue recognition is for the term which means monthly or quarterly whatever that is we recognize on that basis.

Sanjesh Jain: One can say that the underlying ex of this B2B, we are flattish on the subscription revenue. Will that be a fair assumption and majority of this decline has largely come from the B2B side of it?

Punit Goenka: No, on the ZEE5 part you're asking or you're asking me on the subscription revenue?

Sanjesh Jain: I'm asking on the overall subscription revenue.

Punit Goenka: Overall subscription revenue there is a decline.

Sanjesh Jain: There is an underlying decline, ex of even this B2B category.

Punit Goenka: Yes.

Sanjesh Jain: My last question is on the programming cost. I can understand this quarter hasn't been that great. Our theatrical release has not done that well. Is that one of the reasons why the revenue costs are not matching and hence margin could drastically improve going into Q2-Q3?

Punit Goenka: We've not had any big film in this quarter, so it's nothing relating to theatrical business. But on the television content and the digital content Rohit you want to give a view.

Rohit Gupta: Quite frankly, I think the percentage of programming to revenue is also in a stable business the parameters have not changed and like I said our investments continue

to be in the same proportion as we had done in the last few quarters. If you're comparing year-on-year, of course last year same quarter was impacted by COVID, so they're really not comparable. There are no specific increase on the programming side. We continue to invest in our linear programming like as I said 26 new shows were launched. So, we are really in the same line.

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Sanjesh Jain: One last book keeping question. The movies what we are producing now contribute close to 1,000 crores of the total inventory. Any ballpark number where you think this will peak out or do you think there is a few more addition to come in the investment as far as movies are concerned?

Rohit Gupta: No actually movie investment, there are some delays in the launches that we have seen in movies and like I said there is a good slate in movies we already have and this is all rotational business. So whatever investment that we make in movies come very quickly back and the ROI is good, I don't expect any more investments going in movies unless there is an issue. It will probably remain at this level as well.

Sanjesh Jain: Rohit as you said getting into Q2-Q3 where we will have more theatrical releases, this inventory should release, right?

Rohit Gupta: Yes definitely. As the movie release happens there will be a release of inventory in Quarter 2 in the subsequent quarters. However, let me just add that while we release

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n the theatrical side there may be additions on the satellite and digital side.

Sanjesh Jain: But that will be very small portion of overall movie cost, in metrics side?

Rohit Gupta: We have maintained that, ideally, we would like to amortize the inventory as much as we add during the year. This is right now an investment phase for digital and therefore there are some additions that are there but if you see overall, we have increased inventory by about 370 crores during the quarter and out of that about 250 crores is coming in from the films production which is there in the IR pack.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: I have a question on the domestic subscription side. If I look at our revenue this quarter it was down by about 7.4% year-over-year but in the past few quarters, the decline has been in the range of about 1% to 3%. I know you mentioned something about B2B deals not fructifying this time around but apart from that is there any other specific factor which we should ideally be looking into? Because the decline appears to be slightly steep vis-à-vis previous quarter?

Punit Goenka: No nothing that we can point any fingers to right now because it's too short a period. If we see any trend we will certainly come back to our guidance.

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Jinesh Joshi: Secondly with respect to inventories I think this got addressed in the previous question, despite a jump from about 6,300 crores to about 6,700 crores in this particular quarter; what I was trying to understand is that the cost of that movie typically gets expensed immediately on theatrical release. The question was again if you can just help us clarify that if only six movies are released then once this release happens in the subsequent quarters, will we see inventory drop down substantially?

Punit Goenka: Inventory has multiple functions. If the inventory of the films that is being produced and released so we write down immediately the theatrical portion of the film but when it moves to the satellite rights and digital rights, it gets capitalized therefore, as a satellite right or a digital right. But it's not only our own films that are getting released. We do buy films from outside as well which are only for the purposes of satellite and digital and music for our other verticals. So, they two are not related entirely. The increase in inventory could be also for the reasons of buying films from outside.

Moderator: The next question is from the line of Vivekanand from Ambit Capital.

Vivekanand: One is the viewership share before also we had taken channels of free dish in FY20 prior to COVID. At that time our viewership share was around 18.5%. So, to that extent that number and the current 16.1%, are they comparable? Just to understand better that's question one. Secondly if I look at slide #5, it appears that the weekly impressions and weekly reach of TV have marginally declined and just wanted your perspective on this data and what should one infer based on this? And thirdly in terms of the receivables that are outstanding from related parties, if you can give an update on that, that will be very helpful.

Punit Goenka: So, on your first part on the viewership share pre-COVID and the current viewership share the two are not comparable because the BARC Universe keeps changing and if I remember correctly in 2021, we had a reset in the BARC Universe where they had added based on the IRS survey that was conducted in 2019. So that data you can get

from BARC as to when the universe changed and therefore you will get your answer from there. On your second question about impressions, you're right that impressions have fallen this quarter but it's largely on account of time spent and which is impacted due to the severe power shortage, a l

arge part of the country is witnessed during this summertime and we are hopeful that, that will correct over a period of time. Yes and on receivables from related parties, Rohit?

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Rohit Gupta: I actually covered this during my opening comment. If you are pointing out more towards Dish and Siti which actually are not related parties, I did mention that as far as Dish is concerned there is an agreed payment plan which they are adhering to and there has been movement as per the payment plan and therefore everything is in line and current receivables are at 1.9 billion. As far as Siti is concerned we only recognize revenue on cash-and-carry. There are no other meaningful related party receivables.

Vivekanand: So, Punit, thank you for the perspective on the new Universe of the BARC incorporating the IRS data. Would you have a sense on what our like-for-like viewership share would be now versus pre-COVID, PAN-India share of entertainment viewership because we are unable to make that adjustment ourselves given the change due to spike?

Punit Goenka: Pre-COVID the reason for that I would not be able to share with you right hand because if you look at the pre-COVID numbers we were at 18.3% and as we entered COVID, our viewership share fell almost to less than 16% and then started growing again but this is a function of how many households got added to the universe and then the consumption pattern. For a deeper understanding of that you would have to understand the BARC system. We can obviously help you with that. That's not a problem but it's something we can take offline. Mahesh you can probably do that and maybe introduce him to somebody at BARC who can show him how these things happen.

Mahesh Pratap Singh: Sure.

Vivekanand: Just Rohit to your point on Siti there were two sets of issues, one was the DSRA guarantee and the other one was the receivable. In total how much of the past receivables and guarantees outstanding to Siti are unprovided for? We made certain provisions this quarter I understand, but how much is left to provide?

Rohit Gupta: As far as Siti is concerned to the extent what our DSRA guarantee was given to that extent the entire amount has been provided for so there is nothing which is pending there. As far as receivable is concerned like I mentioned we had taken a provision and it is mentioned in the notes to account as well about 199 crores provision we had taken on the opening side. After that we have been only on cash-and-carry and therefore as collections come, we recognize revenue. There is no outstanding from Siti, its zero.

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Moderator: The next question is from the line of Arun Prasad from Spark Capital.

Arun Prasad: Punit, I was asking about the subscription revenue decline. Even after adjusting for the growth in ZEE5 revenue on YOY basis there is a large decline on the linear TV. Is it indication that cord-cutting is accelerating in India? That means if more and more people are not subscribing to our channels and this is probably the industry wide phenomenon, is it also the reach is also getting affected because of this and again that will have a bearing upon the ad revenue growth?

Punit Goenka: So, if you look at the reach for the last three quarters has been pretty stable. There was a marginal dip four quarters back. Therefore, we cannot attribute this to any cord-cutting. It is basically lesser consumption that's taking place which means time spend is lower. People are not able to spend time in front of the television set and the reason we have attributed to that, is the majority power cuts that were witnessed in several cities and states of the country during the heat wave as well as the

whole

power supply shortage.

Arun Prasad: Do you expect this to be bounce back in couple of quarters?

Punit Goenka: Certainly. I don't see any reason why to people will not change their habits just because of one quarter's non-availability of TV.

Arun Prasad: My second question on this FTA withdrawal. Although this is coinciding with the lower spend from FMCG side on hindsight it looks like we could have timed it better but at what point of time in the future you will re-evaluate your decision on this withdrawal and probably try to re-enter this market? Or is it like a done case when it comes to

rethinking about entering into the segment again?

Punit Goenka: I think we have to give it a patient test of the trial whether the Pay TV market comes back or not I don't know; you may have seen already a lot of DTH operators have slashed their entry prices by anywhere between Rs. 50 to Rs. 75. We do believe that this should see a revival in the Pay TV households again. But we'll have to be patient and if we realize that is not the case then we will re-evaluate whether to go back in the FTA space and in what way to go back in the FTA space. It does not have to be just re-runs of our existing shows. We may have another strategy there.

Arun Prasad: My last question is on the IPL. The overall ecosystem level, today IPL is three times bigger than the last previous cycle in terms of media rights and also in one way or Q1FY23 Earnings Call Transcript August 12, 2022

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another way India as a whole, Indian audience as a whole has to shell out three times more either in terms of advertisement or subscription revenue. And we as a company are not present on both. How we are going to mitigate this? Probably at some point of time the advertisers may say I don't have a budget to spend on the non-sports or I had to reduce my budget on the non-sports content. It may not happen immediately but third or fourth or fifth year this may happen. How we are going to mitigate this? Any thoughts on this?

Punit Goenka: Firstly, just a minor addition to what you said, Arun that IPL cost went up by three times not necessary that you have to pay three times. That's your choice and the advertiser's choice whether they wish to pay 3X over what they paid over the last 5-year cycle or not. Secondly my viewpoint is yes, the sports ad-pie is increasing in the country. It is already close to 25% to 30% and that's why if you remember or you may recall from the earlier calls, I had stated that we want to re-enter the sports business because that's the crucial genre and segment that we have to be present in. As far as the advertisers thinking that because they have to shell out more money on IPL, they would not have money for spending on non-sports channels. Very difficult for me to understand that how can an advertiser advertise for 60 days and then for the rest of the year not advertise at all? At the end of the day, they are in the business of selling product every month, every day and therefore the advertising function is also of every day and every month.

Arun Prasad: Basically, what you are saying is that overall advertisement spend from the company has to be increased, is that understanding right? Or the IPL bidders have to take some loss. something like that?

Punit Goenka: Well, I mean that, I don't know what their strategy will be but that's for the advertiser to decide what they want to do.

Moderator: The next question is from the line of Aditya Chandrashekar from UBS.

Aditya Chandrashekar: A couple of questions from my side. Firstly, on the viewership share on the linear side. Even if you adjust for this FTA removal it's stayed at around 17%-17.1% right? So just wanted to understand more specifics on what you're doing to increase this and what will it take to get it back to an 18%-18.5%? Which markets you'll have to target?

What

kind of content are we losing out on etc. So that's my first question. Second question if you could just comment on these inflationary pressures, we saw in Q1, how are things on the ground now in Q2 so obviously commodity prices have cooled off etc.

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Are we seeing a better ad spend and more ad investments from the FMCG companies in Q2? Just wanted to understand that.

Punit Goenka: On the market share side, the only way to get it back is to do better content that is far more engaging with the viewers and we are focused on the markets of the flagship Hindi, Marathi and Tamil. These are the three areas where we are completely focusing on. In terms of kind of content, as you know the obvious mix is still soap operas dominate the content on these GEC channels of course sprinkled with some garnishing of the non-fiction shows and we will continue the same route. On the inflationary pressures because Q2 has just started, we have seen some amount of positivity but nothing that gives me a trend that the worst is behind us. I think we have to still wait and watch for a few more months. We will be better able to guide you in the next quarter.

Moderator: The next question is from the line of Vivekanand from Ambit Capital.

Vivekanand: Would it be possible for you to explain to us how the inventory, the duration of the inventory in terms of movies? I mean obviously we know the amortization policy is 5 years for movies and less for other content. So, at an aggregate movie shows and content inventory, is it possible to quantify in terms of how much, what is the duration of that? That's question one. Secondly in terms of the music business you

put out a slide on that. Can you talk a little more on that? What kind of revenue growths there? What kind of monetization schemes you are seeing there and give us an update there?

Punit Goenka: The average age of the inventory will be difficult for us to give you right away but I am sure Mahesh can share with you offline. The music business is seeing good growth.

Do we have the numbers? The growth numbers on the music company?

Mahesh Pratap Singh: Let us check that. We have our video views growth, but revenue growth, we don't share.

Punit Goenka: Vivekanand you can take off-line with Mahesh please. We don't have the numbers here right now. We have the growth number in terms of the video metrics, but the revenue is something we don't share.

Vivekanand: Sure. Okay, I will take this offline.

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Moderator: Thank you. Ladies and gentlemen as there are no further questions from the participant, I now hand the conference over to Mr. Mahesh Pratap Singh for closing comments. Over to you sir.

Mahesh Pratap Singh: Thanks Steven. Thanks everyone for joining us today on our earnings call. We hope all your questions were answered. If there are any further questions, please feel free to reach out to us. Thanks, and looking forward to speaking with you next quarter.

Have a great evening and great weekend. Thank you.

Punit Goenka: Wish you all a Happy Independence Day.

Moderator: Thank you. Ladies and gentlemen on behalf of Zee Entertainment Enterprises Limited that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

*Disclaimer: This is a transcription and may contain transcription or contextual errors or edits. The Company takes no responsibility of such errors, although an effort has been made to ensure contextual accuracy and correct any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking

Call: Nov 2022

November 17, 2022

The Listing Department
BSE Limited Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Conference Call with Investors

This has reference to our intimation dated November 11, 2022, informing that the audio recording of the Conference Call with Investors, to discuss the Company's performance for the Quarter ended September 30, 2022, is uploaded on the website of the Company. Please find enclosed the transcript of the above conference call held on November 11, 2022.

The said transcript has also been uploaded on the Company's website www.zee.com.

The above is for your information and record.

Thanking you, Yours faithfully, For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary FCS6669

Encl: As above

Zee Entertainment Enterprises Limited
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Q2 FY23 Earnings Conference Call
November 11, 2022

Transcript

MANAGEMENT:
Mr. Punit Goenka – Managing Director and CEO
Mr. Rohit Gupta – Chief Financial Officer
Mr. Mahesh Pratap Singh – Head Investor Relations

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q2 FY23 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh – Head of Investor Relations. Thank you and over to you, Sir!

Mahesh Pratap Singh: Thank you, Tanvi. Hello, everyone and welcome to our Q2 FY23 Earnings discussion. We have with us today our Managing Director and CEO Mr. Punit Goenka along with the senior management team.

We will start with opening remarks from Mr. Goenka followed by commentary on operating and financial performance by Mr. Rohit Gupta, our Chief Financial Officer.

We will subsequently take some of your questions during the Q&A session.

Before we get started, I would like to remind everyone that some of the statements made or discussed

on today's call will be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly.

With that I will now hand the call over to Mr. Goenka for his opening remarks.

Punit Goenka: Thank you Mahesh. Good evening, everyone. I hope all of you are keeping well. Thank you for taking the time out this evening to interact with me and my team members on the performance in the second quarter of the financial year 2022-23.

As you would have noted the underlying impact of the macroeconomic headwind across the industry continued to spill over in the second quarter of the fiscal. That said, we have been able to moderately grow our advertising revenues sequentially in the second quarter on the back of our network share gain and focused efforts from our Ad sales team. We remain hopeful of a steady recovery in the advertising environment during the second half of the fiscal given some of the green shoots due to a good monsoon and the onset of the festive season. We are utilizing this period to further strengthen the resilience and fundamentals of our business across all aspects. Our focused efforts and investments in content and user experience enhancements are displaying positive results.

I would also like to quickly apprise you on the progress of the proposed merger with Sony now called Culver Max Entertainment Private Limited. We have recently received an approval from the Competition Commission of India in communication dated 4th October 2022 and its subsequent order. The Company also conducted a meeting of its equity shareholders on 14th October 2022 to seek approval on the composite scheme of arrangements in line with the order of the National Company Law Tribunal. We have received an overwhelming support for the proposed merger.

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with 99.99% of the equity shareholders who participated in the process, voting in favor of the scheme. We are steadily moving forward with other legal and regulatory approvals required for completion of the merger as per law.

Coming back to the company's performance during the second quarter; in addition to strengthening our current offerings, we are also consistently identifying newer growth opportunities for sustained value creation. We took yet another firm step in this direction by sharpening our strategic vision to build the sports business for the company. The strategic Licensing agreement into Disney Star makes Zee the exclusive TV destination for all ICC events starting 2024. Going forward all our investment decisions to make the sport segment a compelling value proposition for the company will continue to be taken with a prudent approach. Our energies remain focused on

enhancing the performance across platforms through compelling content offerings and delivering a robust user experience. For instance, our linear viewership share has increased QoQ and our key markets like Hindi and Tamil are showcasing an improvement in their performance.

On the digital front ZEE5 continues to pose healthy growth across all usage and engagement metrics, reflecting the successes of our focused investment towards enhancing the proposition of the platform. Going forward we remain cautiously optimistic about the overall advertising sentiment gradually recovering through the second half of the fiscal which will further aid revenue growth. On that note I will hand over the session to our CFO – Rohit Gupta, to take you through the finer details. I look forward to interacting with you during the Q &A. Thank you, over to you Rohit.

Rohit Gupta: Thank you Punit. Welcome everyone. I hope you had the opportunity to review our Q2 FY23 results which have been uploaded on ours as well as website of stock

exchange s. I'll focus my remarks on providing more context to our Q2 FY23 financial performance and our outlook for H2.

Given the weak macroeconomic environment and its implications on our operating context, we are pleased with our Q2 FY23 performance which showed sequential improvement from previous quarter and underscores our team's ability to adapt and execute through challenging times. It is also important to note that we have continued to make room for investments in strategic areas through this phase and are confident of emerging as a much stronger business with marked improvement in underlying health and competitive advantage in our key businesses.

Let me briefly talk about these lead indicators fueling our enthusiasm with respect to our business trajectory. Firstly, on linear business, we have gained 30 bps network viewership share in Q2 FY23 and continue to be India's strong #2 TV entertainment network. In our assessment our QoQ viewership gain during Q2 FY23 is ahead of every other TV network in the country, reflecting results of our focused effort to gain network share. Specifically talking about three key channels which we're going through a lean patch, in Zee TV we have now seen consistent performance in viewership share over the last few quarters. Zee Tamil has turned the corner in Q2 FY23 with share gain and we expect to maintain that momentum while Zee Marathi Q2 FY23 Earnings Call Transcript November 11, 2022

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is still in the process of rebuilding with series of launches and interventions planned throughout FY23 in order to stabilize and regain our network share.

On the digital side; ZEE5 is continuing to gain healthy traction in usage, stickiness and engagement metrics. Our Q2 FY23 DAUs are the highest ever, original content is being well received and ZEE5 app user experience has been significantly improved with ZEE5 becoming highest rated OTT app on both iOS and Android. ZEE5 iOS app ratings have gone up from 3.9 in early April to 4.8 levels now. Android app rating has gone up from 3.7 to 4.6 for the same period. All of these are strong affirmation of our investments in content, technology, and marketing. ZEE5 has clocked a revenue growth of 28% YoY during Q2 FY23, reflecting healthy traction and adoption.

Now specifically coming to the financial performance; total revenues for Q2 FY23 are up 10% QoQ and 2.5% YoY aided by growth in Ad revenues, subscription revenues and other sales and services. Our Ad revenues for the quarter grew at a healthy rate of 4% QoQ but are lower by 7% YoY. On year-on-year Ad revenues, in addition to the macroeconomic factors, previous year Q2 had higher base due to strong spending coming out of COVID and Zee Anmol FTA Ad revenue, which we withdrew from 1st April 2022. While macro-economic environment in Q2 remained challenging, our QoQ growth was a result of network share gain and focused effort from our Ad sales team on garnering higher shares from active spending categories, solution led deals and other levers such as right client mix to minimize the impact through this phase. We are cautiously optimistic for Ad spending to revive in the second half of the year as demand picks up with the onset of festive season.

Subscription revenues for the quarter grew by 7% YoY and 4% QoQ. Q2 FY23 subscription revenues were aided by catch-up revenue from the previous quarter in linear business and underlying organic growth in Music and ZEE5. From TV subscription revenue outlook perspective in September 2022, TRAI has again extended the deadline for implementation of NTO 2.0 to 28th February, 2023. In the absence of a clear way ahead of NTO 2.0, near term outlook for subscription growth remains uncertain and muted. We will continue to monitor NTO 2.0 guidelines and will be prepared to implement

nt the same for improved longer term revenue outcome.

There is also a temporary issue with collection and recognition of our subscription revenues from Siti, pending a legal proceeding. Zee Music company saw 65% YoY growth in video views highlighting the strength of ZMC Music catalog and library. The YouTube subscriber base of ZMC increased to 89 million from 78 million in last 12 months. ZMC continues to be #2 music channel and has very young and new age catalog with very high consumption. This quarter we have also reassessed the useful life of music content, looking at our own revenue profile and catalog usage, as well as benchmarking the useful life with global and domestic peers. Our current definition of useful life of music which until now was 3 years as per management assessment. Based on the outcome of reassessment and benchmarking process, we have now revised the useful life of the music content to 10 years. The total impact of the change of useful life of music asset was positive Rs 32 crores on EBITDA. On a recurring basis impact is not going to be that material as our music inventory and fresh music acquisition is relatively small compared to the overall inventory and investment. This Q2 FY23 Earnings Call Transcript November 11, 2022

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reassessment aligns on how music is currently being monetized on a much longer life with more predictable annuity revenue streams.

Coming to the movie business, during the quarter Zee Studios released 10 movies - 4 Hindi and 6 regionals. Aided by these theatrical releases and other syndication deals, Q2 FY23 other sales and services were up 92% YoY. While there has been a good pickup in revenues from theatrical and movies, content performance of movies generally has been softer than expected and this has caused a drag on margins. During the quarter we have seen inventory increase QoQ mainly due to movies acquired for linear and digital business. Our content inventory and advances stood at Rs 78.9 billion in Q2 FY23 and the majority of this pertains to movies. In H2 we have a strong pipeline of movies under different stages of production.

Switching gears on cost and profitability; during Q2 FY23 our EBITDA margins came in at 14.7%; QoQ improving by 110 bps but still lower by 610 bps YoY. We continue to be focused on optimizing costs across the businesses and are hopeful that when the macroeconomic environment and Ad spends improve our margins will recover from these levels. ZEE5 EBITDA losses for the quarter stand at Rs. 2,769 million. Losses were high YoY and QoQ as we continue to invest in our ZEE5 value proposition in line with our investment strategy.

Also quickly touching upon receivables from Dish and Siti. As you will recall we had agreed a payment plan with Dish and we have continued to collect as per that schedule receiving current collection along with receiving a part of the old outstanding. This outstanding has substantially reduced from Rs 5.8 billion as on March '20 to Rs 1.5 billion in September '22. On Siti, as we had mentioned earlier, we have been recognizing revenues to the extent of collection on a conservative basis. On account of a pending legal proceeding amounts aggregating to Rs. 525 million are yet to be collected and accounted for. PAT for the quarter came in at Rs 1,128 million. The cash and treasury investments of the company as of September '22 stood at Rs. 9.0 billion. The cash and treasury investments include cash and bank balance of Rs 3.1 billion, fixed deposit of Rs 5.7 billion and NCDs worth Rs 255 million. To sum up; Q2 has shown some sequential improvement in challenging backdrop which is encouraging. However, we still have a lot of ground to cover and expect our financial performance to gradually improve in H2. Growth revival is our key focus and Q3 will see recovery from Q2 level.

vels given the festive seasonality. However, key factor we are watching is how sustained and strong that underlying macro recovery is beyond just festive seasonality. We will provide you more color when we speak during Q3 earnings. Back to you Mahesh.

Mahesh Pratap Singh: Thank you Rohit. We'll now proceed for the Q&A session. I would request the moderator to take the discussion forward.

Moderator: Thank you very much. We will now begin with the Question-and-Answer Session. We will take the first question from the line of Vivekanand S from Ambit Private Limited. Please go ahead.

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Vivekanand S: Thank you for the opportunity, I have two questions on the merger, so one is if you can provide an update on the timelines of merger completion. A related point is with respect to the number of days that your share will remain delisted that's point one. Once the merger approvals are in place how many days will the share be de-listed, do you have clarity on that? The related question in this context is have you engaged

with your institutional shareholders who have to report, they report their mark-to-market on a daily basis. So, what's the status from their compliance teams to understand whether they will be able to hold on to the shares comfortably and how does it work from their reporting perspective?

Punit Goenka: So, for the timelines of the merger completion, we are working with a target that it should be completed within this financial year. As you would know this is something that we are grappling with on a daily basis because this regulatory approval is required, we can't give you one final date. Number of days for delisting or company remaining delisted. Our expectation is it will be about five to six weeks. And engagement with the institutional shareholders, Mahesh.

Mahesh Pratap Singh: At this stage Vivek, we haven't had specific concerns or feedback on the timeline. Of course, as things progress, we will continue to remain engaged and we'll continue to articulate this. But at this stage there's not anything which we've gathered which is overly significant to talk about.

Moderator: The next question is from the line of Abneesh Roy from the Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: My question is on ZEE5. One part is on the significant improvement in rating in both Android and iOS. What does this translate in terms of impact on revenue or subscriber base? It's good to see that number but isn't content the most important thing?

Second bit is, last year the quarterly loss run rate was more like Rs 190-200 crores. Now this quarter is around Rs 276 crore. So is this the number we should build for the balance two quarters also in terms of loss?

Punit Goenka: Yes, the improvement in ratings what it does is that it gives you immediate downloadability of the app. When a consumer comes and sees a rating of below 4, the likelihood of him downloading the app is low and therefore that is the first hurdle that you can cross. Of course, after that content is the most important thing for the consumer to convert from just the download to actually becoming a subscriber. But ratings on the app store is very important and crucial. And on the run rate of the loss, for the current year yes, that's what you should factor in. But obviously post this next year we expect it to plateau and then come down.

Mahesh Pratap Singh: Also, just to add on the content rating as well. When you look at and I think both Rohit and P G alluded to it, lot of our recent shows' content performance is also been very healthy when you look at on ZEE5 something like Saas Bahu Achaar or something like Rangbazz or Tripling. So there is equal recognition and validation of content as well when you look at the ratings

on third party rating websites as well.

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Abneesh Roy: My second question is on the viewership ratings. Good to see finally it's turning around and 30 bps is a reasonable start. But still versus pre-COVID there's still a lot of gap available. So wanted to understand on the Tamil and Hindi, now are you family confident or are these very initial days so we need to wait a bit more. You also mentioned on Marathi it is still WIP. If you could tell us what has done well in Tamil and Hindi, is that possible to replicate in Marathi to reverse there also?

Punit Goenka: Both in Tamil and Hindi it is basically implementation and picking the right shows, that have worked for it. In Hindi particularly both fiction and non-fiction have done well for us. Tamil is still largely fiction driven and we are pretty confident that these will now continue to grow from here. They are stabilized at this level and now we should see more growth coming. In Marathi as I mentioned in the earlier calls also Abneesh, it was an implementation issue and a team issue. A new team has been put in place about a quarter back. They are working on the plans for getting the turnaround happen in Marathi also. I'm quite hopeful that in the next couple of quarters we'll see something turn around there.

Abneesh Roy: One follow up was on the NTO 2.0 in your opening remark, so that has kept on getting delayed. What was the reason for the delay this time? And industry is quite capable of putting forth its viewpoint being the fourth estate. Why we are not seeing any success, any resolution here either way? So when can we see this getting normalized because then only you can start thinking of normalcy and growth in this part of the business?

Punit Goenka: NTO reason for delay, I don't know what TRAI was planning to do but as I understand it from informal sources that they were trying to build consensus amongst all the stakeholders. As you will understand, consensus in this industry between broadcasters, cable operators and DPOs is not easy to build. I think that is largely the reason for delay. My view is that they are finished with all the discussions and everything. We should see the NTO guidelines come out anytime now. As Rohit mentioned that 28th February is the deadline they have kept but I'm quite confident

that they will not miss this deadline.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas . Please go ahead.

Kunal Vora: My first question is on the ICC event 's rights. Can you talk about the amount you'll be paying and the returns that you expect and which channels the content will be broadcasted on? Also , the cash which the Mergeco will have , what's the plan to deploy that?

Punit Goenka: So, ICC the amount is confidential. We are not in a position to declare it right now . But as and when we have the clearance of ICC , we will share that with you. If the merger happens Kunal, then you know that you will have a formidable sports network in the mergeco and there's no reason why we would not use that as the platform. In the unlikely event that the merger does not take place we will have to launch sports channel .

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Kunal Vora : My second question is on inventory. We have seen a further increase in the first half. It's gone beyond Rs 7,000 crores . At what level does it stabilize ? When do you expected to start moderating and also in terms of accounting policies on the inventory , have you engaged with Sony and are there any differences in the inventory accounting? Is there a possibility that you might have to write it down at some stage ?

Rohit Gupta: The inventory increase, like I said in my opening remarks primarily is

on account of the movies that have been added during the quarter. So, number of movies have been added and the monetization is going to take place now . To your question whether the levels will remain . I think for at least couple of quarters yes, we will have to invest into digital content but like I have said earlier also we want to actually have the inventory additions only to the extent that we amortize so that the inventory actually stabilizes at a certain point .

Punit Goenka: On the accounting policy with Sony, I can confirm that there are differences and the differences are largely on the movie side. KP MG that is doing the entire work for Sony and Zee is engaged on that exercise as we speak. Closer to the merger getting completed we will come back to you as to what will be the quantum of that value.

Kunal Vora: On ZEE5 your costs have increased almost 50% YoY. What has been the main area of investment and how should we look at the cost increase going forward?

Punit Goenka: There are only three areas of major increases in ZEE5. This is basically technology , content and marketing.

Kunal Vora: Yes, but what kind of increase should we expect going forward because while the revenue is increasing , the cost is increasing at even higher pace. When do we start to see cost stabilize and revenue continue to move up driving improvement in performance?

Punit Goenka: As I stated on my earlier question that I answered that for next couple of quarters the loss level will be where it is at Q2. After that it will plateau for some time and then you'll start to see it falling.

Moderator : The next question is from the line of Sanjesh Jain from ICICI Securities . Please go ahead.

Sanjesh Jain: First from the Ad revenue , just wanted to understand now that this time the festive season was early and we had a positive rating improvement as well . I understand the headwinds from not having the FTA channel but I thought that the tailwinds from these two were much even stronger and despite that there was a decline on a YoY basis ; do you still think that the sentiments are weak enough and how should we see them for the H 2 because I think some part of the festive season already started in the Q2 itself ?

Punit Goenka: You are right Sanjesh. The sentiments were still weak in Q2 and this is largely driven on the back of the CPG or the FMCG companies taking a hit on their volumes because of the pricing of the input costs. So, therefore it was a weak in the Q 2 itself. Yes, you're

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right the Q 3 started off very well with October months being good but there are headwinds again that we are seeing in the month of November et c.

Sanjesh Jain: And this overall scheme of things , do you think we will have a flattish this year in terms of advertisement revenue?

Punit Goenka: I think we will see some marginal growth Sanjesh in this year.

Sanjesh Jain: Second on the capital allocation towards movie . Till now at least Hindi movies are not performing very well and we also mentioned in our initial remark that movie are dragging a bit on the margin. Are we rethinking our capital allocation towards movie?

What 's thought process there?

Punit Goenka: We are re-thinking or re -studying our movie portfolio strategy and maybe re-jig the

capital allocation within that. So, instead of spending a lot more on let 's say Hindi for example do we want to spend a little bit more on the regional languages which are doing much better than the Hindi side but will we completely look at reducing capital allocation to movies. No that 's not in the thought process.

Sanjesh Jain: Correlating it with the inventory . I thought we were investing a lot more in the movies so we have to buy lesser movies from the market but our movie inventory within the inventory conti

nues to rise. So how should we see this? The movies which we are making, and it is buying so much of movies from the market , it's more to feed the digital or it is to fuel the rating. What 's driving that kind of investment in the inventory as well ?

Punit Goenka: It's predominantly digital Sanjesh . If you look at the last quarter on the ZEE5 platform we released almost 60 films across languages so that is the animal that you have to feed and that 's what is driving the movie inventory.

Sanjesh Jain: A&P spend rise this quarter sequentially also is because of the movie launches we have done or what 's driving that cost line item ?

Punit Goenka: Yes, you are absolutely right. It is the movies that is driving that line item .

Moderator : The next question is from the line of Abhishek Kumar from JM Financials . Please go ahead.

Abhishek Kumar: Actually, most of the questions have been answered , a couple of more. So, one on ZEE5. I think we have taken a price hike last quarter if I am not wrong . So, how much of the growth can be attributed to price increase and how much of it is actually user that is question number one and second on music , I think in your opening remarks Rohit mentioned that Rs 32 crores is an impact on EBITDA. I just wanted to understand a bit more. Is it a change in amortization because if that is the case then probably incrementally also, we will have some impact and if we take that out , looks like on a QoQ basis also the margin is flat. How should we look at the margin going forward for the second half and probably if you can give a direction of when can we go back to normalized levels going forward ?

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Punit Goenka: The ZEE5 price hike the attribution of growth to that is min iscule Abhishek because we account for the revenue on a realized basis not on receipt basis. Even if you take a Rs. 100 price hike that will be attributable very limited on a 1-month basis.

Therefore, the growth on the ZEE5 subscription is pretty much is coming on the back of new subscribers. I will take the last one but then music I will tell Rohit to answer. So, on the margins I think this year we should not expect any normalization of margins like we used to have at 24 %-25% level s. This year will be subdued in terms of margins. Because unlike last year where when the margins came under pressure, we significantly cut costs and that has further impacted revival of our channel 's market share. This year we have consciously taken a decision not to cut the cost down to the bone and leave some meat on so that we have a healthy entry into the next year when the things are more normal .

Rohit Gupta: Abhishek o n the music like I mentioned in my opening remark we were actually estimating and amortizing the music inventory in 3 years and like how we re -assess all our investments periodically , we have also re -assessed music. We have benchmark ed with various Indian companies and global companies and we've seen that most of them are actually the amortization happens between 10 to 25 years and therefore we have change d this from 3 years to 10 years. The impact of that one -time impact in this quarter is Rs 32 crores . There will be some impact , but of course it will not be that substantial in the coming quarters.

Abhishek Kumar: What is this exceptional item in the P &L?

Rohit Gupta: The exceptional item has two components to it. One is the continuing provisions that we make for the DSRA guarantee that has been given for Siti. Whatever the amount becomes due every quarter we continue to provide for it and then disclose it every quarter in our quarterly accounts, so Rs 16 crores is that and then secondly to obviously give the right disclosure whatever merger related expenses are there that also we account fo

r separately and show it as exceptional items.

Moderator : The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited . Please go ahead.

Jinesh Joshi: I have a question on the FTA withdrawal side . I thought t his was the second quarter post FTA withdrawal. Can you highlight where are we in terms of revenue improvement especially on the subscription side ? Also given that this was an F TA channel , pricing would have been lower as content will not be as fresh ? Does this type

of content find any acceptance on the pay TV side? I just thought of asking this because I mean Ad revenue loss from FTA is also one of the reasons as to why our overall EBITDA margins have been slightly lower over the last few quarters? Your thoughts on that.

Punit Goenka: The FTA channels that we were running they were running reruns of our pay channels and because the FTA universe doesn't get the pay channels, for them it was like fresh content. The moment we just put this content on the pay ecosystem the audience has already seen it or it's dated. It's dated by almost a year. Therefore, it's not finding any traction there and therefore I don't think that would have had any impact on that

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side. You're right that a large part of the FTA revenue flows directly down to the bottom line and has an impact on our EBITDA.

Jinesh Joshi: So, in case if we are not able to find the improvement on the subscription side what could have been the reason of withdrawing it from the FTA as such?

Punit Goenka: Jinesh if you will plot the subscription, subscriber numbers for the DTH industry over the last 2 years, you will see the rapid fall that they have witnessed. It has gone from 58 some million subscribers down to 53 odd million subscribers. This was the sole reason for us to withdraw because we were seeing a lot of the DTH subscribers migrate to DD Free Dish.

Jinesh Joshi: I just need one small clarification. I think this was explained previously as well. This is with respect to these Rs 32 crores of EBITDA bump up which we have seen in this quarter due to change in the accounting policy from 3 years to 10 years. If you can just highlight the reason behind it because earlier if it was 3 years the revenue and cost apportionment happened over that time frame and now it will happen over a 10-year timeframe so how does this actually lead to a bump in EBITDA?

Rohit Gupta: So, I just actually responded to this query before. Let me repeat it Jinesh. Like I said for the music investments and the songs that we acquire, you were actually amortizing them over 3 years and when we have benchmarked this with all other players and also seeing the revenue profile and how the revenue accrues, we realized that 3 years is actually not the right time frame and therefore we have now changed it to 10 years. Because there is an opening inventory so there is a one-time impact that we have of Rs 32 crores in this quarter and that's why this has been disbursed. Going forward the impact because we do not add that much music inventory as compared to our other movies and so on the impact will be much lower.

Punit Goenka: Jinesh and also the fact that because we were new entrants into the music business, we did not know what the global practices were. This was then discussed with our auditors. They did extensive exercise and told us that the natural amortization for music is between 10 to 25 years. We have taken the lower of what the global standard is.

Jinesh Joshi: Basically, to sum it up inventory adjustment has led to this EBITDA bump, right?

Rohit Gupta: Yes, you can say that.

Moderator: The next question is from the line of Aditya Chandrasekar from UBS. Please go ahead.

Aditya Chandrasekar: On the subscription side after we withdrew from FTA, have we seen a reduction in

churn as in, in terms of users moving from pay TV to FTA not necessarily for Zee but for the industry as a whole since all broadcasters have kind of pulled out of FTA? And a related question so we have a 7% QoQ increase in subscription revenue so is that mostly coming from digital or has linear side also grown a little bit?

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Punit Goenka: No, the significant or maximum part of it is coming from digital. Linear is not shown any growth. What we have seen on your first question on the reduction in churn; absolutely the churn has been reduced. The subscriber base is now stable at the 53+ mark. In fact, in September if I remember I saw 53.8 so it's a healthy sign. We were hoping it will increase but that is not translated yet. The industry is going to wait and watch before we take a decision what way we want to go.

Aditya Chandrasekar: One more question. I dropped off for a few minutes so I missed it. How many days will the stock be de-listed for in the merger process?

Punit Goenka: 5 to 6 weeks.

Aditya Chandrasekar: 5 to 6 weeks?

Punit Goenka: That's the SEBI norm. I'm just quoting what is in the policy.

Moderator: The next question is from the line of Arun Prasad from Spark Capital. Please go ahead.

Arun Prasad: Punit, my first question is on synergy, I'm sure you have touched upon this many times quantitatively but qualitatively what is the pulse you are getting from your

distribution partners or advertisement agencies and advertisers? Can you give some update on that qualitatively and which are those areas we will be prioritizing over a period?

Punit Goenka: Arun, it will be largely revenue driven and we are expecting about 6% odd synergy benefit of Zee revenues, Zee alone revenues and if you were to look at on a combined basis it will be between 3% and 4% of the combined merged company's revenues. The areas, obviously the most lucrative area is the advertising pie, and based on how the new NTO shapes up and how we bring the two bouquets together will determine whether even in a subscription we can see a bump up. But right now, we have not factored that in. This is largely driven from the international markets or the digital business and the advertising part.

Arun Prasad: On advertising it is more on the yield side or the inventory filling. How we should look at it because?

Punit Goenka: Combination of both.

Arun Prasad: My second question is on the movie production in line with the previous participant's question. I'm sure that it's a contentious position because it's always build versus acquire but unlike other markets in India, we don't have that much dependence on the Hollywood, and we have no dearth of companies that are producing movies in this country. Wouldn't it make more sense to buy rights, post the theatrical release so that we only pay for the content that is liked by the audience at large and how we should look at it? Quality versus quantity balance isn't it more towards quality and how it does impact it so far, your acquisitions and user acquisition at Zee and Zee5?

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Punit Goenka: Unfortunately, the industry doesn't work that way because these movies get sold even during production and if we were to wait for the film to be released in theater and then take the chance of buying the film there is a risk to that as well. So therefore, the industry is behaving in the manner that it does. Therefore, we have to participate and play the game as per the industry and our view is that we would also like to continue to build and buy as little as possible. At times that's not possible but we are working on that strategy.

Arun Prasad

H: So, what will change this scenario? What will make you revisit this movie production business? Because a lot of capital seems to be getting locked in this business and it is also dilutive in terms of margin?

Punit Goenka: It will be dilutive to margin we knew always. That is not the factor which will make us decide whether to be in this business or not. I think what we will decide is what kind of films do we want to participate in and what kind of language and what is our capital allocation to languages based on how the box office is performing market-by-market.

That is what will help us in realigning or rethinking our portfolio approach.

Moderator: The next question is from the line of Himanshu from Dolat Capital. Please go ahead.

Himanshu: Can you just let us know the contribution of three channels that we will let go of as part of merger? Their contribution to our current viewership share and Ad revenue?

Punit Goenka: The Ad revenue part I cannot share. It is a bit confidential in nature. As you would understand that we have to still go and divest these channels. The viewership share is about 1% All India level.

Moderator: Thank you. That was the last question for today. I now hand the conference over to Mr. Mahesh Pratap Singh for closing comments.

Mahesh Pratap Singh: Thank you Tanvi. Thank you everyone for your interest and thanks for joining us today. We hope all your questions were answered. Should you have any further clarification or questions feel free to reach out to us. Thanks again and look forward to speaking with you post our Q3 earnings.

Moderator: Thank you very much. On behalf of Zee Entertainment Enterprises Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

February 17, 2023

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Conference Call with Investors

This has reference to our intimation dated February 13, 2023, informing that the audio recording of the Conference Call with Investors, to discuss the Company's performance for the Quarter ended December 31, 2022, is uploaded on the website of the Company.

Please find enclosed the transcript of the above conference call held on February 13, 2023.

The said transcript has also been uploaded on the Company's website www.zee.com.

The above is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

Zee Entertainment Enterprises Limited
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Q3 FY23 Earnings Conference Call
February 13, 2023

Transcript

MANAGEMENT:

Mr. Punit Goenka – Managing Director and CEO
Mr. Rohit Gupta – Chief Financial Officer
Mr. Mahesh Pratap Singh – Head Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh, Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Mahesh Pratap Singh: Thank you, Yashasvi. Hi, everyone. Welcome to our Q3 FY '23 earnings discussion. We have with us today our Managing Director and CEO, Mr. Punit Goenka, along with senior management team. We will start with opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Rohit Gupta, our Chief Financial Officer.

We'll subsequently open the floor for Q&A session. Before we get started, I'd like to remind everyone that some of the statements made or discussed on today's conference call will

be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly.

With that, I now hand the call over to Mr. Goenka for his opening remarks.

Punit Goenka: Thank you, Mahesh. Good evening, everyone. I hope all of you are doing well, and I'm glad to connect with you all this evening. As always, I will share a brief outline on the company's performance indicators, post which our CFO, Rohit Gupta, will take you through the financial and operating metrics in detail.

Before we begin, I would like to apprise you on the progress of the proposed merger between Zee and Sony. As you are aware, we have received approvals from the stock exchanges, Competition Commission of India and the company's equity shareholders. The teams at both ends are focused on completing all the required legal and regulatory processes mandated as per law. Our focus remains on concluding these processes in the most appropriate and timely manner, and we stay committed to building a value-generating institution for all our stakeholders.

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Speaking about the industry at large during the third quarter, the M&A sector continued to display immense potential and several growth opportunities across key segments. Keeping pace with this momentum, the company has also continued to make good progress with healthy growth in the digital business and share gains in some of the key channels during the quarter. This mirrors the success of the team's concerted efforts to strengthen our offering across markets, and we continue to maintain sharp focus on delivering a robust content slate to consumers.

Our recent re-entry in the sports business with the inaugural addition of the IL T20 has augured well for the company and has drawn a positive initial response from the viewers and advertisers alike. We aim to further build onto this momentum and elevate audience excitement, viewership and economic muscle for the sports

business. Even as the structural growth scenario appears positive in the mid - to long term, we remain cautiously optimistic on the near -term advertising revenue outlook. The overall sentiment continued to be soft this quarter as well, which has resulted in muted advertising revenue growth across the sector. While the macroeconomic environment and inflationary headwinds are gradually easing, key brands and advertisers across categories restrained their spending.

Given the fact that we have relatively high exposure to FMCG advertisers and Tier 2, Tier 3 audiences, our advertising revenue sensitivity to rural demand and consumption is more pronounced. We remain hopeful that the steps announced by the Honourable Finance Minister in the budget 2023 will spur broad-based demand and lead to a quicker recovery in the overall ad environment.

On the subscription front, the long standstill on the new tariff order has been impeding growth and impacting our profitability. That said, NTO 3.0 being implemented from 1st February 2023, we look forward to driving subscription revenues growth post implementation in the most effective manner. At Zee, we continue to focus our energies on building a future-ready portfolio, which is well poised and diversified to capitalize on the opportunities as the overall market sentiments improve.

On that note, I would like to hand over the session to Rohit to share finer details on the company's performance during the quarter. I look forward to interacting with you all during the Q&A session. Thank you. Over to you, Rohit.

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Rohit Gupta: Thank you, Punit. Hello, everyone, and welcome to our Q3 FY '23 earnings call. I will briefly touch upon financial performance and outlook. Starting from an operating environment perspective, we

continue to see curtailed ad spending by FMCG brands during the quarter. While October did see a very brief pickup due to festive season, subsequently, spends have continued to taper off. We believe this is a cyclical slowdown and as demand recovers, we will see pickup in TV advertising. TV still remains the most relevant mass media brand building avenue with unparalleled reach. We are utilizing this period to strengthen our business to capitalize on the opportunity as the tide turns. On linear business, we continue to be India's strong #2 TV entertainment network, and our viewership share for Q3 FY '23 was at 16.2%, marginally lower by 20 bps quarter-on-quarter. We have gained share in several key markets, including in Zee Tamil which has been a consistent growth story over last couple of quarters. Zee Marathi performance still remains subdued, and team is focused on stabilizing and rebuilding our network share there in coming quarters.

On digital side, ZEE5 has posted yet another quarter of growth across financial and operating metrics. Our Q3 FY '23 DAUs are highest ever at 11.5 million. Original content is being well received and ZEE5 app user experience has seen significant improvement. All of these are strong affirmation of our investment in content, technology and marketing. ZEE5 has clocked a revenue growth of 33% year-on-year during Q3 FY'23, reflecting healthy traction and adoption.

Now specifically coming to the financial performance. Total revenue for Q3 FY'23 are up 4.1% quarter-on-quarter and were flat year-on-year. Our ad revenue for the quarter grew by 5% quarter-on-quarter, aided by festive season spending but are lower by 16% year-on-year. On year-on-year ad revenues in addition to the macroeconomic factors previous year Q3 also had a stronger festive season and Zee Anmol FTA ad revenue, which we withdrew from 1st April 2022. Subscription revenues for the quarter were up by 13% year-on-year and 9% quarter-on-quarter.

Q3 FY'23 subscription revenues were aided by underlying organic growth in ZEE5 and recognition of INR 59 crores amount from Siti Network, including INR 10 crores of GST, so net revenue of INR 49 crores. On recognition of subscription revenues from Siti Network, while we have recognized revenues as a conservative practice, we have also provided INR 59 crores amount receivable, including GST in exceptional items to be consistent with our cash and carry approach.

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Zee Music Company saw 246% year-on-year growth on video views, highlighting strength of ZMC music catalogue and library. YouTube subscriber base of ZMC increased to 92 million from 80 million a year ago. ZMC continues to be #2 music channel and has a very young and new age catalogue with very high consumption. ZMC also continues to acquire 50% of new Hindi movie titles.

Coming to the movie business. During the quarter, Zee Studios released 9 movies, 5

Hindi and 4 regional. While the content performance remained soft, syndication revenues were healthy, driving 148% year-on-year growth in Q3 FY'23 in other sales and services revenues, albeit on a lower base of Q3 FY'22. During the quarter, our content inventory and advances were largely stable at INR 79.5 billion. We have a strong 2023 pipeline of movies under different stages of production. Now moving to cost and profitability. During Q3 FY'23, excluding exceptional items, our EBITDA margin came in at 16%, quarter-on-quarter improvement of 135 bps, but still lower by 668 bps year-on-year. We continue to be focused on prudent cost management across the business and are hopeful that when the macroeconomic environment and ad spend improves, our margins will recover from these levels. ZEE5 EBITDA losses for the quarter stand at INR 2,820 million largely stable compared to Q2 FY '23. From an outlook perspective, we will continue to invest in strengthening our

ZEE5 value proposition in line with our investment strategy, and expect ZEE5 to be in investment mode for the next few years.

Also quickly touching upon the receivables from Dish, outstanding has substantially reduced from INR 5.8 billion as on March '20 to INR 1.06 billion in December '22. PAT for the quarter came in at INR 243 million. Net profit for the quarter was impacted by exceptional items aggregating to INR 169 crores.

In addition to provisions for Siti subscription revenues, we have accounted INR 68.9 crores for merger-related expenses, INR 25.5 crores provisioning for principal outstanding from Zee Learn NCDs and INR 16.2 crores provision towards DSRA. The cash and treasury investments of the company as of December '22 stand at INR 6.7 billion.

The cash and treasury investments include cash balance of INR 4.6 billion and fixed deposits of INR 2.1 billion. To sum up, while Q3 festive seasonality hasn't been strong, we have shown some sequential improvement in a challenging backdrop, which is
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encouraging. Ad revenue growth revival is our key focus, and we are hopeful of a gradual improvement in this spending environment. Back to you, Mahesh.

Mahesh Pratap Singh: Thanks, Rohit. Yashasvi, we will open the Q&A session.

Moderator: We have a first question from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: I have first question on the P&L and balance sheet. So firstly, on the P&L, there is an exceptional item of around INR 166 crores odd. I wanted to understand the three, a bit more in detail, why now? Second is your cash and investment is down in the 9 months from around INR 1,297 crores to around INR 672 crores, almost half. So where does this go from here? I understand the slowdown in advertising and your upfront investment across many of your channels and OTT. But from here on, next 1 year, where do you see your cash and investment.

Rohit Gupta: Thanks Abneesh. Like I said, the exceptional items has 4 key elements to it. The first one is, as I said, we have recognized revenue of Siti to the extent of INR 59 crores, including GST. And we have also taken a similar provision which has been reflected in our exceptional items. That is the first part.

The second is there were NCDs from Zee Learn, which we have impaired, which is about INR 255 million. And then there is merger-related costs, which includes legal, professional and other item integration etc., which is about INR 689 million. And then there is a provision for DSRA, which we have been doing in earlier quarters. And as in terms of the contractual agreement, we continue to provide for it. So that is about another INR 162 million. So that is the breakup of the exceptional item.

As far as cash, so if you see in this quarter, the cash primarily reduction in cash is because there's a dividend payout that has happened to the tune of about INR 300 crores. Quite frankly, this quarter, there is a free cash flow of INR 100 crores plus that has happened. But over the last 9 months, primarily because we have seen dip in advertising revenues, and that is one reason why, of course, it has impacted our profitability and our cash as well. And like we said, the key is the turnaround of the advertising revenues as the advertising revenues improve, our profitability will also improve, and that will also have a positive impact on our cash.

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Having said that, we have been making investments in ZEE5 in both on the content side in technology and marketing, and that investment will continue because we see that as a growth area.

Abneesh Roy: Sir, one follow-up on that. The merger cost of INR 68 crores seems quite high. What exactly is it? And merger costs and NCDs say on Zee Learn or, say Siti Cable, any more

recurring item because we had understood that any

more group level issues are mostly done. So why this fresh issue? And can again more issues happen from group companies.

Punit Goenka: Yes, Abneesh, on the Siti part, because we are on cash and carry, the billing has happened of the INR 59 crores that Rohit talked about. But because the cash is not received by us, then it's parked in either court or in FDs with the banks, which are earmarked for us, good prudence governance made us take the decision to provide for it. Zee Learn is a one-off, there is no other outstanding against that, Rohit correct me if I'm wrong. And so there is not going to be anything else. On the merger-related issues, Abneesh, you can take it off-line with Mahesh in detail?

Rohit Gupta: Yes. So like I said, just to add to it, this includes merger transaction, integration planning, several other functional work stream specific to the merger. And this is a big merger. So these expenses look high. But in terms of the overall merger, this is what it is.

Abneesh Roy: My last question is on advertising. So when I see the FMCG ad spends in Q3, we have obviously not seen a 15% cut in their advertising spend. There are other sectors, I do understand that. But what's the strategy now in Zee Anmol because say, 6% to 7% of the advertising impact is clearly there from there also. So you are now seeing improvement in your subscription revenue with the new approvals, etcetera, which are coming in terms of NTO 2 also. So on Zee Anmol, any refurbished strategy given the impact is quite high. And rural slowdown, we don't know. As of now, it is still very early green shoots. In that scenario, any rethink on the FTA strategy?

Punit Goenka: No, Abneesh, no rethink on the FTA strategy because since April 2022, when we went off free to air, we have actually seen the stabilization of the paid subscriber base on both cable and satellite. So therefore, going back so soon, would, in our view, will hamper the potential growth for the pay, which is going to come back after 3 years with the NTO 3 implementation. So nothing as of now.

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Moderator: We have a next question from the line of Vivekanand S. from Ambit Private Limited.

Vivekanand S.: So in your consolidated notes to accounts, you mentioned that you have billed subscription of INR 68.49 crores from Siti, and you have booked provision of INR 58.4 crores. So does this mean that you received around INR 10-odd crores from Siti during the quarter? I'm just trying to understand this note better.

Rohit Gupta: I'll take this one. So we have -- the total amount that was billed was -- you're right, about INR 68 point some crores, and the revenue that we have recognized is actually based on the amount that Siti has either deposited in the court or the fixed deposits that they have made, which is earmarked for Zee. So based on that, because the amount to which they have done is about INR 59 crores. That is why we have taken revenue of INR 59 crores. And a similar amount has been provided for which is shown in the exceptional items.

Vivekanand S.: Rohit, you're saying that this INR 68.5 crores is the billing, you were supposed to recognize INR 58.4 crores, but since you have not received that money you are providing for it. Is it?

Rohit Gupta: That's right.

Vivekanand S.: My second question is on the Zee Learn NCDs, when was this investment made?

Rohit Gupta: So as you can see from the note, the Zee Learn NCDs were guaranteed by Zee and these were actually taken over by Zee in 2020. We have been receiving payments from Zee Learn to the NCDs and the amount had come down from INR 45 crores to INR 25 crores. But having said that, in the last few months, we have seen that the amount was one, not coming in. And secondly, because there is an insolvency admittance that NCLT has done for Zee Learn, based on which we have taken a call to provide for it.

Vivekanand S.: So third question is the guarantee. I mean, DSRA guarantee, clearly, there is still some amount that is unprovided for. And we see that every quarter there is some additional provision that we are taking for this. And I believe the number for the current quarter was INR 16.2 crores. So why not take the provision entirely in one quarter so that in this 1 hour of conference call discussion, you can focus on the business items rather than every quarter just jump through to understand the numerous exceptional items.

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Rohit Gupta: For DSRA, all the matters are sub judice right now. And we are providing for as per the terms of DSRA, so DSRA with various banks, there are certain DSRA terms. And

based on that, we are providing, as and when they become due we provide for it every quarter.

Vivekanand S.: I see. Okay. And was that the same with Zee Learn, or was that your choice that you decided to provide for it this quarter?

Rohit Gupta: With Zee Learn, like I said, there was a trigger in this quarter. And based on that, we decided to take the provision.

Moderator: We have our next question from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: I have a question on the subscription business. The revised RIO that we have filed basically shows a price hike in double digit, especially in some of the bouquets down south. So going by this trend, can we expect a very strong growth in the subscription business in the first year of implementation itself like we had witnessed for NTO 1.0, that is one.

And secondly, can you also share the rationale behind pricing? I know viewership is probably one of the factors, but is there anything linked to it because in some of the bouquets price hike is quite steep. Yes, this is my first question.

Punit Goenka: Yes, if you recall, because we have not been able to take any price hike for the last 3 years, and we have launched the maximum number of channels within those 3 years, that means we were not able to price them into our bouquet itself. That is the other reason other than viewership itself. That's the only reason it looks like that steep. We have factored that into our calculation. But of course, the resultant growth for the company overall, All India level will not be that high. It will still be moderate single digits, as I've been saying to you.

Jinesh Joshi: My second question is with respect to the response to the inaugural ILT20 lease. Is it possible to share any viewership data or probably any data point with respect to ad or give some perspective on a profitability time line in the context of amount that we have paid to get the rights.

Punit Goenka: Yes. So the ILT20 inauguration session has been received quite well. Ratings data is available in the BARC system. You can get it from there. I would not have it -- we won't have it readily available here, but we can share it with you. Because this was aired on ZEEL TELECONFERENCE February 13, 2022

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our entertainment channels, we have seen significant uptake in the advertising, and it is within the budget that we had planned. Of course, any league of this sort takes a few years to get established and turn profitable. So we do expect in the third or fourth edition when we'll see breakeven or profitability coming from this.

Moderator: We have our next question from the line of Arun Prasad from Avendus Spark.

Arun Prasad: My first question is on ZEE5. If you look at the trends for the last 9 months, clearly, the MAUs have increased but DAUs have kind of become flat and average watch time actually has reduced and revenue has increased. So I just want to understand this divergence in these trends. How should we read this, what's happening? And how should -- what should we expect in the next, say, 1 or 2 years on this front?

Punit Goenka: Yes. So MAUs have increased

and even DAUs have increased over the last 9 months.

In fact, they have gone from -- I think from my memory I'm talking with, Arun that we can reconfirm these to you. But about 9 months ago, it was daily active user of between 7 million and 8 million. And today, we are at about 11.5 million. That trend in the time spend has weakened this quarter only because we had a lot of new customers that came in to sample, and as you will know, for any new customer, for them to become loyal and start consuming content for long periods of time, takes time. So this is just the aberration. I do expect this to stabilize back to the 180 to 200 levels that we have been seeing for the last 3 quarters.

Arun Prasad: Just the numbers that we see is close to DAUs have kind of been flat in the between June to December around 11 million. But nevertheless, what I'm trying to understand is if you can give your gross ads on the subscriber because these numbers are looking like based on the usage and as well as there is a churn. But if you consistently, are you seeing increase in the gross ads and also so the net ads is remaining more or less the same. Or how should we look at this? If you slice and dice qualitatively, can you explain what's happening there?

Punit Goenka: So Arun, sorry, I stand corrected. You are right. DAUs have been flat for the last 2 quarters. I stand corrected there. So we will be sharing a whole lot of new metrics which we are starting post the merger. So kindly bear with us for a couple of more months, and we'll start sharing all the detailed metrics with you.

Arun Prasad: My next question is on the cost side. If you see the content cost and obviously, the marketing spends. I'm just comparing this 9-month data from the FY'20 and -- as well

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as FY'22. Obviously, the cost is increasing because your investment is going up in many of these properties. Just my -- what I'm thinking is, are we too aggressive in the content investment in these times despite knowing that there is a slowdown in the FMCG spends because we are aware about the FMCG spends at least, we are talking about this for last 2, 3 quarters. Are we going to turn down our aggression at some point of time? And how should we think about the cost going forward?

Punit Goenka: So Arun, you're right. This is a natural question that we ask ourselves every day. But the impact of that is also seen last year, same time, when we had cut costs significantly, it had an impact on our business in the current year. So we consciously chose not to cut investments in this year so that when the tide turns, we are ready to capture the growth. And therefore, we will continue to remain aggressive in the content investments. Of course, that does not mean that you keep jumping by 14% to 15%. I think they are inflationary in nature, even if you look at now, it's only about a 10% growth in content cost that we have seen.

Arun Prasad: At what point of time you will take a relook at these cost levels?

Punit Goenka: We do it everyday, Arun. That's what I'm saying.

Arun Prasad: Sorry, I couldn't hear you.

Punit Goenka: I'm saying we do this every day, every quarter. So that's our job basically. We look at these costs, other than revenue that's the next line item we look at is our cost. So rest assured, we are going to be prudent. And when think it is no longer viable to invest in the content, we will pull back.

Moderator: We have our next question from the line of Kunal Vora from BNP Paribas.

Kunal Vora: I wanted to check regarding your thoughts on Jio's decision to offer IPL for free on Jio Cinema. Would this have an adverse impact on the Pay TV customer base? And ability of broadcasters to monetize the cricket broadcasting rights? I know it's different IPL versus world cup price which you own, but how do you see this development? And also, would this mean

an a larger move of ad dollars towards digital.

Punit Goenka: I don't think so that it is that easily substitutable that you can just shift the viewership from television to digital overnight. If you look at even in the case of when the predecessors had IPL, if you'll recall the first 2 years, they also were giving it free. It's only in the third year or third edition that they had it or they put it behind the pay
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wall. Of course, it will pull advertising dollars towards that, but that does not mean it will replace television from any angle. Our own calculation state that even in the last season of IPL, almost 75% plus advertising came on television and only 20%, 25% came on digital. So that will not significantly change overnight.

Kunal Vora: Even with IPL being available for free and on 1 channel, while that's being paid on television, you don't think it will have any meaningful impact. I mean, why would that be the case? For the customer, it becomes so much convenient plus affordable to directly go for digital, right?

Punit Goenka: No. You see, you are talking about the -- maybe the high-end customer who's got the high-end television set that they watch it on. The other 200 million or 250 million people are not going to sit and watch a 5-hour match on the mobile screen, right? So once you are home, you generally just go to the convenience of watching it on television. That is what I believe is the general human nature.

Kunal Vora: Second and last question is I wanted to get your initial thoughts on ad revenue growth, subscription revenue growth and margins in FY '24.

Punit Goenka: Kunal, we are not giving that guidance out right now. As I said in my opening remarks, the advertising market is still soft. We have to take it quarter-on-quarter. So for FY '24, we are not giving guidance right now. Subscription revenues will grow. As I said, once the NTO 3.0 is implemented, you will see a healthy single-digit growth on subscription revenue.

Kunal Vora: On advertisement, are you seeing any signs of a recovery because for consumer companies, the gross margins are expanding, ad spends are at a multi-year low. Are you optimistic about the recovery.

Punit Goenka: I'm always optimistic. And with the headwinds and on the inflation side and the rural thing easing, hopefully, will bounce back soon enough for consumption to again pick up and therefore, advertising should come back.

Kunal Vora: And just lastly on the sharp decline in average viewership minutes in digital. I couldn't understand the reason for that. Why is there a sharp aberration?

Punit Goenka: It's basically new users that came on. Their consumption generally is lower in the beginning months. It's only once they get used to the platform that they consume more. So it's an aberration. There is no trend to it.

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Kunal Vora: But we haven't seen a sharp increase in users as well, right? So I mean, what am I missing here?

Mahesh Pratap Singh : Kunal, you've seen the MAU go up meaningfully. If you look at where our MAU is about 10 million on addition in the quarter.

Moderator: We have our next question from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on ZEE5. If I look at over the last 2 years, the DAUs have almost doubled, MAUs have also more or less doubled the conversion rate is around 9% to 10% odd.

The revenues have grown, but the costs have grown even sharper. How do you plan to monetize these footfalls or these sort of DAUs that we are seeing? We had earlier mentioned large part of this are driven by subscription . On the advertising front, if you can share some thoughts there.

Punit Goenka: No, you're right. So we will continue to grow our revenues by subscription itself, and also by advertising, but advertising will be a smaller segment,

unlike television, where

it constitutes almost 70% or 75%. In this case, it will be reversed to begin with and then probably plateau out between 60:40 in the favour of subscription.

Ankur Periwal: Is there any inflection point in terms of, let's say, DAUs or maybe the conversion rate where you believe the monetization on advertisement will be much more sort of feasible and visible there?

Punit Goenka: Yes. Obviously, there will be once we start hitting conversion levels of 15% to 18%, you will start seeing far more traction in advertising coming in.

Ankur Periwal Sure. On the advertisement front, while the environment is still soft and as you suggested for the near term, the outlook is not as great. If you can share probably, let's say, on a 9 -month basis, how has been our volume metric growth and maybe the correction on the yield front that we have seen.

Punit Goenka: So most of the de -growth has come on the yield part, only some part has come on the inventory or the consumption.

Ankur Periwal: This will be largely led by, let's say, the likes of Tamil and Marathi languages or even Hindi and other languages have seen correction?

Punit Goenka: Across the board .

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Ankur Periwal: Sure. And lastly, maybe a book -keeping . So the one -off that we had taken in this quarter, so Zee Learn largely it's done, merger cost, is it all done or probably there could be certain more expenses there? And secondly, on the Siti exposure bit as well and DSRA, will we be taking a quarter -on-quarter approach there? Or there is a possibility of sort of front loading all the provisions at one go?

Punit Goenka: So as Rohit explained, as part of the DSRA agreement, as and when those exposure falls due, we take it in the quarterly approach. As far as Zee Learn is concerned, you're right, it's done for. And as far as the merger expenses are concerned, the merger is not yet done, so it will continue.

Rohit Gupta: And I just want to add, while we do take this provision for DSRA, the entire provision is without prejudice because we have these matters, be a sub judice.

Ankur Periwal: Sure. Just a clarification, this merger cost of INR 68 crores, INR 69 crores. This is only for the quarter? Or there are certain longer -term costs also which have been booked here?

Rohit Gupta: So this is the cost for the quarter. Sorry, I didn't get your question?

Ankur Periwal: So I'm just wondering if this is cost only for Q3. So in Q4, possibility of such cost repeating also remains there.

Punit Goenka: Not necessarily it has to be the same, right? I mean, because some consultants who have finished their work and gone away. So it will continue to vary. We can't make a standard statement that this will continue at the same level.

Moderator: We have a next question from the line of Abhishek Kumar from JM Financial.

Abhishek Kumar: Sorry to harp on the exceptional item again. So 2 questions here. Rohit, you mentioned that we are providing for DSRA as and when they fall due. So does that mean that, if my understanding is correct, this is basically the guarantee that we provide for the interest, which is due that consistently, when ever it is due, it is not being paid by the entity which we have guaranteed. And if that is the case, what is the outstanding amount now, which has not fallen due. Any number to give us a little bit of visibility or clarity on what to expect going forward?

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Rohit Gupta: So first of all, whatever amount that was due for DSRA till date, that has -- we have taken provision, and that is without prejudice. We have these matters in the court. And so you are aware about that.

Punit Goenka: We won't be able to disclose those figures to you.

Rohit Gupta: Yes. But yes, whatever -- so there is -- like you're saying, is there any outstanding amount which is

due, it's something like that. Whatever is we have already taken a provision for that.

Abhishek Kumar: And second, like Zee Learn, can we disclose the overall outstanding that we might have across the Zee entities or other related parties, which we should be aware of.

Punit Goenka: All are disclosed, Abhishek. There's nothing which is not disclosed. Even Zee Learn was disclosed.

Abhishek Kumar: Okay. Fine. So that's helpful. Now one question on the OTT. I just wanted your view. Have we seen any decline in the competitive intensity over the past few years or the competition continues to be -- competitive intensity continues to be very high, and therefore, we continue to invest in the OTT platform that we're doing.

Punit Goenka: Competition on OTT is still high. I don't see it has been reduced in any manner whatsoever. So I think it's still early days, and this competition intensity will remain high for at least the foreseeable future.

Moderator: We have our next question from the line of Aditya Chandrasekar from UBS.

Aditya Chandrasekar: A couple of questions from my side. So on subscription, basically some part of the growth is because of the Siti revenue that's recognized, right? I just wanted to understand, is this a kind of cumulative catch-up revenue that's been recognized? Or are these amounts also included in prior quarters? I'm just trying to understand like-for-like kind of how do I compare Q-on-Q.

Punit Goenka: It is catch up, entirely catch up.

Aditya Chandrasekar: For how long will this be as in what's the period for this?

Rohit Gupta: 12 months.

Aditya Chandrasekar: Last 12 months revenue?

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Rohit Gupta: Yes. So we have not been recognizing revenue from Siti and because we have said that Siti revenues were recognized only on the basis of when we collect. So only this time when they have actually made deposits into the court and they have these FDs which are earmarked. We have recognized this revenue just to be in line with the accounting standards. And at the same time, we have made a similar provision to make sure that unless these amounts are received we don't take them into our profitability.

Aditya Chandrasekar: And going forward, every quarter, will they be continuing this deposit to the court? Or what's the arrangement in place going forward?

Punit Goenka: They have to deposit in the court or in the FD until the court resolution happens on the case. Up until then, they were paying us directly.

Aditya Chandrasekar: And second question, is it possible to give any sense on the potential total merger costs? Like what are we looking at?

Punit Goenka: Difficult to say right now, but we'll try and get an estimate for you.

Aditya Chandrasekar: And lastly, on the content cost, I think, related to a question that another analyst had asked. So in terms of like inflection point in terms of when you might think of saying that the content investments have peaked, is there a particular benchmark in terms of linear viewership share or maybe DAU or MAU number that you maybe have in mind, say, the 16% goes to X percent or the DAU go from 11 million to 15, whatever number it is. Is that the right way to think about it as to from then the content investments will kind of start tapering down? Or is that too simplistic?

Punit Goenka: That's very simple, right? Why would I want to put a ceiling for my growth on viewership or any of this thing. So generally, the way to look at it is because linear is a stable business. We generally remain between 40% and 45% of our revenue as the cost of programming. That has been the benchmark that we follow that's what you should continue to look at. Of course, today, it will be higher because of current macroeconomic situation.

But as and when that improves, this will again come into the same level of 40% to 45%, and you will agree that as long as

as we are growing, we should be investing in content so that we can continue to grow our viewership and therefore, the revenue on the business. It's still early days. So we are seeing how that metric is.

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Aditya Chandrasekar: But currently, on linear side, you're investing, right, to catch up on some of the markets where we are lagging behind?

Punit Goenka: That's correct.

Aditya Chandrasekar: Yes. So once you reach kind of the market share that you expect in those segments, then it will come down to the steady state, 40% to 45% of revenues. That's what you're saying.

Punit Goenka: That's what I'm saying, yes.

Aditya Chandrasekar: And I'll reach out for any estimate, if possible, on the merger costs?

Punit Goenka: Yes, sure.

Moderator: We have our next question from the line of Pulkit Chawla from Emkay Global.

Pulkit Chawla: So first, on the market share. This quarter, again, there has been a slight decline in the market share and market share gains recovery seems to be slightly on the lower side. This is despite the fact that you've seen improvement in both Hindi and Tamil. So is there some reason that I'm missing or some other factor as well?

Punit Goenka: The 20 bps is too small a number to even consider because it's not happened in any one given channel. There have been a combination of little, little ratings going away from multiple channels, which is a function that happens every quarter. You gain in some, you lose in some.

Pulkit Chawla: And second, on the merger, any estimated time line for the merger to be completed now given that it's already been delayed by quite some time?

Punit Goenka: We are working on it as fast as we can, and difficult to give a time line because the NCLT is not really in our control. Other than that, all other things are pretty much in our control, and are pretty much something that is doable as soon as the NCLT order is received.

Moderator: We have our next question from the line of Kshitij Saraf from Tusk Investments.

Kshitij Saraf: It's on the NCLT procedure. So we see with regards to the IPRs and with regards to the set of lenders, the cases are ongoing in NCLT. So could you just shed some light

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on where we go forward from here with regards to the closure or resolution of these cases because that might determine the merger time line perhaps?

Punit Goenka: So as of now, the next hearing of the NCLT is tomorrow. So we will have to see what happens there. From the perspective that these are sub judice matters. It will be difficult for me to give some time lines to go forward. But you will have more colour on this tomorrow, what happens in the court.

Kshitij Saraf: Just a quick follow-up. We'll get a better sense on both the IPRs as well as the set of lenders tomorrow itself?

Punit Goenka: Well, when the court gave the date, they said it's a final hearing. So I'm keeping my fingers crossed.

Moderator: We have a next question from the line of Sameer Deshpande from Fairdeal Investments.

Sameer Deshpande: Good evening, everyone. My question was actually regarding this merger and it has just been got answered. That is the final case hearing is tomorrow. So hope the Valentine's day proves to be a good day for the great merger, we are all awaiting Sony-Zee merger?

Punit Goenka: Yes, Sameer. Keep your fingers crossed please.

Sameer Deshpande: Yes, we are waiting for that. So if it is completed shortly. And if it is the hearing is over tomorrow and everything goes in our favour because as I have read from the newspaper reports, it mentions that our lawyers have already mentioned that whatever liabilities arise due to these type of cases will be borne by the merged company. So I think there is nothing beyond that, which these lenders are interested, is it correct?

Punit Goenka: You're

correct, Sameer, but there are some parties that have no claim and have also intervened. So it's not just people who have legitimate claims. There are certain illegitimate claims also that people have put just to clarify that.

Sameer Deshpande: But if it is a final hearing, I hope things will get squashed, whichever is not really legitimate.

Punit Goenka: Correct.

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Moderator: We have a next question from the line of Satish Jain from MoneyFest Capital.

Satish Jain: Some of my questions have been answered, but one question probably that still remains to be answered is on the movie business, can you give some colour how much have we invested? And what are the revenues and profitability if that's possible to give and what are the next few movies that are in the pipeline? And is the strategy for movies still intact? Or have we curtailed that in line of the reduced cash flows or whatever?

Punit Goenka: So actually, we have a very decent slate for '23, which was already signed up. So there

is difficult to curtail that if at all. Of course, the movie business has been profitable for us. Unfortunately, I cannot share the details as we don't report the segment-wise yet, but it is a profitable business for us let me tell you that the strategy will remain because it is a very strategic feeder into our core business of linear as well as digital. Satish Jain: Okay. And which are the next few big movies that are in the pipeline, if you can share that? Is it possible or?

Punit Goenka: Of course, there is a movie called Maidaan, which is with Mr. Ajay Devgan. There is a movie with Mr. Ajith in South. These are the 2 large ones that I can recall of the top of my head, but there will be certain more.

Satish Jain: What about Gadar 2, is it a part of your production? Or is it only a distribution?

Punit Goenka: Gadar 2 is very much part of our production. And we are looking forward to the Independence Day for its release to make another dhamaka.

Moderator: We'll take a last question from the line of Vivekanand S. from Ambit Private Limited.

Vivekanand S.: I thank you so much for the follow-up opportunity. So could you help us understand the pricing levels of ZEE5 versus how we can catch up with competition, is there even a desire to do that or will we keep pricing low? That's one.

Secondly, how much of this year-on-year revenue growth was driven by pricing? I mean, just a broad sense would be very helpful here. And lastly, just a request, I mean, there are still some analysts who have been covering Zee from the time when it was owning TEN Sports, it will be great if you can share sports losses going ahead also because that helps us look at the business better.

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Punit Goenka: Sure. The sports side, we will continue to do that. As I said, in the merged environment, we will share those segment numbers with you. In terms of ZEE5 pricing, I think we are quite aggressive with our pricing in the market if you look at it. I mean, today, the ZEE5 mobile-only pack is available for INR 499 and the multi-user pack is available for INR 699. The growth that you have seen I'm only looking at my team, the growth came from price increase largely for us in the current year because we went from an INR 499 pack to a INR 699. And we believe we are quite aggressive on pricing. You will continue to see price hikes from our side even in the coming year, especially with the 2 companies merging.

Vivekanand S.: Great. And all the best for the NCLT court hearing.

Punit Goenka: Thank you very much.

Moderator: Thank you. I would now like to hand the conference over to Mr. Mahesh Pratap Singh for closing comments. Over to you, sir.

Mahesh Pratap Singh: Thanks, Yashasvi. And thanks, everyone, for joining us. I realize some of you would have had very little time to look at

it. But hopefully, the last one hour of discussion has been helpful for you to get a perspective of our performance. If there are any follow-up questions or clarifications, please feel free to reach out, and talk to you again next quarter. Have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2023

June 01 , 2023

The Listing Department
BSE Limited
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BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Conference Call with Investors

This has reference to our intimation dated May 25 , 2023, informing that the audio recording of the Conference Call with Investors, to discuss the Company's performance for Q4 & FY 2023 , is uploaded on the website of the Company.

Please find enclosed the transcript of the above conference call held on May 25 , 2023.

The said transcript has also been uploaded on the Company's website www.zee.com .

The above is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

Zee Entertainment Enterprises Limited
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Q4 FY23 Earnings Conference Call
May 25 , 2023

Transcript

MANAGEMENT:
Mr. Punit Goenka – Managing Director and CEO

Mr. Rohit Gupta – Chief Financial Officer
Mr. Mahesh Pratap Singh – Head Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh, Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Mahesh Pratap Singh: Thank you, Drorwin.

Hi, everyone, and welcome to our Q4 FY '23 Earnings discussion. We have with us today our Managing Director and CEO, Mr. Punit Goenka, along with senior management team. We will start with the opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Rohit Gupta, our CFO.

We'll subsequently open the floor for questions and answers. Before we get started, I'd like to remind everyone that some of the statements made or discussed on today's conference call will be forward-looking in nature and must be

viewed in conjunction

with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly. With that out of way, I'll now hand the call over to Mr. Goenka.

Punit Goenka: Thank you, Mahesh. Good evening, everyone. I hope all of you are doing well. Thank you for joining us this evening to discuss the company's performance during the 4th quarter and the financial year FY '22-'23.

I'll keep my comments brief as always, and would let our CFO, Rohit Gupta, take you through the operating metrics in greater detail. I understand that all of you are keen to get an update on the proposed merger with Sony. So let me address this point first. I recognize the time taken to achieve the required approvals. The legal matters are consuming a considerable amount of time in the overall process. But I assure you that the team is taking all the necessary steps in accordance with law to ensure that there are no further hindrances in the approval process. We are evaluating all legal options present before us to overcome any further hurdles.

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As you all would have noted, the NCLT has recently dismissed the plea filed by a financial institution against the Zee, which is a noteworthy development. With this matters in the NCLT, there are even remotely connected to the company have been addressed. The ones remaining in the tribunal are not pertaining to Zee. We have the best of legal teams advising us, and I'm most certain that we are in safe hands. Hence, my focus continues to be on enhancing the business performance and completion of the merger.

As you all are aware, the merger has already received most of the regulatory clearances, including the ones from our esteemed shareholders, which reinforce the fact that it's value accretive for the industry at large. As an optimist, I remain hopeful that when we connect again, there will be some positive developments to share with

all of you on the merger front.

The financial year '22-'23 saw the media and entertainment industry battling the macroeconomic headwinds with resilience and focusing on investments in further strengthening the business fundamentals. At Zee as well, the year was one of concerted efforts to enhancing the strategic aspects across all our key businesses. That said, the new fiscal brings in optimism, as we witness the overall market sentiment improving with the key advertisers set to increase their spend. Despite the headwinds, we remained undeterred in our strategic approach towards the quarter. Our focused efforts and investments in content reflect our long-term strategic intent to further strengthen our market position. We further fortified our position as the number #2 entertainment network in the country. In fact, during the quarter, our viewership share gain was higher than the competition. We also witnessed an increase in viewership share across our linear channels in key markets, including South, North and East.

Significant efforts have been made in terms of content strategy for the Marathi market, and we are expecting that to translate into positive results over the current financial year. On digital, ZEE5 has been gaining ground quarter-on-quarter across all metrics. We had recently announced an expansive content slate of 111+ titles for ZEE5, which includes compelling originals, direct-to-digital films and theatrical releases in collaboration with renowned content creators. I'm certain that this will further enhance our unique value proposition to the consumers and attract newer audience segments to the platform.

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As you are aware, several industry reports peg the segmental growth of digital ecosystem to be around 20% to 25% CAGR over the next 8 years. At Zee, we are significantly outpacing this growth and have doubled our quarterly

revenue run rate

in the matter of 8 quarters. That said, sustained investments in the long term amidst navigating the macroeconomic headwinds, sustained our near-term financial performance. However, we have formulated a plan that is focused on higher growth and we remain well poised to capitalize on opportunities emerging across business segments during the year.

Taking a long-term view, I remain cautiously optimistic on the future as the inflationary headwinds ease and NTO 3.0 benefits flow in, resulting in positive signs of demand and growth. I am confident that we are well placed in the financial year '23-'24 to capitalize on growth opportunities. Our focus remains on generating higher shareholder value year-on-year, and we will strive to only grow higher from here.

On that note, I'd like to hand over the session to Rohit to share granular details about the financials and operating performance of the company during the quarter.

I look forward to interacting with you all during the Q&A session. Thank you. Over to you, Rohit.

Rohit Gupta: Thank you Puneet. Hello everyone and welcome to our Q4 earnings call. I'll discuss our financial performance for the quarter and full-year.

As Punit alluded, FY23 was a challenging year for the entire Media & Entertainment industry given weak Ad spending, prolonged delay in NTO implementation putting pressure on linear TV subscription revenues, and relatively subpar movie content performance. This operating environment has adversely impacted Zee entertainment's performance for the year. In FY23 we also withdrew Zee Anmol from FTA, sacrificing revenues and viewership towards our long-term objective of strengthening pay-TV ecosystem. While we navigated these headwinds, we continued to invest in the enhancement of our capabilities across digital (ZEE5) and sports. Both these segments being relatively nascent, have needed investments in content, marketing and technology, intensifying impact on our overall profitability. We believe these investments are critical to being able to serve and delight our viewers and advertisers. Overall, in FY23 despite all the headwinds we have strived to balance near term financial profile of the business while making room for longer term strategic investments.

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Now, specifically looking at Q4 operating environment, we continued to see muted Ad spending by FMCG brands during the quarter. On Subscription side, while NTO 3.0 came in effect from February 1st, 2023, there were a set of DPOs who went to courts challenging NTO 3.0 and did not sign the interconnection deal with broadcasters as per the provisions of NTO 3.0. This left us with no choice but to switch off our channels to these DPOs. While the standoff ended eventually with these DPOs signing new

agreements, this situation impacted our Ad and Subscription revenues adversely during the switch-off.

On linear business we continue to be India's strong #2 TV Entertainment network and gained a healthy 40 bps viewership share during Q4 -23, taking our viewership share to 16.6%. In FY23, we have had a good year in terms of linear viewership gains in most of our key frontline GEC channels. We have gained viewership share in FY23 over FY22 in Zee TV, Zee Tamil, Zee Telugu, Zee Kannada, Zee Bangla, Zee Odia, Zee Punjabi and Zee Keralam. We are focused on maintaining the momentum and hope to see Zee Marathi join the list as well in FY24.

On digital side, ZEE5 has posted a healthy quarter across financial and operating metrics. Our Q4 -23 digital revenues are up 36% and while there is minor moderation in usage metrics QoQ, watch time has improved QoQ to 229 minutes. FY23 has been a great year for our digital and ZEE5 strategy, our original content is being well received, ZEE5 app user experience has significantly improved and healthy growth in revenue continues.

Now spec

Specifically coming to the financial performance, total operating revenue for FY23 is marginally lower by 1.2%, with higher "other sales and services" largely offsetting Ad revenue decline during the year. Total revenue for Q4 -23 are down 9.0% YoY and are largely flat QoQ.

Ad revenue for FY23 declined 7.7% YoY due to Zee Anmol FTA withdrawal and weak Ad spending by brands in an inflationary environment. Ad revenues for Q4 -23 are lower by 5.4% QoQ and 10.2% YoY. Q4 -23 Ad revenues were also impacted by signal switch-off.

Subscription revenue for FY23 were up by 2.7%, led by growth in ZEE5 and Music, partially offset by decline in linear TV subscription. Subscription revenue for Q4 -23 were lower by 5.3% QoQ and down 1% YoY. Adjusted for recognition of prior period subscription revenues from Siti network in Q3 FY23, QoQ Subscription revenue would

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have been largely flat. With NTO 3.0, we have taken some calibrated price hikes and are monitoring how that stabilises and flows to revenues over coming quarters in FY24. Zee Music Company (ZMC) saw 79% YoY growth in the video views in FY23, highlighting strength of ZMC music catalogue and library. Total YouTube Subscriber's base of ZMC increased to 134mn from 117mn a year ago. ZMC is #2 music channel and continues to acquire over 50% of new Hindi movies titles. ZMC also recently renewed its multi-year global deal with YouTube and Meta to enable users to consume the label's catalogue of songs across the globe.

Coming to the movie business, during Q4 -23, Zee Studios released 6 movies (2 Hindi and 4 regional). "Other Sales and Services" revenues in FY23 were up 27.9% on the back of higher number of movies produced and released, and syndication deals during the year. FY23 had 31 movies produced and released, compared to 23 in FY22. Zee Studios has also been winning hearts globally and earned a distinction of being the only studio from India to premiere 3 films at 3 different leading global film festivals in the same calendar year. During Q4 -23, "Other Sales and Services" revenues were aided by higher theatrical and syndication revenue from movies like Thunivu and Mrs. Chatterjee vs Norway.

Now moving to costs and Profitability, in FY23, YoY overall operating cost has gone up by 9.1% due to higher content cost in movies, sustained investment in content, marketing and technology in ZEE5, and Sports. This has resulted in FY23 EBITDA margin coming in at 13.6% compared to 21.7% in FY22. Q4 -23 EBITDA margins have come in at 7.2% due to accelerated investments in ZEE5, movie content cost and costs for ILT20 inaugural edition. We haven't fully optimized revenue potential for ILT20 this year as we opted to broadcast it on existing TV channels, and hence this is not a reflection of sports longer term financial profile. During Q4 -23, ZEE5 has also seen pickup in marketing along with ongoing investments in content and technology.

Also quickly touching upon Siti/DSRA, we have arrived on a settlement with IndusInd Bank and Standard Chartered Bank. IDBI is the only claim outstanding on DSRA now. The company has adequate provisions to meet its obligations for balance DSRA claims. Subsequent to the year end, due to continued legal proceedings and non-collections of balances for services, the company has discontinued its services to Siti across India except east.

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PAT from continued operations for the year came in at Rs 2,514 mn and for Q4-23 came at Rs -729 mn. Net profit for the quarter and year was impacted by exceptional

items outlined in our financial results. We are also in the process of discontinuing certain business or operations including Margo Network (Sugarbox) and our operations in Russia as part of our portfolio rationalization and conditions of impending merger. Impact of these have been accounted as discontinuing operations.

Moving in to FY24, we are expecting gradual recovery in Ad spends. While initial signs have been encouraging, it's too early to make any prediction on pace of recovery. We also expect NTO 3.0 price transmission, stabilisation and revenue translation during the year. While our investments will continue, with some tailwinds to revenue we are hoping to have more levers to manage profitability in FY24.

Back to you Mahesh

Mahesh Pratap Singh: Thanks, Rohit. Moving now to the Q&A session. Before we proceed to the Q&A session, I'd like to inform everyone that due to scheduled conflicts, Mr. Goenka will only be able to join us till 05:45 p.m. to answer questions. So request you to please prioritize your questions accordingly and restrict yourself to maximum of two questions. Feel free to join the queue back. Me and Rohit will stay back to answer the call until 06:00, and we can take all the book keeping or financial -related questions. With that, I request the moderator to take the discussion forward for Q&A.

Moderator: Thank you very much. The first question is from the line of Abneesh Roy from Nuvama Institutional Equities. Please go ahead.

Abneesh Roy: My first question is on ZEE5 . So if I see digital businesses in other industries, the players are talking about control on cost and drive towards profitability. When I see ZEE5 numbers, Y -o-Y revenue is up INR 60 crores in this quarter, but losses are up INR 115 crores, so which means your cost has gone up Y -o-Y by INR 175 crores. So I wanted to understand in FY '24, how do you see the losses in this business. The revenues are increasing, but costs are increasing much higher. So what will be the plan for FY '24?

Punit Goenka: Abneesh, that's the only question?

Abneesh Roy: Yes, I have one more question. I'll ask that later.

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Punit Goenka: So Abneesh, on the digital side for ZEE5 , as I stated in my opening remarks, we are ramping up our content offering that we want to give to the consumer so that we make sure that we become the preferred option to be in the top #3 OTT platform, as I have mentioned previously in the other calls. Also, there have been investments on the technology side that we are having to make sure that we are a platform of choice from the consumer point of view .

So these are the investments that have taken the costs up. I don't think these are going to be recurring costs going forward. Of course, technology costs based on consumption, we will continue to monitor that or mirror that, but beyond that, the onetime investments are pretty much done now. Of course, content will be something that we have to continue to invest behind. But I am certain that from now the losses in ZEE5 will start to be moderated downwards.

Abneesh Roy: Sir, my second and last question is on your main business. So there, if I see your market share in terms of viewership, that's at a four -quarter high. So do you think now soon you'll start getting benefit of that?

And second is in terms of the linear subscription revenue, do you think now 7 % to 8% CAGR is possible there, given the disruption is already done and now the court cases are also behind. So can you look at a 7% to 8% CAGR in linear subscription revenues?

Punit Goenka: So on the advertising front, certainly, we will start to see benefit of the market share gain that we have seen in the last four quarters. That should certainly start flowing, hopefully, post the Sports calendar that's currently running. And that's my expectation. Although it's still not very high in terms of the industry, growth levels are not seeing that kind of number. Although, I know, FMCG companies are talking about spending a lot more, but we are yet to see signs of that in reality.

On the subscription side, given the fact that Rohit talked about the kind of challenges we faced with some of the lar

ge DPOs in terms of them not signing the agreement, there will be some delay, but certainly, there will be certain growth that we are anticipating. Whether it will be 7%, 8% in the current year itself, it is hard to predict right now , but I do believe the trajectory will be towards growth. It's a question of balancing pricing versus churn.

Moderator: Thank you. The next question is from the line of Vivekanand Subbaraman from Ambit Capital. Please go ahead.

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Vivekanand Subbaraman: I have two questions. So the first is on the TV ad revenue outlook. So question is in light of IPL rights being split now between TV and digital and every day, we see this drama play out where somebody from one side says that digital has become bigger than TV and you have counterarguments also. So how are you looking at the TV ad market, if one takes a 3-4 year view and that is prime for a recovery in fiscal '24. But if you zoom out a little bit and look at a slightly, longer time frame. So that's question one.

Second question is on the subscription side. Now you are obviously, you've taken a very bold decision of, let's say, pulling your channels out of DD freedish and also now not providing your content to Siti, which is not making payments. So how are you thinking about the balance between reach and subscription revenue growth? And also, if you could cover a bit on subscription monetization via your TV, DTH and cable versus, say, our ZEE5 and Connected TV?

Punit Goenka: Yes. So your first question was the TV outlook, right? So for whatever you may be hearing about digital versus TV, let me assure you that television is still the prime mode of consumption of entertainment in this country, including for IPL. I don't know if you've seen the data, but the IPL viewership over last year has grown by almost 29%. And that is despite the fact that on digital it's available for free whereas on television it is paid for.

So for long-form content in this country and anywhere globally, television will remain the prime medium for consumption. So I am not really concerned about that. Of course, the growth pace on digital is much faster given the lower base and television maybe much slower given the penetration that television already enjoyed. So that's the first part.

On the subscription front, switching off a DPO is not something new to us or to the industry. It has happened to us many times in the past. And we do deal with the question of reach versus revenue. So it's a balanced trade-off that we do anytime we take those kind of decisions. And in this case, it was a conscious call for us to take that decision to switch off Siti cable, given that we have not been receiving payments for about nine months. And therefore, that's a call that we consciously took and I'm certain that, that will pay off in the long term for us.

Vivekanand Subbaraman: Okay. If I may just follow-up on the first question. So if you continue to believe that TV still has much bigger reach than digital. But if I were to hazard a guess on the ZEE5 TELECONFERENCE May 25, 2023

growth trajectory, would you peg it at 7% to 10% CAGR growth for, say, 3-5 years or will it be lower, any color on that? That will help.

And the second follow-up on the subscription side is, could you help us understand the monetization on subscription versus that on ZEE5 and what can you do to get much more subscription revenue for ZEE5 potentially, if you shift to connected TV or new market opportunities there due to digitization?

Punit Goenka: So on the first part, definitely, the growth trajectory for advertising is going to be positive from television perspective. I don't want to give a percentage as we speak, given that we are just coming out of this entire macroeconomic situation that the country has been under. But certainly, the numbers that you are talking about

are not

unheard of. And I do believe that most of the agencies have given the number to that effect or in that ballpark, which is in the high single digit to potentially a low double-digit kind of a number. So I would like to believe that, that's what could be at the end at least for the next 3-5 years for the television business, in that ballpark range. So that's something I think we can go with.

On the subscription side, I think the two businesses are very different from linear to digital perspective. So I don't think we can kind of compare them equally. I think on the ZEE5 side, the team is working diligently to make sure that we get higher-and-higher subscription revenue by offering unique and more content, which is suited to people who are not on television consumption. And therefore, that's a separate audience segment that one is addressing. And television, I think we have to continue to do the balance, as I said earlier, of pricing versus churn. And that's the balance we have to keep and work towards.

Moderator: Thank you. We have the next question from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: My first question is, NSE, BSE or SEBI, any of these three entities, are they re-evaluating the approval that was granted for the merger?

Punit Goenka: So Jay, you'll see the order that has been uploaded on 19th of May by the NCLT after the hearing on 11th of May, right? Now basis that it is asking the NSE, BSE to

potentially re-evaluate the NOC that they have given, including the fact that whether they have given the permission for the non-compete to be there. Whether NSE, BSE have taken cognizance of that and are doing it is something that I can't comment on

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because I'm not aware of that. But in our view, that order was completely incorrect because none of that actually transpired in the hearing of 11th, May. And therefore, you would have noticed that we have also challenged that in the NCLAT today, and we will know the outcome of that very soon.

Jay Doshi: And I think there was NCLT hearings were delayed because of some creditors who had approached NCLT. On that front, are more or less all disputes resolved now? Or is anything still pending?

Punit Goenka: So as I said in my opening remarks, all disputes that were remotely connected to Zee, I use the word remotely very, very distinctly because in our view, some of those cases also are not connected to Zee, have been resolved either through a legal route or through settlements, outside of the court. All those matters that remain in NCLT today, has no connection, whatsoever to Zee, and those are being disputed as we speak.

Jay Doshi: Understood. So the next hearing, I understand is on 16th of June. Is that right?

Punit Goenka: That's correct.

Jay Doshi: And do you hope for, some clarification from BSE, NSE by then, before then? Or sorry, I am not on top of, what are the timeline, within which BSE or NSE have to revert and give a go ahead or whatever it is?

Punit Goenka: So as per the NCLT order, they have to revert before the next date of hearing.

Whether they will revert or not, is something that's a question that I can't answer.

Jay Doshi: Correct. That's helpful. Thank you so much. That's all from my side. Thanks.

Punit Goenka: Thank you, Jay.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial.

Please go ahead.

Abhishek Kumar: Good evening and thank you, for taking my question. I have a question on the pricing of channels and subscription, you hope in general. So what transpired, when we raised the rate from the DPOs push-back. And after that, I just wanted to understand, did we roll back the prices or they finally agreed. How has the response been from the consumers? And is that a reflection of the market not being ready for any kind of

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price hike? And therefore, can we look at sort of flattish subscription growth going ahead or at least in FY '24, even if the NTO 3.0 gives us that flexibility?

Punit Goenka: So, the price hikes that were taken by the broadcasters did not get rolled back. We have rolled out precisely, what we had launched and those have been accepted by the DPO. The discounting is again standardized through the tariff order that is prescribed by the TRAI. So we cannot have differential discounting that, we can do across our platforms. And as I stated earlier, the increase in subscription revenue is a function of pricing and churn. If you noticed in the last three years, we've seen churn happening in the cable and DTH industry. Although DTH has now stabilized and the churn has pretty much gone away and it's quite stable for the last 4-5 quarters that, we have been noticing. The cable industry still continues to see some churn, but we are hopeful that, because the price increases that were taken were, very inflationary in nature, should not have a major impact for us. We may not see a large amount of growth in FY '24 itself. But certainly, subscription revenue in the medium to long term, will see at least inflationary growth coming in for the industry overall.

Abhishek Kumar: Sure. Second question is on Ad revenue. So this year, we have obviously, IPL is a little expanded and then we have World Cup. So in a year, where there are some large sporting events and with the fact that, those are now – anyway, the ad spending environment is not very strong, and it's probably, IPL being broadcasting for free, some of the advertisement might be offering for the digital platform, does that put any pressure on TV ads? How has the experience been in previous years, where there was multiple digital events in a year?

Punit Goenka: Even today, Abhishek, the strongest medium for advertising for IPL also is television.

Our own estimate is that, it's attracting almost 3x the revenue that digital is attracting because of the sheer volume of viewership that it attracts. Digital despite being free, the pure medium being conducive to a 3.5, 4 -inch screen is not the optimum method of consumption for long-form content. And as I said earlier, long-form content is best suited to be watched on television. And given the fact that, our country is not yet fully connected TV equipped, we are still going to be dependent on linear broadcast either

through cable or satellite for at least, the foreseeable future. So from that perspective, I don't think, it's a threat for us at least in the foreseeable future from here.

Abhishek Kumar: That's helpful. That's all from my side. Thank you so much and all the best.

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Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher. Please go ahead.

Jinesh Joshi: Yes. Thanks for the opportunity. I have a bookkeeping question. Can you share, what was the operational cost of conducting the ILT20 league in this quarter. And secondly, is it also possible to quantify, what was the loss in subscription and advertising revenue due to the blackout that prevailed momentarily effect?

Mahesh Pratap Singh: Actually, Jinesh, unfortunately, we're not going to be able to comment on that. We haven't provide d either of those. So we won't be sharing or be able to give you that.

Jinesh Joshi: Okay, then let me rephrase my question. So, if you look at our EBITDA margins in this quarter, we were at about 7%. And if I look at the previous three quarters, we were in that band of about 15% to 17%. Obviously, some bit of a hit in margin would be because of the operational cost of ILT20 league. So going ahead in FY '24, I know you giving a margin outlook guidance may not serve the purpose, but will our journey to that 15% to 17% b and be swift in 1 Q, 2Q once the ad revenue recovers

? Or do you

feel that, the cost of ILT20 was not substantial enough and the margins could perhaps hover in this band?

Mahesh Pratap Singh: So let me take a shot at, Jinesh, and I'll ask Rohit and Punit if they want to add anything. When you look at this quarter's margin, it's not just ILT20, right? There are broadly three factors. One is, of course, the sports, which you spoke about. The seco nd is, as you would have seen in other sales and services bump up, we have had a fair bit of active quarter in terms of movies. While this has come in, in revenue, it has also reflected in the cost structure of the business. So that's the second bit to think of. And thirdly, there is ongoing investment in ZEE5 as we continue to grow it. So when you look at the margin structure of this quarter, it's not just the 7% being a reflection of ILT20, keep that frame in mind. And of course, there's been additionally some revenue softness, which has driven negative operating leverage in terms of switch off and other things, which Rohit alluded to. Rohit, do you want to add?

Rohit Gupta: Yes. Thank Mahesh. Just one point. It's a point, I already mentioned during my call, but maybe missed. See, last quarter, we had also recognized revenues for Siti to the tune of about INR 58 crores, which was for the prior period and that had reflected in the reported EBITDA. So I think that is also to b e considered.

Jinesh Joshi: Sure. One last question from my side. Can you please elaborate a bit more on reasons to discontinue the SugarBox business as such. Obviously, we would have had some

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plan in mind when we started it and something may not have worked out over the last 2-3 years. So any specific reason you would want to highlight over here? And have you taken a complete write -down, which is also what I want to know ?

Punit Goenka: No, we have not taken a complete write down yet. The reasons are manifold. But most importantly is the fact that given the current macroeconomic situation and secondly, the priorities of the company to focus on the capital allocation to priority businesses are the two main reasons why we have c hosen to take that decision. Beyond that, there is no other reason. And we are evaluating options as to how to look at hi ving off or potentially even getting third -party investors in that business. But that's for us to talk later when we have more details . Right now, it is a decision that we have made as stand alone business ourselves.

Operator: The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: A couple of questions. First, I'm sorry if this is a repetiti ve, I joined late. The DAUs and MAUs are not in sync for last 3 -4 quarters. I understand there is a bit of slowdown overall. But what this explains this continued underperformance in the digital, especially now that we have established there for the last 3 -4 years. We have huge content. We have continuously been investing in the content. Is there any thoughts about slowing down the content with content being mostly on the digital side and do you see whether this will have any impact on the acquisit ions or is it the required or is the current run rate is required to keep the subscriber base at this level? Is it something that we have valuated? That's my question number one.

Second is on the FTA part. Have we assesse d what is the kind of opportunity loss because of withdrawing from FTA, now it's almost 12 month s since the decision has

been taken. And any thoughts of going back to the pool given that the overall macro slowdown, it will be a sizable revenue to have in our kitty.

Punit Goenka: So I'll take the second one, and then I'll ask Mahesh to cover the first one. On the FTA part, I think it's a collective decision that as an industry we took in the interest of the Pay-TV revenues. And we have seen the Pay -

TV revenues fall arrest, especially on the DTH side, which is a positive sign for us. Of course, we had expected growth to come in, but which has not yet. But again, we have to look at it in the perspective of medium to long term rather than just a 1-year aspect. In terms of the loss on the FTA side, as
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of now, all of it is a pure loss. We have not seen any gain coming back to us. So the entire revenue that we were earning from FTA is a loss to us. What I can say to you confidently is that if we decide to go back to FTA, it will be an industry decision. It will not be an individualistic decision that we will make. And that's something that as an industry, we have committed and when I say industry, I'm not talking only about broadcasters, I'm talking about the broadcasting industry, along with the DPO industry. Mahesh, you want to take the rest.

Mahesh Pratap Singh: As I think Punit covered in his opening remarks, We've seen fairly healthy growth. If you look back, let's say, just a period of Q1 FY '22 as an example. From a revenue run rate standpoint, we were probably about INR 110 crores quarterly revenue run rate. In a span of 8 quarters where you look at Q4 '23, we are running about INR 220 crores. So it's almost doubling revenue in last 8 quarters.

Now on your question of MAU, DAU, look, I think like we've explained before, the MAU, DAU and watch time are sort of input parameters but what eventually is important to look at is revenue. In initial year phases, we'll always be focused on driving higher MAU, DAU and driving higher sampling. But once you have a large enough sample size, then a lot of focus moves in engagement and what you want to do within the base, which is already consuming the content, right.

As an example, even for this quarter, when you'd have seen, while the MAU, DAU has seen some moderation, the watch time has gone up. So don't over index MAU, DAU. At some point, I think we did disclose those metrics early on because the business was nascent. But when you look at lot of large players, once you get to a certain critical mass and scale, the revenue becomes a lead indicator, and we will also eventually move to sort of streamline the reporting metrics in the long run in terms of how do we give you better metrics to give a shape of business. But I would urge you to anchor back to revenue sort of growth rate because QoQ MAU, DAU watch time will vary depending on what our marketing objectives are and revenue is a better reflection of what's happening in the business.

Arun Prasath: The price, large part of the revenue growth also comes from the pricing, which may not be sustainable going forward. So obviously, this user growth is what is the sustainable one. And it will indicate that whether we have reached steady state when it comes to reaching a certain scale or not. And then this business is a scale and high operating leverage when you grow users. So obviously, that is a very integral part of the business, right?

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Mahesh Pratap Singh: No, I think, look, pricing has been one part of it, Arun, but it's not just all pricing, right. I think if we would have disclosed subscribers at some point, you'd have seen that.

But pricing is one element of it, but it's not just entire pricing. We've seen fairly healthy adoption and increase in users as well. And at some point, I think the operating leverage point is correct. But keep in mind that a lot of initial costs have gone into step-up investments like technology. It's more like a 0 to 1 scenario. But YoY, it's not going to be multiplying or amplifying in that context. So yes, you're right about the fact that cost has been stepped up a lot, but that's really the nature and function of cost we have invested behind.

Punit Goenka: Also, the function of pricing is a factor of the amount

of content we are putting out there. And if you look at from last year when we took the last price hike versus the amount of content that we are putting out now, that is commensurate to the kind of pricing that we can charge and what we believe people are willing to pay for it. And given that we have not seen a high level of churn despite the price increases, gives us the confidence that our content is now being liked and people are willing to pay for it.

Arun Prasath: So when you said churn is more or less stable, so what is the current level of churn.

Any qualitative or quantitative information on the churn or how much churn has reduced compared to the previous year?

Mahesh Pratap Singh: We haven't given that out.

Arun Prasath: So what I get to understand is this is a steady state kind of a customer we have already used? Is it the message to take away?

Mahesh Pratap Singh: Look, there will always be some churn. It's not that if you got 100 customers in the beginning of the year, you're going to have the same 100. But the churn, given that we have a reasonably sharper focus on B2C customers versus some of the other players who do a lot more emphasis on B2B, we believe our customer base is sticky and to that extent, that reflects in churn dynamics compared to industry. But beyond that, given sensitivity and competitive nature of the information, we won't be able to get into granular details.

Moderator: The next question is from the line of Rushabh Sharedalal from Equirus Securities. Please go ahead.

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Rushabh Sharedalal: My first question is on the case of JRC. So why are actually promoters so willing to settle – I mean, the company is so willing to – company is looking to settle promoter personal liabilities? That's my first question.

Mahesh Pratap Singh: Sorry, I'm not clear which case are you referring to?

Rushabh Sharedalal: Debt of JRC where basically the fact is – you had some INR 150 crores of loans that were extended to Cyquator Media Services Private Limited and Primat Infrapower & Multiventures Private Limited where Yes Bank had extended loan of INR 377 crores to Essel Infraprojects also and where Zee is a guarantor.

Mahesh Pratap Singh: Rushabh, I think you've got the name mix up. I'm not sure what you mean by JRC?

Rushabh Sharedalal: I'm sorry it's not JRC. It's JC Flowers.

Mahesh Pratap Singh: Okay. So look, I think if you'd have listened to the court proceedings and NCLT proceedings, like what Punit said in his remarks, from our standpoint, which is from company standpoint, anything which had any remote connection to the company has been taken care of. And there is no sort of -- no action or anything close to what you're implying in terms of company settling, which is not to do with company, I'm not sure where you get that impression from. But all the hearings have been public. Investors could come and listen to and we've been very clear about our stand against what is pertaining to the company and what doesn't pertain to the company.

Rushabh Sharedalal: Okay. Also, one question on the merger. So correct me if I'm wrong, but we actually had four hindrances in merger. Where the first one was the settlement of INR 211 crores of with the IPRS. The second one was the INR 83 crores settlement with IndusInd, which we have already done. And NCLT has already dismissed the plea against Zee for INR 150 crores. So where are we in terms of merger and how quickly can we get it done?

Mahesh Pratap Singh: I think, it's difficult for us to comment on a time line, which is subject of legal process. So I'll refrain from giving any comment on time line. Like you, we are also looking forward to it, and we are doing what we could to get to that closure. In terms of what is there in the court, most of the parties have argued that case. There was one party to argue. The next hearing

is scheduled for 16th of June, and we will see where it goes from there on. But like I said, I'll reiterate again anything which had any connection with the company. Rohit spoke about IndusInd Bank, some of the other DSRA lenders

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like Standard Chartered Bank, you made a mention of IPRS. All this is sorted and done with. So anything which we could do in our control to get merger expedited is done from our part. Now of course, we will have to put our trust and faith in the legal system and go with it. And whatever legal action we can do in the journey are being pursued at all different forums.

Rushabh Sharedalal: Okay. Just getting back to my first question only. So I was referring to the JC Flowers' case, and these loans were extended to two different entities of the promoter and Zee is a guarantor. So my question is, why is the company willing to settle the personal liabilities of the promoter? That was my question if I had miscommunicated in any manner?

Mahesh Pratap Singh: No. I don't think you miscommunicated, but the point about company looking to settle, and I'm only questioning that part. I'm not sure where you got that impression from.

Rushabh Sharedalal: Maybe, I'll take this offline. Thank you.

Moderator: Thank you. The next question is from the line of Vivekanand Subbaraman: from Ambit Capital. Please go ahead.

Vivekanand Subbaraman: So Punit, if you're there or Mahesh and Rohit, you can address this. So as far as the pricing lever is concerned for ZEE5, just wanted to understand in terms of the headroom that you believe you have for more pricing-led growth, say, in fiscal '24 and '25 considering the fact that you now have invested in a lot more content, have a bigger library. So that's question one.

And the other question, Mahesh, I think you made this comment that you seem to have a sharper focus on B2C versus peers. So I'm just trying to understand when one looks at ZEE5 revenue through the various quarters, this year versus last year, could you call out the impact of B2B deals and any reset that you may have seen there so that we can better make out the growth that you have achieved in the B2C sector? Thank you.

Mahesh Pratap Singh: So let me take the second question first, Vivek. I think that won't be possible, B2B is a small universe. So it does become sensitive. B2B is an important part of our strategy, just that the dynamics or component may be different than where some of the other players are. So that would be difficult to split out and give you or point you to specific
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quarters where there have been bumps or pressures and so on. So I think you'll have to bear with us on that one. Sorry, can remind me on your first question, Vivek?

Vivekanand Subbaraman: So I was referring to the pricing levers that you may have now given that you've already pushed through a price increase? And if you would want to comment on any potential segmentation that you could work out now that you have a large enough library across multiple languages?

Mahesh Pratap Singh: Yes. Look, I think we are still one of the most compelling sort of scaled OTT play out there. When you compare our pricing versus, let's say, a lot of our peers, the pricing does leave a fair bit of headroom in that sense. And then, of course, there could also be tiers of it in terms of how you want to do with a 4K pricing different than what your base pricing is and so on and so forth. So the room exists, and we have done this in the last few quarters. If you remember that there was a phase when we went from INR 499 to INR 699. So there will be opportunities. But at this stage, there isn't any forward-looking guidance we want to give in terms of how would we think about. I think it's going to be a function of, we do have certain revenue objectives in mind, which is a function

of subscriber growth and yield or pricing we are driving and that gets translated into multiple strategic outcomes in terms of how you exercise pricing lever, B2B versus B2C and so on. But it will all come back to revenue growth, Vivek, and I think what we've done, our aspiration would be to sort of continue and building on it and the levers could change.

Rohit, do you want to add anything?

Rohit Gupta: No, you've already alluded. I think even in terms of your point on segmentation, a lot of initiatives we've taken. We have a mobile-only price, and like you said, 4K and then to there are different packs are available to consumers depending on the kind of content that they want to consume. And we've already taken two price hikes in the last few quarters. And like Mahesh said, there is room for more. We will obviously look at it based on the competitive intensity.

Moderator: Thank you. Ladies and gentlemen, for paucity of time, that would be our last question for today. I would now like to hand the conference over to Mr. Mahesh Pratap Singh for closing comments. Over to you, sir.

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Mahesh Pratap Singh: Thank you, everyone. Thanks for joining us today. If any of your questions were unanswered, please feel free to reach out to us. Thanks for your interest in Zee Entertainment and look forward to speaking with all of you in the next quarter and maybe meet a lot of you in person through the quarter. Thank you so much. Have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

August 17, 2023

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Conference Call with Investors

This has reference to our intimation dated August 09, 2023, informing that the audio recording of the Conference Call with Investors, to discuss the Company's performance for the Quarter ended June 30, 2023, is uploaded on the website of the Company.

Please find enclosed the transcript of the above conference call held on August 09, 2023.

The said transcript has also been uploaded on the Company's website www.zee.com.

The above is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

Zee Entertainment Enterprises Limited
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Q1 FY24 CONFERENCE CALL

August 09, 2023

Transcript

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q1 FY24 Earnings Conference Call of Zee Entertainment Enterprises Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh – Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you and over to you, Sir!

Mahesh Pratap Singh: Thanks Rayo. Hello everyone, welcome to our Q1 FY24 Earnings Discussion. At the outset, I sincerely apologize for the delay in keeping you on standby. We ran late but thanks for standing by.

Mr. Punit Goenka is recusing himself from today's discussion. And we have with us our CFO; Mr. Rohit Gupta along with other members of the corporate team. We'll start with the opening remarks by Rohit covering operating and financial performance. We realize you may not have had adequate time to look at the earnings print but we will do our best to talk you through the key highlights and story behind the numbers. We'll subsequently open the floor for

questions and answer session.

Before we get started, I'd like to remind everyone that some of the statements made or discussed on today's conference call will be forward looking in the nature and these must be viewed in conjunction with risks and uncertainties we face. The Company does not undertake to update any of these forward-looking statements publicly.

With that I'll now hand the call over to Rohit for his opening remarks.

Rohit Gupta: Thank you Mahesh. Good evening, everyone. Thank you for taking the time out to join us this evening to discuss the Company's performance during the first quarter of the financial year 2023-24.

Before I get into the details of the quarter, I would like to apprise you all on the proposed merger between Zee and Sony. As you would have noted the Mumbai bench of the NCLT has heard the matter and reserved the final order in its hearing on 10th July. The order has now been listed for pronouncement tomorrow. The merger has already received approvals from the Bombay Stock Exchange, National Stock Exchange and the Competition Commission of India and the shareholders of the Company. Our belief in the potential of the merged Company to generate immense value for all stakeholders and the media and entertainment industry at large remains firm.

Now coming to the quarter, there are positive signs of growth across the Media & Entertainment sector at large, and several attractive opportunities exist across segments. Even as the digital ecosystem continues to grow at a steady pace, there remains an exciting opportunity for television in India as well. The headroom for growth of pay TV households in India is immense and rising content consumption can

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certainly act as a catalyst for growth in this segment. Evolving consumer behaviours and technological advancements are becoming the growth tailwinds for the sector, and it remains well-poised to witness robust and orderly growth across all segments in the near future.

The new fiscal has started on an optimistic note with some green shoots being seen in the overall advertising sentiment and roll out of NTO 3.0 paving way for TV subscription revenue growth. That said, there remains immense headroom for overall Ad environment recovery on the back of improving consumer demand, and we remain hopeful of the next few quarters driving growth. The focus for us during the quarter has been on strengthening our businesses and offering a compelling content pipeline across platforms to keep viewers entertained. This strategy continues to deliver results for us, and I will take you through the operational and financial performance of the Company in detail.

While we continued to see muted Ad spending environment during the good part of the quarter, encouragingly there were green shoots emerging as we exited the quarter. Q1 started off on a slow note and with IPL during month of April and May, Ad spending was particularly muted. However, towards the back end of the quarter, there were early signs of Ad spends starting to pick up, led by FMCG. We have seen this pickup continue heading in to Q2 as well, however, recovery is still nascent, and pace of pickup is moderate at this point. Overall, we remain hopeful that the positive momentum will continue, enabling us to drive growth in Ad revenues.

There are also very encouraging signs across the TV broadcasting industry. IPL 2023 was biggest ever IPL on television with staggering 32% growth in television ratings compared to the 2022 edition. Overall TV viewership during the quarter is at its five - quarters peak and share of Pay-TV in the overall TV viewership has also increased at a healthy clip. In fact, even from the base of Q1 FY23, when we and other major broadcasters removed our Hindi GECs from FreeDish, Pay -TV has gained further share

are

in the last four -quarters. Linear TV plays a very important role in our business portfolio, and serves a very relevant purpose for both viewers as well as advertisers. We remain confident about our ability to grow our overall linear TV business revenues.

A testimony of that is visible in our linear TV subscription revenue growth during the quarter. We are seeing benefits of NTO 3.0 translate to revenues and it will take couple of quarters for NTO transmission to fully settle down. As we drive NTO rollout, we are also ploughing back some of this growth in marketing for longer -term sustenance and growth of pay -TV ecosystem. Hence, do keep in mind that while the headline growth in linear TV subscription revenues seems higher than inflationary growth levels we had indicated earlier, from a net contribution perspective, factoring in higher marketing, we will likely end up close to inflationary growth.

In our linear TV, our viewership share performance continues to gain momentum and we are at a five -quarter high point with several success stories of winning share back or strengthening leadership position in key markets. As you look at the viewership share for Q1 FY24, keep in mind that GEC share in Q1 gets adversely impacted by ZEEL Q1 FY24 Earnings Call Transcript August 09 , 2023

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seasonal pickup in Sports (IPL) and Kids genre in summer months. Hence, we have also provided you with viewership share for the month of June which is a better reflection of current trendline of the business momentum. Our June -2023 share at a high point in the last five quarter. On viewership share, we will now be providing you viewership share for Urban 15+ age cut as that is most reflective of our current business context. Historically, we used to report Urban+Rural for 2+ age category and given Zee Anmol exit and absence of Kids channel, that cut isn't very relevant. This quarter alone, for transition and continuity purpose, we are providing you with both the cuts. One very important takeaway and success story I want to leave you with is that when you look at 15+ Urban viewership share, which is a better view of monetizable viewership, we have gained 90 bps viewership share comparing June -23 with Q4FY22. This viewership gain is despite the fact that we have switched-off signal to Siti network and that has adversely impacted our reach during the last quarter. That's a testimony of our team's concentrated efforts to win back share and in comparison every other broadcasting network for the same period has either been stagnant or has lost share.

What is most exciting though is, the texture of this performance in each specific market. We are the fastest growing network by viewership in the South. Zee Tamil share is now at 30 -months high, Zee Telugu share is at an all -time high, Zee Kannada continues to lead the market by a big margin. Zee Keralam, our Malayalam GEC,

youngest of our southern GECs which we launched only in 2018, has climbed to become Number two in the market. In East region as well, we have had gains across all channels with market leadership in Zee Bengla and Zee Sarthak in Odia. Zee Punjabi is number one channel in the Punjab/Chandigarh region. We have leadership in Hindi movies and Marathi movies. Amongst all these bright spots, ZeeTV and Zee Marathi still remain a challenge and team is hard at work to regain momentum. On digital side, ZEE5 had a steady quarter with 21% YoY digital revenue growth. There is a sequential moderation in Q1FY24 revenues and that is to do with some B2B catch-up revenues we had in Q4 along with ILT20 contribution. Our original content continues to be extremely well received. As an example, ZEE5 original movie "Sirf Ek Bandaa Kaafi Hai" has received great reviews and appreciation globally, and has gone on to become the most viewed direct to digital original in the last one year on ZEE5.

Other key impact releases on ZEE5 during the quarter included Season 2 of our original show Taj and ZEE5 original movies like Mrs. Undercover and U-turn. From this quarter onwards, we are not reporting ZEE5 usage or engagement metrics and will request you to anchor to revenue as a measure for growth. Those KPIs were relevant in early stages of business to demonstrate traction, however, now having got to a reasonable scale, these metrics are sort of vanity metrics. We ourselves don't index on these metrics in our internal business decision making or planning and hence we wanted to align external reporting to reflect that as well. Our usage and engagement metrics remain healthy and as an additional colour, our number of total subscribers have grown both QoQ and YoY and watch time has improved from Q4 levels. We are providing this colour just for this quarter to address any doubt on health of business and we will not provide this commentary going forward. We will ZEEL Q1 FY24 Earnings Call Transcript August 09, 2023

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continue to evaluate if there are other relevant KPIs which we can add in the future as ZEE5 business further matures.

As a business, we are also very focused in optimising our content monetisation potential for the long term and have not hesitated in sacrificing near term sub optimal monetisation for what we believe longer term true commercial value of our content is. We demonstrated this by taking Zee Anmol off DD FreeDish last year and very recently we have also taken our fresh TV content on ZEE5 behind paywall in four languages including Telugu, Marathi, Bengali and Odia. As a result of this experiment, we expect more viewers to move to SVOD in ZEE5, and on the other hand, we are already seeing these regions outperform national average on linear TV side in terms of pay-TV viewer stickiness.

Coming to the movie business, during Q1FY24, Zee Studios released 7 movies (3 Hindi and 4 regional) with Kisi Ka Bhai Kisi Ki Jaan, Bandaa, Godday Godday Cha being some of the headline names. "Other Sales and Services" revenues are up YoY 42% on the back of higher number of movies produced and released. This revenue is lower 48% QoQ as Q4FY23 revenues were aided by higher theatrical and syndication revenue from movies like Thunivu and Mrs. Chatterjee vs Norway. We have an exciting movie content line-up for coming quarters with much anticipated Gadar -2 releasing later this week and Maidan to follow later in the year.

On Music business, industry is going through a period of adjustment with few music streaming apps shutting down and some others pivoting from an Ad to subscription based model. These changes will create near term revenue softness. Zee Music Company (ZMC) is well positioned to navigate this challenging environment effectively and has seen consistent growth in video views and subscribers, highlighting strength of ZMC music catalogue and library. ZMC is #2 music channel and acquired 62% of new Hindi movie titles in Q1FY24.

Now moving to costs and Profitability, in Q1FY24, overall operating cost has reduced QoQ by 7% due to lower content costs and effective cost management. Resultantly, EBITDA margins have come in at 7.8%, higher by 60 bps QoQ. YoY overall operating cost are up 16% due to higher content cost in linear TV and movies, headcount additions and wage increments, sustained investment in ZEE5 and marketing cost step-up towards NTO rollout. ZEE5 cost base has been steady QoQ, in-line with our indication of the ZEE5 being close to its peak investment levels. ZEE5 absolute EBITDA loss has increased QoQ to Rs 342 Crores for the quarter, primarily due to lower revenues causing adverse operating leverage.

PAT from continued operations for the quarter came in at Rs 39 mn. Net profit for the quarter and year was impacted by exceptional items outlined in our financial results. The c

ash & treasury investments of the company as of Jun'23 stood at Rs 5,344 mn, including Cash balance of Rs 3,942 mn and FDs of Rs 1,402 mn. Also, quickly touching upon the receivables from Dish, outstanding has substantially reduced to Rs 622 mn as on June 2023.

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Moving through the rest of FY24, we are expecting gradual recovery in Ad spends and are optimistic based on green shoots we have seen in last six-weeks. We will still need to see this traction fructify in spending and sustain before making any firm prediction on pace of recovery. Ad revenues pickup will hopefully be also aided by a longer festive period this year with Diwali being in mid-November. We will continue to recalibrate our investments and optimise our cost structure, while making room for strategic bets. With revenue pick up, we are hopeful that we will also have more levers to manage profitability as the year progresses.

Back to you Mahesh

Mahesh Pratap Singh: Thanks Rohit. Rayo we can now open the call for questions.

Moderator: Thank you very much. We will now begin with the Question-and-Answer Session.

The first question is from the line of Vivekanand Subramanian from Edelweiss

Vivekanand S: I had a question related to the merger. So given that Zee has argued in the NCLT court that Punit's proceedings and the company are two different things. Now if I were to look at the merger because the merger agreement specifies Punit to be the MD and CEO. If the NCLT approves the merger would the merger deed need to be modified given that currently Punit can't hold directorship and key managerial position? That's question number one. And then I have a few questions on business.

Vikas Somani: This is Vikas here. I'll take your question, as Rohit has informed you that the NCLT is going to pronounce the order tomorrow. So, we'll get to know the real color of the order tomorrow. As Punit had already cleared before that, they are two different things his case with Sebi and the merger and that's how we are looking at it. There is no other change apart from this clause where Punit Goenka is an integral part and MD-CEO of the merged co. Apart from this clause there are no other changes in any other clause, the Swap ratio, or the valuation all other clauses are going to be or as it is. So, we are hopeful that just because of one of this clause we don't see any major impediment towards the conclusion of the merger coming. But as we said it's just a matter of another 24 hours and we'll get to see the true color of the order tomorrow.

Vivekanand S: My next question is on the color of the ad recovery that you pointed out and thanks for giving some insights on how June and July are looking. So, from an FMCG standpoint if I understand correctly half the ad revenue comes from FMCG and the sensitivity of Zee's linear TV business to FMCG should be very high. Is that understanding, correct? So, if that is correct then why is it that a recovery in ad spends led by FMCG is only leading to a muted pickup in June and July?

Rohit Gupta: Like I said we are seeing some green shoots and in late June and July, there are some early signs of ad spends starting to pick up led by FMCG.

FMCG is about 60% as we have always said of our business. So, we are very hopeful, and we'll continue to be looking at how this recovery comes up. But because it is still just a couple of months at this point of time, we are not able to give you a very robust

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growth picture. But we remain hopeful that the positive momentum will continue and definitely during the festive season we'll be able to see ad recovery growing.

Mahesh Pratap Singh: Just to add to what Rohit said Vivek, when you

look at the quarter performance keep

in mind a couple of other things. You also had a quarter where some share of spending did go to things like a very marquee sport property or things go to—it's a summer vacation some spending does go to—kids' genre and so on. So that's one thing which would have played out when you look at from spender versus receiver in a way. The second thing to keep in mind is yes, you're right in the fact that FMCG is one of the highest categories and there is a very high degree of sensitivity. But underneath there have also been areas which have continued to be sort of soft. The whole new-age sort of bucket is still not really spending and a small bit of churn offsets what you get in other parts of the portfolio. Even for things like consumer durables, for example the quarter, the unseasonal rains, summer was quite a patchy and all that. So, what you're seeing on a headline basis is a combination of FMCG plus several other moving factors. Also, a quarter where some spending would have gone into sports or kids and so on. So that's the other frame to keep in mind as you compare the commentary, you're getting from let's say FMCG versus what you're seeing in ad spending.

Vivekanand S: My last question is on the comments that Rohit made on the programming in regional

content. So, could you explain that better and secondly with respect to the viewership shares that we are disclosing now, what is the key driver of viewership share? Is it more original programming hours or is it that the fresh content in primetime, that is delivering better results?

Mahesh Pratap Singh: So, let me take a shot at it. Rohit, feel free to add. The first question you asked Vivek was that about the share in each of the regional markets? Is that what you were alluding to in your first part of the question?

Vivekanand S: So, I couldn't understand the comment, so well where Rohit mentioned about certain programming interventions in the regional markets and push towards SVOD.

Mahesh Pratap Singh: So, what we were saying was basically making a point about how we are continuing to keep content monetization and getting the true potential or value of the content in every decision we are making. In that context Rohit was talking about the fact that, typically what used to happen and what still happens in most cases is if you have a ZEE5 subscription you come in we have an AVOD tier which is ad supported tier and you could see the TV content there. And then there is a paywall behind which we have all our original content which is our original shows and movies and so on. So those are the two tiers you get in. The experiment or the initiative we've done which Rohit spoke about was the four languages which is Telugu, Bengali, Marathi and Odia. We've taken our TV content and sort of put it behind the paywall which means if you're historically seeing TV content on an ad supported tier coming in when you now come in you actually see a paywall and it's driving two things. These are early days but it's driving two things. One we hope that this will drive more people to move to subscription which is where the SVOD point Rohit made. But the second thing we're also seeing is on the linear TV side itself in these markets where we have taken

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content behind the paywall it's also driving slightly better stickiness compared to national averages when it comes to viewership on the TV side of things. So that's the point Rohit was making from an intervention standpoint. Hope that's clear and then I'll move to your second question.

Vivekanand S: Yes, very clear and very interesting.

Mahesh Pratap Singh: On the second question in terms of content, it's largely to do with the sort of effectiveness and quality of content we are making. It's less about

number of hours.

Of course, there will always be choices you'll make in terms of programming slots, what goes where, how do you refresh and all of it. But a lot of this is that the viewership share gain, we've really seen reflects how sort of tuned-in our teams have been in terms of consumer and viewer preferences. How have they brought stories to life, what kind of narratives, what kind of protagonist you've taken and shown the content and that content really resonates with audiences. Keep in mind that these are markets where there are difficult markets in southern clusters. We've been speaking about something like Zee Tamil where were going through a lean patch. The recovery has been quite robust. Rohit spoke about the market, which is fairly new for us something like Malayalam, Kerala. And we've gone on to become #2. So, a lot of this is really a reflection of how tuned in our teams have been in terms of getting a pulse of consumer and bringing this to life in terms of stories we are telling and those stories really resonating with audiences.

Moderator: The next question is from the line of Abneesh Roy from Nu Vama Institutional Equities.

Abneesh Roy: My question is the market share expansion which you said in South India for example Kerala you have become #2. Some of the other three states you have hit multi month high. Who is losing share? What's driving this and any learnings from those 4-5 states in south which you can transplant to Hindi and Marathi where you have been trying a lot but somehow it doesn't seem to be working?

Mahesh Pratap Singh: So, on the second part Abneesh, yes, we are doing that. I think we're looking at stories and narratives which are working in a specific market and then seeing how do we contextualize it for a slightly different region and bring this to life. So that's something which is clearly on the cards, and we will look at it, clearly that's something is true.

The share gain is really a market-to-market dynamic. A few of them are fairly sort of multiplayer markets where there are 3-4 players and some of the markets are largely two player markets. So, it's really coming from, in a situation of two player market it's clearly coming from the second player largely. But in some cases where something like Malayalam as an example is a sort of multiplayer market where we've consolidated on expense of everyone to some extent.

Abneesh Roy: And in terms of the very high spends in ZEE5, where do you see the balance three quarters because here every quarter there is a negative surprise in terms of the losses? When we see other regional players, global players everyone is talking of

come out but somehow ZEE5 seems to be the only aberration there. So why you are not going to be cautious just like other players wanted to understand this ?

Mahesh Pratap Singh: I will take a shot at it and Rohit feel free to add . So, I think look Abneesh, when you look at this quarter we are actually quite pleased with the fact that the cost base has been fairly steady in ZEE5 and keep in mind this is despite us having to take in effect the increments and wage escalation which would have come in. So , if you look at considering all that , there has been prudent cost management to offset some of these increases and still keep the cost base steady. Now to your point, yes what has happened is your EBITDA loss has widened but that's largely a function of what has flown through the revenue. If you look at the Q 4, we were at about 220 crores quarterly revenue and Q 1 because there were some catch up revenues in Q 4, Q1 has moderated back to about 195 crores odd and that's the difference which is largely flown through margins. But when

you really look at revenue plus EBITDA loss and compare Q 4 and Q 1 from a cost-based standpoint , they're very steady and that despite taking some of the seasonal increments like wage escalation . Moving forward. We believe what you're seeing as a cost base in Q 4 and Q 1 is largely at peak. We will still have to invest in content and some usage -based investment in technology. But we are hopeful that within our cost management and efficiencies and other parts of the portfolio , we will try and find a balance where what you're seeing in the last couple of quarters remain largely the cost base of the business.

Abneesh Roy: Last quick question , you are also a significant movie producer. We have seen in the earlier quarters regional movies doing well generally in the box office. Now what we are seeing Hollywood movies and some of the Hindi movies are also doing well. Given that kind of a development , are you recalibrating your movie production any changes? Because you had also tried to be a bit cautious on that. But again , because now there is a bit of recovery , how do you see in the coming quarters and maybe even FY25 pipeline of movies , budget size of the movies ?

Mahesh Pratap Singh: Abneesh we continue to look at this in a fairly dynamic manner. We start the year with a broad plan, but we look at this fairly quarter -on-quarter in terms of where we commit and sort of sign a project. So , you're always going to see some tent pole or mainstream movies which we do and there's going to be fair bit of regional in the mix . But it's not something which we get deeply tied into well ahead and commit. It's a fairly evolving scenario which will have mix of Hindi and regional. It'll have mix of tent pole properties and mid ticket , small budget movies , a combination of that. That's where really, we'll continue to play and balance in our overall envelope.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora: First is , can you talk about whether all the bank litigations are now settled and what is the amount which you paid versus the total provision that you had created?

Mukund : So, in respect of the bank litigation , two out of the three DSRA claims were settled. One has been completely settled IndusInd and both parties have withdrawn the relevant litigations in that . The second one was with Standard Chartered, which is progressing as per the terms agreed. In respect of the third matter on IDBI , that case
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was dismissed by the NCLT, and the matter is now sub judice. So that remains to be dealt with.

Kunal Vora: And what's the total payment which was made for this in the quarter?

Mahesh Pratap Singh: We haven't disclosed the specifics of these settlements , Kunal.

Mukund : Just to add , the payments are within the provisions which are there .

Mahesh Pratap Singh : And if you look at Kunal the notes to account , this does cover about DSRA . There's a specific note which talks about the fact that what's been accounted for and adequate provisions being in place and all that. So just have a look at that.

Kunal Vora: I'll have a look at that. Second is you've taken some additional write -off for Sugarbox . What was the total investment in Sugar box and is that fully written off and are you going to realize anything at all on that?

Rohit Gupta: So, see last quarter we had mentioned that we are discontinuing the operations of Sugar box and all the investments that we had which was roughly around 300 crores , we had written down. What you see in this quarter is of course the remnants that are there for Quarter 1 and all the closure expenses and I don't foresee any more expenses on Sugarbox coming forward.

Kunal Vora: So total investment was about say 300 and 330 crore s and that's been fully written - off

?

Rohit Gupta: The total investment was higher. Zee has taken over all the assets and everything what Sugar box had and there was a valuation of some claims. So out of about 420 crores, about 300 crores is what we wrote down and the balance still remains in these standalone books. But on a consolidated it doesn't matter, it's a net figure.

Kunal Vora: And last one is can you talk about how the business is being managed right now? Whether any changes have been made in the leadership team, at least in the interim period?

Rohit Gupta: So, as you would have seen, the board based on the legal advice, they had formed an internal committee. So that's one. Secondly these are all, business actually managed by all professional leaders, senior leaders so really from that point of view there is no change and no disruption in the business.

Kunal Vora: So, any big decisions which need to be taken would be taken?

Rohit Gupta: We are consulting them.

Kunal Vora: Board?

Rohit Gupta: Yes. Any big decision etc. we obviously continue to consult our board.

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Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher.

Jinesh Joshi: I have a question, on the opening remarks made with respect to discontinuing our services with Siti. But I believe if Siti was on cash and carry, so any specific reason for discontinuing? And also, we have left out east from this whole setup, so any reason behind that as well?

Rohit Gupta: So, we had moved to a cash and carry model with Siti a few quarters back but because there were certain litigations going on in Siti, we were not receiving payments from Siti and therefore we were not able to recognize our revenue. Therefore, we had to take revenue on the top line and then make a provision and were disclosing that. We decided that in Siti and we had mentioned that in the last quarter call as well that we are switching off signal to Siti, so really, it's a matter of recovering money from Siti.

Jinesh Joshi: I think the signal is not shut in the east region?

Rohit Gupta: Yes, that's right.

Jinesh Joshi: What was the reason for leaving that region?

Rohit Gupta: Actually, in east, there is Siti and there are certain other providers which are actually bunched together and there is regular money coming in there plus there is extensive reach that we get and because there are money which keeps coming in from there we don't see any reason to shut off east.

Jinesh Joshi: Second bookkeeping question is with respect to the merger-related cost, so we have seen this cost hit us since the last few quarters. So, can you just share what is the total estimated cost which we are envisaging and how much have we recognized so far?

Mahesh Pratap Singh: Jinesh, it's very difficult to give you an estimate of what the cost would be. Keep in mind that this is a function of, one, we've taken longer in terms of completion and teams working through it and legal expenses and all that. So, unless we really have a firm closure or sort of a clear timeline to work with, it's very difficult to estimate something which doesn't have a sort of end timeline in front of us.

Jinesh Joshi: One last question from my side. I think the BCCI Media Rights auction is due in a few days. So just wanted to know, are we participating in the auction and have we purchased the invitation to tender?

Mahesh Pratap Singh: Jinesh, we as a media and entertainment player, we look at every opportunity coming our way and evaluate that based on what it does and from the prism of value creation and everything. So, we evaluate it. As you can appreciate at this point in time, it's not fair for us to publicly comment, given competitive sensitivities, but suffice it to say that we look at every opportunity and evaluate it on its merit.

Jinesh Joshi: Just kind of ask one last question, but have we purchased the tender? Can we share that?

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Mahesh Pratap Singh: Yes, we have purchased the tender.

Moderator: We take the next question from the line of Jay Doshi from Kotak.

Jay Doshi: Linear TV advertising for IPL this time declined by 50% and seems like Star has incurred significant losses. So, given that backdrop, we'd like to understand what is the amount that you've agreed for ICC rights, the understanding you have with Star and whether it is a legally tenable contract that they can enforce or there is a room for renegotiation there?

Mahesh Pratap Singh: The 50% seems a bit sort of out of ordinary. It's not for us to comment, given it is Star's number, but I think our estimate is much lower than that. But keeping that aside, look, we haven't disclosed the specifics of deal between us and Star on this

one, and we are bound by sort of confidentiality es and specifics. So, we won't be able to comment on any financial contours of that partnership or engagement.

Jay Doshi: Let me confirm that if I've understood it correctly. So, at this point of time, there is no legal contract between you and Star India for ICC rights, for which Star has kind of agreed, bought a contract for TV and Digital for \$3 billion, but they don't have a firm commitment from your end?

Vikas Somani : We definitely have an arrangement with Star wherein as news has been made public that we are sharing the TV broadcasting rights with them. So, the arrangement is definitely there.

Jay Doshi: So, in that case, I would urge you to sort of come up with appropriate disclosures. We are talking about a few hundred crores or thousand crores of losses from what we have seen in IPL, right? From public news, media news, star is forced to look for a JV partner in India. I think it's as meaningful as anything else in business. So, I would request you to take a legal view and provide us with some disclosures in terms of what's the potential cost and what's the legal sort of contract.

Vikas Somani : Noted and we definitely will be making all those disclosures at the right time. On all these matters we always do keep on counseling with our counsels and at the right time we'll come back and make all the right disclosures.

Jay Doshi: Because people in the industry know, right? So, it's unfair for investors not to know something which maybe half a dozen people in the industry already are aware about.

That 's one. Second is likewise, I would also request more disclosures on digital on the cost front because your current quarterly operating cost run rate is now over 500 crores. Very meaningful. So, perhaps some breakup in terms of what's the programming cost for digital, what is the technology cost, marketing cost and employee cost is some basics around that starting next quarter or maybe post - merger.

Mahesh Pratap Singh : Point well noted, Jay. Leave this with us. We of course evaluate this on an ongoing basis, it is a fair point and let us see what kind of granularity or sort of visibility we can provide you. So, we note your feedback.

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Moderator: The next question is from Abhisek Banerjee from ICICI Securities.

Abhisek Banerjee: Again, on the same point that the previous caller was speaking on. In terms of disclosures in the Zee digital business, the MAU numbers or the number of viewers, these numbers, I understand where you might be coming from in terms of competitive intensity, maybe, but it actually does help us to have some idea of when the profit metrics start coming in. So, I would please urge you to reconsider that. Now, moving ahead, in terms of the movie production business, what is the outlook for the next

quarter given one or two of your big movies are coming out? And if any give any clarity by providing any numbers on the run rate of how ad spend improvements are being seen, because we have been hearing about green shoots for some time now. But frankly, I know I can understand the industries yet to recover, but if you can give us some numbers, it just gives us some better clarity.

Mahesh Pratap Singh : So, let me take those Abhishek. Look, point noted on the first one, ZEE5. I think if you've been on our calls even last couple of quarters, you've seen this question come back up. We look at this on an ongoing basis and as we came into this year, we looked at it again . There are two objectives here and points taken that we'll continue to evaluate if there's something else we can provide. But one point really was that look, we don't really index on these as much as we did when the business started, right . So, to that extent it's always prudent to align the reporting the way we look at business. And you would remember we used to get on call and there were questions saying look, MAU has gone up and down in revenue and how do we correlate to it? The second thing which has happened is we've had a lot of direct offline one -on-one conversations, investors and analysts would come and say look, this is one number. But I look at Comscore, I look at App Annie, I look at similar web, this number is there, that number is there and all this, it's something where there are multiple sources to cut and dice it depending on who you refer to. And that's where this becomes this is a bit of a divided view, but there are few folks who find it useful and there are a few folks who find it difficult to reconcile multiple sources. So, we thought it's best to align with what we see. The key driver of the business really remains subscribers and ARPU and given sensitivities at this point in time we of course can't disclose. But point noted, we will look at one, of course reconsidering what we used to disclose plus also if there's anything else we can use to give you incremental color.

The second one, you had a point on sort of movies, right? And the big one coming two days later is Gadar 2, and I think that's a big one but that's really what I could

allude to at this point. And then of course there would be a combination of smaller tickets or regionals as the quarter progresses. But that's the big one for the quarter looking out from a Q2 standpoint.

The third question in terms of any commentary or color on pace of ad environment recovery, like Rohit said, we're seeing green shoots, but it is still nascent, wouldn't be able to quantify. I mean there are select clients where we are clearly seeing a step up happening but as you yourself said, we'd rather see a trend before really giving any definitive view or prediction on this. So, at this stage what we are seeing is clearly there's a step up but it's fairly modest and we would want to see the sustenance of

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this as the quarter progresses. So that's really where we are. We won't be able to give you a specific number or trend line beyond that.

Abhisek Banerjee: Understood. Just extending the first question in terms of the recent business, is it possible to share something like contribution margins with us which gives us some idea of how the profits are moving. And on the second one, what would be the approximate proportion of NBOs which kind of come to you for movies produced by you? I mean from historical numbers if you can give us some context that will help.

Mahesh Pratap Singh : Sorry, the second one who comes to us, you said NBO, is it?

Abhisek Banerjee: What proportion of Net box office revenues are accrued to your revenues basically for movies that is produced by you ?

Mahesh Pratap Singh : It varies market by market, Abh

ishek, a little bit and then of course, we can take that offline. As it will be a longer conversation, but it does vary market to market. There are times we also do just the distribution deal as an example and that's a different model . Different models exist in that sense.

Moderator: That would be the last question. I would now like to hand the conference over to Mr.

Mahesh Pratap Singh for closing comments.

Mahesh Pratap Singh: Thanks Rayo . Thanks everyone. Thanks for standing by and once again apologies for keeping you waiting. Hope the conversation was useful for you to get a better color on the performance. Please feel free to reach out to us if there are any follow -up questions as you do a deeper study of numbers. We will be available and look forward to speaking to you and meeting all of you in person soon. Thank you.

Moderator: Thank you very much. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Call: Nov 2023

November 17, 2023

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call

This has reference to our communication dated November 9, 2023 and pursuant to the provisions of Regulation 46(2) (oa)(i) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , the transcript of the conference call held on November 9, 2023 , on the Company's performance for the quarter and half year ended September 30, 2023 , is enclosed herewith. The said transcript is also available on Company's website at :

[https://assets.zee.com/wp-content/uploads/2023/11/17173111/Q2 -FY24 -Earnings -Call-Transcript.pdf](https://assets.zee.com/wp-content/uploads/2023/11/17173111/Q2-FY24-Earnings-Call-Transcript.pdf)

This is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Zee Entertainment Enterprises Limited
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Q2 FY24 CONFERENCE CALL

November 09, 2023

Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" - that is, statements related to future, not past, events. In this context, forward-looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward-looking statements. The company does not undertake to update its forward-looking statements.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh, the Head of Investor Relations for Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Mahesh Singh: Thanks, Enzo. Hello, everyone. Welcome to our Q2 FY '24 earnings discussion. We hope you had an opportunity to glance through our earnings. Today, we are joined by our Managing Director and CEO, Mr. Punit Goenka, along with the senior management team. We will start the call with opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Rohit Gupta, our Chief Financial Officer. We will subsequently open the floor for questions -and-answer session.

Before we get started, let me remind everyone that some of the statements made or discussed on today's conference call will be forward -

looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly. With that, I'll now hand the call over to Mr. Goenka for his opening remarks. Over to you.

Punit Goenka: Thank you, Mahesh. Good evening, everyone. I hope all of you are doing well and are gearing up for the long Diwali celebration weekend. Thank you for taking the time out to join us this evening. I am pleased to connect with all of you, as we discuss our Company's performance in the second quarter of the financial year 2023 - 2024. Let me give you a macro-level overview on the industry and our performance during the quarter gone by, post which our CFO, Rohit Gupta will take you through the financial and operating metrics.

Before we begin, let me share a quick update on the proposed merger with Sony. As you all must have noted, during the quarter, we received an approval from the Mumbai bench of the Hon' National Company Law Tribunal (NCLT) for the Composite Scheme of Arrangement. From our perspective, we are committed towards ensuring

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that all points in the Composite Scheme of Arrangement are duly addressed. We recognize the value that this merger holds, and our focus remains on unlocking this opportunity for all the shareholders.

Coming back to the Company's performance - let's begin with the movies segment.

The second quarter brought in a lot of excitement for the industry at large, with audiences returning to theatres and movies delivering a blockbuster performance at the box office. We witnessed a good quarter on the back of an extremely encouraging response received for our films. These included 'Gadar 2' in Hindi, 'Bro' in Telugu and 'King of Kotha' in Malayalam, which boosted our overall performance. Zee Studios is a strategic piece of our portfolio, and it plays a very synergistic and complimentary

role in the success of our linear and digital businesses. Our investment focus continues to remain sharp on films across all languages enabling Zee Studios to emerge as a truly pan-India studio.

The industry is going through rapid evolution and several changes can be expected at a structural level in the years to come. It is an exciting time for the media & entertainment ecosystem, and the increasing investment and competition will only lead to higher opportunities for growth. Amidst this scenario, our company remains well-positioned to capitalize on any shifts and the resultant opportunities with a well-diversified portfolio. What we have built at ZEE is a truly unique and valuable asset, that harbours the capabilities to continue delivering returns to its shareholders amidst such changes. As the industry contends with advertisement revenue and subscription revenue recovery, our performance in another key business segment, helped offset the slow growth rate, displaying the fundamental strength of our business. The quarter gone by has certainly accrued higher value than the previous quarter, and we remain cautiously optimistic on the outlook going forward.

We are seeing a gradual recovery in the advertising sentiment, which led to gains during the quarter. But the recovery mode has just begun, and we are yet to witness rural sentiment improve entirely, thereby keeping us cautious on the overall growth. The festive season is expected to spur growth in the third quarter, and we remain optimistic of delivering higher growth albeit with some caution towards the overall macro-economic environment.

On the subscription side as well, with NTO 3.0 implementation having stabilized, we find ourselves on a better footing, and remain hopeful of sustaining positive growth levels in the coming few quarters. We continue to make significant efforts along with ZEE Entertainment Enterprises Limited November

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the industry, to drive growth of the pay TV ecosystem in India. We are enthused by the results of those efforts, wherein TV viewership continues to grow. The share of pay TV is at its peak of the past seven quarters, having increased by nearly 300 basis points (bps) in the last one year.

Coming to our digital platform, all the usage metrics for ZEE5 continue to remain healthy on the back of key originals and direct to digital films driving higher subscriber acquisition and retention. Our revenues are a suitable reflection of the platform's growth quarter on quarter and are in line with external and industry reporting standards. We also witnessed a healthy reduction in ZEE5's EBITDA losses, in-line with our indication of the platform already being close to its peak investment levels.

Overall, the second quarter has displayed positive signs of growth compared to the start of this fiscal, and we remain hopeful of this sentiment further improving as we move forward. On that note, I would like to hand over the session to Rohit to take you through the financial and operating metrics of the Company's performance in detail. I would also like to take this opportunity to wish all of you and your loved ones a very happy and a prosperous Diwali. I look forward to interacting with you during the Q&A session later. Over to you Rohit.

Rohit Gupta: Thank you, Punit. Good evening, everyone and great to connect with all of you. We have had a good all-round operating and financial performance in Q2, and I will briefly touch upon some of the key highlights.

As Punit alluded, the industry landscape is transforming, and we are very excited about longer-term growth prospects for our broad content portfolio and diversified offerings. We are continuing to shape our business with focused investments for the future, while navigating some of the near-term headwinds around soft Ad environment.

During the quarter, while we saw some gradual pickup in Ad spending led by FMCG, pace of recovery is still slow. Asia Cup cricket in September also took some share of FMCG Ad money. Our Ad revenues were 3.3% lower YoY and grew at a modest pace of 4.1% QoQ, reflecting nascent pace of Ad spend recovery. Looking forward, we are optimistic of gradual recovery to continue in Q3 on back of festive season, however, cricket world cup will take some share away.

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With NTO 3.0 having paved way for TV subscription revenue growth and step up in ZEE5 subscription, our subscription revenues were up 8.0% YoY. On a QoQ basis, there is a slight moderation of 2.2% decline, given we had a lumpy base in Q1 for TV subscription revenue, which was the first full quarter post NTO 3.0 implementation. TV industry landscape remains healthy and post NTO implementation, we remain optimistic of modest growth in our TV subscription revenues.

Q2 was another strong quarter for our TV viewership share performance, wherein we have gained 90 bps share QoQ to take our network share to 17.9%. It's heartening to note that this gain is fairly broad-based across several key markets including Zee TV, Marathi cluster, Hindi movie channels, and southern channels like Zee Kannada and Keralam. We remain market leaders in Hindi and Marathi movies, Kannada, Odia, Bangla, and Punjabi. From a competitive landscape perspective, our 90-bps share gain is highest among all major TV networks in India. Overall, we are extremely pleased with team's concentrated efforts to win back share and hope to keep the momentum in coming quarters. Specific to Q3, please keep in mind that GEC share in December quarter will be adversely impacted by Cricket world cup.

On digital side, ZEE5 had a strong quarter with 59% YoY and 37% QoQ digital revenue growth. We have seen growth in ZEE5 subscription, and a digital syndication deal has further aided the rev

enue growth. Our original content continues to resonate well with viewers, and we released 22 shows and movies, including 4 originals during the quarter. Driven by operating leverage and prudent cost management, ZEE5 EBITDA loss has narrowed by Rs 882 mn QoQ.

Coming to the movie business, Q2FY24 was a blockbuster quarter for Zee Studios which created new records in terms of footfalls and box office collection. Zee Studios released 6 movies (2 Hindi and 4 regional) during the quarter with Gadar 2, Bro, King of Kotha being some of the headline names. Gadar 2 went on to become the highest ever grossing movie on box office for Zee Studios. As a result of strong performance of theatrical releases and syndication, "Other Sales and Services" revenues are up 201% YoY and 322% QoQ.

On Music business, Zee Music Company (ZMC) is seeing consistent growth in video views and subscribers, highlighting strength of ZMC new-age music catalogue and rich library. ZMC is #2 music channel with over 142 mn subscribers of YouTube and over 45 bn total video views during Q2.

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Now moving to costs and Profitability, in Q2FY24, overall operating cost has increased 23.2% YoY and 15.1% QoQ due to higher content costs, movie releases and investment in ZEE5. Given strong revenue growth led operating leverage and effective cost management, EBITDA margins have improved to 13.6%, higher by 580 bps QoQ. PAT from continued operations for the quarter came in at Rs 1,299 mn. Net profit for the quarter and year was impacted by merger expenses related exceptional item which for Q2 stood at Rs 1,198 mn. This quarter merger related expenses also include a one-time provision for stamp duty with respect to proposed merger scheme.

On balance sheet side, content inventory has declined in Q2 driven by movie releases and syndication. Sep'23 Content inventory, advances and deposits are lower by Rs 2.9 bn at Rs 76.7 bn. The cash & treasury investments of the company as of Sep'23 stood at Rs 5,655 mn, which includes Cash balance of Rs 3,649 mn and FDs of Rs 2,006 mn. Also, quickly touching upon the receivables from Dish, outstanding balance is at Rs 691 mn as on September 2023.

Moving through the rest of FY24, we are expecting gradual recovery in consumption sentiment and are optimistic based on FMCG commentary with respect to Ad spending. While Q3 will see some festive pickup, we are still cautious and would monitor how the pace of recovery settles post Diwali. As Q2 has shown, we have a higher degree of operating leverage in our business and are confident that as revenue pick up, we will also have more tailwinds on profitability as the year progresses. Back to you Mahesh

Mahesh Singh: Thanks, Rohit. And we now open the call for questions -and-answer session.

Moderator: The first question is from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy: My first question is on ZEE5. So, the sharp reduction in losses quarter-on-quarter, so what is new here? Is it because of the impending merger, you would like to have a more nuanced look at the merged entity difference overall strategy? Or is it because the competitive intensity from the global OTT is reducing? Or is it because the overall OTT revenue potential itself seems to be slowing down much earlier than initial expectation?

Punit Goenka: Abneesh, this position is not as grim as the 3 options that you are giving. We are still operating this entity as if we are a standalone Zee entity. And the impending merger has not had any impact on what may have transpired. But the increase in revenue, ZEE Entertainment Enterprises Limited November 09, 2023

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and as we have said that our investments have peaked in ZEE5 already, as I said in my opening remarks as well. Our investments levels are not going up at that level. And

therefore, this trend will con

tinue, and you will see only better operating metrics coming at ZEE5.

Abneesh Roy: So, one follow-up on that was, and that's also on your movie production business. So Q2, we saw the entire movie industry do really well, multiplex industry had all time high their numbers. And you yourselves did well across 3 different languages and very good numbers. So are there any learnings from what you did, which can be seen as a playbook for your coming movies because the same movie industry in October has again seen very tough times.

So, your comment on that. And second one was what we have picked up OTTs now are bidding for movies once they are actually released. So, then they'll get a sense of how the movie is and the bidding rights also are much more sensible. So how does that impact you both as a buyer of content and as a seller of content.

Punit Goenka: I think first and foremost, Abneesh, as I've always maintained, content is king. So, if you make the right content, then this connects with the hearts of people, it will do well. And then, of course, marketing is the second key mantra behind films. So, I think we've had key learnings from our last 3, 4 films that we have released in terms of the marketing strategy, et cetera, and how that has paid off.

So, it's not rocket science, but it's something we have tried differently, et cetera, and that has paid off for us. So, we will continue to work on that going forward, it's not the final learning, but we'll continue to work on that. I think you're absolutely right.

The OTT market, et cetera, is also settling down now. The pricing wars will end very soon. The water level will find its best place for the right content with a right price.

Abneesh Roy: Okay. Last question on the news article which came today and similar article a few days ago also. So, I understand you got the reprieve from SAT. So, if you could comment on, is there any disconnect between you and Sony at the further recognition level. Is there change which can happen to the merger because of this? And what are the prices that you're looking at – almost all the calls have come. Do you see the listing and the list of the merger?

Punit Goenka: I'll just take the first part, Abneesh and others can take the rest of it. We don't, as you know, comment on speculation that happens in press. So, I would not like to
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comment on that. We are in active engagement with Sony on various parts for the entire scheme to be finally implemented after getting all the approvals that we've got. On the listing part, Mahesh, Rohit, you guys can take it.

Vikas Somani : So, on your other questions, Abneesh. Right now, we are focusing on implementing the scheme as approved by the NCLT, by the shareholders and other regulatory bodies. So, we are focusing on that and trying to get that at the earliest. We're not putting any condition precedence and closing conditions, which will have to complete on which we are working right now. So, in terms of the timelines, probably we may take a few next weeks in order to complete this.

Moderator: The next question is from the line of Vivekanand Subbaraman from Ambit Private Limited.

Vivekanand S.: Punit, I wanted your comments on the competitive landscape that is currently prevalent. Reliance is infusing more capital, but then Disney globally has been on the back foot as far as the linear TV and perhaps also their ability to tolerate longer gestation in India is concerned, how should one think about the TV industry given the competitive dynamics?

Punit Goenka: So, Vivekanand, as I said in my opening remarks, within the last 7 quarters, we have seen the TV viewership peaking by almost 300 basis points. So, I cannot comment on the global scenario for television, but I can certainly comment on the Indian scenario for television. It's going to be continuing to be a ve

ry healthy environment for

television in this country, at least for the foreseeable future.

So, from that perspective, I think your company and our company is well poised to take advantage of that and therefore, continue to deliver on what we have promised all the time. As far as the pressures of Disney what they are facing, I can only speculate based on what I hear in the press just like you. So, I'm sure those press articles are not incorrect, but that will be all speculation.

And certainly, we have seen Reliance investing a lot of capital behind this business.

But I have maintained that to win in the media landscape, capital is not the only thing.

We need a lot of creativity. We need a lot of talent that is required to make that happen. So, we will continue to be focused on delivering and working towards delivering our market share and therefore, our business from that point of time.

Vivekanand S.: Okay. Second question is on the OTT business. Currently, it contributes around 10% of your revenue. If one were to think about this business maybe 5 years sense, what do you expect the revenue contribution of OTT to the overall business from the point of view of, let's say, the merged entity or Zee alone?

Punit Goenka: So it's difficult to speculate Vivekanand but I would say what I would like and not what I think it will happen but what I would like and I'd be happy with is that the OTT business would contribute about 30% of the top line of this company, that will be something that will be satisfactory in my view, and that will be a successful business from my perspective at that point of time.

Vivekanand S.: Okay. Fair enough. And where do you think the growth comes from incrementally? Is it more from advertising or just the subscription part scaling up the way you've done it in the last couple of years?

Punit Goenka: It's a combination of both, Vivekanand, so it's not just one thing. The larger part of it will come from subscription, but there will be a significant part coming from advertising as well.

Moderator: The next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora: Yes. First, I wanted to understand the pay TV subscription mix. So how many subscribers will you now have for cable, DTH and FTTH. And if you also can provide some insights on how are the ARPUs in other three channels.

Mahesh Singh: We haven't given that sort of granularity or split on our subscription side of things, Kunal, but suffice it to say that a large part of this would be DTH and cable. And in number of subscribers, they would be reasonably close to each other.

Kunal Vora: Cable, DTH and FTTH will be similar or cable, DTH will be similar?

Mahesh Singh: Cable, DTH.

Kunal Vora: And how are these numbers standing, are they, let's say cable and DTH, are they declining year-on-year, or they are holding up.

Mahesh Singh: If you look at recent, on the DTH side of things, numbers are largely holding up. i.e., if you look at last 4 to 5 months data post NTO sort of thing DTH, et cetera numbers have largely held up.

Kunal Vora: Okay. That's it, fine. I will take more on that offline. But next one is what will be the contribution of movies to profitability in this quarter? And, if you can talk about the margin outlook for the second half.

Mahesh Singh: So let me take the movie and then hand it over to Rohit for margin outlook. So, if you look at the way we report other sales and services has largely performance from what we do on movies on the theatrical side and the broader syndication and so on. So that line items largely captures it but it's not just movies from the theatrical side of it, there will also be syndication.

And if I see where you're getting the question too, if this quarter's performance is

not

entirely movies, so even if you would have had a relatively lean movie performance, the underlying operating performance with the linear and digital would have still improved. Movies have, of course, added and given it a little bit more boost to it. But even without movies, the underlying performance has improved on linear and digital side.

Rohit Gupta: Yes. And Kunal, to your question on the margin, we are refraining from giving any guidance on that. But like I already mentioned in my opening remarks, we have a very good operating leverage. And as the ad recovery starts coming in, I think the margin improvement is given. So, there are 3 factors. One is the movies have done well in quarter 2, in H2 as well, there are movies which will come out, which will help. Secondly, ad recovery and subscription, as you see 8% growth has covered in H1 already. So that will continue as well.

Kunal Vora: Sure. This is on margin, what I wanted to understand was the 13.6% which you reported, what would that number have been if the recent movie performance has not been decent.

Mahesh Singh: We haven't given the split, but let me just point you to a number you can validate, right? Leave the movies aside for a minute. Just go and look at ZEE5, which is where we have given EBITDA. You see quarter-on-quarter roughly INR88 crores, swing has just come from quarterly performance there. We wouldn't be able to break it down by content in terms of movie, linear, digital, but even if you take movies out, underlying performance like -to-like would have improved.

Kunal Vora: Okay. Understood. And last couple of small questions. Receivables have increased from INR16 billion to INR22 billion during the last 6 months, so what's driving that?

Rohit Gupta : So, there are 3 things. One is that the movies, all the revenue that is accrued from the movies in September, actually a lot of it has got liquidated in quarter 3 in October, specifically and these were large collections, which came in, in the month end. Similarly, subscription revenues, we've seen an increase, and there has been a built up at the quarter end, which got released in quarter 3 and for expense. So, there has been a little seasonal aspect to it. Most of it is getting released in the quarter 3.

Kunal Vora: Okay. Basically, a timing issue. And on ad revenue, FMCG companies have spent like much larger amounts this quarter compared to last year, so year-on-year sizable increase in expense by then, but we haven't seen that kind of increments to you. So, in your case, is FMCG has done well or even FMCG has not done very well.

Mahesh Singh: So, Kunal, I think a couple of things has happened. One, FMCG has done well. So, the only thing which you're talking about relatively is the pace of improvement. Keep in mind that when you look at September, October, November time, it's also a fairly busy cricket season, right? And given at this point in time, the hot money funded startups have been not that active and so on, the pricing on the sports property has also been a little bit more lucrative.

So, there's a little bit more money compared to what you typically see in a busy sports season, which has gone from FMCG to sports. So underlying, yes, we see the improvement, but we would want to monitor and see how things settle down post Diwali because the festive will be out of the way and a busy sport calendar will be out of the way. Underlying, yes, there is improvement. But keep in mind that there's some bit which has gone to cricket as well.

Moderator: The next question is from the line of Karan Taurani from Elara Capital.

Karan Taurani: I have two, three questions. The first one was on the advertising front. So, you mentioned that second half, you will see some demand because of festive but you also mentioned the sports part, right

? Which is correct, as in, lot of these sports properties will attract a lot of ad spend. so, what is the kind of growth that we can see maybe in the next quarter or maybe in the second half, not for the guidance, but could we expect high single digit, double digit, or low single digits? Any indication or colour there?

Punit Goenka: I can only tell you this much, Karan that the industry will see a high single-digit growth.

Karan Taurani: Right. That's helpful. Secondly, in terms of subscription revenue, of course, this year is going to be good because of the ARPU and the price hike after NTO 3.0, but what we are seeing is that the number of pay TV households specifically on the cable and the MSO side is declining.

And let's assume that if we take a 3% to 4% price hike going ahead structurally and then the number of households is going by 13% is fine, then the growth rate is flattish. Any indication there in terms of where subscription revenue is heading for Indian TV in terms of growth?

Punit Goenka: Here also Karan, we have to look at the fact that even if the cable TV households are shifting, they are shifting to either connected TVs or to DTH. And therefore, we are present on those platforms as well. So, it's not like we are losing out on those revenues. We are pretty much capturing those also in our revenue line. And I do not expect that the subscription revenue on the linear side will slow down any time soon. And Rohit stated that we have already seen an 8% growth in H1, and we expect that to continue.

The next round of revision to the NTO pricing will happen in February, March of the coming year. And we will be working on the back as to how much price increase, et cetera we'll be able to take and work towards that so that we can continue to deliver, if not good growth, at least modest growth for the going future.

Karan Taurani: Right. And lastly, on ZEE5, I mean, what led to this reduction in the losses? Is it revenue numbers scaling up, to a certain extent, I do believe the revenue numbers have kind of surged or is it the cost control measures, is it some kind of industry doing the right thing in terms of content cost coming down? What led to this entire change in terms of losses coming down.

Punit Goenka: It is a combination of all that you have said. So, it's not just one thing. It's not so much of cost control, but prudent cost spending.

Karan Taurani: Right. And anything on the positive buy side that maybe you all have now found a quarter indication in terms of what content work, what doesn't work, experimentation probably has come off. Just any colour on that?

Punit Goenka: Difficult for us to comment here right now on that. There is a lot of content we put

out there. You will see from our presentation, almost 22 pieces of content were put
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out in this quarter, some work, some don't work. And in the content business, not just on ZEE5, but even on television. It's a constant trial and error that we work with. And we have maintained always that as long as you're getting 40% any time, you're okay. If you get better than that, you're doing wonderfully well. If anything is below the 40% mark, then we could be having some pain.

Moderator: The next question is from the line of Abhisek Banerjee from ICICI Securities.

Abhisek Banerjee: My first question is on the ZEE5, ad monetization, if we think even from the post-merger perspective, do you think ad monetization can be a much bigger lever to drive profitability in this business.

Punit Goenka: So, I think we should leave the merged entity aside right now and talk only about our position as we exist today. There is potential to monetize advertising more, but it's a function of traffic and then also the right amount of traffic that you can generate.

So, there is potential to make a lot more monetization on the advertising side. But yes, so we will be working on that to generate the traffic that we need to, to monetize that better. But as I've said in the past, the subscription line is far more lucrative and far more profitable for us than the advertising line in this business.

Abhisek Banerjee: Understood. And if I am talking about ad spends from FMCG companies, obviously, there has been a very heavy cricket season. But what is your outlook on the second half of this quarter?

Mahesh Singh: I think when you take it slightly medium term, let's say, 3, 4, 5 months out, we feel quite optimistic about the potential on which ad spends can structurally recover. I think at this point in time, there are very early green shoots. At least in our channel checks, in our conversations with clients, there is a lot more optimism about volumes and generally the rural demand recovers when you really take it to quarter.

So, to that extent, I think as you really look out CY'24, there is optimism. The only debate here is the pace of the recovery. But clearly, given how much the spending has historically been cut out of ads and as volumes come in and everyone acknowledging and recognizing that A&P has to be a driver to drive volume and demand augers well, when you really look at, let's say, CY'24 point of view.

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Abhisek Banerjee: Understood. But in your conversations with these companies, do they look at linear TV advertising as a driver of only rural demand? Or do they think that it can still drive high-quality urban demand?

Mahesh Singh: It's both actually. When you even look at TV, there are a fair bit of impact properties. The demographics is fairly broad based. So, it's not just a rural play. When we really look at any brand building effort, any national outreach kind of plan, it gets figured and factored in demographics and reach and the kind of shows getting picked and time slot getting picked and all. So, it's quite broad-based. It's not an either-or situation.

Abhisek Banerjee: Understood. And just one final question. So, in terms of longer time ad cycle, would you have any observation on how advertising has typically been in pre-election years?

Punit Goenka: Advertising pre-election years, it certainly has spiked, and it was brought up significantly from the political advertising point of view. But our company does not get impacted by that, either positively or negatively because a large part of that or significant part of that goes towards the news network and does not come to the entertainment channel.

Moderator: We have our next question from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Thank you for the opportunity. My first question is on the cost in ZEE5. If you look at the run rate, today we are at around INR2,000 crore annual run rate in terms of cost. Obviously, last year it was around INR1,500 and before that were around INR1,000 crore. So, this large part of this incremental run rate, will you attribute it to the unit costs going up or the customer acquisition costs or is it like more towards the volume of the content produced?

Punit Goenka: A significant part of this would be towards the technology costs which you have to incur on a variable basis. Things like CDN, hosting and all those things are variable costs. And as you get more consumption, as you get more user base, this cost continues to go up. The only other part that Rohit can talk about a little bit in detail is also some of the catch-up amortization costs that's coming in. Because we are still running the amortization cycle. And it is not like linear business where it's pretty much running in line with our businesses because it's still a nascent growing business?

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Rohit Gupta : Arun, as we have mentioned, we have been making investments in the three areas, primarily in ZEE5. The first has been the platform and the technology, the second has been content and then marketing. There were some initial investments we had to make which were always supposed to be coming down. So, from that standpoint, those quick investments have been made. Content investments will go on and like we said, we are producing all kinds of content will go on and you know 22 pieces of content which got transmitted this quarter. So, it depends on that. And then of course, marketing spends, we have been prudent, and we'll continue to be prudent in that.

Arun Prasath : So, if I had to put it in two buckets, it is a variable cost and fixed cost. Variable cost typically is what percentage of your revenue, ZEE5 revenue?

Mahesh Pratap Singh : Arun, we haven't given that in terms of fixed and variable cost right now. It is a sensitive, given the competitive landscape we are in, that's basically the heart of the cost structure in a way.

Let me put it this way. I think the way when you think of this modeling and going forward, think of it this way, that business was in fairly early stages from coming out of COVID, FY'21, FY'22 and FY'23. A large part of heavy lifting in terms of building the cost zero to one is done with. From here on, the increase will largely be usage linked. We don't have to really go from zero to a few hundred people in tech centers. We don't have to go and start from zero to start building some of our initial content catalogs and all that. So, a large part of heavy lifting from a fixed cost standpoint is behind us. From now on, cost increases will be a function of how the usage and consumption will be. To that extent, there is going to be a lot more correlation of revenues to cost as we go forward.

Arun Prasath : Okay. Talking about the revenue itself in ZEE5, our understanding is this is still largely a subscription-based platform. And Subscription revenue is usually very sticky in nature, but still we are seeing quarterly fluctuations, even on a sequential basis, which shouldn't ideally be there if there is largely driven by sticky subscriptions. So how should we look at this volatility on this revenue path?

Mahesh Pratap Singh : I think B2C, what you said is largely true, Arun, in terms of recurring nature and all that. There'll always be a little bit of churn, but you'll always acquire more. So, I think what you said is true in B2C, but keep in mind that B2B are lumpy. Sometimes when you sort of complete a term on a B2B deal, you may see it fall. Sometimes when you ZEE Entertainment Enterprises Limited November 09, 2023

renew a new B2B, you see an increase and so on. So that's one part which causes volatility. And then there could potentially be other service line items which generates revenue. If you had syndication come in a quarter of a digital property and so on, that's where other lumpiness would come from.

Arun Prasath : Ideally as a business, you would prefer more B2C revenue, right?

Mahesh Pratap Singh : I mean in the early stage you need both. You need B2B to give you certain scale and sampling, but you need B2C structurally to drive lot more user engagement and lifetime sort of data insight. Knowing your customer, what you could do with that data eventually on the advertising side and other things so, and we have, I mean, we have spoken about this in the past without giving split. We have a slightly higher skew to B2C compared to where the industry is. But that's what I believe it's it.

Arun Prasath : Okay, my second question is on the linear TV. Again, broadly taking your financials and excluding the ZEE5, we get the sense that the margin is in the declining trend, even in the linear TV, there is except ZEE5 business. Is it more related to the mix change in the revenue, or it is

again, the cost of content is increasing? How should we look at it?

Mahesh Pratap Singh : So, the two points on that one, Arun. One, if you look at wherever viewership share is trending, we have come to 17.9% and we're coming on the journey, so yes, we're going through a phase where there is focus, marketing, investment, even on the TV side of things, to revive viewership in specific pockets. So that is one, again not structural, so I wouldn't really make a broader call out on the underlying margins of the business. It's just a conscious choice we're making, and the results are showing in terms of how viewership share is coming. Second, typically when you are in Q2 and heading into a festive season, you will invest behind some of those properties in terms of viewership and all of it to take advantage of stronger festive season coming in. So those are the factors which have played out, and nothing broader to extrapolate beyond that.

Moderator : Thank you so much. The next question is from the line of Aditya Chandrasekar from UBS. Please go ahead.

Aditya Chandrasekar : Hi, thanks for taking my question. A couple of questions from my side. The first one

following up with what Abhishek was asking. So, we are seeing FMCG companies, they have kind of increased their ad spends over the last, say, a year or so, but not a lot of ZEE Entertainment Enterprises Limited November 09, 2023

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that has translated to our ad revenues. One reason is, of course sports because as some of these sporting events, because they are pricier, and are forced to allocate some of it to sports. But are we seeing any kind of structural trends where they are allocating more of their ad spends to digital and so it's not kind of flowing through to our linear TV advertising. That is one question.

The second question is that on a sequential basis, we have seen our TV subscription revenues come down. I think you mentioned there was some kind of lumpiness in Q1.

I just wanted to clarify because I missed that. Thank you.

Punit Goenka: Aditya, I'll take the first one and then I'll give Mahesh for the second one. As I've many times said that linear television is the best suited medium, for the reach that you can achieve through advertising. No amount of digital advertising can still achieve the kind of reach television can achieve. Therefore, for brand building exercise, television still remains to be the most focused and most effective from both reach and pricing point of view medium. And therefore, we are not seeing that shift happening. Yes, when advertisers have limited budgets and they are looking at only transaction-based gains for the short term or for the medium term, they would look at digital because that gives them a far more focused reach towards the clients or the viewers that they want to reach. But I don't think we are seeing any structural change happening so far. It's still early days. As I said earlier in my opening remarks and also answering somebody else, we are seeing gains in TV viewership. As we speak, last quarter we have seen a 300-basis point gain in the absolute viewership of televisions. So therefore, there is no structural change that we can talk about. Mahesh, you can take the second one.

Mahesh Pratap Singh: Sure. Second question about subscription lumpiness. Yes, you got that right. What we had pointed out was that Q1 was essentially the first full quarter the NTO got implemented, it implemented from Feb 1st. So, to that extent we had some bit of base effect there in lumpiness and when you compare Q1 to Q2, you are seeing some sequential sort of moderation and that is where we are pointing people to look at YoY sort of growth rate.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited. Please go ahead.

Jinesh Joshi: Thanks for the opportunity. I have a small bookkeeping qu

estion. If I look at our

interest cost, it appears to be a tad high when I compare it with the historical run rate ZEE Entertainment Enterprises Limited November 09, 2023

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and also the figure for 1Q and 2Q appears to be quite similar in nature. So is there an element of amortization over here.

Rohit Gupta: So Jinesh, the interest cost that we have is very similar to what we had in quarter one as well. And as we have disclosed, we are paying a certain amount of interest on the Star ICC contract, wherein we have association with Star and that forms part of it. Therefore, you see year-on-year growth but, on a QoQ is pretty flat.

Jinesh Joshi: So INR23 crore is the run rate which one should be building in, right?

Rohit Gupta: There is about INR18 crores, which are finance charges and other things, which are approximately figure. And then the other part is that there is a lease accounting aspect based on which some long-term leases do get classified, and there is an interest element which also forms part of this.

Jinesh Joshi: Got that. My second question pertains to your remark on one of the questions which was asked earlier pertaining to buildup in receivables. And I think we mentioned that the buildup is predominantly because of the movie business and liquidation should happen soon. But I just want to get this right, Gadar was released on 15th August, and we still had 45 days for collection. So just wanted to understand, how does this receivable accounting basically work with the multiplex owner?

Punit Goenka: So typically, Jinesh, the receivable starts within two to three weeks of the movie release. But you have to keep in mind that Gadar also ran for 56 days, which means it was not just a 15th August one day release, and therefore the collections accounted for, accumulated over the 45-day period, including even running into October. From that point of view, it's not just simple mathematics of 15th August. Actually, the movie was released on 11th August. So, it's not really just a simple listing because the revenue build-up is on a daily basis and therefore the billing also happens on that basis.

Jinesh Joshi: Sure, sir. I just wanted one small clarification. I think with respect to ZEE5 revenues,

it was mentioned in the opening remark that there was some digital syndication deal as well, if I heard it right. If you can just clarify, what does this pertain to ?

Mahesh Pratap Singh : Yes, so that pertains to a content piece, which we have syndicated out, Jinesh. So, what happens is when you do something like this, you basically have corresponding cost and revenue coming in the P&L.

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Punit Goenka: I will just elaborate that, Jinesh. So, we buy a lot of content, which is even bundled with our television content, right . And therefore, at times we believe closer to realizing that this content may not be suitable for our platform in the best form. And that's when we decide to go and syndicated it out. And our teams felt that we would get a far better return on that piece of content if we were to syndicate it out rather than keep it for our own platform. And that is what you see there.

Moderator: Thank you. As that is the last question for the day from the participants, I now hand the Mr. Mahesh Pratap Singh for closing comments. Over to you, sir .

Mahesh Singh: Thanks Enzo . Thank you, everyone. Thanks for joining us today and wish you and your family a very happy and prosperous Diwali. Do feel free to reach out to us if there are any follow -up questions as we do a deeper study of numbers. We will be available and look forward to speaking to you. Thank you so much and have a great festive season.

Moderator: Thank you so much. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us. And y

ou may now disconnect the lines. Thank you, everybody.

Call: Feb 2024

February 20, 2024

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call on February 13 , 2024

This has reference to our communication dated February 13, 2024 and pursuant to the provisions of Regulation 46(2) (oa)(i i) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations') , the transcript of the conference call held on February 13, 2024 , on the Company's performance for the 3rd quarter and nine months ended December 31 , 2023 , is enclosed herewith. The said transcript is also available on Company's website at :

<https://assets.zee.com/wp-content/uploads/2024/02/19210814/Q3 -FY24 -call-Transcript.pdf>

This is for your information and record s.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Enc: As above

Zee Entertainment Enterprises Limited
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Q3 FY24 EARNINGS CONFERENCE CALL

February 13, 2024

Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" - that is, statements related to future, not past, events. In this context, forward-looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward-looking statements. The company does not undertake to update its forward-looking statements.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh, Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Mahesh Pratap Singh: Thanks. Hello, everyone. Welcome to our Q3 FY '24 earnings discussion. We hope you've had an opportunity to review the results.

Today, we are joined by our Managing Director and CEO, Mr. Punit Goenka, along with the senior management team. We will start the call with opening remarks from Mr. Goenka, followed by commentary on financial performance by Mr. Rohit Gupta, our Chief Financial Officer. We will subsequently open the floor for Q&A session. Before we get started, let me remind everyone that some of the statements made or discussed on today's conference call

will be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly.

With that, I'll now hand the call over to Mr. Goenka for his opening remarks.

Punit Goenka: Thank you, Mahesh. Good evening, everyone. I hope all of you are doing well. Thank you for taking the time out today to join the call as we discuss the company's performance in the third quarter of financial year 2024.

I am accompanied today by our CFO, Rohit Gupta, who will take you through the Company's performance and overall market dynamics in detail, while I will touch upon our plans for the future.

Before we begin, let me address the points pertaining to the merger. As you all are aware, the Company's proposed merger was terminated by Sony through a communication received on 22nd January 2024. The same was reviewed by our Board and appropriate steps have been taken in consultation with the legal experts, that are in the best interest of all our shareholders and stakeholders. We have even

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approached the National Company Law Tribunal (NCLT) to seek directions on the implementation of the scheme.

I would like to mention that as a member of the founding family of ZEE, as a

shareholder of the Company, and most importantly, as the leader of this organisation, I certainly wanted the merger to be implemented. In line with this aspiration, we even took several steps towards divestment or closure of profitable businesses in the domestic and international markets. I personally offered several proposals and solutions to Sony, to address their demands, but unfortunately, they remained unaccepted. Since the matter is sub-judice, I would not like to say more and let the law take its own course.

I am a firm believer in learning from the past, living in the present and believing in the future. Therefore, I would prefer to talk about the Company and its potential to deliver a stronger growth trajectory going forward.

Over the last few years, the overall macro-economic environment remained soft due to weak consumption patterns in some markets. As a result, the advertisement revenues were impacted. Subscription revenue growth, on the other hand, also remained impacted due to the NTO related issues. The headwinds are certainly beginning to ease, since the slowdown is cyclical and transitory in nature; and not a structural one.

Although we continue to post moderate growth, the momentum remains slow as the overall sentiment is yet to fully recover. As a result, we are implementing certain strategic steps, in order to enhance our performance in the coming quarters. I want to take this opportunity to reiterate that ZEE continues to have strong business fundamentals. The Company's intrinsic value remains intact, and I have chalked out a firm and structured plan to bring back our margins to industry-beating levels and drive growth for the future. How I envisage taking the Company forward in the coming quarters, is centred around three key aspects, which are part of our intrinsic DNA. The first being, Frugality. Second is Optimisation And third, but the most important is Sharp Focus on Quality Content.

ZEE is well-equipped for the future with immense capabilities to identify and capture the emerging opportunities in an evolving landscape. We are agile, with a strong entrepreneurial spirit, making us the best across the industry. The three-pronged approach I mentioned, will elevate and further streamline our existing capabilities in

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line with our robust growth plans. Let me briefly touch upon each of the three points I just mentioned.

Over the last three decades, the Company has been recognised for its fiscal prudence across th

e industry, and going forward, there will be a sharper emphasis on Frugality, with a crystal-clear focus on quality and output.

Across verticals – including technology, content, and marketing we are implementing steps to optimise spends and enhance the return on investments. A sound recalibration of the OTT cost structure will be an integral part of this process.

In terms of Optimisation, our aim is to enhance our productivity by implementing a structured resource optimisation drive. This also means enhancing the level of synergies and reducing overlaps between businesses. On the revenue side, we will take steps to increase the value delivery to our advertisers; apart from exploring alternate content monetization avenues. This also includes leveraging the strength and reach of our platforms.

Amidst this, we will continue to maintain a sharp Focus on Quality Content by streamlining our content creation process for quality output without compromising on the delivery. Quality over quantity will be our mantra going forward. For example, it may result in creation of relatively lesser number of originals if required; but we will ensure that every piece of content we create, is superior in quality and captivating for our audiences.

We remain optimistic that the results of these structured steps, over the next few quarters, will start reflecting in the Company's performance. A gradual recovery in margins is expected to reflect from the second half of FY25. We certainly expect FY25 margins to be meaningfully better than FY24.

My focus is on enhancing the performance of the Company to achieve the targeted recovery, and we remain committed towards further fortifying our portfolio and competing effectively in the industry. Our FY 2026 aspiration will be to target 18 to 20% industry-leading EBITDA margin profile.

ZEE as a company is well-positioned to capitalise the growth opportunities. As a pioneer, ZEE has a rich legacy of over 3 decades, with a proven content creation expertise across languages and markets. We remain confident that ZEE's fundamentals

remain unmatched across the industry, and the Company is well -equipped to compete as a major player in the sector. A sector, which undoubtedly has significant headroom for growth, given the rising income levels. Content consumption has significant headroom to grow due to lower penetration, favourable demographics , and affordability. The sector also offers a conducive infrastructure, paving way for a long - term growth of the digital ecosystem.

Harnessing the potential of the Company, of the industry at large; and most importantly, with the continued trust and support of our shareholders, I remain certain that ZEE will return to its strong operating levels, generating higher value for all our stakeholders. A steady state aspiration will be to target 8 to 10% CAGR revenue growth, with digital business growing at a much faster pace.

Over the years, all our efforts have ensured that the shareholders' interests are protected, and I seek their faith in our abilities as we implement the strategic steps for a better tomorrow.

On that note, I would like to hand over the call to Rohit, to share the financial and operating metrics of our performance in the third quarter. I look forward to interacting with all of you during the Q&A session later.

Thank you. Over to you Rohit.

Rohit Gupta: Thank you, Punit. Good evening, everyone, and great to connect with all of you. I will briefly touch upon some of the key financial highlights.

Q3FY24 was a steady quarter wherein festive season strength was partially offset by Cricket. During the quarter, we saw some gradual pickup in Ad spending led by FMCG. As a result, our Ad revenues were up 4.9% QoQ. The pace of Ad spend recovery is still muted and that reflects in YoY comparison, wherein Ad revenue

s are still lower by

3.4%. While we have seen some recovery in last few months, many of our large FMCG brands are still circumspect on volume recovery and rural demand and hence, we will continue to be cautious in the near term on pace of Ad revenue growth.

With NTO 3.0 having enabled TV subscription revenue growth and step up in Zee5 subscription, our subscription revenues continue to inch up and for YTD FY24 are up 9% YoY. TV industry landscape remains healthy and TV viewership is at its peak in the past 9 quarters.

Our broadcasting business remains healthy and 78% of the Zee portfolio has gained share in FY24 YTD. We have gained 40 bps share in FY24 YTD compared to same period last year, and Zee has had highest share growth amongst all networks. Zee is fastest growing network in South, has widened its lead over competitor in East region, and has consolidated its leadership in Hindi movies and Marathi movies. Zee TV and Zee Marathi remains two large opportunities for network share gain which we are working on. Encouragingly, Zee Marathi has shown some green shoots post interventions in December and January. In Q3FY24, our viewership share performance was impacted by Cricket, coming in at 16.5%.

On digital side, ZEE5 continues to make progress in -line with our strategic priorities. ZEE5 continues to grow at a healthy pace and during the nine months period, ZEE5 revenues are up 31% YoY. Driven by prudent cost management, ZEE5 quarterly EBITDA loss has further narrowed by Rs 99 mn QoQ. ZEE5 Q3FY24 revenue were up 14.9% YoY and declined 15.8% QoQ, as Q2FY24 revenues were aided by a digital syndication deal. Our original content continues to resonate well with viewers, and we released 19 shows and movies, including 5 originals during the quarter.

Coming to the movie business, during Q3FY24, Zee Studios released 6 movies (3 Hindi and 3 regional) with 12th Fail, Khichdi 2 and Naal 2 being some of the headline names. "Other Sales and Services" revenues declined 36% YoY on the back of fewer number of movies produced and released. This revenue is lower 83% QoQ as Q2 FY24 revenues were aided by strong box office performance of Gadar 2, Bro and King of Kotha. Given the nature of movies business, there is always going to be some quarterly peaks and troughs .

On Music business, Zee Music Company (ZMC) continues to #2 music channel with over 146 mn subscribers of YouTube and over 41 bn total video views during the quarter driven by ZMC new -age music catalogue and rich library.

Now moving to costs and Profitability, in Q3 FY24, overall operating cost declined by 12.8% QoQ due to lower content costs, fewer movie releases and continued cost optimization in ZEE5 . Given our business has high operating leverage, despite effective cost management, EBITDA margins have declined to 10.2%, down by 340 bps QoQ, and down by 720 bps YoY due to adverse operating leverage on lower revenues. PAT from continued operations for the quarter came in at Rs 53.3 mn. Net profit for the quarter and year was impacted by merger expenses related exceptional item which for Q3 stood at Rs 603 mn.

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On balance sheet side, our focused efforts have enabled us to further strengthen our liquidity and financial position. During the quarter, we generated strong FCF driven by optimisation of working capital. The cash & treasury investments increased during the quarter and as of Dec'23 stood at Rs 8,286 mn, which includes Cash balance of Rs 6,166 mn and FDs of Rs 2,120 mn. Our content inventory continued to decline in Q3 driven by optimised acquisition. Dec'23 Content inventory, advances and deposits were at Rs 75.2 bn, lower by Rs 4.4 bn on YTD basis. Also, receivables from Dish have been fully normalised and past dues have been all caught up.

Now a

bit of colour on road ahead as we embark on this new phase as a standalone Zee, we are confident about our longer-term growth prospects and headroom for margin improvement given our broad content portfolio, diversified offerings, and margin improvement levers in our business. While our recent performance has been subdued, a large part of this has been due to temporary and transitory factors, and structural strength and attractiveness of business is still very strong, giving us confidence on our recovery path. Please do keep in mind that, it's just been barely three weeks since we have started to revisit our plans as standalone Zee and we are still working through all the details. Hence, what we are putting out is an aspirational view based on our initial assessment, it's not a formal guidance.

Our steady state aspiration will be to target 8-10% overall revenue CAGR with the current portfolio and to get back to 18-20% industry-leading EBITDA margin profile in a stable macro environment. While we will be somewhat dependent on macro recovery for overall revenue growth, we still have a better degree of control on our cost structure, and we are revisiting that with a frugality and fiscal prudence mindset. There are several identified cost levers, however, there will be one-time costs and lead time associated in implementing these interventions. As a result, for next 3-6 months we will likely have some pressure on margins due to incurring one-time higher costs towards implementing these interventions. As we come out of that phase, beginning H2 FY25, we expect to see gradual margin improvement and we will continue to build on that foundation with an aim to get to our steady state 18-20% EBITDA margin aspiration by FY26.

Back to you Mahesh

Mahesh Singh: Thanks, Rohit. Sagar, we can open the call for Q&A.

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Moderator: Sure. Thank you very much. We will now begin the Q&A session. The first question is from the line of Abhisek Banerjee from ICICI Securities. Please go ahead.

Abhisek Banerjee: Hi, sir. Couple of questions from me. First of all, so given where the agreement with Sony seems to have fallen through. As of now, what is the state of the company in terms of people retaining -- I mean, are you being able to retain people? Or is the attrition coming high over the last 15 days or a month or so? And when you are talking about margins slipping, do you mean that margins will remain at current levels? Or do you think that it will come down from current levels also as you implement your plan? And then you will come back to current levels in H2 FY25?

Punit Goenka: No, we have not seen any attrition in the last 15 days or three weeks since we've received the termination notice from Sony. But as we talked about frugality, tightening our belts on manpower also will be part of that plan going forward. Not to say that I'm saying that there are going to be large levels of layoffs, but we will have to see which are the overlaps in my opening remarks that I talked about between businesses.

Second point on the question of the margins. As Rohit said, that it's been just three weeks since we've been evaluating our plans to move forward on a standalone basis. So please do give us some more time to come back to you with more detailed color,

which we should be able to do within a matter of next couple of months and give you a far more detailed analysis of that.

Abhishek Banerjee: Understood. And just one last question with regards to the rights to the ICC events. You have given that your counsel believes that you do not have any liability, because there were some lapses on the part of Star. But they will become a much more well-capitalized business as of now the way things seem to be panning out. So, if you could give us some clarity on what kind of lapses have happened on their part

that would

give us some comfort.

Punit Goenka: Abhishek, that's not something that I would like to comment on at this call. All points pertaining to this matter have been elaborated in detail in the notes to the accounts that we have just published. I understand you may not have had enough sufficient time to go through those. But for now, I would request you to refer to the same for more clarity. I would not be in a position to offer any further comments on that.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financials. Please go ahead.

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Abhishek Kumar: Hi. Thanks for taking my question. And Punit, good to see a resolute guidance, given the circumstances. My question is on the strategy going forward. It seems like the complete reset for Zee. So one, some of the initiatives we had taken around sports, ILT20, etcetera. Any rethink on that line? That's point number one. And point number two, on margins, if you can break it down into the margins for linear business and for OTT, because we have seen even in our own past the linear TV margins were in mid-30s.

And even globally and in different parts of the world, you've seen this to be a much more profitable business. So, 18% to 20% margin looks much better than from where we are. But it looks like we can do better. So, any thought or any colour in terms of how we are thinking about linear business versus OTT margin in our guidance? Thank you so much.

Punit Goenka: Yes, Abhishek. So as Rohit talked about the fact that majority of our current business comes from the linear vertical. Obviously, the margins would be skewed in favour of that vertical going forward as well. But we have demonstrated over the last several quarters that Zee investments in the OTT business have already peaked. And you can see that the margin profile there is improving. In terms of the loss quarter-on-quarter is coming down, even if it's just marginal or not.

So from that perspective, it will be a combination of the two. And also, lastly, as I again mentioned in my opening remarks, frugality will be a key thing. Your first question on the sports business, etcetera, I think we will be relooking at the entire portfolio of the business to see which is the businesses that will add maximum value to our portfolio going forward. And therefore, what we need to focus on and what we do not focus on going forward.

Abhishek Kumar: Sure. Maybe just one quick follow-up on the margin question. So from our modelling perspective also, what comes first? I mean do you see growth to be a precursor for the margins to go up to 18% to 20%? Or irrespective of the growth over the next 1-1.5 years, we are confident of taking up the margin to our aspiration level? Thank you.

Punit Goenka: I think that level of detail you can probably take offline with Rohit and Mahesh, Abhishek. Rather than getting into this, I think we can move on from here for now.

Abhishek Kumar: Sure, sure. Okay. Thank you. And all the best.

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Punit Goenka: Thank you.

Moderator: The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited. Please go ahead.

Jinesh Joshi: Yes. My question is surrounding the new revised interconnection offer (RIO) copy, which was filed recently. So just wanted to check if the revised pricing is into force or not. And if yes, what is the average price hike across bouquets. And in that context, how should we see the subscription revenue growth for the next couple of years?

Punit Goenka: So, I think the average price increase across the bouquets is between 6% to 8%. It varies from market-to-market. And we are working towards achieving that going forward from there.

Jinesh Joshi: Got that. Sir, one last question from my side. I don't

know if I should be asking this. But

is it possible to list out one or two critical conditions that were not being met which led Sony to pull out? Because if I recollect properly in the exchange notification that we had submitted, you had made your stance clear with respect to the CEO candidature. So is there something more to it, which you want to call out, especially with respect to critical conditions?

Punit Goenka: I think that best-suited person for that is Sony to answer. And whatever they have claimed in their termination notice, we have responded to that. And it is available in public domain for you to have a look at.

Jinesh Joshi: Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Arun Prasad from Avendus Spark. Please go ahead.

Arun Prasad: On subscription revenue, we see in the 9 months, there is around INR230 crores absolute incremental growth on subscription revenue. Is it largely coming from the ZEE5 revenue growth?

Rohit Gupta: It's a mix. So part of the growth is, of course, like I said in the opening remarks, it's coming from ZEE5 subscriptions going up. Part of it is also with NTO 3.0, now that it has been implemented, so that has also contributed to the overall subscription growth. So it's a mix of both linear and digital subscriptions growing.

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Arun Prasad: All right. So this NTO 3.0 -related impact, can you just separately call out how much is that? Rough calculation tells me it's around 3 to 4 percentage. Is it in the vicinity of that?

Mahesh Pratap Singh: We haven't given the splits on that.

Rohit Gupta : Yes, but it will be broadly around that.

Arun Prasad: Right.. And this, we expect going by our increase in the Pack rates that is bouquet rates. This can be substantially more around 6 percentage to 7 percentage. Is that the right understanding?

Punit Goenka: As I've always guided that it'll be in the mid to high single -digit kind of numbers going forward.

Arun Prasad: All right. But that never materialized, except for this year. So that's why we are asking, specifically.

Mahesh Pratap Singh: No, I think If you look at Arun, our subscription revenues have been growing in high single digits, closer to 10% sort of range, even when we look at this 9 -month growth, which you alluded to, that's a 9% number. You look at the quarter , year -on-year, that again is a 9% to 10% kind of adjusted growth number. So the TV doing mid -plus single -digit kind of number has been there. And then, of course, that gets a lift from digital growing at a faster pace.

Arun Prasad: Okay. Secondly, on the if I again exclude ZEE5 numbers and look at the linear TV on its own, our margins are around 24 % to 25% kind of absolute lowest in the last maybe after the March, I understand, but for a festival quarter, I don't remember linear TV delivering this kind of margins. So , is it something one -off or its we spent more than what we are supposed to, how should we look at this?

Punit Goenka: No, I think the two reasons that we alluded to and Rohit talked about in the beginning itself, that because large part of our portfolio operates in the Hindi heartland markets, which is yet to see the recovery from the largest segment of advertisers, which is FMCG in our case is one reason for this thing to happen. And the second part is, of course, the fact that we had some marquee sports properties in Q3, which have also eaten into some part of the portfolio.

Moderator: The next question is from the line of Arun Malhotra from CapGrow Capital.

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Arun Malhotra: Post the fallout of the merger, is there any of misalignment interest between the minority shareholders and the promoter because the promoters hold only 4%. That's one. And second part of it is, are the promoter

family planning to increase their stake?

Punit Goenka: Arun, actually I don't think this is a forum to discuss what the promoters alignment towards this is going to be on the stake side. Some company's disclosure has already been done from some of the promoters of the company. On your first part of this alignment between minority shareholders and the promoters given that the promoters only have 4%. I have not heard of anything yet. But certainly, if the minority shareholders are unhappy with the promoters in any manner whatsoever, we are

always happy to openly discuss, debate and address their concerns, whatever those might be.

Arun Malhotra: Sure. No, I fully appreciate, but that's very clear that the markets, these shareholders are unhappy with what has happened. And whatever has happened has not been in the interest of the minority. And most of them are clueless as to what were the two or three critical points why the merger did not happen? Despite till the last moment, the management, maintaining that we are meeting all these merger conditions and the merger should go through.

Punit Goenka: I think I've already spoken about that, Arun. So I don't know how much more we can dwell into that. We will have to go with the matter being subjudice and let the law play out, however it plays out in that manner.

Arun Malhotra: Okay. Lastly, in terms of business, do you foresee '25, '26 to be much better, as you said. Would there be more concrete plans that could be shared with the shareholders, just to give them more confidence that the Zee in the new avatar is much better than what it could have been with.

Punit Goenka: Absolutely, we will sharing more concrete plans with you hopefully, by within the next couple of months or during our first quarter itself, and not just '25, '26, but even '24, '25 will be better than '23, '24 in my view.

Moderator: The next question is from the line of Manoj Alimchandani from AFRS

Manoj Alimchandani : I got two specific questions. Before that, let me compliment you, Punit, and also Sanjay Pugalía for the excellent Tweets Jai Shree Ram, an excellent tuning. I am sure it heralds

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a new future ahead for the organization and for the industry. Now can I come to two specific questions?

Punit Goenka: Please go ahead, Mr. Manoj, yes.

Manoj Alimchandani : Yes. One is on the deal with a Japanese company, Sony, was done on 21st of December. Before that agreement was done, due diligence was done, and then binding agreement was signed. At that time, the valuations in the market was quite low. After that, the market has grown, valuation of Indian market has improved for obvious reasons, the whole world is aware of that. So aren't we selling the company, our stake very cheap. When market has gone up over 50%. So the valuation on a comparative basis should be much higher, particularly since the market share has also gone up, and our performance is far better than the rivals.

Everybody knows the operating condition of Disney losing subscribers and losing profits and also Network18 huge losses and no significant increase in market share. So our valuation should be much, much higher on a relative basis. And we all know, talented and beautiful bride always has unlimited suitors. So why just rely on one company at a lower valuation, when who is who of industry, whether it is Birlas or Mahindras, everybody wants entry in the media sector.

It is essential for business and political reasons. I'm sure if conversations are held, you will get much, much better valuations by giving them small stakes and that will drive the opportunity, shareholder wealth creation. I would like to have your insights and thought process on this.

Second point is there was a talk on creeping acquisitions statement was made, whenever promoters or the associates have mentioned about creeping

acquisitions

and when transaction start even a small transaction, it kicks off valuation. So when is it still happening? We have seen many industries, corporates where creeping acquisition started, they are multiplied by at least 3x. Many examples are there for that.

So what's your thought process on this creeping acquisition happening and quick time and when we'll be having this and so we can also easily get if not 3x, maybe 2x in the next few months, these are the triggers the whole market appreciates.

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We are very happy with your informal guidance of 18% margins. And I hope in the financial models of all A-Class analyst, when they consider this and a conservative growth of 8% to 10%, you have mentioned, the whole models then the re-rating will happen.

Thank you once again for opportunity. Look forward to a detailed response from you on each of these three points. And hats off to you. Keep Tweeting. We look forward to

your Tweets.

Punit Goenka: Thank you very much, Manoj, for your kind words for the Tweets. And secondly, on your first point, again, let me thank you for your confidence in the company's potential valuation going forward. And I'm certain with shareholders like yourselves and your confidence on the company, we will achieve much higher heights going forward. So we will continue to work towards building shareholder value, come what may. On the creeping acquisition, Manoj, I have already commented that, that's a promoter subject. Today we are here addressing the quarter 3 results of Zee. And I think some of the promoters have already made their intent public. Beyond that, I will not be in a position to comment here in terms of either the timing or the quantum of the creeping acquisition.

Manoj Alimchandani : Can I speak on one small observation , in the interest of all stakeholders.

Punit Goenka: Please do.

Manoj Alimchandani : Yes. One important point is there are rivals who are using proxy advisers and using unethical means against the interest of the company, and also in the cases of shareholder , directors appointment. We are very concerned it may happen in the future. We should ensure by proper complaints with regulators that proxy advisers should not misuse their position and everybody is aware, maximum unethical means are used by rivals. And most of them are quite weak.

A few amounts here and there make a big difference compared to the net worth of those proxy advisers and individuals connected. And some of them may be bureaucrats, past bureaucrats also. So this is an observation. If some action is initiated proactively initially, it will help the corporate and industry significantly.

Not only that, it will also help the Industry Minister 's FDI goals. He has mentioned FDI goal is slipping. And not to worry, in the future, it will be made up. One of the main

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reasons for fall in FDI is that this transaction, where FDI was expected much, much earlier. So I 'm sure Punit, Piyush Goyal will also be disappointed with the Japanese company 's step for their own agenda. And with this, I wish you all the best.

Punit Goenka: Thank you very much, Manoj. Thank you.

Moderator: I will now hand the conference over to Mr. Mahesh Pratap Singh for closing comments.

Mahesh Pratap Singh: Thank you, Sagar.

Thank you, everyone, for joining us today. We hope all your questions were answered.

Do feel free to reach out if you have any follow -up questions or if your query remains unanswered. We will be available and look forward to speaking to you next quarter.

Thanks so much, and have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

May 23, 2024

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call

This has reference to our communication dated May 17, 2024 and pursuant to the provisions of Regulation 46(2)(oa)(ii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on May 17, 2024, on the Company's performance for the 4th quarter and year ended March 31, 2024, is enclosed herewith. The said transcript is also available on Company's website at:

https://assets.zee.com/wp-content/uploads/2024/05/23150845/ZEEL_Q4-FY24_Transcript.pdf

This is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

Zee Entertainment Enterprises Limited
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Q4 FY 24 EARNINGS CONFERENCE CALL

May 17 , 2024

Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" - that is, statements related to future, not past, events. In this context, forward-looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward-looking statements. The company does not undertake to update its forward-looking statements.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh, Head of Investor Relations at Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Mahesh Pratap Singh: Thanks, Dorwin. Good evening, everyone. Welcome to our Q4 FY '24 earnings discussion. We have with us today our Managing Director and CEO, Mr. Punit Goenka, along with senior management team. We'll start the call by opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Rohit Gupta, our CFO. We'll subsequently open the floor for questions-and-answer session. Before we get started, I'd like to remind everyone that some of the statements made or discussed on today's conference call will be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not

undertake to update any of these forward-looking statements publicly. With that, I'll now hand the call over to Mr. Goenka.

Punit Goenka: Good evening, everyone!

I hope all of you have been keeping well. Thank you for taking the time out to join us this evening, as we discuss the Company's performance in the fourth quarter of the financial year 2023-24. Joining me on this call today is our Chief Financial Officer, Rohit Gupta, who will be taking you through the performance numbers in greater detail. Before we begin, I want to share a quick update on the legal front. As you would have read in our communication issued in April 2024, the Company has withdrawn its merger implementation application from the National Company Law Tribunal (NCLT). This decision will enable the Company to sharply focus on growth and strategic opportunities, in order to generate higher value for all shareholders. That said, the Company will continue to aggressively pursue the arbitration proceedings at the Singapore International Arbitration Centre (SIAC) and in other forums.

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Coming back to the quarterly performance, I speak to you today not just as the MD & CEO of the Company, but also as someone who is directly responsible of the Domestic Broadcast Business. Hence, I would like to focus more on the performance of this business and the steps being taken to achieve the targeted goals for the future. Our focus in the quarter gone by, has been firmly on enhancing the performance and the profitability levels of the Company, in order to achieve the targeted EBITDA margin. We have taken concerted efforts in every required direction to ensure that we remain Frugal, optimize our resources and maintain a sharp focus on Quality Content across the business. We have been implementing a series of steps since the latter half of the quarter, results of which will reflect in the bottom-line in FY25. That said, all the strategic pieces are gradually coming together in line with the Company's robust growth plan, and I remain committed towards delivering the financial ambitions we had outlined in February 2024. The last few months have certainly been intense as we took several tough decisions in the interest of the Company. Amidst this, we remain

grateful for the trust bestowed by our shareholders to implement these steps. Their approval on the appointment of 3 new Independent Directors on the Board is a testimony of their belief and trust in us. We also have a streamlined and strong team now across the business, which reflects the potential of the talent pool we have nurtured over the years. In line with the lateral structure implemented across the Company, we have entrusted several of our talented team members with higher level of responsibilities to encourage more cross-functional collaboration, quick decision making and ideation.

On the performance front, financial year 2023 -24 remained subdued due to the headwinds faced from the macro -economic environment and other external factors. That said, the final quarter of the fiscal stood out by displaying positive levels of growth, and we expect this momentum to continue in the new financial year as well. The FMCG sector has been recovering with the rural sentiment witnessing an uptick, leading to a healthy increase in advertisement revenue for the Company, both, on a quarter -on-quarter and year -on-year basis. The green shoots that we had noticed over the previous quarters, have grown stronger on the back of potential recovery across sectors, particularly FMCG. This, coupled with the expectation of a good monsoon, should continue driving the momentum forward in FY25. Subscription revenue has also continued to grow at a steady pace. Going forward, the focus for players across the industry will be on identifying avenues to grow the pay -TV ZEE Entertainment

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ecosystem in a healthy manner. We remain hopeful that NTO 3.0 implementation and tariff forbearance will strengthen the pay -TV ecosystem and pave way for sustained growth in subscription revenues.

As a result of this all -rounded revenue growth, the margins have also improved during the quarter, and our focus remains sharply on achieving a healthy margin growth rate in the coming few quarters.

I am pleased to note the 30 basis points (bps) quarter -on-quarter network share gain, reinforcing our strong market position. We have clocked viewership gains in key markets like Hindi and Marathi, which are a result of the concerted efforts sown during the fiscal. I have been travelling to all our language markets and our local offices in order to meet and exchange thoughts and ideas with the teams. I am pleased to note the strong commitment displayed by the team members in swiftly aligning with the set targets, and substantial energies are being invested on the linear side to further fortify our position across markets. My plan is to invest dedicated time and energy in every market, in order to identify ways to strengthen the viewership.

On the digital front, ZEE5 continues to post a moderately healthy increase in metrics quarter on quarter. We have been over -indexing on the growth and investments in the past, but the need of the hour is to pivot the business to achieve a balanced cost structure, in order to sustain long -term growth. With that backdrop, we are looking at every element of the business with a lens of improving the overall performance. As a result, we expect some short -term aberration in the digital business financial performance as we optimize costs for the long run. That said, the platform is making steady progress and we have seen healthy trends in usage and engagement metrics, including the Net Promoter Score. We remain certain that with the launch of originals such as Broken News season 2 and others in the offing, ZEE5 will certainly be a competitive force in the Indian OTT landscape going forward.

The media and entertainment industry continues to undergo structural changes as business models swivel to offer consumers a holistic entertainment experience across screens. We expect the near -term outlook for the industry to be growth -oriented on the back of rising content consumption and improving infrastructure, resulting in accessibility and affordability. We are noting the intensifying competition across the sector, and have taken strategic steps to secure our future and continue generating value for all our stakeholders.

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I firmly believe that healthy competition will only propel the industry forward, which is beneficial for all of us. Innovation is at the core of everything we do, and we have consistently managed to deliver value with a frugal approach. ZEE's fiscal prudence has enabled it to emerge as the most valuable asset in the industry, and we remain guided by this principle going forward.

Since I last spoke to you in February 2024, we have made significant progress on the proposed roadmap. Our visibility and confidence in our performance in FY25, and our ability to achieve the long -term aspiration of 18 -20% EBITDA by FY26, has further

bolstered. In the new fiscal, all the interventions will fully play out over the next 3-4 months, and there will be some one-time costs in the near term. That said, a positive upswing should continue in the subsequent quarters, and we remain well-poised to capitalise on the opportunities.

On that note, I would like to hand over the call to Rohit, to share the financial and operating metrics of our performance in a granular manner. I look forward to interacting with all of you during the Q&A session later.

Thank you. Over to you Rohit.

Rohit

t Gupta: Thank you, Punit. Good evening, everyone, and great to connect with all of you. I will briefly touch upon some of the key financial highlights.

While FY24 was a challenging year for the overall industry and Zee Entertainment, I am pleased to share that we have exited the year with positive tailwinds and growth momentum in Q4. This sets up well for FY25 and we are firmly on the path we had laid out in our February 2024 earnings call.

For a good part of FY24, the linear Ad spending environment continued to remain soft due to weak pace of recovery in consumption demand for FMCG companies, especially driven by the rural demand slowdown, along with weak spending sentiment among the new age companies. However, post festive season some green shoots emerged, led by FMCG players starting to inch up their Ad spending. We are pleased to note that the Ad spending on GECs has continued to gradually pick up in Q4FY24. We had also come out with competitively priced packages for advertisers during the ongoing cricket season which offers a great value for Brands to reach audiences at scale with lower outlays, and we have seen a good response to that. These factors enabled us to post healthy 8.1% QoQ growth on a festive quarter base, and 10.4% YoY growth. While ZEE Entertainment Enterprises Limited May 17, 2024

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the FMCG pace of recovery is still nascent and this quarter Sports is taking some share of Ad spending, we believe we are better positioned than in previous years to drive growth in Ad revenues.

On Subscription side, FY24 was a positive turning point where revenues grew nearly 10% YoY led by NTO 3.0 implementation and growth in digital subscription revenue. Similarly, Q4 FY24 Subscription revenues are up at a healthy rate of 12% YoY and 3.1% QoQ. We are hopeful that with conducive pricing policy framework being in place, there will be an opportunity to drive gradual growth in Subscription revenues.

FY24 was a strong year for our movies business, with Gadar 2 entering the Rs 500 Cr+ gross box office collection club. The Kerala story, 12th Fail, Kisi Ki Bhai Kisi Ki Jaan, and Bas Ek Bandaa Kaafi Hai being some of the key headline names in Hindi movies, while Bro, King of Kotha, and Gude Gude Cha, were some of the key success stories in the language's movies. This strong movie performance across theatrical and syndication, aided the other sales and services, which grew at 31.5% YoY in FY24. In Q4 FY24, it was a relatively lean movie calendar and lineup, and hence other sales and services revenues have been modest.

From an industry backdrop perspective, the linear industry landscape remains healthy, with TV viewership in Q4 increasing YoY. On the linear business front, we continue to be India's strong #2 TV Entertainment network and gained 30 bps of viewership share during FY24, taking our viewership share to 17.1%. Encouragingly in Q4 FY24, Zee Marathi and Zee TV have both shown uptick, and our Q4 viewership share performance has increased by 30 bps QoQ, coming in at 16.8%.

On the digital side, ZEE5 continues to make steady progress and deliver healthy KPIs for usage and engagement. Zee5 revenues were up 24.1% in FY24. In FY24, Zee5 EBITDA loss remained flat. As part of our overall performance enhancement plan, we are revisiting and optimising the overall Zee5 cost structure in line with our strategic priorities. This will see us take some one-time costs as we restructure the business and will likely cause volatility in quarterly numbers for couple of quarters. In Q4, we have seen uptick in Zee5 costs, and we want to reiterate that there is no structural shift in cost baseline at Zee5. Zee5 is operating at its peak cost structure and overall cost will continue to trend down as we conclude the streamlining process and some of the one-offs work itself out.

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On the Music business, Zee Music Company (ZMC) continues to be the #2 music channel with over 149 Mn subscribers on YouTube and over 165 Bn total video views during FY24. Music industry is still under a period of readjustment, with few music

streaming apps having shut down last year and some others moving behind a paywall. While this creates headwinds for near-term growth, we remain focused in managing the business with a prudent cost structure and enhancing profitability.

Moving to costs and profitability, in FY24 we have made strategic investments in the business across content, marketing and technology, leading to an overall increase of 10.6% in overall operating costs. In Q4FY24 our YoY operating cost base has remain steady, while it has seen some uptick QoQ due to Zee5 and sports. Beginning Q4FY24, we have embarked on a cost optimisation initiative in line with the overall plan we have shared. I am pleased to share that we are making good progress on that and have already initiated several actions across the business and each element of cost structure including content, people, technology and marketing. While these interventions will have some one-time costs coming in Q1 FY25, we are well setup for driving a healthy margin improvement beginning Q2 FY25.

PAT from continued operations for FY24 was at Rs 1,993 Mn and for Q4 was at Rs 122 Mn. PAT for the Quarter was impacted by deferred tax asset reversal, in line with current business outlook. I want to clarify that this deferred tax asset reversal is an accounting adjustment on a conservative basis, and its non-cash in nature.

On the balance sheet side, our focused efforts have enabled us to further strengthen our liquidity and financial position. During the quarter, we generated strong FCF driven by optimization of working capital. The cash & treasury investments increased during the quarter and as of Mar'24 stood at Rs 11.9 Bn, which includes a Cash balance of Rs 5.7 Bn and FDs of Rs 6.2 Bn. Our content inventory continued to decline in Q4 driven by optimized acquisition. Mar'24 Content inventory, advances, and deposits were at Rs 74.2 Bn, lower by Rs 5.4 Bn on a YoY basis.

Moving into FY25, we continue to expect gradual recovery in revenues. Ad revenue outlook looks promising based on FMCG spending green shoots, expectation of normal monsoon and rural recovery. We also expect to sustain growth in Subscription revenues and Zee5. On the back of margin improvement action plan initiated, prudent cost management and narrowing losses in Zee5, we are hopeful of seeing a meaningful improvement in overall profitability in FY25.

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Back to you Mahesh

Mahesh Pratap Singh : Thanks, Rohit. During we can open the call for questions and answers.

Moderator: We will now begin the question-and answer session. We have the first question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Congrats on recovery in the margin starting, still it's a long way. My first question is media is a people's business, and you had built up the team over the last few years in terms of the OTT and overall multiple genres. And because of the change in scenario, you have now started focusing on a more rational cost base. So, I wanted to understand, one, now that a lot of the rationalization is happening, how does this impact your ability to fight competition in medium, long term? I understand the market share is a dynamic number. But not having that talent pool, how does it impact both in OTT and in terms of the linear TV in medium, long term? And now that FMCG recovery is starting, which you also referred to multiple times in the opening remarks, again, is this the right time to rationalize your cost structure because if revenue is improving for the industry, generally, the investment by the players also increases. So,

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wanted to understand more holistic, more from a 2 to 3 year perspective, not 1 or 2 quarters, how does this impact your ability to fight the competition?

Punit Goenka: Thanks, Abneesh . If we look at the largest amount of rationalization that has taken place is in the technology part of the OTT business. And like we have been maintaining for the last couple of years that we are building out the platform. And now we truly believe that our platform is stable, and our platform has been built up to compete in the market in the best form that we can. Of course, there can always be improvements to it. Therefore, we didn't feel that we needed this kind of level of people, etcetera, on that front.

Also, Abneesh , you have to realize that in the last 2 -2.5 years, given the fact that we have been busy with the merger and other things, every company goes through this cycle in its life where fat does accumulate within the organization. And we believe that this is the right time for us to take those calls. I do not believe that we cannot compete with competition, given where we are. I think the testimony is going to be only to be seen over a period of time. But I am pretty confident that the team that remains with us is totally capable of taking the entire thing forward for our growth plans that we have outlined.

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Abneesh Roy: Sure. My second question is on the 2 important revenue items for you. In both, we have seen a good recovery. So, if you could talk about how the industry should look at FY '25 in both advertising and subscription revenue. I remember historically, you have always given at this point of time, your outlook on the advertising industry and subscription now, clearly, things are far better versus, say, 2 to 3 years back. So more on the industry level, I know for you, generally, you grow a bit faster, but given the dynamic nature of changes which you are doing any, I'm not asking a company specific guidance, but at the industry level for your kind of a genre, what is the expectation?

Punit Goenka: Abneesh, I think the industry itself will see healthy growth in the high single digits for both subscription and advertising. And so that's what I am expecting. And I think whatever my conversations with my own peers in the industry happens, everybody is focused on, as I said in my opening remarks, that how do we grow the pay TV ecosystem. Advertising, of course, is very dynamic for every network, it's this thing. But for the pay TV ecosystem, we can, as an industry work together with the likes of TRAI and make sure that we get the right growth through the NTO structure that has been put in place.

Moderator: The next question is from the line of Pankaj from Bank of America.

Pankaj: Congrats on the margin improvement. My first question is about how should we look at the positioning of ZEE5 going ahead? Let's say, forget about the cost that will come in, maybe 3 quarters and the long or probably a year or 2 down the line. How should ZEE5 be positioned against the likes of Netflix and JioCinema and all other players? How do you think about it?

Punit Goenka: Pankaj, we are comparing apples -and-oranges here. JioCinema, Hotstar and these kind of platforms are all playing on the sports business, whereas we are operating in the pure entertainment category in this country. And if you look at the content offering that ZEE5 has, that's what we have always maintained that we are a holistic family entertainment platform. And that's the differentiator that we want to position ourselves to be going forward as well.

Pankaj: Got it, Punit. And just in continuation of that, would you be a little more aggressive in buying content, let's say, either movies or originals?

Punit Goenka: We have been aggressive already Pankaj in terms of buying movies, but there are times when in situat

ions like today, where we have to become a bit frugal to make sure that

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we are buying the right content at the right pricing. So, we are being very cautious on what we buy at what price. Therefore, we may slow down buying a bit. But eventually, once our profitability improves and everything comes back to a normal stage, we will deploy capital back into the ZEE5 business.

Pankaj: Very well understood. My next question is about pricing in ZEE5. Do you see room to tweak around the pricing? Or do you think the market is too low right now and let the pricing be?

Punit Goenka: We are competing in the market on pricing with everybody, and we have pretty competitive or even equal to whatever the pricing may be, maybe a little bit lower than them, but that is for the reasons for the content that we do not offer, whether it be sports or the English language content. So, I think our pricing is correct. And currently, we want to stick with this. But eventually, there has to be room for pricing to go up. That's the only way to grow the business, and not just in subscription, but advertising, subscription everywhere, pricing has to go up, that's the only way we can grow the business.

Pankaj: Got it. And just last question from my side. How should we look at the outlook of your Movies business? Any big bang release that is coming in probably this year? Or do you want to go slow in that business?

Punit Goenka: I wouldn't say we want to go slow. But again, as I said that given that we are focused on frugality and quality content, that's what we are going to focus on rather than trying to go out after big bang films. If you look at most of our successes in the last 2 years, have not been high -cost content. They have been reasonable cost or even low cost that has worked for us. So, I do not believe that we need to buy more expensive content just to make big bang and stuff like that.

So, from that point of view, we will think the right content that works for our DNA and work on that.

Moderator: The next question is from the line of Vivekanand Subbaraman from Ambit Private Limited.

Vivekanand Subbaraman: Punit, your current term as MD and CEO ends in December 2024. Have you engaged with your current large shareholders. What are the key markers between now and end

of calendar year that you've agreed upon with key shareholders? And how confident are you of a favourable shareholder vote for continuity?

Punit Goenka: Vivekanand, I have not engaged with any shareholder about my appointment or reappointment. I do not believe in that. The shareholders will decide whether I'm fit to run this company or not. I do not believe I have to reach out to them to agree on markers and other things. I've already given my own targets to you all in February of this year, reiterating those targets to you even on this call. So, at the end of the day, it is the shareholders who will decide whether I am the right person or not or somebody else needs to lead this company.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Punit, in your opening remarks and also subsequently, you emphasized a lot on the industry consensus when it comes to pay TV growth industry consensus. I understand it's between broadcasters, DPOs and as well as the regulator. Do you find at this point of time, there is a consensus or there is some difference in opinion, especially with the broadcaster who is looking to grow and who is likely to get merged and become bigger?

Punit Goenka: Arun, every deal that happens with DPOs is a bilateral deal. So, we do not negotiate as industry jointly. But we do work jointly as an industry with the regulator to work on the regulation of how this industry needs to

be governed from a pricing point of view

and those kinds of things. But we cannot have consensus on it. The industry cannot come together because that is not something that will be right because we have to all work on our strengths. And therefore, we do bilateral deals with DPOs whether it be DTH or cable or anybody else.

Arun Prasath: Okay. So, I'm trying to understand whether this pricing that we have kind of benefited from this, can this be repeated every year? Or will it be more like a once in 2, 3 years exercise? How is that thought process going at this point of time?

Punit Goenka: So as per the NTO, we have already taken price increases. We are in the midst of our negotiations with DPO. As I said, these are all bilateral negotiations and as they close, you will see the results of this. We do expect that the growth will continue. It may be moderated for quarter or two, or go up. But overall, the industry will grow on an annualized basis.

Arun Prasath: Secondly, on ZEE5, you have indicated the moderation of the spend, what is the challenge in the subscriber retention if you had to decrease content spending? And also, at some point of time, that increase the pricing plans. Do you think the retention is possible? Or do you think given that industry level subscriptions have saturated, wouldn't it be a big challenge to grow revenue if you reduce spend? What is the thinking behind this?

Punit Goenka: I don't think spend is the way to retain or to grow subscriber base. As I said earlier, quality content is what retains subscriber base. As long as we can offer quality content to our subscribers, they will stay with us. If you would have noticed in the last quarter, we have put out only 1 original series compared to several that we have done in the previous quarters.

Despite that, we have not lost any subscriber base. In fact, we have grown the subscriber base even in the last quarter. So, I truly believe that it's not only about spending, it's about offering quality content to the subscriber to maintain that thing. As far as saturation is concerned, I think the Indian market is still not in the position where they want to pay for quality content. Therefore, it will take some more time. But certainly, at some point in time, they will start to see the value of the content that all the OTT players, not just ZEE5 is offering. And the market will evolve. And if I were to give you the analogy when television went pay. At that point in time also, everybody asked that why the consumer would pay for it when they are used to getting it for free. But over a period of time, the consumers are used to paying for it because it then becomes usual general expense for a household.

Arun Prasath: Right, right. Internally, any targets on what kind of first profitability level you are targeting for ZEE5?

Punit Goenka: No. We cannot give you that breakup right now, Arun, because these are all proprietary and confidential information.

Arun Prasath: okay, at least some timeline when we can start expecting; 1 year, 2 years, 3 years?

Mahesh Pratap Singh : Arun, I think you would see losses narrowing down in near term, but we're not really giving a pointed timeline in terms of guidance with break even. We want to keep some flexibility open to be able to respond to competitive action, redeploy some capital back

and all that. So, I think it's going to be a bit of flexible conversation, but definitely next
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year, you would see lower losses than the FY '24 and you would see that trend line improving. Breakeven, we are not putting a certain timeline to it.

Punit Goenka: Arun, just to add to what Mahesh said, I would request all of you to just focus on the overall company's profitability, margins and stuff I

like that, rather than every vertical

and things like that because I think that's the more important part for the stakeholders and the shareholders to focus on the overall company's performance rather than each vertical performance.

Mahesh Pratap Singh : Also Arun , just to go back to the point you made about spends in ZEE5. Please keep in mind that ZEE5 spending composition has also changed over the years, like when we started 2 years back, a lot of expenditure around 0 to 1 setup in tech and marketing, etcetera, were needed because you were establishing the platform, you're establishing the visibility and recall. As we move forward, lot of those expenses are tapering off because like Punit alluded in his opening remarks and answers, those expenses have delivered a very high degree of visibility, very strong tech platform and all that, which allows us to reduce spend overall, but still create reasonably meaningful room for content investment. So, it doesn't necessarily have to go in the same proportion, which gives us flexibility to play with those components .

Moderator: The next question is from the line of Aditya Chandrasekar from UBS.

Aditya Chandrasekar: A couple of questions from my side. So, the ad revenue growth we posted during the quarter was quite commendable, especially considering it typically a non -seasonal quarter. Just wanted to get some more color from you on where is the spend coming from? What categories maybe within FMCG are you seeing? Because when you look at some of the consumer companies results, this level of ad spend increase is not that visible. Also, if you look at some of the BARC data, et cetera, it doesn't come out. So, an 8% Q -o-Q growth is quite a good quarterly sequential growth. So, any color on that? And whether this is sustainable? Are you seeing similar trends in April and May as well? Any color on that will be helpful.

Punit Goenka: So, Aditya this trend is certainly sustainable, it may fluctuate quarter -to-quarter based on how the industry and the advertising sector performs. But I would say a large part of this growth has come on the back of our performance because all of our language markets have done reasonably or extremely well for us. And therefore, we've been able to get disproportionate share of growth in the industry. Of course, the industry also has spent more money as you would have seen from the FMCG companies reports
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that their A&P spends have gone up significantly. So, from that point of view, I am, as always, cautiously optimistic that this trend should be sustainable. But we will see more colour over the quarters. We have seen 7, 8 quarters where these numbers are not visible, but I don't want to base my judgment on 1 quarter. So kindly bear with me, we will continue to work through this quarter -on-quarter with you all.

Aditya Chandrasekar: Can I get some color on how April and May have been? Are you seeing this uptick continue into April and May?

Punit Goenka: It's an upward trend, Aditya. That's all I would say.

Aditya Chandrasekar: Got it. Okay. And last question from my side. On ZEE5, I think, similar to the earlier question, so we have seen some competitor's kind of announced a big slate of content. So, we are seeing investments from, say, an Amazon Prime video or even a JioCinema on the entertainment and on sports side. Do you think we can take a call to kind of say that our content investments have been kind of taper it down while competition is going back and do you see any kind of risk of churn if we kind of reduce our slate of originals versus our usual run rate where we churn out a lot of original content in light of competition still being kind of aggressive, how do you kind of look at ZEE5?

Mahesh Pratap Singh : So, I think Aditya like I said before, we're not really intending to cede space

or

completely take our foot off the content. I think like Punit alluded; we will be selective in the choices we make. We don't have to really compete count to count, budget to budget with our peer group. I think we are coming from a space where a lot of our 0 to 1 kind of investment in tech, et cetera, are tapering off, which will give us flexibility to be able to selectively be tactical and aggressive about where we want to invest between Hindi, across language markets between Movies and Originals. So, we think we will do reasonable amount of content keeping in line with our business ambitions. But we're not going to be swayed away by a specific budget or genre or the kind of

show which others are doing. We think we have a reasonably good handle on content, which resonates with our viewers. And we have reasonable room within our cost structure and our business direction to be able to fund that kind of content investment and acquisition.

Moderator: We have the next question from the line of Sameer D from Fair Deal.

Sameer D: It was nice to see some recovery sequentially as well as year -on-year in our results. And I wish the company achieves its targets and remains on the path of progress, which ZEE Entertainment Enterprises Limited May 17, 2024

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for last 2, 3 years was missing. But now I wanted to know in our meeting in March, our chairman had mentioned that this Sony merger, et cetera, which was continuing, they hope that the things to be taken care in the NCLT. After that, we withdrew from NCLT, saying that we reserve right to come to NCLT, if at all, the arbitration proceeds are in your favour. What is the situation now? Now the matter is ending with Singapore arbitration tribunal and so are the hearings going on? Or when are they scheduled for that?

Punit Goenka: So hearing is scheduled, Sameer, I wouldn't have the dates handy on me right now. GC is not in the room but we can give you the dates offline, Mahesh can always let you know. But the arbitration proceedings in Singapore are continuing. We have withdrawn from NCLT only because we did not see any movement coming from Sony side in terms of any resolution. So therefore, we made a conscious call that we should withdraw from that. And it doesn't hamper the scheme in any manner because the scheme is court approved and therefore, remains intact.

Sameer D: If in arbitration proceeding, as we have really taken a lot of pains and we have closed some of the channels because due to the competition commission, etcetera, so really, we have also lost a significant amount of money as well as the effort. So, as you have rightly said that you have the options to, in case they say that they are wanting to charge a termination fee. But our stand is that we have already reasonably completed with all the precedent conditions. So, if we succeed in that, then still the NCLT can rule in favor of the merger and the merger can go on?

Punit Goenka: Sameer, these things are very subjective, so I would not like to comment on those things, but we will do everything that's possible to safeguard the interest of our stakeholders and the company. That is our prime objective. please be rest assured, and we will work on that.

Sameer D: And how should the investigation...

Punit Goenka: We will keep you updated on all these things quarter -on-quarter.

Moderator: The next question is from the line of Pankaj from Bank of America.

Pankaj: Just two quick questions. Last quarter, we called out that FMCG advertising is a little weaker in the Hindi heartland market. The growth that has come in fourth quarter, is ZEE Entertainment Enterprises Limited May 17, 2024

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it leading across the board? Or have you seen north versus south, anything to call out this time?

Punit Goenka: I think we have seen that growth coming across the board. It may differ from market

to market based on every FMCG company's own priorities as to which market they are focusing on, but nothing that we need to call out here.

Pankaj: Got you. Understood. And just one last very quick question. Are you in discussions with any strategic or financial investor as of now?

Punit Goenka: I would not like to comment on that, Pankaj.

Moderator: The next question is from the line of Sachin from SKCO.

Sachin: I wanted to know two things. Like there have been so many rumours regarding your fresh merger with Adani or any other group. Is there any truth in that? And second is after such a beautiful result, do you want to merge with any other company in future?

Punit Goenka: Sachin, please don't go on rumours. There's a lot of rumours in the market that go around especially for Zee, because we are in the media business and rumours has become part and parcel of our life. But please don't go on any rumours from that point of view. Whether we want to merge with any other entity or not, as I said, just now to Pankaj that I would not like to comment on that until we have some more clarity there.

This is only 1 quarter that we have gone through of seeing good results. Right now, we've just come out of the NCLT proceedings of withdrawing our application. Right now, the focus of the organization is to rebuild the business and get it back on track. And therefore, that's the only thing that we are focused and working towards.

Sachin: Okay. One more question. Like recently, we have seen a lot of cost -cutting measures announced by your company. So how much do you think the impact will be on the next quarter for your profit of that?

Punit Goenka: As Rohit maintained in his opening remarks, there will be some onetime cost. Rohit do you want to take this ahead ?

Rohit Gupta : Yes. we're still calibrating a lot of cost. And as Punit has already mentioned, all costs, we are looking at with a lens. That's why I pre-empted and said that there will be an impact in Q1, which will come in, very difficult to give any quantification as of now. But whatever that impact will be, we will call it out separately.

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Mahesh Pratap Singh : And just to add to what Rohit said, our longer -term outcome from what we are doing in the near term is that our aspiration is that with all these efforts in FY '26, we want to strive for 18% to 20% EBITDA margin. So, while there may be a near -term impact in the next quarter, it will set us up well going into that direction, which we've articulated and reaffirmed in today's call.

Sachin: Okay. And I think this quarter result will give a big relief to the retail investor who have like believed in your company.

Punit Goenka: Thank you very much, Sachin.

Moderator: Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to Mr. Mahesh Pratap Singh , Head of Investor Relations for closing comments. Over to you, sir.

Mahesh Pratap Singh : Thanks, everyone. Thanks for taking time and joining us today. We hope this discussion was useful for you to get a perspective on our performance, and it answered all your questions. If you do have any follow -up questions or clarifications, please feel free to reach out to us. Look forward to being in touch and have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

August 6, 2024

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call

This has reference to our communication dated July 31, 2024 and pursuant to the provisions of Regulation 46(2)(a)(ii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on July 31, 2024, on the Company's performance for the quarter ended June 30, 2024, is enclosed herewith. The said transcript is also available on Company's website at:

<https://assets.zee.com/wp-content/uploads/2024/08/06105838/Q1-FY25-Earnings-Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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July 31, 2024

Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" - that is, statements related to future, not past, events. In this context, forward-looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward-looking statements. The company does not undertake to update its forward-looking statements.

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Moderator: Ladies and gentlemen, thank you for your patience, and good day, and welcome to Q1 FY '25 Earnings Conference Call of Zee Entertainment Enterprises Limited.

As a reminder, all participants will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh – Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Mahesh Pratap Singh: Thank you, Deepika. Hello everyone, and welcome to our Q1 FY '25 Earnings Discussion. Thanks for standing by. We have with us today our Managing Director and CEO, Mr. Punit Goenka, along with the Senior Management Team.

We will start with the opening remarks from Mr. Goenka. Post this, we will subsequently open the floor for questions-and-answers. Mr. Goenka has to leave a bit early today, but the team will stay back for the remainder of the call and take all the questions.

Before we get started, I would like to remind everyone that some of the statements made or discussed on today's call

will be forward looking in nature and must be viewed in conjunction with risks and uncertainties we face. The Company does not undertake to update any of these forward-looking statements publicly.

With that, I will now hand the call over to Mr. Goenka for his opening remarks.

Punit Goenka: Thank you, Mahesh. Good evening, everyone!

I trust all of you are doing well! Thank you for joining us this evening to discuss the Company's performance in the first quarter of the new fiscal FY24-25. I will take you through the key aspects of our earnings during the quarter, and we can then proceed

to the Q&A session.

The maiden quarter of the new financial year commenced with an improving operating performance for the Company. The results of several strategic steps implemented in the previous quarter are being witnessed gradually, and we continue to maintain a sharp focus on Frugality, Optimization and Quality Content across the business. Timely and action-oriented interventions centred around these three key tentpoles, have enabled us to achieve a healthy growth momentum on the margin profile. Compared to the previous quarters, our margins continue to display considerable improvement sequentially, and we aim to drive this positive momentum higher as we move forward into this fiscal.

Over the past few months, we have put in concerted efforts to formulate a strategic and aggressive growth trajectory for the Company, and the fund-raising exercise is a firm step in this direction. We have taken the necessary steps to create a robust financial foundation in-line with our long-term plan of delivering higher performance and enhancing the value-accretive capabilities of the Company, in the interest of all our shareholders.

Coming back to the Company's performance during the quarter, despite seeing some green shoots in the last quarter of the previous fiscal, the advertising revenue growth ZEE Entertainment Enterprises Limited July 31, 2024

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still remains subdued with rural recovery yet to pick up entirely. In addition to the softness in demand, this quarter was also sports heavy, coupled with general elections, which further took the share away from general entertainment advertising spends. These factors have impacted our advertising revenue during the quarter. However, in this challenging environment, our prudent cost discipline across the business helped offset the headwinds. Our conversations with large FMCG clients indicate the pickup in advertising spends in the second half of this fiscal with the onset of the festive season. That said, we remain cautiously optimistic of the macro-economic environment improving and growth momentum picking up as we move forward in the fiscal. We are encouraged by the schemes and initiatives proposed by the finance minister in the Union Budget announced last week, to help spur demand and boost the rural economic growth rate in the mid to long term.

On the subscription side, the outlook remains steady, and we have continued to benefit from the implementation of the National Tariff order 3.0 (NTO 3.0), which is driving subscription revenue growth. With a conducive policy framework in place, we are hopeful of registering a gradual growth in linear subscription revenues in-line with the inflation in the coming few quarters as well. This, coupled with the steady growth of ZEE5's subscriptions, is resulting into a balanced and healthy revenue profile from the linear and digital segments.

During the quarter, the TV entertainment viewership across the industry witnessed a marginal impact due to sports and elections. The magnitude of the impact on our network share was much lower than some of our peers during the quarter.

Furthermore, in July, we have already re-gained the viewership share and are well placed in our key markets. The underlying fundamentals remain strong, and we continue to invest significant

time and energy to enhance our delivery of quality content to further consolidate our viewership share gains.

On the digital front, I had mentioned in the previous quarter that our near-term focus is to achieve a balanced cost structure to drive profitability for the long-term. The teams have put in immense efforts during the quarter to optimize and arrive at a balanced financial profile for ZEE5, and I am pleased to note that we are already on the path to achieve a healthy cost structure for the business, which is evident in the significant reduction in EBITDA loss this quarter. As we progressed in this phase towards our targeted cost objective, the digital business growth rate witnessed a marginal slowdown, but we expect it to rebound in the second half of the year. ZEE5 remains well-positioned in the digital landscape and has seen healthy quarter-on-quarter growth in usage and engagement metrics, underscoring its strong fundamentals. With the platform's strategic focus on good quality content, language markets, targeted investments and an exciting content line-up, we expect ZEE5's growth momentum to sustain.

In the Movies and Music businesses, we continue to derive synergistic benefits across our portfolio to enhance the overall contribution to the topline. During the quarter, Zee Studios released films like 'Maidaan' and 'Mr. and Mrs. Mahi' in Hindi. We believe that both the businesses have been displaying signs of a gradual growth trajectory, enabling the Company to nurture a well-diversified entertainment portfolio.

During the quarter, our EBITDA margin has seen an improvement of 500 basis-points

year-on-year, and this is a testimony to our effective cost management in an otherwise challenging operating backdrop. We also witnessed an uptick in Profit After Tax (PAT) from continuing operations during the quarter to Rs. 1,257 million. On the balance sheet, our focused efforts have enabled us to further strengthen our liquidity and

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financial position. During the quarter, we have generated strong free cash flow, and our content inventory has also continued to decline, driven by optimized acquisition and movie releases.

As the true potential of the Media & Entertainment sector gets unlocked with intensifying competition and the advent of newer revenue streams, we remain guided by our strategic priorities in order to appropriately capitalize on the emerging growth opportunities. We are committed to achieve our targeted aspirations for the future, and our efforts in the subsequent few quarters will be focused towards enhancing our revenue profile with prudence and resilience at the forefront. The action-oriented steps implemented earlier, have resulted in the Company maintaining a firm grip on its costs, and we aim to continue posting a healthy margin improvement rate. As we move forward, we remain optimistic of recovery in the overall macro-economic environment on the back of a good monsoon and an oncoming festive quarter.

On that note, I would like to hand over the session to Mahesh to open the Q&A round. I am also accompanied by Mr. Mukund Galgali, who has recently assumed responsibility of the Finance vertical.

Thank you. Over to you Mahesh!

Mahesh Pratap Singh: Thanks, Mr. Goenka. Before we proceed to the Q&A session, I would like to request everyone to please restrict yourself to a couple of questions. You can always join the queue back. With that, I request the moderator to take the discussion forward for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on the fundraise. So, a fundraise by TV broadcasting companies is quite rare, so I wanted to understand the deployment, where do you see, and what

hat

are the timelines? And what is the thought process behind this in terms of doing it now?

Vikas Somani: So, this fundraise was undertaken to ensure availability of funds which can act as a growth capital for our growth plans, both organic as well as inorganic. As we speak here, the team is currently working on those plans. They are fine graining those plans, and very soon will be ready with our deployment plan. But that is a work in progress. The idea was to ensure a pool of capital at this stage, so that we are ready not only for the shifting dynamics of the sector, but also the competitive dynamics of the sector which is undergoing change right now. So, that was the idea why we went for this fundraise, wanted to fortify our balance sheet. And very soon we will be ready with our deployment plans also. We have a broad sense of it, but just some more work is left on that front.

Abneesh Roy: And last question will be on overall competitive intensity, if you can comment. And given consolidation is happening between the two large players, and currently regulatory approvals etc. are happening. So, my question is, one year down the line when all approvals come, and most of the current properties go to the joint entity, how do you see costing pressure? How do you see pricing pressure? That would be one.

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And second is, because of so much cost-cutting within the Company, if you could comment on the talent pool, how it is, plus how is the morale of the team? Because so many things have happened in the Company in the last one year, the merger got called off, then cost-cutting, now margins are recovering, which is a good thing. Overall, if you could address the HR aspects, that would be useful.

Punit Goenka: Sure Abneesh. So, you are right that a lot has happened in the Company in the last six to eight months. But we are working overtime to make sure that the morale of the organization remains upbeat. Of course, whenever there is this magnitude of correction that happens in the HR side, there will be some level of disappointment and fear that sets in. But as I stated that we are working overtime to ensure that it remains upbeat, and regular communication with the entire organization is taking place. I am personally, in fact, traveling to all the centres to make sure that I meet people on a

regular basis to ensure that the organization is still behind them, and we will emerge victorious in this timeline.

Secondly, on the competitive landscape, my view, Abneesh, has always been that we have competed with the largest of the organizations in this media and entertainment market. And by virtue of just two players coming together, while they will have a lot of synergistic benefits, which we also talked about when we were trying to do our merger, does not restrict or make us less capable of competing with them as a joint entity. So, I think me, and my team are pretty confident that they will continue to work on the entire portfolio and deliver on the expectations that you and the shareholders have from us.

And in terms of the team, we have had some churn. As you would have seen, a large part of the churn has happened in the tech centre. A large part of which was due to the fact that the platform has already reached a certain stage of operations, and we think they have become a bit redundant, those people, and therefore it happened. On the television side and other sides, the talent, this thing has been decent, and most of the talent is still with us. And therefore, we are confident on delivery on the business. I hope I have answered your question, Abneesh.

Moderator: Thank you very much. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: My first question is on fundraise again. I was curious about the FCCB route. Any logic

or any rationale for selecting this instrument over any other instrument because it exposes us to foreign currency variations, so any thoughts on this?

Vikas Somani: We went for the FCCB because we wanted a flexibility of drawing in funds over relatively a longer period. As I said, the whole idea was to fortify our balance sheet, and be ready with enough resources at disposal. But we would want to be very prudent in deploying these funds. And FCCB is an instrument which was giving us this flexibility of drawing in or having multiple drawdowns in-line with our deployment plan over a longer period. And that was the reason why we selected this over other instruments. There were other instruments which were giving us flexibility, but there were limitations. At the best, we could have got 18 to 36 months only out there. And that was the reason we went for FCCBs.

Abhishek Kumar: Second question is on business. Punit, the worry is, while we are reducing cost, is there a fine line between cutting the fat and cutting into growth muscle of the Company?

We have seen sequential decline in OTT revenue this time, I am not sure if it is ZEE Entertainment Enterprises Limited July 31, 2024

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seasonal, or it is because we are spending less on content, etc. So, how should we balance margin expansion with our growth aspiration?

Punit Goenka: So, Abhishek, it is a combination of both, what you said. It is a sequential reduction in revenue because of the heavy nature of the events happening during the quarter, like sports and the general elections, which have caused this to happen. As you know, we are a very heavy general entertainment-led network, including our OTT is very general entertainment-led, and that is the reason that has happened. I can truly believe that we have not really cut into the muscle or the bone yet, we have only cut the fat. And if required, once we see that we need to fortify again by getting in talent for the organization, we are capable enough to bring talent back as and when needed, as and when we see the macro-economic situation improve for the Company and for the various verticals.

Mahesh Pratap Singh: Just to add to what Punit mentioned, Abhishek, I think when you specifically look at digital and sequential decline you are referring to, keep in mind that we had a bit of a bump in Q4 because there was IL T20 and some of the other things. So, that really aided the revenue. Also, as Punit alluded in his opening remarks, even sequentially we have seen the number of paying subscribers, the engagement, etc., has gone up. So, it is not something we are structurally concerned about from the health of business standpoint. It is just a phase, like we alluded a couple of quarters back, we expect H1 to be soft because at this point in time, our priority is to get the unit economics and cost-base right. But as we go into the back end of the year, we are hopeful and confident that the growth will pick up even in the digital side of things. It is just a conscious choice we have made. And internal of the business in terms of both subscribers and engagement, it remains very healthy.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Private Limited. Please go ahead.

Jinesh Joshi: Sir, in the ZEE5 business, we have seen a considerable reduction in EBITDA losses. So, where exactly have we seen the rationalization come through? I mean, apart from the manpower cost, which you mentioned, has some bit of rationalization also happened

on the content, technology, or marketing side? And if you can comment, how scalable is this?

And also, a related follow-up is that, on the back of lower losses, we have also seen that growth has slowed down a bit. I obviously refer to the comment in which you mentioned that backended the growth will be better. But is the digital business expected to see some kind of a growth reset to ensure a reduction in losses?

Punit Goenka: Jinesh, I will take the second part first. As I just mentioned to Abhishek that this is also seasonal in nature because of the events that were happening like sports and the general election, etc. That is the reason you have seen some slowdown. And what even Mahesh was saying earlier that, in Q4 we have sporting properties, and we have events like Zee Cine Awards, etc., on our network, which aid the level of growth for Q4. I would not read too much into that as such.

In terms of the cost that you talked about on the digital business, it has largely come on the manpower side, which is also from the tech centre. And then marketing, based on whatever the needs are on the content that we are offering, and it is done on that basis. We have not taken the thing to cut the content requirement for ZEE5, but we are going to optimize the content requirement for ZEE5. That is what we are trying to do.

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Jinesh Joshi: And just one last question from my side. Has a full rationalization on the employee cost already happened? Because if I look at our 1Q number, the employee cost is down by about 13% to Rs. 225 crores. So, is it expected to kind of rise a bit in the second half, or has full rationalization already happened?

Punit Goenka: The largest part of the rationalization in terms of people has already happened. In terms of cost, I will ask Mukund to step in and respond to that.

Mukund Galgali: Can you repeat the question, please, on the cost?

Jinesh Joshi: So, my question was, on the employee cost side, has full rationalization already happened? Or are we going to see some kind of increase on the second half side, given the fact that we are expecting some back-ended recovery on the top-line product?

Mukund Galgali: So, as Punit mentioned, a large part of the restructuring has been achieved. And we will always focus on maintaining an optimal structure to suit the business requirements, which will be an ongoing exercise. But having said that, a large part of the exercise is already achieved.

Mahesh Pratap Singh: Jinesh, just one last point. You also made a comment in your previous question about the sustenance of ZEE5 EBITDA reduction to some extent. And while Punit covered it, just to sum it up, when you think of ZEE5 trajectory from here on, there are two phases to think of. There is still some bit of room which is left in the cost structure. And then the second phase starts, which is really the operating leverage growth-driven phase as the revenue accelerates back.

So, that is the kind of two levers as we think of. And that is where we believe that there is still going to be room to further drive improvement in this line item. Be prepared, like we guided you in the past as well, for some quarter-on-quarter volatility depending on how we respond to certain seasonal factors. But we believe that there is still room for us to further drive improvement in ZEE5 when you really take a medium to long-term view of cost structure.

Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Congratulations on reducing ZEE5 losses. My question was on the core business. So, if we exclude the ZEE5 losses, it seems like the core business EBITDA has declined by 10%. While I understand ad growth was negative, was there any other element as well which led to this decline?

Mahesh Pratap Singh: So, there are two parts there, Umang, as you think this through. One, as you rightly alluded, linear business is quite exposed to operating leverage sensitivity around ad revenue, and that flows through. The second bit is a bit of a mix. I think when you exclude digital, you are basically looking at traditional business which just does not have linear, it

also has movies. And movies have, depending on how they flow through, over their life cycle, they make healthy margin, but for a period, depending on how you account for them, theatrical, etc., could cause volatility.

So, that is really what has happened, which is why the picture gets a bit muddled. But it is not something which is structurally different or structurally something which has deteriorated in linear. And like Punit alluded, our July viewership share is actually quite

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healthy, and things are looking quite positive. Of course, the ad revenue sensitivity plays out and then there is a bit of a mix change because of linear and movies.

Umang Mehta: And the second one was on the FCCB. So, given that you have received approval from RBI, the understanding was that you would have to give some drawdown schedule to them. So, broadly, could you share some details like the deployment of funds, the drawdown schedule, minimum lock-in to exercise the call option and the end-use of funds?

Vikas Somani: Yes. On that, just give us some time. As we have said in the earlier part of this call, the team is working and fine graining that particular plan of having the drawdown schedule finalized. So, just give us some more time, we are working on it. We have quite a broad sense of where the opportunities are, and we have kind of ear-pocketed those areas. But we will need just a couple of days more to finalize the deployment schedule.

Umang Mehta: But just one clarification. On end-use, there is no restriction in terms of RBI norms on ECBs for you to acquire any Company, right? Just clarifying that because it seems like there is some regulation on ECB, but I am not sure about FCCB.

Mahesh Pratap Singh: The FCCBs are governed in the same regulatory framework in a way, Umang. So, ECB guidelines do apply. To that extent, yes. Whatever the ECB framework says, we will have to operate within the realm of that framework, and regulatory guidelines.

Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: My first question is, again, once again touching upon this competitive intensity. So, Punit, you mentioned how you are prepared. So, competition, especially the bigger one that we are talking about can basically hurt you on three avenues, one is on the advertising, they can reduce the rates, or they can dominate or they can play more efficiently on distribution, and third is on the content and talent. Out of these three, which one you are most worried about actually? Obviously, you will have confidence to tackle all this, but according to you, which one do you think they can play bigger in any of these avenues?

Mahesh Pratap Singh: Arun, Mahesh here. I will take this. Punit has just stepped out. So, look, I think between the three, we of course watch and study everything, but there is nothing we would lose sleep over, or be overly concerned about. Let us take them one by one. Ad rate. Ad rate is a function of viewership. At the end of the day, if you have the viewership, you will get your corresponding rate and you have your pockets of strength in terms of general entertainment, in terms of specific regional languages. So, it really is a very micro conversation channel-to-channel, genre-to-genre, language-to-language. And we are quite confident that the viewership share we have and the relevance we have in those markets, we will get our share of ad revenue. And you look back in your channel checks, in market channel checks, we have always commanded revenue share, ahead of viewership share to that extent. That has really been the history, and that has really come because the construction of the viewership share is very relevant in terms of market-to-market, prime time and so on. So, that on the ad share.

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n the distribution, it is a fair market for everyone. That is equal playing field. And to that extent, we have trust in regulatory strength and oversight that this will remain a fair playing field in that sense. So, that, again, is something about which we are not overly concerned.

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And then the third question you asked about talent and content. Talent, Punit addressed in detail when he responded to Abneesh's question. But on content, again, it really is genre-to-genre. We do not really compete aggressively in, let us say, sports or high budget ticket movies and so on, so forth. And if someone wants to be aggressive in that market, it really does not hurt us. But when it really comes to making general entertainment across Hindi, across different genres, it's something our core strength, and we think within that ecosystem, given the deep relationships we have with producers, with content ecosystem, the ability to having done this over 20 years at a very frugal cost structure will keep us in very good stead.

So, yes, we are watchful about competition. And regardless of this outcome, we have been watchful about competition for last 20 years as we run the business. But it is not something about which we are overly concerned. Of course, we will have to see as the competitive intensity unfolds and respond to it if there is something which is really alarming, but that is really what our initial view is.

Arun Prasath: Mahesh, I think from what you have said, I can infer is that distribution is where probably you will have a tough fight. But the fundraise does not solve or even help you in fighting in that avenue. So, once again tying back to the fundraise, it is not very clear

how the three problems, the three avenues, how the fundraise will solve any of this issue. Maybe it will create a buffer. But beyond that, any expectation from the fundraise, how it will help you in addressing these issues?

Mahesh Pratap Singh: No, it is not necessarily true, Arun. So, take an example of fundraise and take an example of the second point you made about distribution. If you take a view and deploy some of the funds a lot more on the digital side of it, actually in digital, you short circuit the distribution altogether, right? Because it allows you to go to a consumer directly, unlike what the linear world did it. So, it is not necessarily true that you cannot really make, like I said, you cannot really make it micro battle sector-to-sector and compete with it.

Arun Prasath: Secondly, on the ZEE5 you mentioned, the sequential reduction is seasonal. But unless and until, our revenue mix is balanced between ad and subscription. The seasonally it should not impact us, right? So, are we saying our mix is much more balanced instead of subscription maybe?

Mahesh Pratap Singh: Yes. I mean, when you say balanced, you are implying 50%-50%. I would not give you the number. But I would only leave it with saying, look, advertising is a reasonable part of the portfolio to that extent. And IL T20 is a decent property. So, some of those factors could cause volatility, that is one. And keep in mind that also every quarter-on-quarter your mix changes, not just between A VOD and SVOD, which you alluded to. It could also change between customer mix between B2B, B2C, and all of this. So, there are multiple factors which play out. And given you are talking of much smaller base, that kind of volatility of low-single-digit kind of swings can come in on a sequential basis.

Arun Prasath: And just last clarification, are most of the subscriber base in the annual plan or a monthly plan?

Mahesh Pratap Singh: Annual plan.

Moderator: Thank you. The next question is from the line of Karan Taurani from Elara Capital. Please go ahead.

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Kar

an Taurani: Congrats on your upcoming performance. So, I had two questions. One was on the regional genre performance. So, of course, you will see acceleration in terms of ad revenue during the festive season. But do you also foresee potential market share gain in the regional genre? I mean, what is the update there in terms of competitive intensity, and where do you stand in the larger regional genres like Tamil, Telugu, and the smaller ones like in the Marathi, Bangla, Malayalam?

Mahesh Pratap Singh: So, I think we have had decent momentum in regional markets, Karan, like we have spoken. Historically, we have spoken, Marathi we were focusing on, and Marathi has been consistently building up on that strength as we look. Tamil had recovered as well, and sort of solidifying its position. So, generally in, I would say the portfolio, there are bright spots in regional markets. There will always be a market which will go through a cycle, but beyond that we are well-positioned in most of those regional markets to take advantage of festive spending coming along.

And like Punit alluded, our July share already seems very encouraging, and September, October, as you head into festive season, we feel quite good about it across the portfolio. And that applies to regional markets as well. And we continue to focus on each market in a very targeted manner in terms of making content changes or distribution adjustments, and so on and so forth. So, feel good about where the setup is heading into festive season across the regional portfolio as well.

Karan Taurani: And in terms of ad revenue, not asking for any kind of guidance, but if you look at the other traditional mediums like print, other put together, they have seen a big fillip because of election. And somewhere they are ahead as compared to pre-COVID in terms of absolute number. TV is one segment which has kind of seen a struggling phase, and specifically broadcasters in the GE C side. So, say on the near term here, the medium-term basis, what is the kind of ad revenue that you would expect in the steady state for the linear TV business? Of course, digital will be separate, but for the linear TV side is it mid-single-digit, high-single-digit? What is the kind of ad revenue that one should consider?

Mahesh Pratap Singh: Karan, it's difficult to put a number, but like we have said before, we strongly believe that there's still a reasonable headroom for the growth on the linear side of portfolios, given that there is still a fair bit of brand building which is happening from large FMCG companies. Today, the kind of reach TV provides with a 750 million plus, 800 million kind of reach versus, let us say any digital avenue, makes TV very relevant in the brand building and overall spending.

So, to that extent, when you layer that kind of reach advantage, and layer the relative

penetration and cost of ownership in this country, we think there is headroom for the TV revenues to grow at a healthy pace. Given where we are coming from, I would not really put a number to it in terms of mid -single -digit, high single -digit, etc. But we think wherever the industry growth is, given the kind of work we have done on our sort of viewership share, we would sort of continue to grow ahead of the market in foreseeable future.

Moderator: Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead.

Kunal Vora: Mahesh, can you talk about the distribution industry landscape and how it is changing? How many cable and DTH subscribers do we have at the industry level now? How many have shifted to free dish? And how is your linear paying subscriber base trending?

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Mahesh Pratap Singh: So, Kunal, I mean, the numbers would vary a little bit. We will give you a high -level sense of it. I am requesting Vikas to come in a

nd address that.

Vikas Somani: So, you talked about, let me start with the free dish. So, they are on, given any report, there are close to around 45 million free dish subscribers today. That is the FTA universe today. Over and above, there would be close to around 120 million to 130 million paid subscribers. So, this is the universe which we are looking at. There is still around a pretty significant chunk of TV -dark homes today, which are yet to be converted into TV. Now, we need to see whether the graduation happens through TV and then to connected TVs, or this straightaway jump to connected TVs. That is something which every broadcaster is working on today. But that is a general sense of how the subscribers in this country are stacked up.

Kunal Vora: And how about your customer base, paying customer base on the website, how many off 120 million, 130 million are paying right now?

Vikas Somani: See, our reach in almost all the major channels which we broadcast is pretty much in line with all the other major broadcasters. So, there, it would be fair to say that we do not have a reach problem. It varies from channel to channel, but thematically or if I need to make an overarching statement, pretty much the reach is more than satisfactory for all our major channels.

Kunal Vora: And second is on free dish, this number used to be about 20 million, maybe four, five years back, it is now 45 million. The number seems to be increasing. How are you looking to address it? Because we have seen over the years many flip -flops, you were on free dish, removed channels from free dish, but what is your strategy now to monetize your content on the free dish side?

Mahesh Pratap Singh: So, I think we have been out of this for last more than couple of years now, Kunal. And I think we have been consistent in what we have said, look, our focus at this point in time is to strengthen and grow Pay TV ecosystem . Because in our belief, the sort of payback, what you get is much higher on the Pay TV ecosystem side of things. And it is something which largely major broadcasters have sort of also been, sort of followed the similar strategy in the last two, two and a half years.

Now, even on the free dish, you look at the last few quarters, that number has sort of stagnated in that sort of range. We continue to monitor this on an ongoing basis, so from a strategy standpoint it is not something we have turned a blind eye on, or we have parked it forever . But at this point in time, our energies are really focused on growing the Pay TV ecosystem and taking our share out of that.

Kunal Vora: And lastly, on ZEE5, what should be the trajectory of losses from here? I mean, we have seen a significant like, let us say , reduction in losses. But is there a path to profitability? How many years might take to break even , and like what kind of improvements can we expect on an annual basis from here?

Mahesh Pratap Singh: Look, Kunal, we are not giving any guidance from a break -even standpoint. But like we had alluded four quarters back, we alluded that ZEE5 is already at its peak cost structure . And we have backed that and demonstrated that quarter -after -quarter , as we have got the losses lowered. With our vantage point where we sit, we think, as you look out from a longer -term standpoint, and what I mean by longer -term is not just quarter -on-quarter, but if you look out let us say from where we are to where we would be three, four quarters out, and where we would be another three, four quarters out, you will see this number continue to sort of trend down.

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We would keep some flexibility. The only reason we are not providing the guidance here is we want to keep some flexibility to be able to respond depending on how the competitive intensity plays out, depending on how our growth versus profitabil

ity

objectives align, to be able to reinvest in certain areas a little bit more aggressively and so on and so forth. But it suffices to say that with where you are, the kind of reduction you have seen in this quarter is, one, it is sustainable. And second, from a directional standpoint, if anything, you should work with an assumption that medium to longer term that loss number would continue to trend down. And I will let Mukund add more flavour.

Mukund Galgali: So, Kunal, I would just like to add to what Mahesh said that ZEE5 has positioned itself in terms of a niche content offering. And as far as content goes, it has sort of established itself as providing a sort of kind of content which it is unique. And we will continue to, while the costs will trend downward, we will continue to invest wherever required, if there is adequate monetization opportunity. And that will be a tactical call taken from time to time.

Kunal Vora: And as you look to lower losses from here, do you see a higher opportunity coming from increase in revenue or is there a potential to further reduce cost?

Mukund Galgali: I mean, our focus will be, of course, to look at expanding our revenue. And while we will also keep a close watch on the costs as we go forward.

Moderator: Thank you very much. The next question is from the line of Sameer Deshpande from Fair Deal Investments. Please go ahead.

Sameer Deshpande: Congratulations on a good set of numbers. And despite a cautious commentary in Q4, we really did well. And the good thing is, you mentioned the operating losses of ZEE5 which have been curtailed significantly. And going forward, they are also sustainable. So, that is definitely a good thing going forward in improving our operating margins as per our targets. I have one question regarding the notes on accounts, note number eight, where there was an Investigation Committee which was appointed, independent investigation committee under the Chairmanship of former Judge of Allahabad High Court. So, have they completed the investigation?

Mukund Galgali: Mr. Deshpande, the Committee is in the process of completing their work. I mean, they have appointed experts to review, and that work is on. And as soon as it is completed and placed before the Board, it will be made available, and announced.

Sameer Deshpande: Sir, but I think it is about now about six to seven months. It was in February we had. So, it is almost nearing completion now?

Mukund Galgali: It is at an advanced stage, Mr. Deshpande. At the moment, we can confirm that.

Sameer Deshpande: And regarding the fundraise, as you mentioned that the things are yet to be, terms, etc. is not yet disclosed. And it will be done in tranches as and when you feel there are opportunities. So, we are not going to raise the money upfront, maybe Rs. 1,000 crores odd, etc., because we already have some Rs. 1,300 crores of cash. So, any fundraise at this point is not necessary unless there is any inorganic opportunity or any big outflow.

Is that correct?

Mahesh Pratap Singh: So, I think, Mr. Deshpande, yes, I mean, without getting into specifics it is correct to presume that yes, like you said, we would not really be getting the money upfront at ZEE Entertainment Enterprises Limited July 31, 2024

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this point without a clear line of sight. And that was one of the considerations which went into what is the best way to structure the fundraise and so on. So, yes, it will be in tranches like you said.

Sameer Deshpande: And the last question is on subscription rates. Under I guess this NTO 3.0, we were not allowed to raise under bouquet etc. So, there is something in the pipeline which is expected to allow us to raise our subscription to levels we want. Is there any such proposal before TRAI?

Mahesh Pratap Singh: Like we have alluded before, now the policy framework is being quite conducive in terms of how we

think of pricing. Of course, heading into the election, we had sort of held up some of the price increases, which we are now starting to implement back and so forth. So, that is really where, what Punit mentioned in his opening remarks, that we think linear subscription would continue to sort of grow at an inflation linked kind of pace as we go forward. That really is a function of us taking periodic sort of price increases to offset our cost from an inflation standpoint.

Sameer Deshpande: That would be a much-needed respite because the pricing has been controlled for a substantially longer period, so that should help us also increase our margins.

Mahesh Pratap Singh: Sure, yes. And as we make those considerations, we will also balance both pricing and churn objectives, because you will have to look at effectively. So, that is really the balancing act we play as we make those choices, Mr. Deshpande.

Moderator: Thank you very much. Ladies and gentlemen, I now hand the conference over to Mr.

Mahesh Pratap Singh, Head of Investor Relations, for closing comments.

Mahesh Pratap Singh: Thank you, everyone, for your interest and thanks for joining us today. Should you have any further queries, or if your question was unanswered, please feel free to reach out

to us. We will be happy to engage. Thank you again and look forward to speaking to you again soon next quarter.

Moderator: On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Nov 2024

October 24, 2024

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call

This has reference to our communication dated October 18, 2024 and pursuant to the provisions of Regulation 46(2)(a)(ii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on October 18, 2024, on the Company's performance for the quarter and half year ended September 30, 2024, is enclosed herewith. The said transcript is also available on Company's website at:

<https://assets.zee.com/wp-content/uploads/2024/10/Q2%20FY25%20Earnings%20call%20Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Q2 FY 25 EARNINGS CONFERENCE CALL

October 18, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '25 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Mahesh Pratap Singh, Head of Investor Relations, Zee Entertainment Enterprises Limited. Please go ahead, sir.

Mahesh Pratap Singh: Thank you, Ryan.

Hello everyone. Welcome to our Q2 FY '25 earnings discussion. We hope you have had an opportunity to go through the earnings. Today, we are joined by our Managing Director and CEO, Mr. Punit Goenka along with the senior management team. We will start the call with opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Mukund Galgali, our acting CFO. We will subsequently open the floor for Q&A session.

Before we get started, let me remind everyone on the call that some of the statements made or discussed on today's conference call

will be forward-looking in

nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly.

With that, I will now hand the call over to Mr. Goenka for his opening remarks.

Punit Goenka: I hope all of you are doing well and gearing up for the festivities! Let me take this opportunity to wish you, much in advance. May this Diwali bring in lots of happiness and prosperity to each one of you. Hope you all have planned a good break with family!

I appreciate your time and would like to thank you for joining us this evening, as we discuss the Company's performance during the second quarter of the financial year 2024-2025.

Being an eternal optimist; to me, optimism is not just an approach, but a conscious choice. A choice that enables me and my team to transform challenges into opportunities.

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The strategic growth plan that has been implemented, stems from this firm belief. Today, I would like to touch upon the steps taken, in line with this plan, to achieve our targeted aspirations for the future.

We aligned our strategic priorities to enhance our performance and profitability levels across the board, with Frugality, Optimization, and a sharp Focus on Quality Content as the core pillars. I am pleased to share with all of you, that this approach is displaying tangible results for the Company, and we are witnessing a consistent improvement in performance on a sequential basis.

A more prudent cost discipline and sharper focus on operations has enabled us to clock strong improvement in EBITDA margins, coupled with robust free -cash generation, even amidst an incessantly challenging macro -economic environment. Let's look at the Subscription Revenues. The outlook remains healthy as the underlying effects of NTO 3.0 have stabilized. Amidst this scenario, the Company has consistently displayed resilience and demonstrated its ability to grow, while judiciously balancing pricing and churn. We remain optimistic of a further uptick in subscription revenues in the second half of the fiscal on the back of healthy trends in our linear and digital segments.

On the advertising revenue front, while the sentiment remained subdued during the quarter, for the industry at large; we have seen some pickup from the month of September with the onset of the festive season. Hence, here as well, we remain optimistic about the upcoming festive quarter leading to an uptick in advertising revenues. That said, I must mention that a strong and sustained rural consumption pickup is surely needed for the industry at large.

Our viewership share across markets also witnessed an increase, which served as a testament to the concerted efforts invested by the teams in delivering more compelling and engaging content to our viewers across languages. The gains in market share quarter on quarter enable us to remain well -positioned in an increasingly competitive landscape.

Let's move on to the digital side of the business. The efforts sown in to achieve a balanced cost structure for the digital business are enabling us to dial growth back into ZEE5. The performance of ZEE5 is consistently improving quarter on quarter, showcasing immense potential, and we aim to achieve stability in growth from the

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third quarter onwards. We also continue to offer a compelling content slate to our users at a competitive price point. Post a thorough review and restructuring exercise, we have sharpened the scope of our Technology & Innovation Centre in Bengaluru, to support the linear and digital teams in a holistic manner on the content creation, distribution, and monetization process.

As we continue to enhance our performance sequentially, we remain

enthused by

the well -diversified portfolio of the Company, encompassing four strong business segments. This enables us to reduce dependencies and maintain a firm grip on profitability across the board. For instance, the music business has proven to be an asset for the Company in terms of building scale and margin. As the second largest music label in the country, Zee Music Company is enhancing its rich catalogue with a sharp focus on profitability.

As we step into the second half of the fiscal, the overall growth outlook for the Company remains positive. We have taken the necessary action -oriented steps to enhance the performance across all aspects, and we are confident on further strengthening the margin profile going forward. We are well on track to achieve our targeted margin aspirations, and we remain firmly committed towards our set goals for the future. The translation of our efforts into profitability is visible in our cash flow as well, which has inched up during the quarter and continues to strengthen our financial muscle.

As the industry continually evolves and competition intensifies, our ability to fortify our position as a formidable player in the ecosystem remains strong. I have always

maintained that healthy competition augurs well for the growth of the industry at large, and it will only generate more opportunities for all the players in the ecosystem. The Company has a proficient leadership team that will enable us to achieve our set goals and priorities for the future. With this dedicated and agile team at the forefront, we are confident of enhancing the Company's capabilities by manifold to redefine the new era of entertainment. We continue to maintain a sharp focus on returning to our industry -beating margin profile as we invest in strengthening our business for the future.

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As we work on these steps, we remain committed to fortifying our portfolio across all segments, with a prudent cost discipline approach.

Prudent cost discipline – is an apt point for me to hand over the call to the desk where the buck stops! Over to you Mukund – for you to elaborate more on our operating and financial performance.

Thank you , everybody .

Mukund Galgali: Thank you, Punit. Thanks for the introduction . Good evening, everyone, and it's great to connect with all of you for the first time at this forum. I will briefly touch upon some of the key financial highlights.

Q2 has been another strong quarter for Zee with focused execution on our key priorities. Before I get in to Q2 performance, let me sum up our progress against some of the key objectives we had outlined in February 2024.

In Q4 FY24 our EBITDA margins were at 9.7%. In a short span of two -quarters, we have improved our margins by 630 bps, to 16.0%. Our solid progress on margins improvement despite a weaker macro is a great testimony of dedication and hard work put in by the teams across the business. This margin improvement is a function of targeted bottom -up interventions across every element of cost structure and business segment, which gives us high degree of confidence about sustainability of this margin performance. Texture of this margin improvement journey is also extremely heartening given we have moved the needle significantly on strategic segments like ZEE5. ZEE5 Quarterly EBITDA losses have narrowed from Rs 265 crore EBITDA loss in Q4 FY24 to Rs 159 Crore EBITDA loss in Q2 FY25.

I will empathetically add here that, we are fully conscious about balancing our near -term margin aspirations with longer -term growth objectives and hence are also continuing to invest in the business to support future growth ambitions. In fact, in Q2 FY25 we have also stepped up our investments in the business which I will touch upon.

Translating our operating profits to consistent free cash has been another key focus

s

area for us. With improving profitability, an extremely efficient working capital management and optimised content acquisition our cash position has also improved meaningfully. Including Rs 2 Bn FCCB proceeds during this quarter, our liquidity or

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cash and cash equivalent position has strengthened to Rs 17.8 Bn as on September 30th, 2024, compared to Rs 8.3 Bn as on December 31st, 2023. With access to growth capital from recent FCCB raise and consistent internal accruals from our operations, we are well placed to navigate evolving market landscape and take advantage of emerging growth opportunities. Our content inventory and advances have also continued to trend down and are lower by Rs 5.1 Bn between December 31st, 2023, to September 30th, 2024.

On revenue growth front, while macro Ad environment softness has restrained our ability to drive advertising revenue growth, we have been able to drive healthy YoY growth in subscription revenues on back of price hike in linear business and subscriber growth in digital. We have also strengthened competitive positioning of our linear business with 60 bps network viewership share gain in last two -quarters. This positions us extremely well to capitalise on macro Ad spend recovery.

Now briefly coming to Q2 performance, while Ad revenue headwinds have persisted, as seen in an 8% YoY Ad revenue decline, a 9% YoY growth in subscription revenue has enabled us to more than offset that impact. A lean movie line -up has resulted in a muted other sales and services revenue during the quarter, against a very high base

in Q2 FY24 due to Gadar2, which you all know was a massive hit. Resultantly, overall revenues from operation have been lower by 18% YoY.

We are optimistic about Ad revenue pickup in Q3 with onset of festive season, however, we will closely monitor sustenance of that pickup beyond the festive spike as rural demand commentary is still uneven. On subscription side, we remain confident about maintaining the current growth trajectory. We are also looking forward to planned movie releases in H2 FY25 across Hindi and language markets which should provide some fillip to other sales and services revenue.

From an industry backdrop perspective, the linear industry landscape remains healthy, with TV viewership and reach remaining stable. ZEE continues to be India's strong #2 TV Entertainment network and gained 100 bps of viewership share QoQ, taking our viewer ship share to 17.4% in Q2 FY25. This QoQ network share gain is quite broad based, driven by viewership improving across several language markets. On the digital side, ZEE5 continues to make steady progress and deliver healthy KPIs for usage and engagement. Both the number of paying subscribers and average watch time have grown during the quarter. ZEE5 revenues are up 6% QoQ and adjusted for

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one time syndication deal which happened in the base quarter last year, ZEE5 revenues are also up YoY. ZEE5 EBITDA loss has further narrowed during the quarter, and we are hopeful of it to continuing to trend down as growth picks pace in H2, providing some operating leverage.

Moving to costs and profitability, our strong cost discipline is evident across all cost line items. Our efforts towards right sizing our cost structure and improving efficiencies are yielding encouraging results. This is evident from our EBITDA margins improving by 320 bps QoQ. Along the way, we are also taking some of the cost efficiencies and investing back in the business. As an example, this quarter Zee TV had three new show launches, while we stepped up content and marketing investments across the broader linear portfolio. We have also reinstated salary increments for our entire workforce effective September 1st.

PAT from continued operations for

Q2FY25 was at Rs 210 Cr, a robust increase of 61%

YoY. This net profit from continuing operations is at a 10 -quarter high, reflecting significant progress in business fundamentals and a streamlined cost base.

I have already covered balance sheet trends in terms of cash buildup and inventory reduction. From cash deployment point of view, we are evaluating few potential areas and would remain fairly opportunistic and flexible in our deployment approach to maximize returns.

Moving into H2 FY25, having already made good strides on margins, accelerating revenue growth is a key priority for us. We are prepared to further step up investments wherever necessary, keeping that growth objective in mind. We do expect a gradual recovery in Ad revenues from Q3 with festive season kicking off. We also expect to sustain growth in Subscription revenues and ZEE5. On margins, having executed meticulously on our cost intervention action plan in H1, path of further margin expansion now has a higher degree of dependency on growth and operating leverage. Having said that, we remain firmly committed to our 18 -20% EBITDA margin aspirations by end of FY26 and believe we will continue to balance the dual objectives of stepping up growth while managing costs very judiciously.

Back to you Mahesh

Mahesh Pratap Singh : Thanks, Mukund.

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Ryan, we can open the call for questions.

Moderator: Thank you. Ladies and gentlemen, we will now be conducting a question -and-answer session. Our first question is from the line of Abneesh Roy with Nuvama. Please go ahead.

Abneesh Roy: Yes, thanks and congrats on good margin improvement. My first question is on the content and there are two, three sub-questions to that. One is now your financial position margins are improving. So, in terms of content sourcing are you now in a better position versus say one year back when things were more challenging for you? Second is, we have seen in the movie production for other players, I am not talking about Zee, I'm talking about say Dharma productions one week it comes Saregama is

acquiring, second week, it comes Reliance is acquiring. We had seen Vashu Bhagnani bankruptcy-related news flow. So, my question here is what are your thoughts on the consolidation of the movie production, especially in Hindi? And where do you see Zee in that from a 2-3 years' perspective would you like to become a more serious player there given the very high risk which is there and that's why we are seeing the legacy players also looking to kind of sell out. So, what are your thoughts on why this is happening? What is the issue and what will be your plans on movie production from 1-2 years' perspective? That is the first question?

Punit Goenka : Yes, Abneesh, so I don't think that it was really a challenge for us to acquire content.

Even a year back, we were acquiring a lot of content for both our linear businesses and for our digital business, but of course the current financial situation gives us better leverage and better opportunities where we can look at wherever opportunities do come up that we can use that using our cash situation. Having said that, our objective on managing our inventory and advances will always remain also quite prime from that perspective. So, it must be a balance between the two things.

As far as your question on the film business goes it's very difficult to compare people like Dharma or the others with Zee because we are at the end of the day a corporate and they are actually for lack of a better word they are, individual run companies. And this could be just their way of cashing out while the things are going well for themselves. Where do I see Zee? I think we will be at the forefront of film production business, not just in Hindi, but across languages in the country. And we will continue to invest

in both co-productions and full productions of our own in both the segments of Hindi and language markets going forward.

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We did slow down that in the past 1.5 years, but I think the slate is picking up speed again and there are huge opportunities that may come up. Of course, acquiring any of these players that you talked about, it's very difficult to assess because at the end of the day the talent is what is running those businesses. And if we do not have long-term commitments from the talent, what are we actually buying? So, from that perspective, we are evaluating those things and seeing what we need to do. But certainly, we will continue to be in this business going forward. Yes, you were right when we said that it's a high-risk business, but that's the case with any content piece that we run. Even on our linear business or on our ZEE5 not every piece of content that we launch is successful. We do get it wrong at times and that's the nature of the business that we are in. Mukund talked about Gadar 2 in the FY '24 same quarter. Now that was a huge lottery for the company. So, these things are part of that, but the way to look at it, Abneesh, from our perspective is that this is a completely a strategic part of our business because it feeds into our core business of linear television as well as into our digital business of ZEE5, plus the music business. So, from that perspective, I think that is something that I would like to say.

Abneesh Roy: So, my question will be on your last point of music. So, we have seen the two listed music companies' stocks also do well and business also do well. Zee Music used to be quite a serious player a few years back. So, what will be your thoughts there because music is much lesser risk versus movie production and now at some stage the consumers are turning away. What will be your thoughts there, lower risk, improving metrics in the next 2-3 years' perspective in music?

Punit Goenka : No, absolutely. I think music as I said in my opening remarks as well is one of the key pillars of the segments that we run. And we will continue to invest behind that going forward as well. As I said that we may have slowed down because of our entire film production business, etc. I truly believe that going forward, music will continue to be a key asset for the company, and we will continue to invest behind it.

Abneesh Roy: Last quick question. So, we have seen the merger of Reliance and Disney underway and if you could talk about competitive dynamics next 6 months to 12 months, how do you see that changing given there is a clear consolidation plus your own market share there is some improvement, and your financial metrics are improving. Plus, Sony now there is a big question mark on what their own strategy is. Of course, question mark is there for you also given the number one player now will be much, much bigger than you and Sony. So, could you talk about market share? What is the

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aspiration next 1 -2 years? And competitive dynamics you see because of consolidation what can be the benefits of that? What can be the challenges because of that consolidation next 1 -2 years?

Punit Goenka : So, two parts to that Abneesh . Firstly, let me say that and you have heard me say this many times, whatever the market share our aspiration would be in the next 1 or 2 years, I will never get satisfied with that also. We will continue to aspire to grow even beyond that. So, I don't put a number. We aspire to aim for the sky. And even on that journey, we may not reach the sky, but at least we will reach somewhere beyond what we are doing. So that will continue to be our DNA of how we operate. In terms of consolidation, let's break it up into two parts. One is the linear business.

As you will agree, we competed with both Disney Star and Viacom independently. By them coming together nothing much changes except that they may have a little bit more leverage on the advertising dollars that they can command given that they may have a significantly higher market share. So that is the only part where I can comment on. On subscription side, you know it is regulated so there is nothing that is going to change that from that perspective. On the digital side, as I understand and I may be right, maybe wrong, their entire strategy is sports focused whereas our strategy is completely entertainment focused and therefore I do not think that we are really competing in that space or that segment because as I have maintained multiple times that we are not going to enter the sports business very aggressively.

Abneesh Roy: Thanks. That is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Banerjee with ICICI Securities. Please go ahead.

Abhishek Banerjee: Hi. Thanks for the opportunity and congratulations on a good set of numbers. Sir, first question is with regards to how are you looking at ad revenues going forward? We have heard some mix commentary from FMCG guys with regards to how the rural demand is shaping up and given that this quarter or towards the end you would have seen some sort of traction that reached towards the festive season. If you could you just give us some color, that would be very helpful?

Mahesh Pratap Singh : So, Abhishek, on advertising side after a fairly muted July, August, we have seen some pickup in September and we see that continuing in the festive season. So, like Mukund alluded in his comments we are quite optimistic about pickup in festive

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season, but I think the bigger question which we are slightly cautious on, and we want to monitor is how that spike settles down once we are beyond festive season. There is a bit of tactical nature in spending as opposed to longer -term brand building kind of spending and so on. So, we need to see how this plays out and settles down . We are reasonably confident that the festive season Q3 will be better than Q2 because the direction is trending up. Q4 and beyond, we still want to wait and watch slightly more a couple of months and then take a view.

Abhishek Banerjee: With regards to the ZEE5 business, if I see that the incremental revenue whatever you are earning on a sequential basis that is going into EBITDA loss reduction. So, I mean is this trend likely to continue for at least the medium term over the next couple of years?

Punit Goenka : Yes, Abhishek. As Mukund was talking about, we do expect that the trend towards the downward trajectory of the losses reducing would continue. Obviously, we must monitor the business on a quarterly basis. As there may be sometimes when we choose to invest in the business which could have some amount of variation, but the overall trajectory would be in line with what we are demonstrating for the last three quarters.

Abhishek Banerjee: Understood. So, and you also mentioned about some salary increments being affected. So, with regards to the employee cost, what kind of inflation should one kind of price in going ahead now?

Mahesh Pratap Singh : So, Abhishek, if I got your question right, you are saying how should we think of the employee cost going forward?

Abhishek Banerjee: Right , yes at least on a YoY basis. Yes.

Mahesh Pratap Singh : Look from a Q2 standpoint you already have one month of increment in the numbers in that sense because, as Mukund alluded these were effective 1st September. So, to that extent, the one month of cost is already in the numbers. Yes, you should think of a little bit of effect of that coming in , but also keep in mind that our efficiencies have been coming

in during the course of Q2 and you may not have had everything full quarter impact coming in and so on , so build that. I mean, it will be a little bit of a model ling. We are not able to give yo u a specific number, b ut only thing we leave with is there is a fairly high degree of control in cost in general and you would see

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that reflect as we move forward as well. That basic fabric is not getting changed in any way.

Abhishek Banerjee: Understood. Sir, so does that mean that the cost rationalization prospect at least from an employee cost perspective is over? Are more people churning out or has that kind of stabilized as of now?

Punit Goenka : Abhishek, whatever the cost realization has to happen has happened already in the business and including on the people side. Going forward, as any business has churn in employee, we will have those regular churns that happen, but that's part of our day-to-day life.

Abhishek Banerjee: Got it. So , the 18 -20% margin guidance that y ou're talking about or rather aspiration that you're talking about, that is with regards to increasing revenue contributing to that margin expansion?

Punit Goenka : Absolutely. Yes.

Abhishek Banerjee: Okay. Perfect. Thank you so much sir. Thank you for the answers.

Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta : Thanks for the opportunity and congrats for the good margin gain ed. Just wanted to check, you mentioned about resuming investment in movies. Would be possible to give any number or any commitment you have made internally?

Punit Goenka : So, it is already part of our working capital, Umang. So, I don't think you will see any incremental working capital increase on that account. So, we will manage within that part. And as Mukund talked about our objective will be to keep bringing this inventory and advances levels down further. So, we will manage our entire thing that the film production also forms part of the same inventory that we are talking about. So, we will continue to operate in that. I will not be able to give you a specific number because we don't disclose that for competitive reasons.

Umang Mehta : Got it. Understood. And secondly on ZEE5, there was a media article wherein it was mentioned about some talks with A irtel, you are already there with Vodafone. I mean can they be substantial in terms , based on your past experience s?

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Punit Goenka : We are in active dialogue with all our B2B distribution partners. And it will be difficult for me to say that will be substantial or not. Obviously , them being one of th e largest telcos in the country, based on the deal that we do will have an impact on the ZEE5 numbers.

Umang Mehta : Got it. And just last one on the fund deployment. So Mr . Galgali did mention that you all are evaluating a few areas, but possible to give any more color on what you are evaluating?

Vikas Somani : So, as you said, we have been evalu ating a couple of opportunities, but nothing has materialized so far. So, we are not at that stage where we can share any concrete information with you or anything meanin gful, b ut we will keep evaluating those opportunities and we will remain opportunistic while deploying this capital and, of course, conscious of value accretion out there.

Punit Goenka : But just to give you a perspective to add to what Vikas said, it will be in the domain of entertainment genre that we operate. We are not looking at going beyond that business at all in any manner.

Umang Mehta : Got it. Helpful. Thank you so much and all the best.

Moderator: Thank you. T he next question is from the line of Abhishek Kumar from JM Financial Limited. Please go ahead.

Abhishek Kumar: Good evening

and thanks for taking my question. The f irst is a very high -level question, Punit. I just wanted to get your view on this linear TV versus digit al from an ad budget allocation point of view. I mean the ad spend for linear TV has been soft for variety of reasons for almost 2 -3 years now. The concern is it structural or is it ju st because of rural recovery et c? Do you think linear TV from a marketier perspective, still as relevant as it was a couple of years back and therefore, just as percentage of overall pie can go back to where it used to be?

Punit Goenka : So, Abhishek, I think it's not a simple answer. So, I will try and dissect it for your understanding. So linear television will remain relevant in this country for a long, long period of time. We are far from the reach that linear TV provides. Digital in its best case form would be at half of what linear TV does deliver today. And secondly, if you look at most of the digital advertising, it's largely transaction based. Most of the advertising on television or linear business is brand -building based and therefore if a

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brand wants to advertise to build itself, they will have to continue to focus on the linear business because the reach that we provide is far greater than any digital platform in this country. Forget my own, I am talking about any digital platform in this country. Secondly, you should also look at the digital numbers by stripping them off. There are two aspects to digital in this country. One is the search as well as the social media. So, if you can strip that out and look at only the video part of the consumption on digital business, the revenues on linear business are multiple times higher than what digital can offer. And that's what we truly believe that India will always remain a TV and a digital market. It will not be a TV or a digital market, unlike the western parts of the world that you may be referring to.

Abhishek Kumar: Sure, a related question and more relevant for Zee Music. A lot of other players trying to monetize their content library by partnering with some of these digital platforms, Zee having such a large library of content both in cinema and music, do we have partner with some of the other music apps, platforms like we do with YouTube.

Punit Goenka : Yes, we do partner with most of them. When it comes to the music business, we are pure publishers. We are not creating platforms of our own unlike ZEE5 and therefore we do license our content to most of the digital platforms that exist plus we do license our content to even linear platforms that want to use our music for their content creation, et c.

Abhishek Kumar: Okay. Staying on Zee Music, we are the second largest. Some of the other listed music players, the market cap is closer to our market cap. Any plan to start disclosing some of the financials around Zee Music so that investors and analysts can appreciate the value of that business a little more?

Punit Goenka : Certainly, I have maintained at the right time, once the market stabilizes, we will start reporting our segmental details. But it is not the right time today and therefore we are not doing it yet. But you should certainly expect that to come from us in the coming future.

Abhishek Kumar: Sure. One last question on capital allocation. Now with free cash flow improving, any thoughts on going back to a formal dividend policy that we used to have earlier or is it still too early we have a lot more areas to invest in?

Punit Goenka : It is certainly something that we will take to the Board for consideration. As you know we are paying out 100% dividend this year which is again different from what has

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happened in the last couple of years. But certainly, we will be going back to the

Board

to look at the dividend policy and hopefully reinstate it back, given as you rightly said our cash flow position.

Abhishek Kumar: All right. That is all from my side. Thank you and all the best.

Moderator: The next question is from the line of Arun Prasad from Avendus Spark. Please go ahead.

Arun Prasad: Good evening, everyone. Thanks for the opportunity. My first question is on the again content spend. Punit, I remember that you telling us that when you are increasing the content spend a few quarters ago, the benefit of that content spend will come a few quarters later. Isn't it true for when we decrease the content spend as well because this should reflect in our share a few quarters later. So, is it the right way to think?

Punit Goenka : No, Arun, the fact of the matter is that despite whatever little spend we have cut on content, both on the linear and digital side, we have seen market share gains on both sides. So, it is not completely a mathematical equation, although sometimes when you get some extra content wrong, it could seem like that. But as I said earlier that wherever required, we may up our investment if needed for the business even if it means that margins may take a little bit longer to deliver.

Arun Prasad: Okay. All right. And so, does it mean still there is some room to cut some spends given that the market share seems to be inelastic to the content spend at this point of time

at this level?

Punit Goenka : No, Arun. I don't think there is any more room for us to cut. In fact, you should expect inflationary growth to happen from hereon .

Arun Prasa th: Okay. Understood. Secondly on digital , again you alluded to the fact that competition is primarily in sports, but we do not operate in that. But the fact of the matter is that primarily you are competing to grab the people's time, whether it is sports or say GEC . So how should we position ourselves now that even in the first half, if you see ZEE5 revenues kind of flat, maybe because we have cut the content or maybe because the competition is gaining. So how should we look at the overall . What is your aspiration in ZEE5 right now given the nature of the competition and how people are spending their time in the digital?

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Punit Goenka : So, Arun, our aspiration for any business that we are in including the digital business will be to be in the top two categories. And right now, we are probably number four or number five and so step by step we want to grow and reach higher. Having said that, you are right that we are in the business for grabbing the time of people and where their space of mind etc, but we have effectively done that in the linear business itself. And therefore, I don't see any reason why that can't be repeated in the digital part of the business. And keep in mind that the sports business is very volatile. It is only when you have a big event that's happening that they attract viewership. Other than that, it is a regular content that gets consumed. And that's the game that we want to play out. And we will continue to do that. In fact, during those high -ticket sports -- this thing we don't even go out and put any high -ticket content of our own. We wait for those things to die down before we come out with our own top -ticket shows.

Arun Prasa th: Okay. Just to get a clarification, what will drive the ZEE5 revenue? Now most of the benefit is coming out of the cost which has some finite limitation. So, profitability has to come from revenue growth. So, what will drive this going forward?

Punit Goenka : It is more subscribers. We have to go and get more subscribers. That is the only way to grow this. And, of course over a period time, we will take pricing also increase. Because today, we are one of the most cost -efficient OTT platform in the country compared to all

our competitors.

Arun Prasa th: Have you grown the subscriber base in the last few quarters because that disclosure is kind of unfortunately is not there. So, we are not able to gauge from that. How is the performance coming?

Mahesh Pratap Singh : Yes, we have stopped disclosing, but even back then, Arun, we were not disclosing paying subscribers. We were disclosing MAU, DAU kind of metrics. So yes, I mean, without giving you numbers which we cannot , our number of subscribers have grown both quarter -on-quarter as well as year -on-year, number of paying subscribers. So, both and not just the usage in the metric. But even when you look at the engagement metric which we track in terms of watch time, etc that has also grown at a pretty healthy clip. Now of course, the question that could be saying, look, if there's growth why the revenue growth is slightly slower than what it is and that is a function of mix change in terms of where the subscriber is coming from between different pay models and so on. And a roundabout way for you, I mean, as an outsider, while we

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don't report it, if you go and look at, let's say, Similar Web, App Annie kind of third -party metrics you would see the trends of usage, etc independently.

Arun Prasad: Understood. Thanks Mahesh and Punit. All the best.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from Prabhudas Lilladher Capital . Please go ahead.

Jinesh Joshi: Thanks for the opportunity. Sir I just wanted one small clarification on the operational cost side. I mean, if I look at the last two quarters, we have seen a decline of about 8- 9%. So, is it solely led by cutting the content spend or has there been any change in the amortization policy be it respect to shows, music or for example, movies?

Mukund Galgali : So Mr. Joshi , let me clarify there is no change in any amortization policy as far as content is concerned. That remains to be consistent in line with what we have been doing. Most of the cost optimization is mostly targeted at fixed costs. And as far as programming cost, which is variable in nature, is something which we will continue

to deploy and invest in from time to time depending on the opportunities.

Jinesh Joshi: Noted. Sir, one last question from my side. If I look at our linear TV EBITDA margin after knocking off the ZEE5 losses, now that has improved considerably to about 27% in this quarter if I compare it with the previous three quarters. So, any specific initiatives do you want to share that we have taken on the linear TV side which has led to such kind of an improvement despite the decline in the ad revenue?

Punit Goenka : So, the linear business, Jinesh , has always been quite profitable for us. And we do expect that the margins will only continue to improve there. As we start to see tailwinds in the advertising growth, you will see only improvement coming in the margin structure of the linear business. So, I don't think there is any specific thing that we have done structurally for us to deliver on this. It is pretty much business as usual. Of course, we have to keep finding efficiencies and delivering better content for us to continuously keep improving on that. And that is why what we talked about the market share gain of 100 basis points over quarter -on-quarter will certainly help us as and when the headwinds turn towards benefit and growth, we should be able to seek advantage of that going forward.

Jinesh Joshi: Sure sir. Okay. Thank you so much.

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Moderator: Thank you. The next question is from the line by Akshat Bairathi with RSPN Ventures . Please go ahead.

Akshat Bairathi: Hi sir. Thank you for taking my question. So, my first question is on the Star case that the S tar has file

d an arbitration case. So, can you share some details with us w hat is the current status of it a nd how much will it cost us to fight it in the court?

Punit Goenka : The second part definitely, Akshat, I will not be able to give you an answer because these legal cases are very prolonged and can be expensive. As far as the status of that case is concerned, they have put the claim that you may have seen already in the press. Now we are supposed to respond to that by end of this quarter which we will be doing. And then, of course, the proceedings will start in the arbitration courts in London that we are fully geared to address.

Akshat Bairathi: Got it, sir. My second question is on the planned movie releases. So, can you give us some pipeline of the move releases coming in the H2 and Q3 as well?

Punit Goenka : So, we have several movies coming in the H2. Of course, I will request Mahesh and Mukund to answer this.

Mukund Galgali : Akshat the big-ticket items which we have in H2, in terms of movie releases is Emergency which got rescheduled. But otherwise, Emergency is big movie , Game Changer is a south movie of Ram Charan and is another big-ticket release which is planned in H2.

Punit Goenka : And then, of course, we have a whole slew of small to mid films.

Akshat Bairathi: Got it. Sir, my last question is, do we have any internal targ ets for ZEE5 EBITDA breakeven, and can you share it with us?

Punit Goenka : I am sure that is a thing that we struggled with on a daily base. I will just reiterate what I said that the trajectory of losse s reduction is well on its way, b ut given the competitive intensity of the market, right now we will not be able to giv e you a date when we will break even. But certainly, it will be within the horizon that you as an investor or an analyst would be able to model in your business plan.

Mahesh Pratap Singh : And just to add to what Punit said, Akshat, when we had given our aspiration of 18 - 20% EBITDA margin , we have worked a certain range of scenarios in that to be able to remain competitive in ZEE5, invest in what the market environment could look like

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and still have relevance. So be assured that when we talk about margin improvement from where we are to where we are going, that margin improvement journey is not hinged upon ZEE5 breaking even.

Akshat Bairathi: Got it sir. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Sameer Deshpande with FairDeal Investment. Please go ahead.

Sameer Deshpande: Congratulations, Mr. Goenka and the team for the spirited turnaround you can say, over the last 6 months. And I hope the things keep on improving going forward. Now in half 2, in the current release they have mentioned our revenue growth target is about 8 -10% overall CAGR with the current portfolio, so does it mean that it doesn't

include anything from the movie releases, etc which can be a bonus on that?

Mahesh Pratap Singh : So Mr. Deshpande if you are referring to the initial slide. That is the statement of aspiration we have laid out. That is really a longer-term view of the business when we say current portfolio, which includes all four businesses, linear, digital, movies and music. And what we are implying there is look as a portfolio of those four businesses put together, we would really be aspiring for 8-10% sort of revenue CAGR for the next few years. Subscription is already there, as we have said on that slide at about 9%. And that is really what we mean by that statement. It is not necessarily H2 guidance, it is more a longer-term revenue CAGR aspiration.

Punit Goenka : And as Mahesh said, this is a combination of all the four verticals. It is not attributable to any one vertical, it's the overall organization target that we have taken.

Sameer Deshpande: Okay. So,

in half 2, first half movie releases, etc were not that much. In the half 2, can we expect that income to be significantly better?

Punit Goenka : Yes, sir we do.

Sameer Deshpande: Okay. And another thing is this independent committee report which has been given on 8th of October by the Board. So, will it be binding on SEBI?

Mukund Galgali : The report that has been submitted to the Board, and it will not be binding on SEBI.

Punit Goenka : SEBI's investigation is independent of that sir. This was a report that was in process that the Board had instituted within the organization to satisfy themselves and

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nothing of whatever allegations SEBI has made are of any relevance, so it is respective to that.

Sameer Deshpande: Maybe it will help them close the case early, let's just hope?

Punit Goenka : I am always an optimist, let's see.

Sameer Deshpande : Okay. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Navid Virani with Bastion Research. Please go ahead.

Navid Virani: Thank you for the opportunity. I have two questions. First one is on movies. So, we have said that we are going to intensify investments in movies which we have not done in the last few years. So, I just wanted to understand that are we working with a particular ticket size in mind beyond which we are unwilling to go as far as movies is concerned? I mean just trying to understand that even if, let's say, movie fails it doesn't really hurt us that much?

Punit Goenka : So, Navid, as I said earlier the movie production business is a bit risky business. But we do evaluate every opportunity on films basis what we believe that it can do both on box office as well as on the other revenue streams whether it's digital or television and music. So, we have not put a limit to the ticket size. But, if you look at what Mukund talked about in the second half of the year, we only have two big-ticket films coming out. So, it's a combination and a portfolio approach that we use. We do multiple films; few may be high-ticket, and the rest would be medium to small size.

Mukund, do you want to add?

Mukund Galgali : Yes. And Mr. Navid I would also like to add that from a risk mitigation point of view, we also try to see that these are underwritten by digital and linear commitments. So, the exposure is not only linked to the theatrical box office.

Navid Virani: That is helpful. Second one is on the fund raise. So, from what I am able to see right now in the presentation, we have only raised a fractional of funds which we have set up, so is there a thought process on the fundraise, is there any timeline in place or that fundraise will be contingent to opportunities coming our way?

Vikas Somani : So, as we have said we have been evaluating a few opportunities, but nothing has materialized. So right now, we have no plans of calling in or going for another tranche

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in the immediate future. But yes, to some extent you are right, it depends on the opportunities as we come across and when they materialize.

Navid Virani: That's it from my side. Thank you for the opportunity and wish you all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question and this concludes the question-and-answer session. I now hand the conference over to Mr. Mahesh Pratap Singh for his closing comments.

Mahesh Pratap Singh : Thank you everyone. Thanks for joining us today. We hope all your questions were answered. Do feel free to reach out to us if you have any follow-up questions. We will

be available and look forward to speaking to you. Wishing you a great festive season ahead and have a great weekend.

Moderator: Thank you, sir. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

January 30, 2025

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call

This has reference to our communication dated January 23, 2025 and pursuant to the provisions of Regulation 46(2)(a)(iii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on January 23, 2025, on the Company's performance for the quarter and nine months ended December 31, 2024, is attached herewith. The said transcript is also available on Company's website at:

<https://assets-prod.zee.com/wp-content/uploads/2025/01/Q3-FY25-Earnings-call-Transcript.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Zee Entertainment Enterprises Limited

Q3 FY'25 EARNINGS CONFERENCE CALL
January 23, 2025
Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide an accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward -looking statements" - that is, statements related to future, not past, events. In this context, forward -looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward -looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward -looking statements. The company does not undertake to update its forward -looking statements.

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY'25 Earnings Conference Call hosted by Zee Entertainment Enterprises Limited.

As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" , then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mahesh Pratap Singh – Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you and over to you, sir.

Mahesh Pratap Singh: Thank you, Sejal.

Hi, everyone. And welcome to our Q3 FY'25 earnings discussion. We have with us today our CEO – Mr. Punit Goenka, along with the Senior Management Team . We will start with opening remarks from Mr. Goenka, followed by commentary on Operating and Financial Performance by Mr. Mukund Galgali – Deputy CEO and CFO. We will subsequently open the floor for questions and answer.

Before we get started, I would like to remind everyone on the call that some of the statements made or discussed today will be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties we face. The Company does not undertake to update any of these forward -looking statements publicly. With that, I will now hand the call over to Mr. Goenka.

Punit Goenka: Thank you Mahesh.

Good evening, everyone! Warm wishes to all of you for a wonderful 2025.

Thank you for joining us this evening to discuss the Company's performance in the third quarter of the financial year 2024 -25. Today, I would like to share some macro -level insights about the Company's performance during the quarter and the trends witnessed by the industry. Post this, Mukund will take you through the granular details of our performance and the key numbers.

As you would have noted, the Company's focus during the first three quarters of this fiscal was around strengthening the fundamentals of the business, and pivoting strategies to enhance the performance and profitability levels. We have implemented several action -oriented steps that have translated in our year -on-year margin

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expansion. The fiscal prudence exercised across the Company has served us well, enabling us to maintain a firm grip on the margin profile and balance sheet. The first phase of our overall strategic roadmap, centred around costs and margins has been successfully executed, and our energies are focused towards boosting growth and performance.

That said, the overall macro-economic environment remains challenging. The green shoots we witnessed during the beginning of the quarter, did not pick up the required pace to drive a positive growth momentum. This, coupled with the muted spending by FMCG brands in a festive quarter, further slowed the pace of growth for the industry at large. Although there was a marginal uptick in rural recovery, the lacklustre sentiment in urban markets led to weaker demand and impeded significant growth. This in turn, also impacted our advertising revenues during the quarter. However, improving consumption is expected to drive a positive momentum for recovery going forward. We are hopeful that the upcoming Union Budget will encompass pertinent steps by the Hon. Finance Minister, to revive the consumption cycle in order to spur the industry. On the back of these factors, we remain optimistic about a gradual recovery in the new fiscal, that will enable us to capitalize on the increased spending by advertisers.

During the quarter, subscription revenues continued to post

healthy growth. In line

with the Telecom Regulatory Authority of India's (TRAI) tariff regulations, we have published the new Reference Interconnect Offer (RIO) that reflects the competitive pricing approach adopted by the Company. We expect subscription revenues to continue growing after a couple of quarters of implementation.

ZEE5 has also enabled us to consistently move the needle on subscriptions and margins. We are taking concerted steps to enhance the growth on digital, post a thorough calibration of the cost structure, and we should be able to talk more about that in the coming few quarters.

On the linear side, our language markets continue to maintain a strong foothold and post positive results. We are also witnessing an uptick in the Marathi market, where we have invested significant amount of time and energy over the last few quarters to identify and fill in the required gaps. We are focused towards strengthening our Hindi programming and considerable investments are being made in content to enhance the value for our consumers.

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Speaking about our music and movies business, Zee Music Company has maintained healthy profitability and market relevance. However, it was a lean quarter for the movies business. That said, we have key releases lined up during the fourth quarter, and these will reflect in our performance going forward.

At a macro level, we are maintaining a sharp eye on the profitability levels and investing for long-term growth. We have identified the gaps, and our teams are working round the clock to innovate and build solutions that will enhance the Company's competitive advantage in the market.

The Company remains on a firm footing to drive robust growth in the future, with a balanced investment approach. The lateral leadership team structure is enabling the Company to direct concerted efforts towards each business segment, and we remain optimistic about firing on all engines as we move forward.

On that note, I would like to hand over the call to Mukund, to elaborate on the Company's financial and operating metrics during the quarter. I look forward to interacting with you all during the Q&A session later.

Thank you. Over to you Mukund.

Mukund Galgali: Thank you, Punit. Good evening, everyone. And it's great to connect with all of you. I will briefly touch upon some of the Key Financial Highlights during the quarter.

We are pleased with the continued progress in the business as reflected in healthy profitability amidst the challenging macro environment. Q3 FY'25 was a soft quarter for advertising growth, wherein broad consumption slowdown outweighed festive season pickup. While we did see some pick up in October closer to Diwali, the momentum quickly cooled down in November, December.

From our vantage point, the impact of this consumption weakness and resultant FMCG Ad spend slowdown has been more pronounced in the Urban areas and in the Hindi heartland, while South cluster or other language markets are still holding relatively better. As a result, our Ad revenues were up 4% QoQ and still down 8% YoY. We are continuing to look at ways to maximise Ad revenues in this environment and will remain cautious in the near term on the pace of our Ad revenue growth.

Through this phase, the subscription revenue momentum has held us in good stead, it has allowed us to offset the macro -Ad environment led softness in our advertising

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revenues. We have been able to drive healthy YoY growth in subscription revenues and our nine -months FY '25 subscription revenues are up 8.2%. We have also published , as Punit alluded, the new channel tariff which will help us to continue growth after a couple of quarters of implementation .

On the broadcasting business, the TV industry landscape remains healthy, and the overall industry wide TV viewership has increased by 1.4%. Further, we continue to be a strong #2 entertainment network in India, and we have gained 40 bps share to 16.9% compared to the same period last year. And as Punit mentioned, again, Zee Marathi has shown a consistent progress post our interventions. And Zee Tamil has also gained healthy share on a YoY basis.

On the digital side, ZEE5 has further narrowed its operating losses in this quarter . It's EBITDA loss is lower by Rs 22 .6 Cr QoQ & Rs 1 07.8 Cr YoY basis . While cost structure and profitability has been a key focus area for us in this business , we also continues to make steady progress on usage and engagement KPIs. Both the total number of subscribers and average watch time during this quarter has grown on a YoY basis. ZEE5 YoY revenue growth of 8% is slightly impacted due to a delay in the renewal of a B2B deal, which completed its term in September 2024, and the new commercials are still being discussed .

As we have shared before, in ZEE5 we remain sharply focused on maintaining a balanced cost structure and driving return on investments to sustain long -term growth, and that rigour also applies to how we assess and evaluate each revenue opportunity. We want to secure the right price for our content and digital offering and would not like to give into the short term temptation to chase near term growth on any cost which may undermine our long term monetization potential .

Our original content in ZEE5 continues to resonate well with the viewers. We have released 14 shows and movies during this quarter, which includes seven originals and includes some of them namely Mithya Season 2, Aindham Vedham which is a Southern language show, Despatch, Vedaa, Dharamveer 2 and a few others .

Coming to the movie business, Q3 FY '25 was a lean movie calendar for us as Punit mentioned . And given the nature of movies business, there is always going to be some quarterly peaks and troughs. During this quarter , we released 5 movies , 2 Hindi and 3 regional . which were all distribution deals. And therefore , "Other Sales and ZEE Entertainment Enterprises Limited January 23 , 2025

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Services" revenues have shown a declined 43% YoY due to lower syndication and leaner movie lineup.

On Music business, Zee Music Company (ZMC) remains #2 music channel with around 160 mn subscribers of YouTube and over 43 bn total video views during the quarter driven by the new -age music catalogue and rich library. Within the music business, our profitability remains fairly healthy. In the near term we are being selective in pursuing growth given the changes the music industry is witnessing, and around a fewer number of streaming players , changing revenue model and higher cost of music rights currently.

Now moving to costs and Profitability of the company , on an overall operating cost declined by 10% YoY due to overall efficient execution, lower programming and technology cost and continued cost optimization in ZEE5. We are also very mindful about balancing our cost optimisation efforts with longer -term investment needs of the business and we are taking a very nuanced approach in this entire exercise. While we have reduced our overall cost and driven efficiencies in specific areas like content, Technology etc, you would also notice that we have invested back in specific areas to strengthen the growth fabric of the business. Our Advertising and publicity expenses, for the quarter and nine -months period are hence higher, reflecting our continued investments in marketing. Our employee expenses have increased on a QoQ basis as we have rolled out wage increments from September .

Effective cost management in a soft advertising environment,

has helped us maintain

our momentum on profitability with our EBITDA margins up 10 bps QoQ, and up 590 bps YoY . During this quarter, we have also made a provision of Rs 809 mn based on the arbitration outcome related to Margo, the details of which can be found in the notes to accounts in the published results. This is a non -cash impact, but it has

adversely impacted our reported net profit.

PAT from continued operations for the quarter came in at Rs 1,636 mn, which shows a robust increase of 207% on a YoY basis, reflecting significant progress in business fundamentals and a streamlined cost base.

On the balance sheet, our focused efforts have strengthened our liquidity and financial position. During Q3FY '25, we have paid Rs 1 per share dividend. The cash & treasury investments as of Dec'24 stood at Rs 17 bn, including Rs 2 bn from FCCB proceeds. The cash & treasury investments include Cash balance of Rs 4.2 bn, FDs of ZEE Entertainment Enterprises Limited January 23, 2025

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Rs 7.1 bn and investment in Mutual Funds Rs 5.7 bn. Our content inventory has continued to decline driven by optimised acquisition. Dec'24 Content inventory, advances and deposits were at Rs 69.9 bn, lower by Rs 4.3 bn on YTD basis.

I am also happy to share the progress we have made in our ESG journey and in November '24 we have published our first ESG report highlighting our strong ESG practices and disclosures. This report is available on website of the company, and I would encourage each one of you to look through that. Our ESG progress is also reflecting in our improved 3rd Party External ESG ratings & scores. Going forward, we will continue to accelerate our ESG agenda.

Moving into Q4 FY '25 & next financial year FY'26, having made good strides on margins front, accelerating revenue growth remains our key priority. We feel good about levers in the business to deliver sustained profitability while making room for growth related investments. However, as mentioned earlier, the path of margin expansion now has a higher degree of dependency on growth and operating leverage. Q4 will also see a busier movie calendar and while that should aid the revenue growth, it may also bring some unpredictability on margins depending on the commercial successes of the movies. Having said that, we firmly remain committed to our stated EBITDA margin aspirations by end of FY '26 and believe we will continue to balance the dual objectives of stepping up growth while managing costs very judiciously.

Back to you Mahesh.

Mahesh Pratap Singh: Thanks, Mukund. We can now open the call for questions and answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abneesh Roy from Nuvama Wealth and Investment Limited. Please go ahead.

Abneesh Roy: Congrats on the margin expansion. My first question is on the movie production business and music rights business, choosing between the two for you as a Company.

So, movie production business in FY '25 has been extremely challenging in terms of Hindi movies. Most have not done well; few sporadic successes are there only. And your latest movie in Q4 also till now has seen very muted response. So, why not reduce the focus on a riskier part of the business and flow that towards say music rights business? You did mention that music rights, you want to be a bit cautious, given the landscape change the music rights are going more expensive, so wanted to understand what is the landscape change, is it that the foreign players are entering ZEE Entertainment Enterprises Limited January 23, 2025

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the Indian music rights industry more aggressively? Or is it the listed players now getting more aggressive? So, if you could elaborate on these two

aspects.

Punit Goenka: Yes, Abneesh. Yes, I think as Mukund mentioned in his opening remarks, we do evaluate the mix between movies and music based on what the return profiles are going to be. So, the risk reward ratio is evaluated on a regular basis on a per content basis as well. So, we do it, but we do have to also look at the fact that the movies business also works as a feeder business for us, and our basic requirement of what we require internally has to be met.

On the music part, yes, as we stated that the music rights are getting a bit aggressive in the market, but from what I see, it's largely from the domestic players itself. I do not see that much aggression yet from the international players, but you never know what may change in the coming future.

Abneesh Roy: But Punit, further elaborating on that, I understand movie production does feed into your own linear TV and OTT, and we have seen now that the movie satellite rights, and TV rights are also correcting because of the consolidation in terms of the number of players, which is a good thing. But on the other hand, if you see the music business, clearly subscription, that path towards paid subscription, that is improving, but still not fully achieved. So, in that context, from a more predictable and viability business, isn't music making more sense for you? I understand the listed music companies now getting more aggressive and they are pure play and it's the main business for them.

But your presence and your brand is also very strong in the music business. So, from a viability and predictability, irrespective of whether feeder business or linear TV is there or not, shouldn't you focus more on that also?

Punit Goenka: So, Abneesh, it does not mean that we do not focus on that. It's about capital allocation to which business, how we do it. And we do not take money away from one vertical for the benefit of another vertical. So, rest assured, our focus on the music business will not shift. Of course, we are going to be even more cautious on the Hindi movie segment that you talked about. I think on the language side, the movies are still doing reasonably well. So, we will continue our film production business. How much we invest in which language is something that we evaluate on a monthly and a quarterly basis.

Abneesh Roy : Sir, my second and last question is on revenue acceleration. You have done well on the gross margin, EBITDA margin, good delivery, I would say ahead of expectation.

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And you did mention that now the margin improvement will be more a function of revenue acceleration or revenue growth coming back, in terms of at least advertising, subscription you are doing well. So, my question on advertising is essentially two, one is, FMCG, clearly rural is something more recovery will keep happening and urban clearly two more quarters of slowdown is definitely there in terms of FMCG. As a proactive step in terms of rural FMCG advertising, say local advertising or say any other proactive step, are you doing something different to capture the rural recovery? Given urban you can't do much. That is the first part of the question. I have one more follow-on question on advertising.

Punit Goenka: So, if you look at our entire language market, as Mukund talked about in his remarks, it's coming from the function of both, the performance of those language markets plus, given the fact that retail is a very large part of those markets for us. And retail generally does focus a lot more on rural than purely on urban.

Mahesh Pratap Singh : Also, Abneesh, on that question about advertising revenue. I think there are other bits which we are doing in terms of, one, if there's an opportunity to get revenues from other sectors or segments beyond FMCG, that's one. The second thing you

would

notice in the numbers, and we give you this split as well that, we have also focused, while these are smaller bases, but just gives you a sense of how we are thinking this through, we have also focused very sharply on international Ad sales for that matter. So, if you look at, while the domestic ad sales have been slower, you look at our nine-month FY '25 international Ad sales YoY is almost up 22%. So, I think what we are trying to do is, as we navigate this space, look at pockets of revenue, Punit alluded to retail, other sectors also if there are markets outside partnerships with some device makers or European markets, international etc. So, everything possible is what we are doing. And our internal assessment suggests that our nine-month blended Ad sales performance even in domestic is ahead of our peer group.

Abneesh Roy : Sir on the advertising two quick follow up, one is, international, there is a slowdown. Everyone is talking about Europe recession, etc. So, is it that you are doing well because of a soft base or something proactive you have done, if you could talk about it?

Second is, your market share in linear TV has expanded, a clear consolidation, the number one player now is part of a big conglomerate with ten other priorities. So, my question specific is, now you are a pure play good number two player in the linear team. And because the other player is part of a conglomerate and they are very big, ZEE Entertainment Enterprises Limited January 23, 2025

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and now they are sitting at a very strong dominant share, would you see that as a positive? Because as I said, they have other priorities also as a conglomerate and you can always be more of a niche and sharper and faster execution, so I wanted to understand that from a competitive dynamic point of view, from advertising point of view.

Punit Goenka: So, I will answer the first one, Abneesh. If you look at it in the international markets, well, yes, you may consider that the slowdown is happening in certain markets, etc. But keep in mind that we are a niche player in those markets, and therefore impact on us is very miniscule. Therefore, our growth is not only because of soft base, but also because we are going out and targeting specific advertisers that need to go after our diaspora or the diaspora that we address even in markets like South Africa, etc. On the other one, it is too early to comment, Abneesh. I do not think we can discuss every strategy on an open call. Maybe we can take that offline with you.

Abneesh Roy : No more directionally, are you seeing some early signs that competitive pressure is

reducing? One is, one player is gone, right, from a four-player market or a three -player market now it is essentially one player lesser, so that clearly is there. Second, any early signs of this are you seeing in terms of any numbers?

Punit Goenka: It's too early to comment, Abneesh . I think maybe next quarter we can talk a little more in depth on that.

Mahesh Pratap Singh h: Also, from the context standpoint, Abneesh , for the whole industry it's been a smaller pie to that extent. So, ad sales have not just been declining for us, it's been declining for industry. So, what the analysis or the trend line which you are saying look, is the incremental flow getting consolidated lot more to top two, three players has not really played out, it's a little bit more reverse situation where the pool has shrunk little bit. So, we will have to wait and see how this plays out. But like you would have seen even in last year, FY '24, our overall ad sales performance was ahead of the peers, despite we having lesser exposure to genres like sports or other people having higher impact properties and so on. So, I think I would only leave it at the point that, look, we are a much more hungry and nimble organization when it reall

y comes to driving this, and that would not change now, we will have to see how the market pans itself out. But our competitiveness has be en reflecting in our performance in past, and you will continue to see that as we move forward as well.

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Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Thank you for the opportunity. My question is on ZEE5. You mentioned that you have seen growth in subscribers. And you also mentioned that the renewal of a B2B deal led to a lower growth. I believe you have taken price hike, right, in at least double digits. Would it be possible to split the growth in these three parts, to make us understand better?

Punit Goenka: Umang, we have not taken any price hike in this quarter.

Umang Mehta: No, I mean, on Y oY basis your plans are about Rs. 100 more expensive, right, versus earlier, is that correct?

Punit Goenka: YoY , yes, I think you are right.

Mahesh Pratap Singh : Yes. So, there's some bit of that blended which flows through, Umang. But also keep in mind that year -on-year when you are comparing your mix of customer profile is also very different from B2C to B2B. So, the price rise which you are talking about plays out in B2C part of it, but B2B is more a one -on-one negotiated conversation and so on. So, large part of what you are seeing, the 8% growth could have been higher if the base is like -to-like if you would hav e had the B2B deal. And the bulk of this, I would say, is a function of us age or higher number of subscribers. Pricing would have been a factor in specifically B2C cohort, but not necessarily a huge factor when you really look at the blended picture.

Umang Mehta: And the second question was on your FCCB. So, if any update on usage, as well as when the next tranche is, if you can help us with anything incremental on that?

Vikas So mani : So, the next tranche is due sometime in August, that's where we are expecting the next tranche to come. And as we have told you in the previous calls also, we are evaluating opportunities where we can deploy, but we are very clear we will only deploy this money when we find opportunities which are value accretive. So, we are still evaluating those, that's a work in progress.

Umang Mehta: Understood. And sorry, last one on subscription. So, you mentioned that you have taken price hikes, and it could take a couple of quarters for it to reflect. Would it mean that in the mean -time we could see some moderation in subscription growth as base catches up?

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Punit Goenka: No, the growth trajectory is already on its way, but the next level of growth may take a couple of quarters to kick in, is what it means.

Moderator: Thank you. The next question is from the line of Jinesh Joshi from PL Capital. Please go ahead.

Jinesh Joshi: Sir, my question is on the RIO copy that we have filed recently, it appears that in some markets like Hindi, Marathi, Bangla, etc., the bookie prizes have been revised downwards. So, just wanted to know the reason behind it, given the fact that in some of these genres like for example Hindi we launched about three new shows in the last quarter, and even in this quarter 's PPT we have some new content come up. Even in Marathi and Bangla recent quarter PPT, in fact , we have some new content coming up. So, basically, this indicates that the monetization potential for these genres is good going ahead given new content is lined up. So, in that context, I mean, why is the

pricing being revised downwards?

Punit Goenka: I am not sure where you are getting that the price has been revised downwards.

Jinesh Joshi: I was just comp

aring the RIO copy that we filed recently with the earlier version.

Punit Goenka: Earlier version as in the one we filed last year?

Jinesh Joshi: Right.

Punit Goenka: Okay, then it could potentially be, a function of penetration versus pricing. And if by lowering the price we get better penetration, that could be the only reason that would have happened. But I would recommend that Mahesh take it up offline with you, because that entire data of that granularity is not available in this room as we speak.

Mahesh Pratap Singh: Yes. And Jinesh, as you look at this, we would encourage you to look at this more as a blended basis because the teams would always take a nuanced call for market -to-market, region -to-region, channel -to-channel, depending on objective on reach versus monetization. And the comments Mukund and Punit made in their opening remarks in terms of as a brand trying to drive sort of a growth rate you saw in past is really the objective. It's not necessarily the question that if I have had nine -month 8% sort of subscription revenue growth, every channel and genre would have given the similar number. There will always be slightly different objective depending on maturity of each region or channel or cluster. But we can discuss this more in detail, but I thought I would leave you that color.

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Jinesh Joshi: Sure, we will take this offline. My second question is on the ZEE5 B2B deal. Now if I heard you right, we mentioned that the deal ended in September. And I think we are already four months through from that date . So, just wanted to know what is the probability of renewal come through, and if you could name the telco if possible?

Punit Goenka: Sorry, we cannot name telco , Jinesh. And the probability of that is subject to us getting our right pricing that we want. So, it's about a negotiation, which is a commercial negotiation between two parties that are taking place. As and when that closes, we will disclose that, and you will get more color on that.

Jinesh Joshi: Sure. My last question is on the exceptional charge that we have recorded in this quarter. I mean, I am going through the footnote which says that there is a Rs. 809 million of provisions for receivables. So, does it mean that there is some recovery which is pending? If yes, can you quantify what is the total outstanding amount? And if not, I mean, what does this exactly pertain to?

Mukund Galgali: So, Jinesh, as mentioned in the notes to accounts that there was an arbitration claim which was in process and the claim has not been admitted by the arbitrator. Now this was against a government body and to avoid further litigation and protracted legal proceedings it has been decided, on a conservative basis , and this has been provided in the books of accounts. So, this was a claim receivable under arbitration.

Jinesh Joshi: So, what is the total outstanding amount, has the complete amount we provided ?

Mukund Galgali: Yes, 100%.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: First question is on, in November the Board had outlined two, three valuation criteria. One of them was a dividend payout of 25% of consolidated PAT. So, I was wondering can that be construed as a formal dividend policy or a formal policy will be rolled out sometime in the near future?

Mukund Galgali: So, Abhishek, the formal dividend policy is already available on our website, and this is the reiteration of our commitment to maintain that.

Abhishek Kumar: So, it already states that we will be paying out 25% of consolidated value, okay.

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Mahesh Pratap Singh : And we ha

d skipped dividend in previous year, and this reaffirms our commitment to continue that path, so that's really where this starts.

Abhishek Kumar: The other criteria were around growth in margin for the next four quarters. Will you be able to give a more detail around that? What would be the number that the Board has set for the performance evaluation?

Punit Goenka: So, Abhishek, we had recommended to the Board at the beginning of this financial year itself that by FY '26 we will be targeting to get to 18% to 20% margin. And the Board had approved that. And we are working towards that same objective. On the growth part, it's difficult to say right now given the macroeconomic situation, but quarter -on-quarter we will give you more color.

Abhishek Kumar : Sure. The second question is on ad, very little we can do about the macro

environment. But when we are speaking to some of these media buying agencies or FMCG companies, I just wanted to get your view on what are the kind of conversation the FMCG players are talking about reprioritizing their ad budget, given there is some constraint on the brand spend. Is that something they will re-look at when things return? Or they have kind of shifted permanently to other channels? Any color around the conversation that we are having, given the constrained environment that we are in?

Punit Goenka: No, difficult to say that. But my view is that generally with FMCG, once the consumption cycle picks up, they will return with brand advertising as well. Right now, they are constrained with consumption of their own product itself, which is what is causing the lower spending with the media.

Moderator: Thank you. The next question is from the line of Chirag Maroo from Keynote Capital. Please go ahead.

Chirag Maroo: Sir, I have one book-keeping question. I can see that we have almost Rs. 900 + crores, DTA (Deferred tax asset) on books. Just wanted to know that will it be helping us to reduce our future effective tax rate (ETR) going forward, which was around 30% in the last year?

Mukund Galgali: Chirag, so we are constantly monitoring our ETR. And as you can see, during this quarter also it has come down. And we see potential in utilizing the deferred tax assets to keep our ETR lower, yes.

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Chirag Maroo: What can be the expected ETR for FY '25?

Mukund Galgali: We cannot give you a number, I mean we can connect offline, but we cannot really disclose any number right now.

Chirag Maroo: Sir second question, I just wanted to understand, as you say that the ad consumption would pick up for FMCG and the ad spends will flow through. Just wanted to know, is there any change in mix of ad spends from the FMCG from television to digital taking place at this moment on a broad basis?

Punit Goenka: Yes, certainly, because they are also driving consumption, right. So, they are going after transaction-based advertising today. So, I do not call it a shift from television to that, but their objective also currently is to get more sales in. And therefore, they are advertising with mediums which, as you rightly said digital which is a transaction based medium. But we are pretty confident that the mass reach that the television platforms will provide to any advertiser, the digital mediums cannot provide it.

Mukund Galgali: And the time spent as well on television.

Chirag Maroo: Fair enough. Sir, last thing from my side. I know you have already mentioned about the arbitration case. Just wanted to know, we had clarity in FY '24 that all the exceptional items, losses are about to end now. And in FY '25 we did not see it coming. Just wanted a clarification from your end that are the exceptional losses which are hampering our bottom line made the provisional or not. Is this over from now and or is there still

Il some exceptional items left to come?

Mahesh Pratap Singh: I will let Mukund chime in, but a lot of what you saw in the previous year in terms of us sort of clearing things like DSRA or potential creditor claims, etc., is all behind us now. At this point in time, barring what you have seen in this quarter, which has come out of a long pending litigation, from an arbitration standpoint, there hasn't been anything in recent times. So, clearly, from a standpoint of as we are moving business forward, it's a fairly focused core business kind of profitability and P&L conversation. You have had a situation where an odd arbitration outcome came which had an implication from an exceptional item standpoint, but we expect a lot less of that. I will let Mukund add anything specific.

Mukund Galgali: I think, so even this claim and the dispute has been reported in our financials earlier as well. It is only that during this quarter it got crystallized. So, this sort of has been called earlier as well. Further, there is a focus to reduce the legal overhang and to

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prevent any protracted litigation and unexpected outcomes, so that remains an objective.

Chirag Maroo: And you have taken the 100% provision for this arbitration case?

Mukund Galgali: That's right.

Chirag Maroo: Last thing from my end, I am able to see that our ad spends have shifted from Rs. 250 crores roughly for a quarter to almost Rs. 300 crores. Is this the new run rate we expect?

Mahesh Pratap Singh: So, generally the number has inched up from a trend line standpoint, Chirag, because we have been investing. And then what happens is, in Q3 you also have a bit of

seasonal launches and new shows and all that. So, yes, the trend line or run rate has shifted because while we are driving efficiencies in overall cost structure, we are also mindful that we do not be short invested in business to be able to take advantage of growth. So, yes, the trend line has shifted. There may be some volatility you may see as the seasonality plays out, but generally it's going to be a higher trend line than past.

Mukund Galgali : And just to add, so it will also be dependent on the movie releases, which also has some element of publicity and advertising.

Punit Goenka: But without ex -movies and other things, this is generally the trend line which you should expect.

Moderator: Thank you. The last question is from the line of Akshat from RSPN Ventures. Please go ahead.

Akshat Bairathi: So, my first question is, sir, can you share the status on the arbitration case filed by Star against us in the previous quarter? And my second question will be a book - keeping question, so there has been a reduction in our depreciation this quarter, so can you give us any guidance on the trajectory going forward on depreciation?

Vikas Somani : On the ICC arbitration, the proceedings have begun. Both the sides have made their filings with the court and the arbitrator. But it's still initial days, it's a relatively long drawn process. So, we will keep you updated as and when we progress on that.

Mukund Galgali: And I will take the second one on the depreciation, Akshat, it's an organic reduction. I mean, there is no major shift in our asset profile or the depreciation rate. So, it would be around the same levels.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as the last question. I would now like to hand the conference over to Mr. Mahesh Pratap Singh for closing comments.

Mahesh Pratap Singh: Thanks, Sejal. Thank you, everyone. Thanks for joining us today. We hope the conversation was helpful for you to get a better perspective on numbers

and address

all your questions. If you have any follow -up or questions as you look at numbers even deeply, please feel free to reach out to us. And we look forward to speaking with you soon. Thanks.

Moderator: On behalf of Zee Entertainment Enterprises Limited, that conclude this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2025

May 16, 2025

The Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001
BSE Scrip Code Equity : 505537
The Listing Department
National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
NSE Symbol : ZEEL EQ
Dear Sirs,

Sub: Transcript of the conference call

This has reference to our communication dated May 8, 2025 and pursuant to the provisions of Regulation 46(2)(oa)(iii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on May 8, 2025 on the Company's performance for the fourth quarter and year ended March 31, 2025, is attached herewith. The said transcript is also available on Company's website at:

<https://assets-prod.zee.com/wp-content/uploads/2025/05/Zee-Earnings-May08-2025.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Q4 FY'25 & FY'25 EARNINGS CONFERENCE CALL
May 08, 2025
Transcript

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Zee Investor Relations team. Thank you and over to you.

Amit Singh : Thank you, Yashasree. Hi, everyone. Welcome to our Q4 FY '25 earnings discussion. We have with us today our CEO, Mr. Punit Goenka, along with senior management team. We will start with opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Mukund Galgali, Deputy CEO and CFO.

We will subsequently open the floor for question and answers. Before we get started, I would like to remind everyone that some of the statements made or discussed on today's conference call will be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties we face. The company does not undertake to update any of these forward -looking statements publicly. With that, I will now hand the call to Mr. Goenka, thank you.

Punit Goenka: Thank you, Amit. Good evening, everyone. Thank you for joining us today to discuss the company's performance during the fourth and final quarter of the financial year 2024 -2025. The fiscal proved to be a mixed bag for the industry at large. While I will share the macro level insights into the company's performance during the year, Mukund will take you through the operational metrics of the quarterly performance.

Let me begin by speaking about the industry performance during the financial year. Overall, the industry displayed immense resilience during the year by taking cautious steps forward and pivoting strategies to enhance revenue generation across segments. The key steps taken by companies including the channels pricing

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revision, resulted in marginal subscription revenue recovery, contributing towards overall revenue growth. Largely, the focus remains on leveraging the unique levers across businesses to drive growth.

Speaking about the company, I have indicated in the previous quarters that our focus has been firmly on enhancing profitability and building a healthy margin profile. The fiscal encompassed several action-oriented steps that led to steady growth and gains on the balance sheet. I'm pleased to share that the company is witnessing considerable progress year-on-year across key aspects, including a clear margin improvement, substantial reduction in ZEE5 losses and robust cash generation across businesses. Significant efforts were sown in to strengthen the business segments with the lens of quality content, optimization, and frugality. As a result, the company's performance during the financial year remained steady on the back of a sharp cost discipline exercised across the businesses. The new streamlined team, coupled with our focus on performance and profitability augured well for the company during the period.

We are capitalizing on this strengthened foundation to drive future growth by balancing investments with a healthy margin profile. Our efforts remain directed towards sharpening the content, driving reach across platforms, and enhancing monetization through existing and newer avenues. As we progress forward into the new financial year, our aim is to further build on this momentum and strengthen the business. We will also be uploa

ding a detailed presentation on the company's corporate website, which will give you a comprehensive insight into our strategic vision to achieve the next phase of growth cycle and the company's aspirations for the near future.

The year culminated on a softer note with a weak macroeconomic sentiment flowing into the fourth quarter. The momentum for rural recovery did not pick up the pace we expected, resulting in a seasonally soft quarter. We witnessed a dip in advertising revenue growth and the aberration in subscription revenue numbers, but we remain hopeful of regaining the growth through targeted interventions going forward.

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Like I mentioned, our focus has been to sharpen the content across platforms, and we remain enthused by the efforts invested in presenting quality content offerings to our consumers. During the quarter, we presented 'Mini Series' on Zee TV, an innovative finite storytelling format to address the evolving preference of our consumers. We also implemented a groundbreaking TV and Digital strategy for the premiere of Telugu film Sankranthiki, which clocked exceptional viewership numbers across linear and digital platforms. Going forward, we will continue to enhance our offerings to create and deliver quality content to fulfil our consumers' entertainment appetite on every screen.

At a macro level, there are strong levers to drive growth in the new fiscal and the company remains well poised for the future. I continue to be optimistic about the opportunities in the new fiscal as well and our teams remain focused in this direction as we move forward.

On that note, I would now like to hand over the session to Mukund, who will throw light on the key performance metrics reported by the company during the quarter and financial year. I look forward to interacting with all of you during the Q&A round later. Over to you, Mukund. Thank you.

Mukund Galgali: Thank you, Punit. Good evening, everyone, and great to connect with all of you. I will briefly touch upon some of the key financial highlights of these results.

While FY '25 was a challenging year for the industry, broadly driven by weak consumption. Despite this, our profitability has improved during the year, driven by various initiatives taken by the company.

The linear ad spending environment continues to remain soft during the year, especially for general entertainment. As a result, our FY '25 ad revenues were down by 11%. During the quarter, it declined Y-o-Y due to continued slowdown in the macro advertising environment, busy sports calendar and a higher base in Q4 FY'24. Despite this, going forward, we are continuing to look at ways to maximize ad revenues and will remain cautious in the near term on the pace of our ad revenue growth. We are also coming up with new strategies such as re-entering into FTA space, new genres, and markets to drive our ad revenue by further capitalizing on our content and reach.

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Moving to subscription revenues. The impact of NTO 3.0 implementation and growth in digital subscription revenue have paved the way for growth during the year. And FY '25 subscription revenue is up by 7%. During Q4 FY '25, subscription revenue remained flat Q-o-Q due to a slowdown in the linear subscription, which was partially offset by the increase in digital subscription revenue.

Further, from an industry backdrop perspective, the linear industry landscape remains in a healthy range with weekly impressions above 27 billion and weekly reach above 740 million. On the linear business front, we continue to be India's strong #2 TV entertainment network. Our viewership share during FY '25 was 16.8%. Encouragingly, our efforts to re

gain viewership share of Zee Marathi have shown some uptick during the year. In Q4 FY '25, our viewership share dropped by 20 basis points Y-o-Y due to the busy sports calendar, which was absent during the same period in the last year.

Now coming to the digital side, during this quarter, Sankranthiki Vasthunam and Mrs surpassed many OTT viewership records, underscoring our commitment to delivering high-quality and engaging content. This also reaffirms ZEE5's healthy KPIs for usage and engagement.

ZEE5 revenue for the quarter was also aided by a revised pricing strategy in language packs driving subscriber growth in addition to a sale of non-exclusive rights of a movie Viduthalai Part 2 in March '25. Further, during the year, ZEE5 EBITDA loss has reduced by INR 5.6 billion to INR 5.5 billion from INR 11.1 billion in FY '24. That is about 50% reduction in the EBITDA loss Y-o-Y. This is in line with our strategic priorities, and this also reiterates that we remain sharply focused on maintaining a balanced cost structure and driving return on investments to sustain our long-term growth. And that rigor also applies to how we assess and evaluate each revenue opportunity.

On the music business, Zee Music Company continues to be the #2 music channel driven by its new-age music catalogue and rich library with over 18,000 songs and garnering over 164 million subscribers on YouTube and nearly 190 billion total video views during FY '25. Further, in the music business, our profitability remains fairly healthy.

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Coming now to the movie business, during the year, Zee Studios released 20 movies and achieved an all-time high in syndication revenue. During the quarter, other sales and services revenues were up both Q-o-Q and Y-o-Y on the back of such higher number of movies produced & released and syndicated. On a full year basis, other sales and services revenue was down as in the previous year we had a strong box office performance of Gadar 2, Bro, and King of Kotha. Given the nature of movie business, there is always going to be some peaks and troughs. Coming now to comment on cost and profitability, the team's efforts towards effective cost management across the businesses has led to a decline of 8% in overall operating costs during the year, resulting in a 390 basis point EBITDA margin improvement to 14.4%. While in Q4 FY '25, operating costs had increased by 14% Q-o-Q due to higher number of movie releases and ILT20. Profit after tax from continued operations for FY '25 was at INR 6,874 million and for Q4 it was INR 1,886 million.

On the balance sheet side, our focused efforts have enabled us to further strengthen our liquidity and financial position. During the quarter, we generated a strong FCF driven by optimization of working capital and tax refunds. The cash and treasury investments increased during the quarter and as of March '25 stood at INR 24.1 billion, which includes a cash balance of INR 4.9 billion, fixed deposits of INR 7.6 billion and investment in liquid mutual funds of INR 11.6 billion. Our content inventory continued to decline during the year, driven by optimized acquisition. March '25 content inventory advances and deposits were at INR 70.5 billion, lower by INR 3.7 billion on a Y-o-Y basis.

Moving to FY '26. We remain firmly committed to our stated aspiration for the year-end and accelerating growth, profitability and cash generation continues to remain our priority. With this, I would like to hand it back to you, Yashasree.

Moderator: We take our first question from the line of Kavish Parekh from Batlivala & Karani Securities.

Kavish Parekh: So, we have demonstrated excellent cost control over the past few quarters with the benefits clearly reflected in our margins. However, given the current soft

ness

in advertising revenues and my expectation that ad revenues will likely remain

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sluggish for a couple of quarters, I believe that any further margin expansion will depend largely on growth in this area. So, with that in mind, I would like to understand your approach to achieving 8% to 10% revenue growth and 18% to 20% margins in FY '26?

Punit Goenka: Mr. Parekh, I think there are two aspects to this. One being our re-entry into the FTA space, which did not exist last year. So, there is a completely new segment of free-to-air where we have re-entered. That should help us to get some part of this achieved. And then also our aspirations as I spoke in my opening remarks about the 'Mini Series' and what we intend to do with ZEE5, et cetera, will aid this growth factor that we are looking for.

Kavish Parekh: Understood. And secondly, I would like to get an outlook on the movie production and distribution side of the business for the next year.

Punit Goenka: We are looking at anywhere between 18 to 21 films that we will do next year.

These will be largely handpicked on the basis of the content that resonates with the audiences as we have looked at in the last 1.5 to 2 years of what's working and what's not working. But in terms of additional investment, that doesn't require any further investments from our side.

Kavish Parekh: Understood. And just as a follow-up to my previous question, you mentioned about initiatives that you are taking to sort of get back on the growth path on the advertising side. So far in 1Q, anything that is worth highlighting that is working well for you, something that you would like to highlight?

Punit Goenka: Mr. Parekh, wait for the presentation to be uploaded. It will be uploaded by I think tonight or tomorrow morning itself. That will give you idea on what other areas we are entering into. And then quarter-on-quarter we will be reporting as to how what is fairing for us. So, let's not pre-empt that right now, otherwise the call will move from Q4 to those discussions.

Moderator: We take our next question from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Punit, you mentioned about FTA. Actually, would it be possible to share what was the ad revenue from FTA before you all exited say two years back?

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Punit Goenka: Umang, you can look at the drop that we had when we exited in terms of our ad revenue, you'll get an idea, but we don't call out these numbers specific to channels and genres, so it will be difficult for me to call that out on a public call.

Umang Mehta: Okay, do you expect ad revenues to grow this year? I mean, not putting a number, but at least the decline to stop in FY '26?

Punit Goenka: I certainly expect, as I said, I am an optimist and I do believe that advertising revenue, if it does not grow significantly, but it will certainly grow in the inflationary number that you have given in a high-single digit kind of stakes.

Umang Mehta: And second one was on subscription. So, on a sequential basis, there is a drop in linear subscription. Anything particular that happened and what is outlook there for the next year?

Punit Goenka: No, the only thing that has changed in the linear subscription is some of the churn that the pay TV platforms are seeing, both on cable and satellite front. So, we are addressing that through various of our other initiatives like OTT and some more brands that we have. But it's a work-in-progress. I don't think there is an overnight formula that we can fix it on. But we are working on it.

Umang Mehta: Got it. And then the last one on ZEE5. So, you had a good kind of control on costs and losses have come down significantly

. Going ahead, how do we look at this

business? I mean, would you look to increase investments, increase growth, or would it be further reduction in loss for next year?

Punit Goenka: I think any reduction in losses now will be on the back of revenue growth. There is not much meat left in us to try and cut costs, or if you understand what I'm saying.

So, from that perspective, we will invest adequately as required to grow subscribers, both from an advertising perspective as well as from a subscription perspective.

Moderator: We'll take our next question from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: Sir, firstly, if I look at FY '25, the EBITDA margin has improved by almost 400 bps.

But this is fully driven by moderation in losses of ZEE5, in fact, if I just exclude ZEE5 revenue and EBITDA losses, the margins are actually down from 26 to 23 and ZEE5

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revenue growth here is just 6% for this year. So, going forward, would it imply that improvement you are targeting 18% to 20% by exit of FY '26, this would come at the cost of growth in ZEE5? And follow-up there is, what are the active subscriber numbers of ZEE5 and how do they compare with let's say, Hotstar?

Punit Goenka: So, Sameer, as I said just earlier, that there is no more room for cost cutting, for expansion in the EBITDA margin. Anything that has to come now has to come from revenue growth and part of the revenue growth, even in FY '25 has come from the subscription revenue growth that we have seen. So, from that perspective, please don't expect any more cost cutting to be there on any vertical. We are pretty much at our optimal level of cost rationalization and workings.

Sorry, what was the second question?

Sameer Gupta: Active subscriber count in ZEE5 right now?

Punit Goenka: We don't generally give that number, but we are in the top 3 active subscriber base compared to our competitors in the country.

Mahesh Pratap Singh : And Sameer, just to go back to the first point you made about your conclusion on linear, please keep in mind that the advertising and subscription revenue, the linear business fundamentally has very high degree of operating leverage. A lot of what you see play out in terms of advertising, macro-led compression shows there. And the reverse of this is also true when the growth comes back. So, it's not really a structural conclusion to draw on the underlying cost structure margin of the business. It's just that that business has very high degree of operating leverage and it just flows through to margins. That is why you are seeing what you are seeing. Nothing to do with underlying health of the business.

Sameer Gupta: Got it. I understand that. Sir, second question, if I might squeeze in, on the Star arbitration case. Now I believe that there's a lot of uncertainty, but whatever you can answer, please, it will help. Now with the merger with Jio and Star completed, and you are now dealing with a different party in this, is there a possibility for an out of court settlement approach here? And if so, what could be the financial implications of that strategy?

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Punit Goenka: Sameer, this is very early days. But we are open to all possibilities that are available to us, both legal and non-legal in terms of out of court settlement et cetera, but very early for us to comment there at all. Vikas, anything you want to comment?

Vikas Somani: No, that's pretty much that's what we have said and it's still a long way to go. We will get to know the outcome. But as PG said, we are definitely open and we are working on deploying all the strategies, legal or non-legal.

Sameer Gupta: If my memory serves right, the outcome is expect

ed by early next year. Is that correct?

Punit Goenka: That's correct. Yes. a

Moderator: We'll take our next question from the line of Jinesh Joshi from PL Capital.

Jinesh Joshi: Yes. Sir, my question is on the other expense run rate of this quarter. So, if I look at the number, it is at about INR 87 crores. And historically, the run rate has been in the band of about the INR 130 crores to INR 150 crores. So just wanted to understand whether there is an element of one of which you would want to call out.

Mukund Galgali: So Jinesh, in respect of the other expenses, there has been certain recoveries of bad debts, so which have been provisions made earlier, which have been reversed, which are no longer required, which has resulted into this reduced other expenses line item.

Jinesh Joshi: Can you call out the number? Is it possible?

Mahesh Pratap Singh : We're not calling out number, Jinesh, but this is just a reversal, which you typically have as you close the quarter when you run some provisions based on debtors and then that kind of stuff. So, it's not something material. We're not calling it off. You could go back and look at maybe last 3 quarters and work with that run rate when you are thinking from a modelling standpoint and so on.

Punit Goenka: But you are right, Jinesh, to say that, yes, it is a one-off.

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Jinesh Joshi: Sure. And sir, secondly on ZEE5 EBITDA losses, I mean, that INR 75 crore number definitely, I mean, if I compare it with the previous quarter, there is a material reduction that has come true. So can you just highlight which cost areas have been realigned the most and would it be fair to assume that the reduction is basically driven by elements, except for the content cost, because I mean, content is critical for growth going ahead. So, I just wanted to know whether there has been any

reduction on that side or not?

Punit Goenka: So Jinesh, you have to look at it on an annualized basis. If you look at it on a quarter -on-quarter basis, it could mislead you. There was an syndication of film that sits in the revenue so, the EBITDA loss reduction in this quarter and that's why you are seeing this INR 75 crore number and I think Mukund pointed out a movie called Viduthalai that we had sold outside. The annualized run rate is what you should look at, to give you a better sense of what ZEE5 is going to be going for. Mahesh Pratap Singh : And just to add, Jinesh, like what you said through the course of this year and previous quarters, the same operating leverage sort of stuff works here, because cost has been largely streamlined , as you get incremental revenue that sort of plays through little bit. So, if you see this quarter, you've seen some lift which has come in in revenue partly because of syndication themes you spoke about, but partly also just the underlying subscription revenue growth based on the language that Mukund spoke about and so on. So that also helps in overall margin. So, it's a combination of both.

Jinesh Joshi: Just one last question from my side. I mean, is it possible to share what was our movie business revenue in FY '25 and what proportion of that comes from overseas territories like the U.S.? I just wanted to get some context on the tax that Trump had proposed on non - U.S. films. I know it might be slightly difficult to create at this point in time, but I mean, is it possible to give some kind of color on what is the contribution from overseas territories like U.S.?

Punit Goenka: Jinesh, as I've been maintaining in multiple quarters in the past as well, please look at the business as a portfolio business and the U.S. or the international territories is a fraction of the overall revenue of any of our businesses. From that perspective, any impact to that is going to be miniscule from our

perspective. We continue to

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treat this business as a strategic because it is largely also feeding into our own ecosystem of television as well as OTT and music. Three verticals out of the 4 verticals that movies business operates in is feeding into our own organization. So please look at it from that perspective and I don't think that it's going to have any material impact whatsoever.

Moderator: We'll take our next question from the line of Aditya Chandrashekar from UBS group.

Aditya Chandrasekar: Yes, just a quick question, more of a top down one. Post the JioStar merger, just wanted to understand what you are seeing on the ground in terms of ad rates and in terms of content costs. Are we seeing some impact of this consolidation on slightly higher ad rates or maybe a bit more rationalized content cost? Maybe not immediately, but kind of what are you looking at over the next 2 -3 quarters as this consolidation kind of get absorbed and settled in? Just wanted to understand how we should think about overall kind of sector synergies post this consolidation.

Punit Goenka: I think on the first part, on the advertising front, it's still very early days, Aditya. But I do expect that eventually it will have a positive impact on the overall industry. So, let's hope , keep our fingers crossed for the best. And as I said in my opening remarks, I'm an optimist, so I will expect this also to benefit us. We are already seeing a lot of benefit flowing in on the acquisition of content, probably not on the production yet, because production, as you know, is already a commoditized business that we operate at with multiple suppliers. But on acquisition of whether it is on films or the OTT business, we're already starting to see a lot of benefits flowing through for the entire industry.

Aditya Chandrasekar: Got it. And sorry, one follow -up. On the ad rate side, do you think that the merged entity of JioStar, they are kind of open to let ad rates go up? Or are they being a bit more competitive and aggressive, kind of keeping a status quo as of now? Or in other words, in near term, you do think that ad rates could go up, right, based on how they've been acting so far?

Punit Goenka: I think we are all in this business for making money, right? So, I'm sure they will act in the interest for what is good for the industry.

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Moderator: We'll take our next question from the line of Priyanka Sarkar from Square 64 Capital Advisors LLP.

Priyanka Sarkar: Sir, I just wanted to zoom in a bit on the Zee Music. So, what has been the growth for the music segment for the entire FY '25? That's point one. And second follow - up to that is what is the capex we are planning to do in acquiring new content.

Punit Goenka: So, I'll take the second one which is what I've stated publicly in the past as well.

Whatever capex we incur for acquisition of content is on the basis of what we run through our P&L. So, if we run INR 100 through our P&L, then INR 100 is available to us for newer acquisitions. On the first part, Vikas, you want to take that?

Vikas Somani: So, in terms of the growth overall on the music segment, we have seen a growth kind of tapering in single digits, the main reason being some of the homegrown streaming platforms have shut down, or they have slowed down. But if you strip them out of the equation and you see on a like-to-like basis on other platforms, the growth is pretty satisfactory. So, we are expecting all that to get settled or already would have settled in this year and from this year onwards, again, we are looking at the growth numbers inching up again.

Priyanka Sarkar: Okay. Sorry, just one follow-up. Sir, to cla

rify my question for the second part, I

wanted the capex number for the music division, at least an indication?

Vikas Somani: Capex division, we don't call out the numbers separately, but as we said, whatever we are investing is flowing through the P&L and we make sure that we add enough adequate number of songs every year so that the library is refreshed and growing year-on-year.

Moderator: We'll take our next question from the line of Pankaj Mehendiratta from Bank of America.

Pankaj Mehendiratta: Two questions from my side. First one on ZEE5, and Punit, commendable job on lowering EBITDA losses. What next from here? Do you have a target in mind, that's a breakeven in 4 quarters, 6 quarters? Anything that you would want to share?

Punit Goenka: I think I had already taken that some time back that counting 2025, we were looking at a 3-year timeline in sort of breakeven. Given the softness in the market, ZEE Entertainment Enterprises Limited May 08, 2025

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it may shift a little bit up or down, but it's not going to be significantly different from where we had and if there is any significant change to that we will, of course, come back to you and give you enough adequate time and guide you on that.

Pankaj Mehendiratta: Understood. And Punit, any thoughts about adding a couple of more disclosures on the OTT side?

Punit Goenka: We are already considering that, and you will see that in the presentation that we will be uploading very soon.

Pankaj Mehendiratta: Sure, that's helpful. And the last question and while we appreciate that the focus is now on growth and revenues going ahead. So, when you break it down into both your advertisement and subscription, so what levers does management have in place, let's say barring the macro uncertainty, FMCG wants to deliver or not, a busy cricketing calendar season and all. So, what sort of growth levers do you perceive that would lead to let's say an 8%, 10% sort of continued growth for next 2, 3 odd years? How do you want to think about that?

Punit Goenka: we have to leverage our biggest strength, which is the language and that's where the growth will come from for both linear as well as for digital.

Moderator: We'll take our next question from the line of Abhishek Kumar from JM Financial.

Abhishek Kumar: First off, any change in our guidance that we have provided earlier, because I didn't find that in the presentation, 18% to 20% EBITDA margin next year, I mean, any specific. I mean, are we still sticking to that guidance, or is there any change in the timeline?

Punit Goenka: Yes, Abhishek, we are sticking to that same guidance.

Abhishek Kumar: All right. Okay. So, thanks for the clarification. Second question is on linear subscription, you mentioned some churn, et cetera, which resulted in sequential decline. How are we seeing the market evolving? Are instances of cord cutting continuing? Is any stability in the number of pay TV households? And also, the appetite for the market to absorb further price hikes from there.

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Punit Goenka: So, the price hikes, if you look at historically have been in single digits itself. The price hikes have not been very significant from that perspective. I think the churn is happening by a natural cause, but we are also still seeing the television penetration in India is still growing. Of course, a large part of that is going to free-to-air and potentially not coming to pay TV. So, we are looking at the ecosystem, how it evolves over the next couple of years, but I'm pretty certain that it will stabilize at a certain level. Then whenever it comes to the pay TV subs, will stabilize and of course free-to-air will remain free-to-air.

Abhishek Kumar: Sure. Final question on the fu

nd utilization, INR 200 crore FCCB. Any plan, any target that we have identified, any timeline sort of when and where you want to deploy this Fund ?

Vikas Somani : So on that we are still evaluating a couple of assets as we speak, but we'll come back to you as soon as we find the right mix of the right valuation and give any assets which gives us the right scalable opportunities. There are few interesting assets which we are looking right now but haven't finalized yet.

Punit Goenka: Biggest lever for us when we consider any asset, it has to be value accretive to us.

Moderator: We'll take our next question from the line of Navid Virani from Bastion Research.

Navid Virani: And first of all, congratulations on cutting losses for ZEE5 . So , just wanted clarification on revenue and profitability for ZEE5. So, if I understood correctly, what you meant to say in the answer in the previous questions was...

Punit Goenka: We could not understand.

Navid Virani: So wanted one clarification regarding revenue growth and profitability for ZEE5.

So if I understood correctly what you answered in one of your previous questions was the revenue growth that we see in ZEE5 this quarter was also driven by syndication revenue , which is one of the nature and that resulted in a stronger profitability or a better loss ratio, which might not be steady state going forward. Is that understanding correct, sir?

Mahesh Pratap Singh : Yes. That's partly correct. So just to be clear, even if you would have taken syndication out, you would have still had revenue growth, and you have still had ZEE Entertainment Enterprises Limited May 08, 2025

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improvement in the margin journey. So, the only point I want to leave you with is it is not just a quarter -on-quarter improvement you are seeing both on growth and margins entirely because of that. Yes, the syndication deal is aided, but ex that there will still be improvement, both in terms of growth and margin.

Navid Virani: Okay. So, is it fair to assume that the kind of losses that we saw in Q3 can continue to be steady state as far as ZEE5 is concerned until some more time?

Punit Goenka: Our aspiration, Navid, is going to be to reduce those losses of that on the basis of bringing more growth in terms of revenue growth on advertising and subscription.

But if you wanted to model it from your perspective in your business case, yes, that's a safe assumption to go with.

Moderator: We'll take our next question from the line of Mayur Awasthi , an individual investor.

Mayur Awasthi : As we have seen in past 2 quarters that our advertising revenue declined. So, what do you foresee in the coming 2 quarters might be our advertising revenue will take off suit? And my second question is related to any like this is apart from Q4, but considering the whole year for FY '25, there was some case that our competition in the market is again streaming on and our prices in the market has also gone very down. So, is there any case that a promoter is looking to increase the stakes?

Punit Goenka: So, on your first question on advertising, the market is still under pressure. Very difficult for me to project when the market will start bouncing back. But we do expect that the bounce -back will start very soon, post the cricket calendar end for the entertainment network. The second part, you mean it's about the pricing and promoter wanting to increase stake ?

Mayur Awasthi : Yes. And see, we have a very competitive advantage as compared to the overall market. However, I mean, like it impacts the prices if the stock goes down, right?

Any which case, however, it is not the true reality. But if that is the case, then might be it will show some other picture.

Punit Goenka: No, the promoter has always stated publicly that they would want to increase their stake at a certain stage going forward.

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Mayur Awasthi : Understood, but just wanted to know that it was been told previously, but in the coming quarters or in FY '26, is there any possibility to really come on that?

Mukund Galgali: So, Mayur as and when the Board decides and there is an update, we will let you know as soon as possible.

Moderator: We'll take our next question from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Just on ZEE5, if you can elaborate on what change did you all do for the regional market and how salient are the kind of genre for ZEE5, any color you can give?

Punit Goenka: So, we've had a strategic shift in terms of our pricing for the language markets.

Earlier we were selling only one pack, which was all you can eat across languages.

And through our own research, we realized that the consumer feels that because their consumption is largely restricted to 1 or 2 languages, they are being cheated in terms of what we are charging them. And therefore, we have redesigned the entire pricing strategy, which was launched in December.

Mukund Galgali: In December. So, the results are visible in this quarter.

Punit Goenka: The results are already visible as Mukund said. And yes, so that's what we intend to do.

Umang Mehta: And I mean, how big, if not numbers, but qualitatively? Is it that the regional genres are dominant for the ZEE5?

Punit Goenka: See, Umang, what happens is that content consumption is uniform across platforms as I look at it. The way the television market behaved, eventually the OTT market will behave the same way. Now whether that happens in one quarter or that happens in 2 years -time, we have to wait and watch and transform ourselves from that perspective.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Jul 2025

July 29, 2025

To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai - 400 001
BSE Scrip Code Equity: 505537
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (East), Mumbai- 400 051
NSE Symbol: ZEEL EQ

Dear Sir / Madam,

Sub: Transcript of the conference call

This has reference to our communication dated July 22, 2025 and pursuant to the provisions of Regulation 46(2)(oa)(iii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on July 22, 2025 on the Company's performance for the quarter ended June 30, 2025, is enclosed herewith. The said transcript is also available on Company's website at:

https://assets-prod.zee.com/wp-content/uploads/2025/07/Q1_FY26_Earnings_call_transcript.pdf

This is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Q1 FY26 Earnings Conference Call
July 22, 2025
Transcript

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to the Zee Investor Relations team. Thank you, and over to you.

Amit Kumar Singh : Thank you, Rayo. Hi, everyone, and welcome to our Q1 FY '26 earnings discussion. We have with us today our CEO, Mr. Punit Goenka, along with senior management team. We will start with the opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Mukund Galgali, Deputy CEO and CFO. We will subsequently open the floor for questions and answers. Before we get started, I would like to remind everyone that some of the statements made or discussed on today's conference call will be forward-looking in nature and must be viewed in conjunction with the risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly.

With that, I will now hand over the call to Mr. Goenka. Thank you.

Punit Goenka: Thank you very much. Good evening. Thank you for taking the time out this evening to discuss the company's performance in the first quarter of the financial year 2025-26. Several steps were implemented across the business during the first quarter that have augured well for the company. Let me begin by speaking about the efforts that we were undertaken and the subsequent results being witnessed across the business, post which Mukund will elaborate on the financial and operating metrics pertaining to the company's performance.

We commenced the new fiscal with the company's ongoing strategic transformation into a content and technology powerhouse by unveiling our sharp new brand universe. The new identity is a reflection of our rich legacy, and growth aspiration, and I'm certain all of you have experienced the new Zee in its various forms and expressions over the last few months.

The new identity is much more than a visual change for us. It displays our agility and strategic approach to embrace technology-led innovations and create more meaningful entertainment experience for the consumers across the globe.

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Speaking about the quarter gone by, let me start with content, the heart of our business. Over the last couple of quarters, the team has put in significant efforts to enhance our content offering in every market. I'm pleased to share that we are beginning to witness a positive momentum in this direction, and our linear viewership share touched 16.8% in quarter one, further fortifying our position as a strong player in the industry.

In fact, during the month of June itself, we have clocked a viewership share of 17.8%, which is nearly a 2-year high for us. A considerable portion of this growth stems from our sharp focus on creating quality content across languages, and it is encouraging to see that the viewers are receptive towards our new content lineup.

We are further enthused by the strong growth story emerging from the key markets such as Hindi, Marathi, Kannada, Odia and Bangla amongst others. With the aim to offer more meaningful entertainment experience to our viewers, we are creating new high potential avenues in the realm of content and technology. Our strategic partnership with the content and tech start-up Bullet will further enable the company to enter the Micro-drama segment and cater to young audiences through short-form, high-

quality content. The steps being taken are consistent with our growth plans for the future, and we will continue to evaluate emerging, value-accretive opportunities across segments. During the quarter, in order to address the new set of audiences, we took the required steps to reach their households through Free Dish. We believe that this new audience segment will be a growth driver for the company as we progress into the fiscal. We will continue to evaluate our strategy in line with the gains being accrued within the segment. Language presence and understanding the pulse of the audiences across markets is a pivotal competitive advantage for the company. We are further leveraging this strength not only across content but also build a compelling experience for our consumers.

During the quarter, ZEE5 introduced tailored subscription plan in 7 languages for users to enjoy content in their favourite language. The platform is already witnessing transaction as a result of this move, and we are expecting further gains in subscription revenue in the coming quarters as a result of the language-first strategy being implemented.

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The growth story on digital continued in this quarter with significant energies being invested in enhancing the content space and the overall experience. The fiscal prudence exercise, not just in the digital business, but across the company is auguring well for us, and our energies remain directed towards achieving the enhanced level of profitability.

Speaking about the movie business, we remain focused on building Zee Studios as a pan-India player. We are garnering a positive reception at the box office for some of our language films quarter-on-quarter, and we will continue to build this as a unique strength of our business.

As one of the largest music publishing labels, Zee Music Company maintains a strong foothold in the market. While content is a big area of focus for the company, another key lever for business growth is advertising revenue, wherein we are taking concerted efforts to address the impact of macroeconomic headwinds and slower-than-expected recovery in spending. That said, we continue to maintain a cautiously optimistic outlook on advertising revenue growth.

Additionally, the early onsets of monsoons in many regions are resulting in healthy recovery and boosting consumption. We have noted a positive future outlook from advertisers in this regard. And with the onset of the festive season, we further remain hopeful of this momentum flowing into advertising revenue growth in the upcoming quarters.

Amidst this scenario, we continue to maintain sharp fiscal discipline and strengthening our balance sheet to fuel our future growth ambitions, and we will take the required steps to enhance the margin profile further.

I would also like to take this opportunity to welcome two new members to our esteemed Board, Ms. Divya Karani and Mr. Saurav Adhikari. Their rich expertise and wisdom will further augment the efforts of the management team to achieve the targeted goals.

At a macro level, I firmly believe that we have stepped into the new fiscal with determination and action-oriented steps. As our efforts continue to showcase the desired results, we remain confident of building a robust growth trajectory centred around content, technology and fiscal discipline.

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I would now like to hand over the call to Mukund to share his further details of the company's performance during the quarter. I look forward to interacting with you all in the Q&A session later. Over to you, Mukund. Thank you.

Mukund Galgali: Thank you, Punit. Good evening, everyone, and great to connect with all of you. I hope you had an opportunity to review our quarter one results, which have been

uploaded on our c

orporate website and the stock exchanges. I will focus my remarks on providing more context to our performance during the quarter and will also share our outlook.

Q1 FY '26 continued to remain soft for the industry, driven by the continued weakness in consumption. Despite this, our profitability has remained fairly stable during the quarter, driven by the various initiatives taken by the company. Further, the evolving consumer behaviour and technological advancements are becoming the growth tailwinds for this sector, and it remains well poised to witness robust and orderly growth across all segments in the near future. This further places us well for this financial year, and we are progressing forward on our targeted growth path.

During Q1 FY '26, the linear advertisement spending environment remained soft due to the extended sports calendar and slowdown in spending by FMCG companies.

On the subscription side, the overall revenues remained flat. We saw growth in digital revenue, which was offset by slowdown in linear TV subscription revenue due to decline in pay TV subscribers. We are hopeful that with a conducive pricing policy framework being in place, there will be an opportunity to drive gradual growth in subscription revenues in line with inflation.

From an industry backdrop perspective, the linear TV landscape remains in a healthy range with weekly impressions above 27 billion and the weekly reach over 740 million. On the linear business front, we continue to remain India's strong #2 TV entertainment network.

As you look at the viewership for Q1 FY '26, which Punit had also mentioned, kindly note that the GEC share in Q1 is usually impacted by a seasonal pickup in sports properties and kids' genre during the summer. And this year, it was also further impacted by geopolitical tensions moving the audience away from GEC.

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Despite these factors, our viewership share during the quarter grew by 40 bps YoY to 16.8%. And in the month of June, our viewership share reached 17.8%. This demonstrates that our strategic efforts are implemented in the right direction.

Coming now to the digital business. We released 17 shows and movies during the quarter, including 5 originals. ZEE5 continues to demonstrate steady growth with healthy and stable usage and engagement metrics. ZEE5 revenues increased by 30% YoY in Q1 FY '26, aided by digital syndication revenue as well as pricing strategy implemented in languages, which has driven the subscriber growth.

In line with our strategic priorities, we are focused on maintaining a balanced cost structure, driving return on investments to sustain our long-term growth. We have reduced our EBITDA losses in digital by INR 1,119 million YoY in Q1 FY '26, aligned with our stated objective to achieve breakeven in ZEE5.

On the studio business, during the quarter, we released 7 movies, 3 in Hindi and 4 of regional, of which we have produced & distributed 2 movies and distributed 5 movies. As it was a lean movie calendar in comparison to Q1 FY '25, wherein we had movies like "Maidaan" and "Mr. and Mrs. Mahi". Our other sales and services line item during the quarter has declined by 64% on a YoY basis.

On the music business, during the quarter, we garnered over 62 billion total video views with over 168 million subscribers of YouTube, driven by a new age music catalogue and our rich library of over 18,000 songs. Within the music, our profitability continues to remain fairly healthy, and we are further diversifying our catalogue into other language markets.

Now coming to costs and profitability of the company. The overall operating cost has declined by 14% YoY due to an efficient execution in programming, technology and continuous cost optimization in ZEE5, while we have also incurred additional expenditure toward rebranding across the company and lau

nch of 7 language

packs. This effective cost management in a soft advertising environment has helped us to maintain a momentum on profitability with our EBITDA margins at 12.5%.

The profit after tax from continued operations for the quarter came in at INR 1,437 million, which is up 14% YoY basis.

On the balance sheet side, our focus efforts have enabled us to strengthen our liquidity and financial position further. The cash and treasury investments as of Zee Entertainment Enterprises Limited

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June '25 stood at INR 21.9 billion which includes the cash balance of INR 3.9 billion, fixed deposits of INR 7.6 billion and investment in liquid mutual funds of INR 10.4 billion. Our content inventory continued to decline in this quarter driven by optimized acquisition. June '25 content inventory advances and deposits were at INR 70.2 billion, lower by INR 0.3 billion on a QoQ basis.

As a part of our efforts towards the new strategic initiatives, we have entered into a strategic partnership with content and tech start-up Bullet to launch a Micro-drama app. Further, our partnership with Ideabaaz Technology Private Limited will further enable us to tap into a rich entrepreneurial spirit of Bharat and showcase unheard stories and innovations from the Tier 2 and Tier 3 markets.

Moving through the rest of financial year '26. We remain committed to our stated aspiration for the year -end accelerating growth, profitability and cash generation continue to remain our priority. And this will be further driven by the new initiatives, which we are working on.

With this, I would like to hand it back to you, Rayo .

Moderator: Thank you very much. The first question is from Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on the advertising scenario in the balance 3 quarters of the year. So, if I see the macro, there's a clear improvement: food inflation, general inflation, good recovery there, soft numbers there. Interest rate cuts also we have seen decent bit. And we have also seen good monsoon forecast and good monsoon till now. So how do you see FMCG companies spending because the updates which have, business updates generally, outlook-wise, everyone is saying there is an improvement. But when I see your Q1 numbers, it's a sharp decline, and you did mention on some of the one-offs which are there. And you also have been mentioning your market share improvement, but broadly last few years it is there in that ballpark 16% to 18% range.

So, I think from a market share perspective, you may be doing good but ultimately to come back to growth that overall issue of the OTT digital taking away share, I think that remains. So how do you see the balance 3 quarters? Any clarity you're getting on your advertising growth in the balance 3 quarters for the year?

Punit Goenka: Yes, Abneesh. So, I think you are absolutely right that there is, as I said in my opening remarks as well, that given the monsoon and all the things, the consumption is

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looking very positive. And therefore, we are cautiously optimistic on advertising revenue coming back. But right now, it's still very early days for us to comment and give you any outlook on that.

As far as what Mukund stated, our objective of the growth trajectory that we had guided for in the beginning of the year, which was 8% on advertising is not changing. We are not withdrawing that or changing that.

So, we will stick to that and continue to work towards getting that done. I do not want to comment specifically on FMCG, but I think there are huge opportunities, from where we can get more advertising revenue for the network et cetera.

Secondly, on your second point, on the network share improving the range of 16% to 18% is very large range. While we were at 16% is pretty much the same as last year. But

as we are nearing towards 18%, that will certainly have a big flip for our advertising revenue going forward.

Vikas Somani: If I may add on, here we also need to look at some of the levers, which is going to have an impact going forward. The first one as we speak you must have heard Punit and Mukund talking about, we achieving a rating of about 17% plus in the month of June. But as we speak in July, our ratings have already crossed 18%.

Now of course, this needs to be sustained going forward but looks like we are on the right trajectory and current content slate is really firing. Having said that, also in the second half of the year, there is a whole slew of new content, which is going to get released, be it fiction or non-fiction. So, we are also very hopeful of that again further giving boost to our ratings. So that definitely will have a significant impact on the revenues going forward.

Number two, there are also the new initiatives which we have spoken about in the past. We have also posted a presentation on the website. Now all those new initiatives where we are focusing on our retail, getting the retail advertisers or in content brand integration. All those initiatives will start having an impact only in the

second half. And this year, structurally is a bit of back - ended from that point of view. That's how we have built the business plan also.

And thirdly, again, talking about since you've touched upon FMCG, yes, they have been giving positive outlook, especially in the terms of the volume uptick. Hopefully, that gets translated into number. But as P unit said, we are still not setting our expectations high. We are just holding back and watching right now. But these are

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some of the levers, which will probably give a further boost to the revenues going forward.

Abneesh Roy: Two quick follow ups to what you said. One is I completely understand the market share improvement which is happening. Now given the consolidation which has happened in the sector. So, we have seen Jio -Hotstar come together. So extremely high dominance on the OTT part, because of the cricket, all that, when I put everything together on the OTT part clear, high dominance. And even on the linear TV, there is a high market share. So, when I put both things together that now there is one large dominant player. And then, yes, your market share does improve from say 17% to say 18% does it lead to the benefit which would have come if say the consolidation would not happen. Is consolidation negating the market share improvement? So that is my first question.

Second is not changing the guidance. That means in the balance 3 quarters, your advertising growth will be in double digits. So, what gives you the confidence? Is it the base effect because nothing changes in advertising so quickly also. So, is it the base effect where you are getting that comfort?

Punit Goenka: Yes. So, I'll take the second one first, Abneesh. Certainly, it is the base effect that is one key factor. But apart from that it is also the fundamental thing that Vikas talked about. The new initiatives that we are trying to build around retail, around finding advertisers, which currently may not be on television, but maybe on other mediums of media and then bring them to television. And therefore, what Vikas talked about that it's going to be skewed towards the second half is what gives us the confidence.

As I said, we normally don't change our guidance midyear. So therefore, we'll stick to the guidance that we have, and we'll work towards it. And we'll keep giving you updates as we speak. In terms of consolidation, I think that's a benefit for the industry. It's not a downside for the industry because instead of having 3 to 4 players, now you have maybe two and half or 3 players at best.

And therefore, our ability to negotiate with advertisers

or even DPOs goes up that

much more. Obviously, as you know, that anything in the media business has a lag effect. And therefore, that's the stage we are in currently. And we'll have more colour for you as we go ahead in the year.

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Abneesh Roy: Sir, my last question was on ZEE5. So, you're trying to segment and have the regional offerings, which I think any OTT has. So, any OTT if you open, there will be the language offering. So, I think you are trying to make it a bit more affordable. So, if anyone wants to go for a specific language, he pays much lower.

So does that lead to that kind of a benefit because any customer he can go for the overall app and then choose because then he'll have much more content across languages and lot of people are now consuming even languages which they don't understand through the subtitle, which comes at the bottom.

So, I'm trying to understand your overall say, exit of the year you are targeting profitability in ZEE5. What is it contingent on because lot of the things which you are doing has been done earlier. Is it just again, the consolidation which has helped. So, everyone is focusing on profitability. The ARPU levels are going up in the industry. Is that what is helping you in terms of profitability in terms of the exit for this year?

Punit Goenka: Yes, I think, you are right, mostly Abneesh, that we are looking at our ARPU growth and our subscriber -based growth as well. The reason why we went from this language pack distribution, as you rightly put it. One, it is to make it more affordable from the consumer point of view because our feedback from the consumer was, that why am I paying for languages that I don't even consume.

Now there may be a few people or some segment of audiences that are watching language shows, dubbed into either Hindi or in English or whatever it may be, but

there is a large population that does not. And therefore, we believe that this is a good strategy for us to capture larger subscriber base for our app ZEE5, and that's how we are going about it.

Moderator: Next question is from Kavish Parekh from B&K Securities.

Kavish Parekh: My question pertains to ZEE5. So, revenue growth continues to be healthy, and you aim to achieve breakeven by the end of the year, while growing content threefold.

So how do you plan to balance this?

I understand you have mentioned that an omnichannel content creation strategy will help manage costs but wasn't this approach already being followed that is leveraging the same content across multiple platforms? And do you think relatively modest investments in content could impact ZEE5's medium to long-term revenue growth trajectory. That was my first question.

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Punit Goenka: So Mr. Parekh, I think I was answering that in my earlier response to Mr. Roy. The fact of the matter was that our subscriber base was stagnating because people didn't want to pay for everything because it's being offered to them. And that's why we went through this whole language strategy. And we have already started to see traction on how the subscriber base is growing there. And we are quite hopeful that, that will be leading to us getting far more share in the market.

Mukund Galgali: I'll further add that in terms of the omnichannel content strategy, with things like Bullet coming in as well, we will be able to do far more experimentation and exchange of IPs within platforms from micro-series to mini-series, to mega-series.

So, we have plan to execute that efficiently.

And secondly, in terms of language packs, while others are there are present, like Abneesh, mentioned, previously that what is new in this. We've seen that in certain markets original series were not there, for instance. And with our sustained focus on this area of having

language-wise, original programming and not dubbed programming. We are confident of results in this.

Vikas Somani: And Kavish, just to add on, what we are doing actually is we are working both on the breadth and the depth of the content offering for each of the languages, which means we are not only providing in terms of breadth, we are providing content in various formats be it long form, short form, web series, micro series or mini-series as well as the depth, which means there is enough for any one language subscriber to come and watch content. So, there is going to be enough in the funnel and not just helter-skelter kind of content which will be offering.

Now the blended cost of all this is at a reasonable level, and that's what's giving us the cost benefit out here. And this is nothing new. We are simply trying to import the success which we had when we started the language markets on TV side. So, we take pride in the fact that we have cracked that market by giving quality content at a reasonable price than at a much lesser price as compared to the Hindi content.

And that's what we are trying out here also. We are not compromising on quality for sure. But at the same time, we are being able to give the same offering across the breadth and depth of the content at a reasonable price. And that's what gives us the cost leverage going forward. Yes of course, any incremental revenue, which comes in is not going to come at any incremental or commensurate increase in the Zee Entertainment Enterprises Limited

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cost. That is going to go and contribute to our profitability or the breakeven target which we have taken.

Kavish Parekh: Understood. Second question is that we were expecting that reducing losses at ZEE5 would be a key contributor to overall margin expansion. However, with plans to invest in new initiatives. What kind of investments are being considered? Would these investments potentially extend the timeline for achieving the targeted 18% to 20% margin by end of the fiscal?

Punit Goenka: Mukund, do you want to take this?

Mukund Galgali: Yes. So, Kavish in terms of our plan, all these investments have been factored when we looked at our margin guidance of 18% to 20%. And since the plans and the rollout of ZEE5 strategy has just been done recently. You will see a substantial improvement in the EBITDA of digital in quarters going forward. So yes, the plan is there very much, and it factors into consideration the new initiatives. It's a matter of timing that when we hit that spot of achieving breakeven.

Vikas Somani: And all these new initiatives, the investments are going in a staggered manner. All the new initiatives collectively will take about 2 to 3 years to really start to have an meaningful impact on the profitability of the company and to attain the scale which we are desiring. So that's the kind of timeline which we are looking at. But as Mukund said, this 18% to 20% target for this year, which we have taken, does factor in the investment required for these new initiatives.

Kavish Parekh: Any quantification that we can give for the investments planned over the next 2, 3 years?

Vikas Somani: No. I think we will avoid that for the time being, Kavish. We are rolling it out and probably at some later stage we'll contemplate giving these numbers.

Kavish Parekh: Just the last question from my side. We plan to give out some more details on the Zee Music and ZEE5 side. So, any comments on that?

Vikas Somani: Yes. So, we are internally working on those metrics we are along with the business teams we are identifying which are the best KPIs to give it out to the world at large so that you have more hang of the business which we are operating. So just have some more patience, very soon we'll be start sharing those numbers.

Moderator: Next question is from Sameer Gupta from IIFL Capital .

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Sameer Gupta: Most of them have been answered. So just 2 from my side. Sir, I've seen your presentation, and you also mentioned focus on retail advertisers, I believe it is for linear TV. Just want you to elaborate because why would a local retailer pay for a Pan-India advertising. And I believe the local retailer is already advertising on the likes of YouTube where ads are being shown in only the local or relevant geographies, is it possible for you to do the same with linear TV? If not, how is this going to work?

Punit Goenka: So, I never suggested for a minute that this is only for linear TV. It is for both the digital markets and linear business. Given that we are operating in 12 different languages in this country, we are very well poised to give opportunity for these advertisers to come on to building brands.

What they are doing on the likes of the digital platforms that you mentioned is purely transactional. And what we offer is a linear platform is more of brand building. And I can give you umpteen number of examples of how brands we have built in the language markets, whether it be in Marathi, whether it be in Tamil or Telugu, so on and so forth. But I think that is not for the open line. We can take that offline with Vikas.

Sameer Gupta: Sure, sir. So just to clarify, this is not something which is technologically different. This is just pure retail advertiser using a Zee Bangla, let's say, for advertising whatever he wants to advertise and build his brand. Is that a fair understanding?

Punit Goenka: It's a combination of, let's say, your example of Zee Bangla and the Bengali content that we offer on ZEE5.

Sameer Gupta: Got it. This is helpful, sir. Second question is on the others portion. Now this is the movie theatrical and syndication revenue. And last year, I believe you clocked around INR775 crores. Now 1Q has been really soft. So just wanted a guidance here, what kind of revenues are we eyeing for this whole year? I know it can be lumpy in a particular quarter. So just trying to understand that.

Vikas Somani: So, let me talk in slate term rather than in the dollar terms. Now yes, this quarter, we did not find any meaningful release. But having said that, the slate for the entire year is pretty much intact. As we have always given a guidance that every year, we target to make about 20 to 25 movies across languages in a particular budget zone, and that is what we are going to do this year also.

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So, you can infer from that what kind of revenue trajectory it will be. But the slate is pretty much intact. We are going to have similar number of movie releases this year as well.

Sameer Gupta: Just a clarification here. So, the 1Q number is not out of ordinary. It is something that you expected? Or would you say it is slightly below what you would have expected at the start of the quarter?

Mukund Galgali: So, Sameer, there were just 2 releases which got pushed by one quarter. So that was the only change. So, it's only a change in one quarter. But otherwise, we are going as per plan.

Sameer Gupta: Got it. And last question, if I may squeeze. Any update on the Star arbitration case?

Vikas Somani: I mean there is no fresh update on that. As we have said in the last call also, both the sides have made their filing, their submissions. We believe and our lawyers also confident that we have a very good case to defend and the outlook will only get to know next year.

Moderator: Next question is from Umang Mehta from Kotak.

Umang Mehta: Sir, just 2 questions. First one on your ad revenues. So, could you call out if you've already started to see any uptick because of FTA re-entry? And if it's just beginning, do you think this can pick up and contribute meaningfully going ahead? That's the first question.

Punit Goe

nka: Certainly, Umang, I do believe that the advertising uptake on the Free Dish market will be something that will help us in our growth. Right now, it is still very early days. As you know, in the BARC ecosystem and in the advertiser's ecosystem, anything that's less than 13 weeks of ratings does not register in a significant manner. And given that we are just about coming out of the 13-week period, we hope to see going forward some substantial thing happening there.

Umang Mehta: Understood. That is helpful. And the second one was on your subscription revenues. Now you mentioned that linear has declined and ZEE5 has grown. So, 2 questions linked to it. Firstly, in ZEE5, the 30% growth, was there any one time or syndication revenue boosting this? And if it wasn't the case, then if I adjust the growth in your overall subscription revenues, it means that the linear subscription revenues have declined in double digit, just about 10%. So, I mean, if you can just help us understand what really happened?

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Vikas Somani: Yes, Umang, so there has not been any extraordinary income coming from the syndication. The syndication revenues are at a pretty much the same level which we have seen last quarter. So, no extraordinary income out there. And yes, without any spike owing to the syndication, we have achieved a 30% growth on a YoY basis on the digital subscription.

Umang Mehta: Okay. So then on the linear subscription, is it correct that the decline was maybe high single digit to around 10%? And if that was the case, how is the outlook for the remaining 3 quarters?

Punit Goenka: No, because if you know how the linear business works, we do annual deals and our degrowth is currently in single digits. And we are still trying to see how to correct that. The agreements that are to be renewed still are not renewed. And we accrue revenue only on the basis of agreements done. And therefore, we wish to correct that very soon, and we'll keep reporting that to you on a quarter.

Moderator: The next question is from Jinesh Joshi from PL Capital.

Jinesh Joshi: Sir, I just wanted to know that the language packs that you have launched in ZEE5, are they a part of any B2B deals? Or are these packs directly being sold to the consumer, which may perhaps have a higher ARPU?

Punit Goenka: As of now, they are not part of the B2B deals, Jinesh, but we are exploring and negotiating with them as to what we can do. And if you will see, we only launched this on 6th of June. So, we are just 4 weeks into the whole thing, and we are working on that. So, we will have more colour for you in the coming quarters.

Jinesh Joshi: Yes. And sir, one more clarification required. I mean the decline in the subscription revenue, is it fair to assume that removal of Zee Anmol and putting it into the FTA category also may have contributed to the decline apart from the reason that we gave with respect to fall in pay TV subscribers?

Punit Goenka: See, historically, Anmol was always part of Free Dish until we removed it. We have not witnessed any decline at that point in time. And as I said, it's too early for me to comment that whether the decline in the subscriber base on pay TV is due to Anmol alone. It could also be to the fact that we are still amidst negotiations with a lot of the MSOs for the FY '26 deals.

As you know that these deals with DPOs normally take a long time to happen. So, we have to wait and watch. But I don't think it's too early for me to comment that Zee Entertainment Enterprises Limited

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Anmol could have caused this kind of a decline for the entire entity or for the entire company because Anmol is only operating in Hindi language, whereas we are operating, as I said, the network in almost 11 to 12 languages.

Jinesh Joshi: Got that. And sir, these negotiations with DPOs predominant

ly are due to the price

hike that we may have announced in Jan, right?

Mukund Galgali: Yes, that's right, Jinesh. These are annual deals.

Jinesh Joshi: Got that. Sir, just one last question from my side. I think in the earlier part of the call, you mentioned that in July, the ratings have crossed about 18%. So just wanted to know which markets are exactly seeing an improvement because I think our viewership focus has been on key markets like Zee TV Marathi and Tamil. So, is it basically markets that are not doing well, have started seeing some improvement? Or is it that some markets which have done well are seeing further improvement in viewership? So just if you can share some light on that.

Punit Goenka: As I said in my opening remarks, Jinesh, Hindi, Marathi, Kannada, Odia and Bangla are the ones where we have seen significant growth. Not to say that the other markets are not doing well. The other markets are also performing reasonably well, but these are where we have seen significant growth.

Moderator: Next question is from Abhishek Kumar from JM Financial.

Abhishek Kumar: Most of my questions have been answered. I have one question on the strategic initiatives that we had announced around value unlocking. While you mentioned that you're in the process of deciding which KPI to disclose, but anything in terms of, any progress in terms of carving out that business into a separate subsidiary? We got a Chief Business Officer for those businesses. Any progress so far? And any timeline that we can share in terms of when and what we plan to do?

Punit Goenka: Yes, Abhishek, as I maintained in various calls in the past also, the reason why we are not carving out ZEE5 into a separate entity is so that the company can continue to take the benefit of the tax because otherwise, if ZEE5 is incurring losses and you carve it out into a separate entity, we will lose that tax benefit completely. And the company will end up paying more tax, which means lesser PAT and lesser money back for you guys.

Abhishek Kumar: Sorry, I meant Zee Music, ZEE5, I understand. Zee Music as part of the value unlocking initiative?

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Punit Goenka: So that also we keep evaluating, Abhishek. And as and when we have the right opportunity to carve it out and bring it into a separate entity, we will certainly come back to you. And it's something that Vikas and Mukund continuously keep badgering me on, but not yet, I can't give you a timeline as of now.

Mukund Galgali: And we have taken on board business officers for both these segments of syndication as well as for music. So yes, I mean, they are also working on the plans to see what will be the best way to operate and take this forward.

Vikas Somani: So, Abhishek, not putting a timeline to that, but that's in our radar right now.

Abhishek Kumar: Second question is on the cash infusion. Obviously, the company had certain plans with the fresh cash that was supposed to come in. Now with that resolution not getting passed, anything that changes in our plans in terms of we were thinking of re-entering into sports or certain acquisitions? Do you think any change in plan is needed now because that cash is not coming.

Vikas Somani: No, Abhishek. So, nothing changes on that front. In fact, we are as committed as we were on not only enrolling those new initiatives but also increasing and strengthening the core business and increasing the operational performance out there. So, nothing changes in terms of our focus or priority out there. It's business as usual from that perspective.

Abhishek Kumar: One last bookkeeping question. What explains the dip in cash balance this quarter?

Mukund Galgali: So, two things. One is the cyclical collection from subscription. So typically, Q4 is a high collection period for the subscription, and it follows with a dip in quarter 1. So that

is one cyclical factor, and it is a consistent factor. The second is we have deployed funds into our investments in content and other initiatives. And it's just an operational requirements which have been met.

Punit Goenka: So, it's a working capital thing, Abhishek, nothing beyond that.

Moderator: Next question is from Sambhav Jain from Vardhaman Investments.

Punit Goenka: I think we've lost him.

Moderator: Right. There seems to be no response from the line of Sambhav Jain. We'll take that as the last question. I would now like to hand the conference back to Mr. Vikas

Somani, Head of Strategy and Investor Relations for closing comments.

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Vikas Somani: Thank you, everyone, for joining us today. We hope all your questions were

answered. Do feel free to reach out if you have any follow-up questions or if your query remains unanswered. We'll be available and look forward to speaking to you next quarter. Thanks so much and have a great evening.

Moderator: Thank you very much. On behalf of Zee Entertainment Enterprises Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Oct 2025

October 24, 2025

To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai - 400 001
BSE Scrip Code Equity: 505537
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (East), Mumbai- 400 051
NSE Symbol: ZEEL EQ

Dear Sir / Madam,

Sub: Transcript of the conference call

This has reference to our communication dated October 16, 2025 and pursuant to the provisions of Regulation 46(2)(a)(iii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on October 16, 2025 on the Company's performance for the quarter and half year ended September 30, 2025, is enclosed herewith. The said transcript is also available on Company's website at:

https://assets-prod.zee.com/wp-content/uploads/2025/10/Q2_FY26_Earnings_call_Transcript.pdf

This is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Q2 FY26 Earnings Conference Call
October 16 , 2025
Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" - that is, statements related to future, not past, events. In this context, forward-looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward-looking statements. The company does not undertake to update its forward-looking statements.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings

Call hosted by Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing '*' and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Arora, Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Ankit Arora: Thanks, Sagar. Hello, everyone. Welcome to our Q2 FY '26 earnings discussion. We hope you have had an opportunity to review the results.

Today, we are joined by our CEO, Mr. Punit Goenka, along with the senior management team. We will start with the opening remarks from Mr.

Goenka, followed by commentary on operating and financial performance by Mr. Mukund Galgali, Deputy CEO and CFO. We will subsequently open the floor for questions and answers.

Before we get started, I would like to remind everyone that some of the statements made or discussed on today's conference call will be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward-looking statements publicly.

With that said, I will now hand the call over to Mr. Goenka for his opening remarks. Thank you.

Punit Goenka: Thank you, Ankit. Good evening, everyone. Thank you for taking time out to join us today. First and foremost, I would like to extend warm wishes to all of you and your loved ones for a wonderful festive season. This month has been celebratory for a number of reasons, including the 33rd anniversary of satellite television and your company, Zee, which have together built this industry, and we are all a part of it today.

As a cultural soft power of our nation, the media and entertainment industry continues to grow steadily across all segments. Amidst this, the company is taking firm steps to build a robust foundation for its future growth. Investing for the future often requires consistent action and making some tough choices.

As you must have noted, the company's performance during the second quarter of the fiscal also reflects the deliberate investments and strategic recalibrations undertaken to strengthen the business fundamentals and drive sustainable value creation for all our stakeholders. One of the most significant results of these steps is the continued improvement in our digital business quarter-on-quarter.

Our strategic approach focused on the performance and profitability of ZEE5 is yielding considerable results. The tailored subscription plan in seven languages unveiled in the previous quarter are garnering a positive

response from users. This has resulted in an uptick in the subscription revenue sequentially.

We remain committed to achieve profitability in this segment in the quarters to come on the back of these concerted steps. Our efforts taken to enhance the content offerings across the linear business have also boded well with the company garnering an 18.2 % market share in July.

With a compelling content line-up, we are further strengthening our position across the language markets. I am pleased to share that 7 channels from Zee achieved leadership in their respective markets. This can be attributed to our newly launched on shows across languages, which have emerged as slot leaders and our iconic non-friction properties that continue to drive strong viewership gains.

As you would have noted, the strategic approach undertaken to enhance the content offering has impact

ed our profitability during the quarter.

While our content costs have increased, it should be considered with a balanced lens of viewership and market share growth.

The judicious investment in content is a conscious choice taken by the company to invest for the future after a careful evaluation of the balance sheet. The launch of new shows across languages also resulted in a marginal rise in the advertising and promotional spend during the quarter. As we progress into the second half of the fiscal, we expect these costs to stabilize and accrue higher gains in advertising and subscription across segments. On advertising revenue front, the onset of an early festive season, coupled with a steady resurgence in spend is building a positive trend for the company.

During the quarter, we witnessed a marginal uptick in the advertisement revenue sequentially due to the higher spend by FMCG companies. The recent implementation of GST reforms and the continued festive period is expected to spur the positive momentum and encourage spending from advertisers and consumers alike.

We continue to maintain a cautiously optimistic outlook on advertising revenue growth in the midterm with a conducive growth environment boosting the segment. In line with our growth plans for the future, the company has also marked a strategic entry into new segments like short-form content.

We firmly believe in the potential of these businesses to expand our audience base and offer engaging experiences at the intersection of content and technology. We have also partnered with Ideabaaz Tech Private Limited for our upcoming content offering, Ideabaaz, which was launched at an event held at the National Stock Exchange recently.

The show aims to fuel the start-up ecosystem of the nation. We are leveraging the strength and reach of our linear and digital platforms with Zee Entertainment Enterprises Limited

this format, and we will continue to strengthen our offerings to actually reflect India's culture and ambitions.

On that note, I would now like to hand over the call to Mukund to share further details about the company's performance. I look forward to interacting with you all in the Q&A session. Once again, wishing all of you a joyous festive season.

Thank you. Over to you, Mukund.

Mukund Galgali: Thank you, P.G. Good evening, everyone. It is always a pleasure to connect and interact with all of you. Before I dive into the financials, I would like to take this opportunity to wish each one of you a very happy and prosperous Diwali.

I hope you had an opportunity to go through the results of quarter 2 for the financial year '25-'26, which have been uploaded on our corporate website and on the stock exchange portal. I will focus my remarks on providing more context to our performance during this quarter.

I would like to begin with an update on our digital business. During the quarter gone by, we released 26 shows and movies, including 7 originals.

Our digital entertainment platform, ZEE5, continues to demonstrate healthy growth with stable usage and engagement metrics. ZEE5 revenues increased by 32% Y-o-Y in quarter 2, aided by enhanced content offering across 7 languages and the revised pricing strategy driving our subscriber growth.

This is in line with our strategic priorities as we remain sharply focused on maintaining a balanced cost structure, driving return on investments to sustain our long-term growth. We registered our highest ever quarterly revenue crossing INR 3,000 million, leading to more than 80% reduction in EBITDA loss to INR 312 million in quarter 2 FY '26, aligned with our objective to achieve breakeven in ZEE5.

During the quarter, while we saw some gradual pickup in advertising spend, it was largely led by FMCG, the pace of recovery is still observed to be slow. Our advertisement revenues were 11% lower

Y-o-Y and 6% up Q-o-Q,

reflecting a slow yet steady pace of recovery.

Looking forward, we are, however, optimistic of gradual recovery to continue in H2 on the back of festive season, leveraged with our enhanced network share and growth in digital business. On the subscription side, overall revenue grew by 6%, driven by growth in our digital business on the back of introduction of language packs, which I spoke about earlier, and renewal of contracts with DPOs in our broadcast business.

In our broadcast business, the overall TV landscape remains in a healthy range with weekly impressions above 28 billion and weekly reach over 745 million. We continue to be India's strong number 2 TV entertainment network. As we look at the viewership share for quarter 2, we have gained 100 bps Q-o-Q, taking our network share to 17.8%.

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Our flagship channel in Hindi GEC Zee TV has witnessed a strong growth in GRP during the quarter, with 4 shows featuring amongst the top 10 in the recent weeks. And on a Y-o-Y basis, the network share gain was 40 bps aided by language markets and our return to the free-to-air segment.

This demonstrates that the implementation of our strategic efforts is delivering results in the right direction. On our movies business front, during the quarter, we released eight movies, five in Hindi and three in other languages, of which four we produced and four were distribution deals.

And on the other hand, in our music business we garnered over 54 billion total video views with over 172 million subscribers on YouTube, driven by a new age music catalogue and a rich library. Within the music business, our profitability remains to be fairly healthy, and we are diversifying our catalogue into other language markets.

Further, our focus on the syndication vertical as highlighted in the previous quarter is showing good promise. And therefore, our other sales and services during the quarter was up 8% Y-o-Y, aided by the syndication deals.

Moving to costs and profitability of the company. The overall operating cost has increased by 9% Y-o-Y due to higher programming and advertising and publicity costs. During the quarter, we launched our daily non-fiction show Chhoriyan Chali Gaon in Zee TV and launched two new GEC channels in Kannada and Bangla markets.

Being a market leader, our viewers demanded higher quality of content from us and these investments will further fortify our leadership position in these markets and will aid in sustaining long-term growth. As our business has a high degree of operating leverage and in context of a soft advertising environment and with increase in total operating costs, it has impacted our profitability with our EBITDA margins at 7.4%.

You must note that higher content costs must be viewed from a lens of investment for medium- to long-term period, as Punit had also mentioned. And some of these will normalize as we move forward in H2 of this year, expecting this investment to yield an uptick in our revenues and which will be aided by improved viewership trajectory. Our profit after tax for the quarter came in at 765 million.

On the balance sheet side, our focused efforts have enabled us to strengthen our liquidity and financial position. The cash and treasury

investments as of September '25 stood at INR 21.1 billion, which includes a cash balance of 3.8 billion and fixed deposits of 6.9 billion and investment in liquid mutual funds of INR 10.5 billion.

Our content inventory continued to decline in H1, driven by optimized acquisition. September '25 content inventory advances and deposits stood at INR 69.9 billion, lower by INR 600 million since March '25.

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Moving through in H2 FY '26, we expect the revenues to see an uptick, while profitability and cash generat

ion continue to remain our priority. And we should see margins improving on a comparable basis, driven by the strategic initiatives being implemented.

With this, I would like to hand it back to Ankit.

Ankit Arora: Thank you. Thanks, Mukund. Sagar, we can now open the call for Q&A session.

Moderator: Thank you very much. Our first question comes from the line of Kavish Parekh from B&K Securities. Please go ahead.

Kavish Parekh: Hi, team. Thanks for the opportunity. My first question is on the advertising side of the business. So, at the start of the year, you aspired for 6% to 8% ad revenue growth, but 1H ad revenues are down about 14%. While you have highlighted over the past quarter, several initiatives to revise the segment, the impact, I believe, will take some time to fully reflect in the reported numbers?

So, could you help us understand the revised outlook for ad revenues in the second half of FY '26 and how you are thinking about growth aspirations for FY '27 and what will be the key drivers here?

Vikas Somani : The advertisement, as we have informed you, we have undertaken a number of initiatives, be it on the content side or opening up new avenues. Yes, the advertisement growth, which we were expecting in the beginning of the year and especially from the FMCG ex pectations are short of that and therefore achieving 8% to 10% growth, which we had given a guidance , looks a bit difficult speaking today.

But we are still hopeful for the second half, and we have always maintained that this year, the second half is going to be back en ded in terms of the revenue growth as well as the profitability. There is going to be a positive impact of all the initiatives which we have recently undertaken. Some of them have already started showing fruits in terms of the rating uptick for some of the channels and especially Zee TV, which Mukund was talking about.

And secondly, there are some policy -related macro factors, be it GST benefit and a few other impacts , which we are expecting to flow in, in a couple of months. So yes, to summarize, second half we are more hopeful as compared to the first half and that is how we are looking. We avoid giving a specific guidance right now because we are still waiting and watching how it pans out, but in terms of the sentiment, we are hopeful right now.

Kavish Parekh: Got it. Secondly, on the cost side, there has been a notable increase in advertising and other expenses. We understand that this partly reflects new shows and channel launches, but we have also seen ZEE5 losses narrow sharply. So, this just makes the overall cost trajectory seem a bit elevated. So how do you think of margin trajectory over the coming

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quarters? Again, I think given that ad revenues have remained soft, the exit margin aspiration of 18% to 20% seems a bit aggressive?

Punit Goenka: Mukund?

Mukund Galgali: So, Kavish, that is right. Coming to your comment on the margin aspirations, which does look difficult right now. At the same time, in terms of our cost increase in programming and other costs. So, in case of digital, while the number of launches has increased, we have seen only a moderate increase in the digital content cost.

Whereas we have launched two new channels like I mentioned in Kannada and Bangla as well as we had this daily nonfiction show, which is a new IP, which has been rolled out from Zee. So, these are costs which are not a

regular cost feature, but the benefits of this will be seen in the medium term. The digital costs have been controlled, although a number of launches have increased. So therefore, the margins continue to improve in digital, and we will continue to see that going forward.

Kavish Parekh: Sure. And lastly on the cash flows, could you share some more color on the current year -to-date cash generation? So there seems to

be some build

up in receivables, which appears to have impacted operating cash flows.

Request you to explain the same?

Mukund Galgali: So, Kavish, our receivables are largely from advertising and subscription.

And while advertising has a regular flow in terms of their occurrence throughout the year, but subscription collections are a little lumpy and they generally tend to increase in quarter 3 and quarter 4. So, there is a marginal increase in our trade receivables, which is a normal trend in this business. So, we expect to improve on those fronts in the coming quarters.

Kavish Parekh: All right. Thank you so much. Wishing everyone a very Happy Diwali in advance.

Moderator: Thank you. Our next question comes from the line of Umang Mehta from Kotak. Please go ahead.

Umang Mehta: Hi, thank you for the opportunity. Sir, first question was on ad revenue. Your commentary was a bit mixed. You try to sound positive, but you said it is cautiously optimistic. Possible to highlight what trends are you seeing in last few weeks after this GST cut, has there been any pickup in FMCG ad spend and do you expect a positive ad revenue growth in 3Q?

Punit Goenka: So, I just maintain that we have already seen some uptick coming from the FMCG sector. It is still early days. And as Vikas just said that the GST pullback impact will be seen over the next couple of months. So H2 is something that we will be looking at from that perspective. And that is how we are monitoring the business and working on that.

Umang Mehta: Understood. And basis your current visibility on how second half will pan out and the growth assumptions you all are working with, and you also mentioned that costs will stabilize over here. I am assuming ad costs will

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go down given this quarter was unusually high. Possible to quantify in some terms what kind of margin profile can we expect in second half?

Vikas Somani: We would avoid quantifying or giving you any specific number. But what we can say given the cost structure and the cost structure trajectory in the second half, as Mukund had said, the bump -up in the cost was more towards investment, and growth oriented. This is getting reflected in the ratings of the content. So given all that, what we can tell you is we are sitting on a good operating leverage at this point of time.

The costs are not expected to go much up, or this bump up is not expected to be continued in the next second half. And at the same time, we are expecting the impact of good ratings, which usually come again with a lag of a couple of months and as well as which I said earlier, the policy -related impact. So, all that with the operating leverage would probably go and enhance the margins.

Umang Mehta: Okay, sure. Thank you and all the best.

Moderator: Thank you. Our next question comes from the line of Sadanand Shetty from Stellar Asset Management Company. Please go ahead.

Sadanand Shetty: What were the key drivers behind the spike in ZEE5 numbers? And which specific metrics have shown the most improvement?

Punit Goenka: I think the biggest spike in ZEE5 metrics is on account of subscription revenue and advertising revenue. Both metrics have seen substantial growth, and that is what we are tracking on a weekly and a monthly basis.

Sadanand Shetty: So does that amplify the transition to Digital from linear TV and advertising revenue is growing...

Moderator: Sorry to interrupt. Sadanand, sir, your voice is cracking a little bit. If you can please repeat your question.

Sadanand Shetty: Advertising revenue is actually shifting to digital than the linear TV. Is that correct?

Punit Goenka: So, Sadanand, we are now operating in both the businesses. And we have to consider our performance on a consolidated basis. We can't now look at linear separate and digital separate. We have to look at this

as a combined

business that we are running. And therefore, if the combination is working in positivity for the organisation and for you all, then it is a positive impact. And that is not just for advertising but even for subscription.

Sadanand Shetty: Okay. Sure. I have a second question. When do you expect the channel gains to be reflected in the revenue numbers?

Punit Goenka: So generally, Sadanand, the lag effect is 13 weeks to 16 weeks that we have seen in the linear business. So that is what we expect it to be. But we are working with the advertising agencies and the advertisers to speed it up, Zee Entertainment Enterprises Limited

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given that we are entering festive with a healthy viewership share. So, we are trying to see how much shorter we can make.

Sadanand Shetty: We have been sustaining the channel share gains. What should, in terms of percentage, it should reflect the yields in the numbers...?

Punit Goenka: We are coming out of a very subdued market where the advertising yields had fallen significantly, including the entire inventory consumption. So, we are working on both those aspects of getting the yields back up as well as getting the inventory consumption filled up on the network. So, both those will be the combination of what will result in some growth. If you are asking me for a number, I don't think I am in a position to give you a number right now.

Sadanand Shetty: Sure, Punit. Thank you very much.

Moderator: Thank you. Our next question comes from the line of Jinesh Joshi from Prabhudas Lilladher Capital. Please go ahead.

Jinesh Joshi: Thanks for the opportunity. Sir in the opening remarks, you had mentioned that the seven-language plan is ZEE5 garnering a positive response and the revised pricing strategy is paying off. Now if I remember right, I think these seven language plans are not a part of any B2B deal. So, can you highlight how the revenue mix shifting between B2C and B2B in ZEE5, and going ahead, how do you see the mix evolve? And also, if you can highlight how is the margin profile different in both these categories.

Punit Goenka: So currently, our mix of the B2B and B2C would be in the range of about 60-40 in favor of B2C. I would not like to, for confidential purposes, break out the numbers by language or by even composite languages because this is highly competitive information. And I expect that trend to continue to be in the same line going forward as well.

I think what it helped us to do is that this is not something that we invented, but the market itself gave us the feedback that you are selling a full bundled pack of everything into one, whereas if I am a Maharashtrian and I want to watch only Marathi content, why am I paying for Telugu content or for Kannada content? And therefore, that is the whole strategy came from there.

And I expect that this will further take up the subscription penetration into the markets. Secondly, on the B2B side, we are not yet putting in the language packs because we wanted to first test the market, see that it is working. Our entire content rollout also has not happened yet. We are still just at the beginning stage of content rollout.

As and when the content rollout happens at a full scale, then we would certainly consider. And I use the word consider very, very cautiously because until and unless we don't get the right value, we will not give our content to the B2B partners.

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Jinesh Joshi: Understood. Sir, my second question is on our A&P spend. While it has been made clear that the A&P spends were higher due to new channel launches as well as the new content that has come up. But if I look at the swing factor on a Y-o-Y basis or even on a Q-o-Q basis, the A&P spends are up by about INR 100 crores plus.

So, just wanted to understand, histori

cally we have seen some new

launches come through while channel launches may have been on a slightly lower side, but new show launches have always been there. So just to get the numbers right, I mean this INR 100 crores delta that we are seeing apparently appears to be higher. So, if you can just maybe help us

understand if there is any one -off element over here, or how to basically reach this number?

Mukund Galgali: Yes. Jinesh, hi. So, you are right in terms of your comparison with Y -o-Y and with Q -o-Q as well. So, there are three components which lead to increase in this marketing cost. While I mentioned about the two new relaunches of Bangla and Kannada channel , Sonar and Power, which are a new brand and need that kind of spending to promote our content , promote the channels and to make the trade aware about it. So there, you know, substantial energy and focus has gone.

The other two aspects are in terms of our whole rebranding of Zee as well. So that also happened towards the end of the first quarter, and some portion of that has flown through in this quarter.

And the third thing is in terms of the number of launches; we had 39 linear launches in this quarter. So, quarter one, we had held back a lot of our content rollouts, considering the sports and other competing content, which was going on. So, a lot of this has got accumulated.

So, 39 launches in linear and 26 launches in digital have happened during this quarter. So, from that perspective, last year, we were fairly conservative in our content rollouts in digital as well. So that also has contributed to an increase in this. So, it is a sum of all these factors which you have seen.

Jinesh Joshi: Understood. Understood. Sir, just one last question from my side. On the subscription side, our growth was about 5% in this quarter. And I believe some bit of it could be due to the B2C language pack that we have rolled out in ZEE5.

So, I just wanted to check on the linear TV side, are the negotiations with the industry over, and are we seeing the linear TV subscription revenue see an uptick in this quarter or is it predominantly driven by the ZEE5 subscription revenue. The growth that you see in this quarter.

Punit Goenka: So largely, the growth that you have seen of 6% that we have seen this quarter comes from the digital business. We are pretty much stagnant on the linear business side or the broadcast business. So that is where it is. And as I was saying earlier that we have to now look at the business in a consolidated manner rather than breaking it up by digital and by broadcast

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separately. For us, as an organization and as management, we are now considering the business as a combined strategy of combined monetization aspect from both angles and that is how we are looking at the business.

Mukund Galgali: That goes in our strategy of omni content channel strategy where the same content is being monetized over multiple platforms.

Moderator: Our next question comes from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: Hi. Good evening, everyone, and thanks for taking my questions. Just wanted to understand the thought process here of launching new GEC channels and with the kind of ad spend that we have done. Now if overall context of FMCG spending remains subdued, I understand we are cautiously optimistic now.

But why not then wait for clear signs of an uptick before launching these new channels, given that our focus in the past few quarters has been towards margin improvement. We had guided to an exit 18% to 20% margin. So why now change in that focus?

Punit Goenka: So, Sameer, what happens, if you look at the markets that we have selected for this, there are two reasons for it. One is these are not new GEC channels. These are actually what we call flanking strategy for creating a distance between o

ur leadership channel and the second player in the market. So that is what we are trying to achieve here.

Second part is that apart from FMCG, there is a large base of advertisers that are very, very market focused, like, for example, retail or even regional FMCGs, etc . So, we are trying to target those. And if you go after those people for, let us say, Zee Kannada or for Zee Bangla, it may be too expensive for them to buy. And therefore, we are trying to create a flanking strategy where we can pull revenues away from our competitors.

Sameer Gupta: Got it. Second question, sir, a large part of the cost increase I see is in ad

spends and to some extent, other expenses. The content cost increase is there, but it is not very high when I look at it as a percentage of sales. So, going forward, I mean, is it a right assumption that this recurring part of operating cost or programming cost will remain, but the bump up in ad spend and other expenses largely pertaining to this quarter because the launch was in this quarter?

Mukund Galgali: Yes, Sameer. That is correct. That is how we look at it as well.

Sameer Gupta: Okay. So, then it is also a fair assumption that a sub 10% margin is more like a one -off and it can at least go back to the 12% plus kind of a margin, which we were clocking before this quarter?

Punit Goenka: Our endeavour is to not even be satisfied at 12%, Sameer.

Sameer Gupta: Of course, we understand that. But is the thinking, right? I mean, of course, we don't know what will happen, but is this a correct logical construct?

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Punit Goenka: Yes, absolutely, Sameer.

Sameer Gupta: Got it, sir. I will come back in the queue for follow -ups. Thanks.

Punit Goenka: Thank you.

Moderator: Thank you. Our next question comes from the line of Umang Mehta from Kotak. Please go ahead.

Umang Mehta: Hi. Thank you for the follow -up opportunity. My question is on your comment on revenue growth being back ended. So, other than the expected improvement in revenue growth because of your viewership share, is it possible to highlight some of the other initiatives and what incremental contribution they have and give some color , if you can share.

For instance, your omnichannel strategy or be it smaller kind of regional kind of markets coming up or in terms of short -form content or some of these drivers, if you can help us understand what will be driving this incremental back -ended growth?

Vikas Somani: Yes, Umang. So some of the primary drivers are, the performance of the new content which we have launched, which fortunately has fired well and we are performing well in all the metrics, be it the watch time or the consumer voice, which we are getting on that.

The other new initiatives, which we have talked about, many of them have already been rolled out, but they will get mature in the second half. For example, the micro drama initiative, which you just talked about. We are also getting into the new genre, which is kids related.

Now all these initiatives are going to get matured in the second half, the performance of those will start getting reflected in the numbers. So, on the back of all this and with the cost structure, which we have been successful in kind of managing, that is what is giving us the confidence of enhancement in the margins as well as the revenue growth.

Umang Mehta: Understood. And this omnichannel kind of approach or pitch to clients, have you started to see new kind of profile of advertisers already coming to you, or is it something which is still work in progress?

Vikas Somani: So, in terms of the content, we have already started, and we are already working on that approach. There have been a few original pieces which we are making for different platforms. The same content piece being fed into different platforms, be it digital or TV or short f

orm or movie.

And very recently, we did a theatrical release of a movie, which was released way back on our OTT platform, and then we have customized it for a theatrical exhibition. So, we have already started working on all this. And as I said, it will require some time to gain maturity more in terms of scalability, but we are already on to that path.

Umang Mehta: Got it. Thank you. Good luck. Thanks.

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Moderator: Thank you. Our next question comes from the line of Arun Malhotra from CapGrow Capital Advisors. Please go ahead.

Arun Malhotra: Yes. Good evening. Thanks for the opportunity. I wanted to check on two things. I think, one is you have always been mentioning in the last 6 months, especially about the monetization aspect of the business, especially on the Zee Music. Any comments on that?

Punit Goenka: As Mukund said in his remarks, the Zee Music business is still performing very healthily for the organization, and we expect that to continue.

Although we are seeing some stress given that most of the music platforms are now putting the content behind the paywall, and some have even shut down. So that is probably causing some strain.

But as we talked about and Mukund talked about that we want to expand our portfolio of music content now to the language market, just as we did with our television content, whether it is the digital content, we want to do that to garner a larger viewership or listenership and therefore, monetize that better.

Arun Malhotra: Okay. But there are no plans to separately carve out or create some value for the shareholders?

Punit Goenka: Vikas?

Vikas Somani: As we have told you before, that at this is in our consideration, and we have been working on that. We are just waiting for the right time. And of course, all the aspects need to be ticked off before we embark on to that.

Arun Malhotra: Sure. And second was the stake increase by the promoters since Punit is also there. Any views on that since the stock price has been falling since then? Any promoters plan to increase stake?

Moderator: Sorry to interrupt. Arun, sir, we had lost your audio at the end of your question. If you can please repeat the question once again?

Arun Malhotra: Yes. Sorry. I will just repeat my question. So, my question was regarding the increase in stake. The increase in stake by the promoters was not passed by the shareholders. Any plans of increasing stake by the promoters since the price has fallen since then. So, any open market purchase or any other structural route whereby promoters plan to increase their stake?

Punit Goenka: So, Arun, we are very, very keen to increase our stake in the organization in whichever structured manner that we can find best possible. And of course, as you said, if it is a structured transaction, it will have to be approved by the shareholders. Without that, we cannot go ahead.

Open market transactions, we have not considered yet. But as a family and as promoters, we are debating this on a daily basis to figure out what the best way forward for us is going to be.

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Arun Malhotra: Yes. I understand. Lastly, the price was INR 128 and now the price is much fallen. So, any open market purchase will give confidence to the stakeholders?

Punit Goenka: So, Arun, this is an open call. I don't think I should speak a lot more on this because being a CEO and the promoter, I am conflicted there. But the intention is to increase.

Arun Malhotra: Sure. All right. Thank you, Punit. Thanks for the candid answer. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Mr. Ankit Arora for closing comments.

Ankit Arora: Thank you, everyone. Thanks for joining us today and wish you and your family

a very healthy and prosperous Diwali. Do feel free to reach out to us if there are any follow-up questions as you do a deeper study of our numbers. We will be available and look forward to speaking to you and meeting you all in-person soon. Thank you so much and have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

January 30, 2026

To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai - 400 001
BSE Scrip Code Equity: 505537
The Listing Department,
National Stock Exchange of India
Limited
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (East), Mumbai- 400 051
NSE Symbol: ZEEL EQ

Dear Sir / Madam,

Sub: Transcript of the conference call

This has reference to our communication dated January 22, 2026 and pursuant to the provisions of Regulation 46(2)(a)(iii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on January 22, 2026 on the Company's performance for the quarter and nine months ended December 31, 2025, is enclosed herewith. The said transcript is also available on Company's website at:

https://assets-prod.zee.com/wp-content/uploads/2026/01/ZEEL_Q3%20FY26_Earnings_Conference_Call.pdf

This is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Q3 FY26 Earnings Conference Call
January 22 , 202 6
Transcript

Disclaimer: This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required for clarity, correctness of data or transcription error. This document may contain "forward-looking statements" - that is, statements related to future, not past, events. In this context, forward-looking statements often address expected future business and financial performance, and often contain words such as "expects," "anticipates," "intends," "plans," "believes," "seeks," "should" or "will." Forward-looking statements by their nature address matters that are, to different degrees, uncertain. These uncertainties may cause actual future results to be materially different than those expressed in such forward-looking statements. The company does not undertake to update its forward-looking statements.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Call of Zee Entertainment Enterprises Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Ankit Arora, Head of Investor Relations, Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Ankit Arora: Thanks, Yashashri. Hello, everyone. Welcome to our 9 months and Q3 FY '26 earnings discussion. We hope you had an opportunity to review the results.

Today, we are joined by our Deputy CEO and Chief Financial Officer, Mr. Mukund Galgali, along with the senior management team.

Our CEO, Mr. Punit Goenka is currently in the U.S. and due to unavoidable last-minute exigencies, he is unable to join the call today. We will start with Mukund covering the details about our operating and financial performance, and we will subsequently open the floor for questions-and-answer session.

Before we get started, I would like to remind everyone that some of the statements made or discussed on today's conference call will be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update these forward-looking statements publicly. With that said, I would now hand the call over to Mukund for his remarks.

Mukund Galgali: Thank you, Ankit, and good evening, everyone. It is always a pleasure to connect and interact with all of you. I hope you had the opportunity to go through our Q3 FY '26 results, which have been uploaded on our corporate website as well as the stock exchange portals. In my remarks today, I will focus on providing context to our performance during this quarter.

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I will begin with an update on our digital business. We are pleased with the progress made during this quarter in digital business. We released 39 shows and movies, including 11 original series. This enhanced content offering across 7 languages, coupled with a revised pricing strategy on our digital entertainment platform, ZEE5, has resulted in a 73% year-on-year increase in our digital revenue to INR 4,180 million. This marks our highest quarterly revenue so far in the digital business.

In this business, we continue to maintain a balanced cost structure and coupled with strong revenue growth, it has resulted us to post an EBITDA

of INR 564 million compared to a loss of INR 1,362 million in the same quarter last year. This marks the first quarter in which our digital business has delivered a positive EBITDA. The revenue growth was aided by syndication revenues and revised pricing agreement with a telco player during this quarter, along with improved advertising revenues.

We remain confident of improving our unit economics in this business in the medium term and drive sustained returns on our investments.

Moving to subscription revenue. Our overall subscription revenue grew by 7% year -on-year, primarily driven by the growth in digital business and successful renewals of contracts with BPOs in the Broadcast segment.

Turning to our broadcast business. The overall linear TV landscape continues to remain stable with weekly impressions of above 28 billion and a weekly reach exceeding 730 million. We continue to maintain our position as India's strong number 2 TV entertainment network. As we look at the viewership share for quarter 3, we gained 60 basis points year -on-year, taking our network share to 17.5%.

Our flagship Hindi GEC channel Zee T

V continued to witness strong GRP

growth during the quarter. Along with this, we have also fortified our position in the East and with Zee Bangla regaining its leadership. We are also pleased to share that ZEE remained the fastest -growing network in the south with a share of 17.7%. For Zee Marathi, the new content slate has Zee Entertainment Enterprises Limited

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resonated strongly with the consumers across Maharashtra, enabling us to achieve a market share of 33.6%.

This reaffirms that the strategic initiatives we have implemented over the last few quarters are delivering results in the right direction.

On the advertising front, we continue to observe a gradual and sequential pickup in the ad spends by advertisers, although it declined on a Y -o-Y basis, largely led by softness in FMCG spending, advertising revenues were up 6% quarter -on-quarter and though they are down 9% year -on-year, reflecting a slow but steady pace of recovery. While we are witnessing encouraging conversation with advertisers, however, we are yet to see the full benefits of GST cut and a sustained pickup in FMCG advertising spend towards brand building.

Looking ahead, we remain optimistic about a gradual recovery, aided by our ability to leverage our improved network share and continued growth in the digital business, and positive spends by FMCG players on their brand -building initiatives. Moving to our Music business.

During the quarter, we garnered over 51 billion total video views with more than 175 million subscribers on YouTube. This performance was driven by our new age music catalogue, along with a rich library of over 18,000 songs. Profitability in the business remains healthy, and we continue to diversify our catalogue investments across various language markets.

On the studio business, during the quarter, we released 8 movies, 1 in Hindi and 7 in regional languages, of which 3 were our own productions and 5 were distribution deals. We also acquired theatrical and satellite rights for Kantara Chapter 1 and Akhanda 2 during this quarter, which has contributed to a strong growth in our other sales and services.

Our continued focus on the syndication vertical, as indicated in the previous quarters is also showing promising results, though it is at a nascent stage. As a result, overall other sales and services grew 7x on a Y -o-Y basis.

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At this juncture, I would also like to touch upon the new strategic initiatives launched by the company during the fiscal. The micro drama app Bullet continues to garner steady gains with its unique model of gamifying the viewing experience and engaging consumers beyond content.

In order to further tap into the younger consumer base, the company entered the Kids Entertainment segment during the quarter with the launch of KidZ on ZEE5.

Moving to costs and profitability. Our overall operating costs increased 12%

quarter -on-quarter, primarily due to higher programming costs on account of preponement of the ILT20 cricket matches into quarter 3 and acquisitions of Kantara Chapter 1 and Akhanda 2. Excluding these items, overall operational costs would have declined by mid -single -digit on a quarter -on-quarter basis.

With a 15% increase in operating revenue and tight management of fixed costs, our EBITDA margin improved by 310 basis points quarter -on-quarter to 10.5%. Profit after tax stood at INR 1,548 million, which grew 2x on a sequential basis.

On the balance sheet, our focused efforts to strengthen our liquidity and financial position continues to strengthen our liquidity and financial position.

Cash and treasury investments as of December 2025 stood at INR 21.8 billion, comprising of cash of INR 5.0 billion, fixed deposits of INR 7.0 billion and investments in liquid mutual funds of INR 9.8 billion. Our content i

nventory declined as of December 2025, driven by disciplined and optimized acquisitions.

Overall, our content inventory advances and deposits stood at INR 69.3 billion, down by INR 1.2 billion over the last 9 months.

Further, I am also happy to share the progress we have made in our ESG journey, which is also reflected in our score of 51 out of 100 in the S&P Zee Entertainment Enterprises Limited

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Global Corporate Sustainability Assessment in the media and entertainment sector. This ranks Zee amongst the top 5% of global players in this sector. Going forward, we will continue to accelerate our ESG agenda.

As we move ahead, our focus remains on driving revenue growth through digital business, implementation of new strategic initiatives, coupled with improved advertising environment. Prudent cost efforts and operating leverage will help drive profitability and cash generation.

With that, I would like to hand it back to Ankit. Thank you very much.

Ankit Arora: Thanks, Mukund. Just a reminder for everyone before we start the Q&A session. Punit has been able to join the call, and he is available to answer any questions that you all may have. Yashashri, now we can open the floor for question -and-answer session.

Moderator: Thank you very much. We'll take our first question from the line of Kavish Parekh from B&K Securities. Please go ahead.

Kavish Parekh: My first question pertains to the advertising side of the business. So, 9 months revenues are down about 12%. The year could very well end with the same kind of decline number. Now it has been 2, 3 quarters since you gave out details on key initiatives that you plan to pursue to sort of bring back some growth in this segment.

So, do you think F Y '27 could start seeing some benefits on account of this, coupled with a low base? And to add to that network shares for you are also remaining steady. So, what would be your growth targets and revised targets for the EBITDA margins for the next fiscal?

Ankit Arora: So Kavish, slightly early if you were to kind of look at FY '27, but the good news is that I'm sure, as to what you rightly mentioned that we have been seeing the moderation in our Y -o-Y decline. And we continue to kind of have a very encouraging and positive conversations with our FMCG players.

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And of course, with the GST cuts and all what has happened over the last 12 to 18 months in the macro backdrop, we remain still optimistic certainly for FY '27 outlook, but it will be too early for us to kind of give a specific number guidance at this stage. However, we stay absolutely optimistic given where we have seen in FY '26, we should start to kind of see an inflection point over the next few quarters.

Kavish Parekh: And anything on margins or even that is slightly early?

Ankit Arora: Slightly early, Kavish, at this stage. However, I'm sure you would have noticed, we continue to maintain a very prudent cost structure, you would

have seen that in the 9 months results , which we have declared. Our endeavour is to improve margins from where we will end in FY '26, and that certainly stays as the top priority.

Punit Goenka: If I may just add. The two questions that you asked definitely go hand in hand, right? So while we are optimistic about our advertising growth in the coming quarters , but it will go hand -in-hand with the margin structure because I think our cost structure is pretty much at the leanest that it possibly could be in order to keep our market share, et cetera, at the levels that we have been operating at. So just to add to that, Ankit, just to give a little bit more clarity.

Kavish Parekh: Secondly, congratulations on making breakeven in ZEE5. Growth here was far beyond expectations, but that was partly aided by syndication revenues and the telecom deal

. So, what would be a sustainable growth rate here? And then going into 4Q and F Y '27, at what rate of growth, say, do you achieve a breakeven that is much more sustainable?

Ankit Arora: Sure. So, Kavish, as to what you would have noticed, I think this year, we have reached an ARR business in ZEE5 of north of INR 1,000 crores. Without getting into specific, it is a good enough number for us to kind of start looking at this business driving towards a medium -term sustained profitability.

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On the revenue front, while, of course, the base will now start to kind of come into play, but we still believe that ZEE5 will continue to be our fastest -growing vertical amongst other verticals, which is what we are present in. And with the first quarter having achieved on the EBITDA positive side, we stay committed to us having better returns on this business as we move forward.

And that was the target, which is what we had said at the start of the year to breakeven by FY '26 end that this should certainly give confidence to the street and with our prudent cost efforts and operating leverage, it will drive the business on a positive unit economics going forward.

Mukund Galgali: And Kavish, this is Mukund here. I would also like to add that with the 7 language packs, which was rolled out in quarter 2, I think those are getting sort of absorbed by the market and the traction will continue, along with the new initiatives we have taken in terms of kids, which was just launched in the last week of December and a few other initiatives which are linked to our digital business, we are confident of having an accelerated growth in this business.

Kavish Parekh: Sure. A bookkeeping question from my side. So, your depreciation and amortization amount has been declining quarter after quarter over the past few years. So, could you explain this movement?

Mukund Galgali: This has been because in the last few years, our capitalization has not been very high. So, it is just a normal amortization as per the policy. And it is just that the rate of our addition to fixed assets has not been very high. And there were certain investments which we had done earlier in tech centre in Bengaluru , which was amortized. So that impact is being reflected in the books.

Kavish Parekh: Understood. Understood. And I mean if I can squeeze in with one more operational question. Now what would be your latest headcount number? And could you help us with the trajectory or how has it moved over the past few quarters.

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Punit Goenka: So as Ankit also mentioned, we are operating and I also reiterated, we are operating at a very optimized cost structure for the company. Our headcount is pretty much the most competitive in the industry in terms of number of people per revenue of rupee or dollar that we earn.

And I think beyond that, giving any more information would be competitive in nature. But rest assured, we will continue to see optimization in terms of both quality and quantity in our manpower cost. Even if you look at our personnel costs, it is pretty much competitive in the industry, and we'll continue to maintain that.

Kavish Parekh: I remember the last time when we had this employee base rationalization, I think our top tier of the management has sort of moved out and we had elevated our next leg of the management. Is something similar happened this time? Or this rationalization was a cross the chain.

Punit Goenka: It's across the company. And Mukund, you can take it further.

Mukund Galgali: Yes. Kavish, this is based on our strategy of omnichannel. There were certain overlaps in linear and digital businesses, which made certain positions redundant. So that was the genesis of the restructuring.

Moderator: We'll take our next question from the line of Umang Mehta from Kotak Securities.

ine of Umang Mehta from Kotak Securities.

Umang Mehta: My first question was on your core business cost, excluding the digital business. Could you call out the absolute impact of movie business and ILT20, how much was the incremental cost from these two? You mentioned that the cost would have been down 15%. So, I'm getting a INR 390 crore s number. Is that correct? And if yes, then what is the split between ILT20 and the movies?

Ankit Arora: So Umang, I think just to kind of clarify on that number, Mukund mentioned in his opening remarks that excluding the movies and the ILT20 preponement, our overall total operation cost would have been down on a sequential basis by about mid -single digit.

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Umang Mehta: Mid-single digit. Okay. And so possible to give the absolute number for ILT20?

Ankit Arora: No, we would not like to disclose that for confidential reasons.

Umang Mehta: Okay. Sure, And second one was on the Star arbitration. So, I see a comment where you have mentioned that there are certain incremental developments and disclosures by Jio because of which the proceedings were adjourned, possible to share anything incremental on this? I mean just some update.

Mukund Galgali: So as you are aware, this is under arbitration and due to reasons of confidentiality, we cannot reveal the nature of the developments. But yes, the next hearing will be somewhere in July. So, I think that's all we can express on this call right now.

Moderator: We'll take our next question from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: Most of them have been answered, but just a little clarification on the earlier participant's question. So, with the proceedings being adjourned to July, so earlier understanding was that there was a verdict that was expected in early 2026. Now the expectation is in July 2026, we'll get the verdict or that is even now postponed.

Mukund Galgali: Like I mentioned, the hearing will be in July, and the verdict will follow as soon as the tribunal is ready to deliver the verdict, which we cannot predict at our end.

Sameer Gupta: Got it. But not before July, definitely.

Mukund Galgali: Definitely, yes.

Sameer Gupta: Okay. Second question is on the ad revenue. Now I remember we had re - entered the free -to-air in February, and there was an expectation that there was some benefit that would come over with time. There is no real improvement in the revenue the decline trajectory. In fact, the subscription revenue has also been strong, and there was expectation that there might

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be some impact on that. So, suffice to say now that the FTA, whatever benefit was to come has come in and incrementally from here on, it is just the FMCG business or the overall environment, which will pick up will drive the ad revenue growth.

Punit Goenka: Yes. So, as you know that our business is largely dependent on FMCG because we are an FMCG -driven company from the advertising point of view. Any improvement in that sector has an immediate impact on our business. But it's a happy situation for me to say that other sectors are also coming in and adding to that.

In fact, while the 9 -month number, the gentleman had talked about 12% degrowth, but I'm happy to tell you that on a quarter -on-quarter basis,

we've seen significant improvement in the advertising revenue growth. And I think the team can elaborate a little bit more on that.

Just for the benefit of everyone, sorry, I will have to log off in 10 minutes, given that I am calling at 5:00 a.m. from a very chilly United States. So, if you have any specific questions for me, please, this is the time and then the team can take over.

Moderator: We'll take our next question from the line of Dixit Doshi from White stone Financial Advisors.

Dixit Doshi

: Slightly new to the company. So just wanted some clarification. So is my understanding right that the other sales and services revenue is predominantly Zee Studio and the syndication business. And does the Zee Music revenue typically come in subscription and ad revenue?

Vikas Somani: Yes, that is correct. Your understanding is correct.

Dixit Doshi: Okay. And in terms of ZEE5, so one of the earlier participants has mentioned that the revenue bump up might be because of some telecom type. So, if you can just elaborate, was there any one -off kind of revenue this quarter or this kind of revenue and profitability is sustainable?

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Vikas Somani: Yes, of course. I mean, there has been a catch -up revenue in this quarter, as Ankit had mentioned on account of revised pricing agreements with one of the telecom operators. But even if you strip this quarter's revenue of that catch -up revenue, still ZEE5 is breaking even. So that's something to factor in. Yes, there is a one -time income, but even without that and some syndication income, ZEE5 has broken even.

Dixit Doshi: Okay. Can you call out for the one -off. How much was the one -off this quarter?

Ankit Arora: So just to kind of mention, over the last 3 quarters, we have been growing on a yearly basis of close to about 30 -odd percent in ZEE5. And similar is the number, which is what you would have seen if you would have stripped out what just Vikas mentioned.

Dixit Doshi: Okay, okay. And just one last question. We raised money through FCCB last year. I think we raised only 10% of what was approved by the Board. So, any plans of raising more or we'll be doing only this much the 10%.

Vikas Somani: No, We have deferred the next drawdowns. And we have said it very clearly before also unless we have full visibility on the deployment of those proceeds, we are not going to go for any drawdowns. So right now, we have deferred the next tranches.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Ankit Arora for closing comments. Over to you, sir.

Ankit Arora: Thank you, everyone. Thanks for joining us. Do feel free to reach out to us if there are any follow -up questions as you do a deeper study of numbers.

We will be available and look forward to speaking to you and meeting you in person soon. Thank you very much and have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 26, 2026

To,
The Listing Department,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai - 400 001
BSE Scrip Code Equity: 505537

The Listing Department,
National Stock Exchange of India Limited
Exchange Plaza,
Bandra-Kurla Complex,
Bandra (East), Mumbai- 400 051
NSE Symbol: ZEEL EQ

Dear Sir / Madam,

Sub: Transcript of the conference call

This has reference to our communication dated May 19, 2026 and pursuant to the provisions of Regulation 46(2)(a)(iii) read with Schedule III of Part A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), the transcript of the conference call held on May 19, 2026 on the Company's performance for the fourth quarter and financial year ended March 31, 2026, is enclosed herewith. The said transcript is also available on Company's website at:

https://assets-prod.zee.com/wp-content/uploads/2026/05/Q4_FY26_Earnings_Call_Transcript.pdf

This is for your information and record.

Thanking you,

Yours faithfully,
For Zee Entertainment Enterprises Limited

Ashish Agarwal
Company Secretary
FCS6669

Encl: As above

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Q4 FY26 & FY26 Earnings Conference Call
May 19, 2026
Transcript

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Moderator: Ladies and gentlemen, good day, and welcome to the Zee Entertainment Enterprises Limited Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankit Arora, Head of Investor Relations from Zee Entertainment Enterprises Limited. Thank you, and over to you, sir.

Ankit Arora: Thanks, Dr. Vin. Hello, everyone. Welcome to our Q4 FY26 and full year ended March 2026 earnings discussion. We hope you have had an opportunity to review the results.

Today, we are joined by our CEO, Mr. Punit Goenka; and our Deputy CEO and CFO, Mr. Mukund Galgali, along with the senior management team. We will start the call with the opening remarks from Mr. Goenka, followed by commentary on operating and financial performance by Mr. Mukund Galgali, our Deputy CEO and CFO.

Before we get started, I would like to remind everyone that some of the statements made or discussed on today's conference call will be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. The company does not undertake to update any of these forward -looking statements publicly.

With that said, I will now hand the call over to PG for his remarks. Thank you, and over to you, Punit.

Punit Goenka: Thank you, Ankit. Good evening, everyone. It is indeed my pleasure to connect with all of you again to discuss your company's performance in the fourth quarter of the financial year 2025 -26.

As always, I will share an overview of our strategic priorities and its progress during the quarter, while Mukund will take you through the detailed financial metrics pertaining to the company's performance.

Our focus in the previous financial year was on judicious long -term investments across the businesses in line with our growth plans. The investments will enable us to build a sustainable long -term growth trajectory for the company and hence, must be viewed with a forward -looking lens.

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Considerable efforts were sown -in to further strengthen our promise in content creation in order to deliver more engaging and entertainment experience to our consumers. We also enhanced operational efficiencies across platforms with a special focus on our core, that is content and revenue.

Speaking about the performance of the digital business, I'm glad to share that ZEE5 achieved breakeven during the previous fiscal. The platform was operationally

profitable for the second quarter in a row, delivering 53% year -on-year growth in FY26 .

The success largely stems from the 7-language strategy that enabled us to drive higher engagement through compelling content and seamless user experience. Digital remains our experiential growth story, and we will continue to build on this momentum as we go forward.

In order to generate more engaging stories through innovative concepts, the teams have invested significant energies towards sharpening the content strategy across platforms. The positive outcome of this strategy reflects in our network share, which increased by 80 basis points to touch 17.4% during the quarter.

Our flagship Hindi GEC , Zee TV continued to display robust GRP growth of 40%. Strong character -led storytelling, coupled with culturally rooted narratives enabled the channel to garner peak engagement during the prime -time slots. Our linear portfolio of language channels also further strengthened their foothold in their respective markets by reporting an interest or increase in market share.

During the

quarter, your company also took steps to further build an integrated future -ready monetization engine. The strengthened advertising revenue team enhances our ability to unlock emerging revenue streams and respond swiftly to market dynamics.

The uncertain geopolitical environment and macroeconomic headwinds disrupted consumer sentiments during the quarter. The continuing ambiguity in the global economic landscape is a result of the conflict in the Middle East, and that has impacted overall growth across sectors and the industry at large.

Over the last couple of quarters, your company has also taken keen steps to identify and establish its presence across emerging segments. In line with this approach, we announced a strategic investment in global VFX company, Phantom Zee Entertainment Enterprises Limited

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Digital Effects Limited , which will build your company's capabilities in the AVGC segment by creating more immersive content across platforms.

Overall, your company remains resilient and well poised on all fronts to face any challenges emerging from the weak macroeconomic environment. We continue to remain focused on the opportunities that lie ahead and stay confident in the abilities to capitalize on them and maximize value.

On that note, I will hand over the call to Mukund to take you all through the operating and financial metrics in detail. I look forward to interacting with all of you during the Q&A session. Thank you, and over to you, Mukund.

Mukund Galgali: Thank you, Punit, and good evening, everyone. It's a pleasure to connect and interact with all of you on behalf of ZEE. I hope you've had an opportunity to go through our Q4 and financial year '26 results, which have been uploaded on our corporate website , as well as the stock exchange portals.

In my remarks today, I will focus on providing additional context to our performance during the quarter and for the year ended March '26. I would like to begin the update by mentioning about our digital business, wherein we are extremely happy with its performance during the year.

We witnessed continued momentum in our revenues, which grew 71% year -on-year basis for Q4 FY26 to INR4,700 million. This quarter has also marked our highest ever revenues in the digital business. For the full year FY26 , a strong revenue growth was seen at 53%. With a balanced cost structure, it resulted in delivering a positive EBITDA in FY26 compared to a loss of INR5,480 million in the previous year. This also marked the first year in which our digital business has delivered a positive EBITDA on a comparable basis, achieving the guidance which we had given at the start of the year.

Our digital offerings were more than doubled by releasing over 120 shows and movies, including 34 originals. The enhanced content offering across 7 languages, coupled with revised pricing strategy aided in an all -round improved performance. We remain confident of the unit economics in this business, and expect the momentum continuing ahead in the medium term.

Moving to subscription revenues , it has registered a 4% year -on-year growth, primarily driven by our digital business.

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In our broadcast business, the overall linear TV landscape continues to remain stable with weekly impressions of above 28 billion and a weekly reach exceeding 740 million during the year.

We continue to maintain our position as India's strong Number 2, TV entertainment network. As we look at the viewership share, as Punit also mentioned, we exited the month of March with a network share of more than 18%, while for the quarter, it stood at 17.4%, a gain of 80 basis points on a year -on-year basis. Our flagship Hindi GEC Zee TV has witnessed higher GRP with nearly 21% stronger performance than its closest competitors for 26 weeks straight.

Further, I'm pleased to

inform you that as a part of our omnichannel strategy, ZEE's monthly unique reach has crossed 800 million across platforms. The above developments reaffirm that the strategic initiatives, which were implemented during the year are delivering results in the right direction.

On the advertising front, we did witness healthy traction in the initial months of Jan and Feb. However, March was severely impacted with the ongoing Middle East conflict where advertisers have held back their spends in the end of the quarter.

As a result, our overall advertising revenues declined 4% year -on-year. Adjusted for the impact in the month of March, our advertising revenues would have witnessed low single digit growth in Q4 despite the shifting of ILT20 to quarter 3.

During the year, we have also invested across multiple initiatives to augment our advertising like the omnichannel strategy, the diversification of advertiser base beyond FMCG, improved content offering, leading to higher network share and GRPs. While the advertising environment looks challenging in the immediate near term amidst the prolonged West Asia crisis, we do believe that the investments in strategic levers during the financial year '26, along with our digital proposition, positions us well from a medium-term perspective.

Talking about our music business. During the year, we have garnered over 217 billion total video views with more than 176 million subscribers on YouTube. This performance was driven by our new age music catalog and a rich library of over 20,000 songs. Profitability in the music business remains healthy, and we continue to diversify our catalogue across additional language markets.

On the Studios business, during the quarter, we released 13 movies, 7 in Hindi and 6 in other languages, of which 9 were our own productions and 4 were distribution

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deals. We continued our focus on the syndication vertical, as was highlighted in the previous quarters, and this continues to deliver promising results. This was partly offset by a muted performance in the Studio business, resulting in other sales and services declining by 47% in Q4.

Now I would like to touch upon a couple of strategic investments approved by the Board of the company during the quarter. Firstly, an investment of INR20 crores was approved in respect of CORE Private Limited, CORE stands for Culture of Real Experiences. So, this will help drive our Live business. Secondly, an investment of up to INR116 crores was also approved, as Punit mentioned, in Phantom Digital Effects Limited, which happens to be a listed company as well. This investment shall significantly enhance the company's current content creation capabilities and also our presence in the animation visual effects, gaming and comic segment.

Further, the Micro -Drama app Bullet continues to garner steady gains with its unique model of gamifying the viewing experience and engaging consumers through short-form content. Before moving on to profitability, I would like to provide context and details pertaining to change in estimates of movie rights amortization pattern and additional impairment recognized during this quarter totalling to INR4,084 million.

For our movie inventory, the company reviewed its basis of estimates and its amortization to closely align the recognition of costs based on the estimated monetization pattern and digital viewership trends over the past few years. While the total tenure remains the same, an accelerated amortization pattern has been adopted for the initial years, and this is in line with the trends which we have seen.

As a result of the above and optimized fresh acquisitions, the content inventory advances and deposits as of March '26 stood at INR67.6 billion, down by INR2.8 billion on a year -on-year basis. Now for the discussion on profitability, we would like to make the

comparison adjusted to the one-off charge, as mentioned earlier.

Our overall operating costs remained nearly flat year-on-year. This was driven by lower programming costs due to shift of ILT to quarter 3 and lower production costs in Studio business, which was partly offset by increased marketing spend in our digital business and hosting of our marquee event, the Zee Cine Awards during this quarter.

With a 7% decline in operating revenue and optimizing our other fixed costs during the quarter, our adjusted EBITDA margin stood at 6.9%. Further, we had higher costs

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due to legal expenses in quarter 4. Excluding these one-offs and lower advertising revenue on account of the Middle East conflict, our margins would have been similar to quarter 3.

On the balance sheet, our focused efforts continue to strengthen our liquidity and financial position. Cash and treasury investments as of March 2026 stood at a healthy INR27.6 billion, comprising of cash balance of INR7.5 billion, fixed deposits and other treasury investments of INR7.8 billion and mutual fund investments of INR12.3 billion.

As we look ahead, with the ongoing West Asia uncertainty, we noticed advertisers are adopting a cautious approach. However, we believe that the multiple strategic initiatives implemented by your company in FY26 across content, its omnichannel approach, investment in new initiatives augurs well for us in the medium term.

At the same time, we continue to invest behind our people as they are the real assets in this business. Once the current macroeconomic environment stabilizes, our focus will continue to remain on driving revenue growth while maintaining a cost prudence, aiding operating leverage, resulting in profitability improvement and cash generation. With that, I would like to hand it back to Ankit.

Thank you very much.

Ankit Arora: Thanks, Mukund. Now, we can now open the floor for question-and-answer session. Just for the participants, just an input. PG has a hard stop at 6:15 for one of his other prior commitments. So, I would request all the participants to direct your questions to PG, if any, until that time. Thanks. And now, we can now open it up the floor.

Moderator: Thank you very much. Our first question comes from the line of Abneesh Roy with Nuvama. Please go ahead.

Abneesh Roy: I have one strategic question for PG. Given limited time, I'll first start with that. One is ZEE is a content and entertainment company. I wanted to understand why invest in back end in terms of global VFX and Phantom VFX, how does it help? How much investment? What can be the impact on revenue longer term? Second strategic question is, yes, ZEE5, you have delivered on the guidance of EBITDA breakeven. Will FY '27 be a reinvestment year in terms of content given you've achieved that profitability metrics. Now would you need to change the overall strategy in FY '27, Zee Entertainment Enterprises Limited

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given competition is quite fierce, and you have achieved the breakeven. Now would you want to go back to the content in terms of investment?

Punit Goenka: So, to your first question, Abneesh, and thank you for the questions. The reason we are investing in these back-end businesses because just like we invested in music and in the studio business, all these are complementary to the way the entire entertainment landscape is changing. And VFX and these kinds of things will come into the television space as well.

So, we cannot ignore it. We can always keep trying to outsource it. But we believe that having it internally could be far more beneficial and cost effective in our perspective. So that was the first one. The second one, I believe that we are at optimum level of investments on the ZEE5 or the digital front. At some point in time, we may choose to up our investments,

but they will not move the needle to the

extent that it will start impacting our EBITDA line. So, from that perspective, a little bit here and there, but just as we do in the television business as well, this is the way we are looking at it, and that's how we are going to run it.

Abneesh Roy: Sure. My second question is essentially in music business; we have got one unlisted player and then 2 listed players in which one is large. In your music business, would you want to invest more, do some kind of a value unlock because in a TV linear

broadcasting and an OTT company, is music getting the desired value, of course, you'll have to invest in that. What are your thoughts on this?

Punit Goenka: No, we certainly want to invest in the music business because that's the only way to keep broadening and going ahead. And whether the question of unlocking value, that is always something that we keep considering all the time. But as of now, our objective is to just keep expanding from the 20,000 songs that we have today. Compared to my competitors, we are still a very small player. And we will keep investing and going ahead on that basis. But if opportunities come, why not? We will always evaluate and look at those.

Abneesh Roy: Understood. Last question, you have 80 bps market share gain on the network level and Hindi GEC, you're claiming leadership. So, I wanted to understand that a bit more because clearly, I saw an advertisement also where you have claimed that in prime time, Hindi GEC is having leadership. Now every channel claims leadership given the way dissection of data happens.

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So, I wanted to understand, one, how strong is the leadership? Second, are you able to monetize this? Because of Iran crisis, everything gets hidden. All this improvement in market share, if it is there, is it reflecting somewhere in terms of revenue? Because in terms of reported numbers, obviously, we can't see given Iran crisis impact in March, if you could share that detail?

Punit Goenka: So, leadership, as you have rightly said, Abneesh, is only in prime time as of now. And the advertisement that you may have seen is a marketing thing that my team may have done. So don't hold me to that, but we are working towards getting full leadership, and that's what we want to attain. As you know, Abneesh, that any gain in viewership has a 13 - to 16 -week lag in terms of converting to revenues. So that's what we have to work towards. And my teams are working very hard to make sure that we attain that conversion of revenue as well.

Moderator: Our next question is from the line of Sameer Gupta with IIFL Capital.

Sameer Gupta: Sir, firstly, I wanted to understand the ad spend line in the cost. So, I understand these are costs incurred upfront. But when we, as a country, are staring at inflationary pressures and you have an expectation that most of the FMCG companies in all likelihood of protecting their margins will slash their ad budgets and part of it is already visible in our results in 4Q. And the subscription line item also consumers are likely to reduce discretionary spends, why not go slow on these expenses and protect margins? I mean these are up 44% this quarter. Full year it's fine. We didn't know that West Asia is going to happen. But just your thoughts on this, sir?

Punit Goenka: So, Sameer, when it comes to marketing, we have to look at it in multiple contexts. We have new businesses that we have just launched. And therefore, there is going to be marketing expense on that account. That's one part. Second part is that while we are running the business, we can't behave like selling soaps or detergents or things like that.

Therefore, our business is about consumption on a daily basis by our consumers on content. So, we cannot pull back on marketing from that perspective. We have in the past and not necessarily

that, that has worked for us. Therefore, I'm very, very cognizant of the fact that how do we make our marketing more efficient rather than cutting back, if I have answered your question.

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Sameer Gupta: Fair enough, sir. But then I know I'm asking a difficult question here, but in the context of where we are today, how do you see the FY '27 then pan out in terms of growth and margins? We have finished at 8%, 9% on the full year basis. Start of the year, we had ambitious plans on the margin front, but what needs to change? And how do we get to that high teens' kind of a margin, if at all?

Punit Goenka: No, Sameer, most of your colleagues will tell you that I am an optimist by nature. So, I do believe that once we have hit rock bottom, the only way to go is up. And that's what we are going to do going forward as a company, your company. And that's what we are working towards. That's our sole objective. So, whether we get to the high teens or this thing number, I can't guarantee right now because I can't give you a guidance. But we are certainly going to continue to work to make sure that we

create value for our shareholders and for you all.

Sameer Gupta: And sir, last question, if I may squeeze in. The employee cost down 16% this quarter, 9% for the full year. Just trying to understand what is going on here?

Punit Goenka: No. As Mukund mentioned in his speech that we have done a lot of optimization in manpower through our omnichannel strategy. A lot of people have taken on a lot more responsibility towards achieving their KPIs and all those things. So that's how we've optimized it. If you go back 4, 5 years before the pandemic, we used to operate at 9% people cost to revenue, and we are trying to bring it back to that, and that's what our objective is going to be.

Sameer Gupta: Has there been a major rationalization in the amount of manpower also?

Punit Goenka: Yes, there has been. And that's not happened overnight. This has happened over a period of 1 year. So, we've evaluated every role, this thing and then taken conscious calls on what we need to do.

Mukund Galgali: So, Sameer, just to add to Punit, there was a major activity in the previous quarter and the results of which are being reflected in the current quarter. And as I said, we also continue to invest in our human assets, and we will continue to keep adding on to the skill sets wherever needed, while additional responsibilities being taken by current team, which also gives them a growth opportunity. So, I think we are maintaining a fine balance here.

Moderator: Our next question is from the line of Jinesh Joshi with PL Capital.

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Jinesh Joshi: Sir, my first question is on the amortization charge that we took in this quarter to the tune of about INR300 crores. So, can you share what is our revised amortization policy for movies?

Mukund Galgali: PG, I'll take that. So Jinesh, as we've mentioned in our annual reports and our disclosures previously, we are amortizing the movies over a period of 5 years on a straight-line basis. We've had a look at the various patterns of consumption, and we have changed that estimate to make it more front-ended to increase it to 50% in the first 2 years and then the balance in the next 3 years. So that's the impact which we have taken, which is reflected in the notes.

Jinesh Joshi: 50% in the first 2 years and balance 50% in the next 3 years, right?

Mukund Galgali: That's right.

Jinesh Joshi: And this change, I mean, in the presentation, we have stated that ex of this change, ZEE5 was EBITDA positive in 4Q and for the full year of FY26. So is it possible to share the adjusted EBITDA numbers for ZEE5.

Mukund Galgali: So, the EBITDA will be below INR100 crores, I can say, ex this effect of the inventory adjustment, but

it's a little complicated accounting because there are some inventories which are being used in both platforms. So hence, we will not be able to give you more specifics of that. But ex this adjustment, it will be below INR100 crores for the quarter.

Jinesh Joshi: Sure. And sir, my second question is on our ratings. So, while on a Y-o-Y basis, we have seen an improvement come through. But if I look at our sequential ratings, I think, we are down from about 17.8% to, to 17.4%, I think, in this quarter. But while I think in some of our markets like, say, Hindi, Marathi and Tamil, we have seen very sharp improvement in ratings come through. In that case, why on sequential basis, we are seeing some kind of fall in our viewership share?

Punit Goenka: So, Jinesh, you have to understand it with what is happening in the market. So, you had T20 World Cup. We had the Bengal elections. We have had several other incidents that have possibly caused that drop to happen. But overall, our improvement is still significant, which I had mentioned in my opening remarks and even Mukund mentioned. So that's how you have to look at it. You have to cut down and look at a little bit more in terms of granularity of the data before you can come to that conclusion that you may be looking at.

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Moderator: Our next question comes from the line of Kavish Parekh with 360 ONE Capital.

Kavish Parekh: Punit, continuing a question asked by one of the earlier participants on Zee Music. So, value unlocking, you did mention that you may look at it at some point in the future. But if I remember, a few quarters ago, you had mentioned that you are open to disclosing the metrics, maybe revenues, maybe some operational metrics for

Zee Music. Any thoughts on that? Why was that not disclosed?

Punit Goenka: So, Kavish, I think it is competitive in nature from our perspective. And therefore, we chose to delay that. And certainly, we will be evaluating on a quarterly basis when to start disclosing. I am certain we will start disclosing it sooner than later. But for competitive reasons, we have not done it so far because as you are aware, and I'm sure you are aware that a lot of the international players are coming into the country, trying to make acquisitions on various companies. And therefore, we chose not to disclose it right now.

Kavish Parekh: Understood. But are you open to any such partnerships? Or maybe whenever you happen to think about value unlocking, that would be more of a, say, demerger route or something on those lines?

Punit Goenka: No. As I mentioned in my opening remarks and in the earlier question somebody asked me that if I get the right offer, why would I not be open to considering and demerging Zee Music from ZEE to a separate entity and bringing in a strategic partner there. Why not?

Kavish Parekh: Understood. Secondly, on your relatively newer initiatives, Bullet investments of about INR100 crores planned over the next few years. Currently, I understand, of course, it remains pretty small. What kind of monetization potential do you see here? And similarly, on the live events, what is the strategy here? What kind of events are you targeting? And any scale that you envisage that you would want to see this business, say, in the next 3 years?

Punit Goenka: So, Bullet, it's a new business from our perspective, but it's a unique business that a lot of the world is already doing a lot on with Micro -Dramas and small format or short format content, it's something that's worth as a media company, we have to be there. We cannot ignore it because that's also an audience base that we cannot ignore. The potential of that we are still studying and evaluating. But I believe that already the Micro -Drama market or short -form content market has reached almost , correct me, Mukund if I'm wrong, INR3,000 to INR3,500 crores.

es.

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Mukund Galgali: Right.

Punit Goenka: So, from that perspective, it's not a market to be ignored anymore. That was the first one. Second question was what, can you repeat again.

Kavish Parekh: On the live events?

Punit Goenka: In live events business on an organized manner, in our estimate is close to INR50,000 crores in this country. And I'm not even including the segment, which is your B2B and what happens in small towns and all those things. And forget about shaadi and all those things. So, there is a huge opportunity in the live business that we need to look at. And given what we are seeing today . We did one show with Hanuman kind and these kinds of things are becoming a complete rage. So, this is also becoming a part of our entertainment business. We cannot ignore it.

Mukund Galgali : And Kavish, this is also complementing our current business as it is also a platform for us to market for Zee talent and Zee content . And it has synergy with our advertising clients as well. So, these are other benefits of being in this business.

Moderator: Our next question comes from the line of Umang from Kotak Securities.

Umang Mehta: In ZEE5, I believe last quarter, we had a catch -up revenue. And despite that on Q -o-Q, you've seen a big jump. So possible to share any qualitative colour or any quantitative metrics on DAU, MAU, paying subscribers? It would really help to appreciate what you are trying to do there.

Ankit Arora: So Umang, I'll just add a couple of insights for you. So, while we don't really disclose quantitatively MAU, DAU . Because of the entire telco pricing catch -up and, on account of the B2B side of the business, it has certainly seen active engagement and a better MAU metrics for Q4. And of course, the momentum on the underlying business, both on the digital advertising side and the subscription continues, coupled with, the entire focus on syndication vertical, all of this has aided our revenue growth and the improved profitability metrics on both quarter -on-quarter and on a Y -o-Y basis.

Umang Mehta: Got it. And possible to share what are the ad revenues from ZEE5 this year? Any ballpark share in total revenues.

Ankit Arora: So we don't really disclose that, but the good news, which is what I can tell you is it continues to grow extremely handsomely on a quarter -on-quarter basis, and it is

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moving into the territory of us with our aspiration of becoming ad and subscription more like balance of 50 -50 in the medium term. So, it's done an extreme leap in terms of growth on a sequential and both on a Y -o-Y basis as well.

Umang Mehta: Got it. And the second question was just pertaining to cash flows. So, I've seen this provision for bad debts or doubtful debts to be around INR70 odd crores. So, any colour you can share on that? I mean, what was it regarding? And why would we need to make a large provision?

Mukund Galgali: These are made on a conservative basis, Umang, and they are all collectible, but we make these provisions especially at the end of the year, taking into account the age of the debtors and receivables, and we make these provisions. And they will be collected subsequently.

Moderator: That would be our last question for today, ladies and gentlemen. I would now like to hand the conference over to Mr. Ankit Arora for closing comments. Over to you, Sir.

Ankit Arora: Thank you, everyone. Thanks for joining us. Do feel free to reach out to us if there are any follow-up questions as you do a deeper study of the numbers. We will be available and look forward to speaking with you and meeting you in person soon. Thank you very much and have a great evening.

Moderator: Thank you. On behalf of Zee Entertainment Enterprises Limited, that concludes this conference. Thank you a

ll for joining us. You may now disconnect your lines.